

The State Of Telangana vs Kalluri Naga Narasimha Abhiram on 1 September, 2025

Author: B. R. Gavai

Bench: B. R. Gavai

2025 INSC 1058

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

Civil Appeal Nos..... of 2025
(@Special Leave Petition (C) Nos.21536-21588 of 2024)

The State of Telangana & Ors. Etc.

... Ap
Versus

Kalluri Naga Narasimha Abhiram & Ors. Etc.

....Re

With

Civil Appeal No..... of 2025
(@Special Leave Petition (C) Diary No. 43112 of 2024)

Civil Appeal No..... of 2025
(@Special Leave Petition (C) No. 23421 of 2024)

Writ Petition (C) No.637 of 2024

Civil Appeal No..... of 2025
(@Special Leave Petition (C) Diary No. 44682 of 2024)

Writ Petition (C) No. 672 of 2024

Writ Petition (C) No. 661 of 2024

JUDGEMENT

K. VINOD CHANDRAN, J.

Leave granted.

Date: 2025.09.01 16:30:10 IST Reason:

CA @ SLP (C) Nos. 21536-21588 of 2024 Etc.

2. Whether the wisdom of the legislature in defining a 'local candidate' entitled to apply under the 'Competent Authority Seats/Quota', by a subordinate legislation, in consonance with a Presidential Order issued under Article 371D of the Constitution of India, can be interfered with and expanded by the High Court under Article 226, is the question arising in these batch of appeals.

3. The State of Telangana in their appeals allege that the expansion of the definition, on the subjective satisfaction of the High Court, would lead to frustrating the special provision under Article 371D, intended to confer a benefit to those local candidates in the State of Telangana who can be given preferential admission to the medical courses. The true test being not the claim of nativity by descent, but by their residence and their continued education within the State, culminating with the appearance in the qualifying examination within the State, establishing the real bonding and true integration into the local environment. This raises a valid presumption that they would continue working, after qualifying, in the CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. locality, serving the people of the State. The respondents-

students, however, urge that the definition of local candidate itself is gross and does not reckon the vagaries of life and employment of the parents, which takes the children away from the State, whose roots remain all the same within the State.

4. The State counters that the definition has been molded in such a manner as to not only benefit those people who studied and resided for a considerable period within the State; but also ensure that those students who come from the marginalized sections are included. Such persons are those who are born into families who do not have the capacity to send their children outside the State and the Country for availing better educational facilities or expert and focused training to appear for the competitive entrance examinations. Most likely these are the persons who would remain within the State and offer their services to those residing in the State, which has a dearth of qualified medical practitioners. CA @ SLP (C) Nos. 21536-21588 of 2024 Etc.

5. We heard Dr. Abhishek Manu Singhvi and Mr. Gopal Sankarnarayanan, learned senior counsel and Mr. A. Sudarshan Reddy, learned Advocate General appearing for the appellants/State/University and Mr. P.B. Suresh, Mr. Raghenh Basant, Mr. Prakash Deu Naik, learned senior counsel and Mr. Krishna Dev Jagarlamudi, learned counsel appearing for the respective respondents/student-aspirants and Mr. S. Sriram, learned senior counsel appearing for the impleader.

6. Two separate Rules containing almost similar definitions were under challenge before the High Court. The first batch of Writ Petitions challenged the Telangana Medical & Dental Colleges Admission (Admission into MBBS & BDS Courses) Rules, 2017¹, the judgment in which was passed on 29.08.2023. Closely following suit, the second batch of Writ Petitions challenging the amendments brought into the definition of 'local candidates' vide GOMS No.33 dated 19.07.2024 was also allowed on 05.09.2024. Both these judgments are in appeal before us. In the meanwhile, by way of an interim hereinafter referred to as, 'the Rules of 2017' CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. order, there were admissions made on the consent of the State as per the expanded definition ordered by the High Court, subject to the final result of the appeals before this Court.

7. We will first briefly notice the genesis and the history of the preferential admissions to the professional courses in the undivided State of Andhra Pradesh and then after division, in the newly formed State of Telangana. Article 371D as it stood before the division referred to special provisions with respect to the State of Andhra Pradesh for providing equitable opportunities and facilities to the people belonging to the State, both in the matters of public employment and education, as enabled by a Presidential Order. After division, the nominal heading was substituted to include State of Telangana, which enabled the President by order to provide, having regard to the requirements of each State, for equitable opportunities and facilities for the people belonging to different parts of such States, in the matter of public employment and in the matter of education, in CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. exercise of the powers conferred thereby. The Andhra Pradesh Educational Institutions (Regulations of Admissions) Order, 1974² was published in the Gazette of India, Extraordinary Part II dated 01.07.1974; which came into force on the same day. It divided the State into three local areas of Telangana, Andhra Pradesh and Rayalaseema as applicable to the Osmania University, Andhra Pradesh University and Sri Venkateswara University respectively.

8. The Presidential Order, originally provided that a local candidate in relation to a local area would be such person who has studied in an educational institution/institutions in such local area for a period of not less than four consecutive academic years ending with the academic year in which he appeared or first appeared in the relevant qualifying examination. It was also provided that when a student has resided within the local area in the four consecutive academic years ending with the academic year in which he qualified and has not studied in any educational institution, he would be hereinafter referred to as, 'the Presidential Order' CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. entitled to seek admission as a local candidate; which benefit is for students who qualify through private study or the open school system. The Andhra Pradesh Educational Institutions (Regulation of Admissions) Second Amendment Order, 1976 amplified the said definition to take in students who had during the preceding years of qualification, studied in different local areas. The students who studied in different local areas, by the amendment, would have the benefit of being considered in the local area where he has studied the maximum time within a seven-year period. This benefit was also conferred on any resident in different local areas in the preceding seven years who had qualified in the examinations held in one of the local areas but not studied in any educational institution. The relevant qualifying examination is specified in the Presidential Order as the examination, passing of which is the minimum educational qualification for admission to the course of study for which admission is sought; herein specifically MBBS and BDS.

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9. The Andhra Pradesh Reorganisation Act, 2014 provided for continuance of the benefit under Article 371D for ten years in the newly formed States of Andhra Pradesh and Telangana. The first challenge was to the Rules of 2017 dated 05.07.2017. The local areas in the said orders were also divided into three; being Andhra, Rayalseema & Telangana, respectively associated with the three Universities and the definition of local candidates was in consonance with what was available in the Presidential Order. The Division Bench of the High Court formulated eight questions which are noticed hereunder, in seriatim: -

(i) Whether the Rules of 2017 are framed under Article 371D and the Presidential Order?

(ii) Whether the Rules of 2017 are framed under the Telangana Educational Institutions (Regulation of Admission and Prohibition of Capitation Fee), Act, 1983?

(iii) Whether the Regulation Act of 1983 is framed under Article 371D of the Constitution or under the Presidential Order?

(iv) Whether the validity of the Order of 1974 was examined by the Supreme Court in *C.Surekha v. Union of India*⁴ ?

(v) Whether the High Court could examine the validity of the Rules of 2017?

Hereinafter referred to as, 'the Admission Act of 1983' (1988) 4 SCC 526 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc.

(vi) & (vii) whether the petitioners fall under either of the definitions of the Rules of 2017; Rule 3(III)(B) or 3(III)(C)?

(viii) whether Rule 3(III)B of the Rules of 2017 is to be struck down or read down?

10. Insofar as the first question is concerned, looking at the notification dated 05.07.2017 and the reference to the Admission Act of 1983, it was found that the Rules of 2017 was not one framed invoking the powers conferred under the Presidential Order issued under Article 371D.

11. On the basis of the recitals in the notification, the second question was answered in the affirmative, finding the Rules of 2017 to be made under the Admission Act of 1983. The Admission Act of 1983, answering the third question, was also found to be not enacted either under Article 371D or the Presidential Order.

12. It was found that the source of power to enact the Admission Act of 1983 and bring out the Rules of 2017 were perceived to be under Entry 25 of List III of the Seventh Schedule. The Admission Act of 1983 did not trace the source to either Article 371D or the Presidential Order, in which event, neither was that Act enacted, nor CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. the Rules of 2017 said to have been brought out, under the Presidential Order. We are unable to accede to the above reasoning for more than one reason.

13. It is not in dispute that the Presidential Order brought out under Article 371D of the Constitution enabled the State to provide for equitable opportunities and facilities for the people belonging to the different parts of the State inter alia in the matter of education. A reading of the Admission Act of 1983, specifically Section 3 is relevant in this context, which is as under: -

3. (1) Subject to such rules as may be made in this behalf, admission into educational institutions shall be made either on the basis of the marks obtained in the qualifying examination or on the basis of the ranking assigned in the entrance test conducted by such authority and in such manner as may be prescribed;

(1A) [XXX] [Provided that admission into Agriculture, Dental, Engineering, Medical, Pharmacy and Veterinary Colleges shall be made on the basis of ranking assigned by giving weightage to the marks secured in the relevant group subjects namely, Biology, Physics, Chemistry or Mathematics, Physics, Chemistry, as the case may be, in the Intermediate Public Examination or equivalent examination and weightage to the marks secured in the common entrance test as may be prescribed.] (2) The admission into educational institutions under sub-section (1) shall be subject to such rules as may be made by the Government in regard to reservation of seats to the members belonging to CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. Scheduled Castes, Scheduled Tribes and Backward Classes and other categories of students as may be notified by the Government in this behalf and the Andhra Pradesh Educational Institutions (Regulation of Admission) Order, 1974.

(3) Notwithstanding anything in sub-sections (1) and (2), it shall be lawful for the Government, to admit students belonging to other States on reciprocal basis and the nominees of the Government of India, into Medical and Engineering Colleges in accordance with such rules as may be prescribed:

Provided that admission of students into the Regional Engineering College, Warangal to the extent of one-half of the total number of seats shall be in accordance with the guidelines issued by the Government of India, from time to time.

(underlining by us for emphasis)

14. The provision emphasised above specifically enable rules to be brought out not only with respect to reservation of seats to the members belonging to Scheduled Castes, Scheduled Tribes and Backward Classes, but also other categories of students, as may be notified by the Government in this behalf and the Presidential Order has been specifically referred to in the above Act, which went unnoticed by the Division Bench.

15. A Constitution Bench decision of Seven Learned Judges of this Court in Union of India v. H.S. Dhillon⁵ held, following yet another Constitution Bench of Five (1971) 2 SCC 779 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. Learned Judges in Harakchand Ratanchand Banthia v.

Union of India⁶, that the power to legislate is given to the appropriate legislatures by Article 246 of the Constitution. It was declared that ‘The entries in the three lists are only legislative heads or fields of legislation; they demarcate the area over which the appropriate legislatures can operate’ (sic).

16. Usefull reference can be made to yet another decision of a Constitution Bench of this Court in State of West Bengal v. Kesoram Industries Ltd.⁷, from which we make the following extract to the

extent it is relevant for this case, since the issue regarding the residuary powers vested in the Parliament, which was the subject matter of the cited decision, does not arise in the present case. The relevant part of paragraph No.31 reads as under: -

31. Article 245 of the Constitution is the fountain source of legislative power. It provides — subject to the provisions of this Constitution, Parliament may make laws for the whole or any part of the territory of India, and the legislature of a State may make laws for the whole or any part of the State. The legislative field between Parliament and the legislature of any State is divided by Article 246 of the Constitution. Parliament has exclusive power to (1969) 2 SCC 166 (2004) 10 SCC 201 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. make laws with respect to any of the matters enumerated in List I in the Seventh Schedule, called the “Union List”. Subject to the said power of Parliament, the legislature of any State has power to make laws with respect to any of the matters enumerated in List III, called the “Concurrent List”.

Subject to the abovesaid two, the legislature of any State has exclusive power to make laws with respect to any of the matters enumerated in List II, called the “State List”.

(bold font for emphasis)

17. In State of Andhra Pradesh v. National Thermal Power Corporation Limited⁸, the perceived conflict between Entries 53 and 54 of List II of the Seventh Schedule to the Constitution was considered. Entry 53 provided for tax on consumption of electricity while Entry 54 provided for tax on sale of goods. The conflict was argued, especially on the basis of the findings of this Court in Indian Aluminium Co. v. State of Kerala⁹ that electricity is goods since supply and consumption take place without any hiatus bringing it within the definition of a sale. Holding that even when there is perceived conflict between two entries, an effort should be made to harmonise it, it was found that several entries in the three (2002) 5 SCC 203 (1996) 7 SCC 637 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. lists of the Seventh Schedule are legislative heads or fields of legislation and not the source of legislative empowerment. “Competence to legislate has to be traced to the Constitution. The division of powers between Parliament and the State Legislatures to legislate by reference to territorial limits is defined by Article 245”(sic). Harmonising Entries 53 and 54, it was held that tax could be levied on sale of electricity under Entry 54 and even if there is no sale by the manufacturer, its consumption by the manufacturer itself could be taxed under Entry 53; both by a single piece of legislation. It was held that a legislation could fall within the scope of more than one Entry.

18. What can be clearly perceived from the afore cited decisions is that the source of power to legislate has to be traced to Article 245 read with 246, while the entries in the three lists under the Seventh Schedule of the Constitution are fields of legislation, demarcated as exclusively available to the Union, the State and concurrently; with the Parliament having overriding CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. powers in matters enumerated as concurrent. When enacting a legislation, it is also permissible that the Parliament or the State Legislature may choose to occupy

the various fields under the three lists but restricting to such demarcation of powers delineated under Article 246.

19. Importing the above dictum to the subject issue, the States' power to legislate in the field of education as covered under Entry 25 of LIST III has all the same to be traced to Articles 245 & 246, especially when there is no Union legislation on the subject/field. The power enabled under the Presidential Order to make special provisions for equitable opportunities and facilities in the matter of education as conferred under Article 371D; being education, is covered under Entry 25, and has also to be traced to Articles 245 & 246. The Act of 1983, brought out thus, consequentially confer the power on the State to bring out the rules in furtherance and in implementation of the Presidential Order. The Rules of 2017, hence, is sourced to the power conferred under the Presidential Order, at least, in so far as it determines the local areas CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. and bring out a definition of local candidates who are enabled the privilege of admission to medical colleges by virtue of their status as a local candidate as per the definition.

20. A Constitution Bench of this Court in Tamil Nadu Medical Officers Association and Others v. Union of India and Others¹⁰, overruled an earlier decision of a Three Judge Bench which found the reservation given to in-service candidates for admission to post-graduate courses in medicine, unconstitutional. It was held that Entry 66 in List I has a very limited scope insofar as the power conferred being coordination and determination of standards which alone is in the exclusive domain of the Union. However, conduct of examination, admission of students, prescription of fee and reservation would be a power conferred on the State under Entry 25 of List III. The Rules of 2017 is one authorised by the statute, which in turn traces the source of its power to the Constitution and adopts the definition as available in the Presidential Order.

(2021) 6 SCC 568 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc.

21. Insofar as the judgment in C. Surekha (supra) the decision in P.Sambamurthy v. State of A.P.¹¹ was noticed, wherein it was held that Article 371D does not militate against the basic structure of the Constitution, except sub- article (5) of Article 371D; which led to denial of the benefit of judicial review. The other question with respect to reservation of 15% seats to the All-India Entrance Examination was kept open. We find ourselves to be in full agreement with only this finding of the High Court in the impugned judgment.

22. Now, we come to the question of the purported reading down carried out by the Division Bench of the High Court. Having found that C. Surekha (supra) did not interpret the Presidential Order of 1974, the impugned judgment looked first at whether the petitioners fall under the definition clauses at Clause 3 III (B) or (C). After extracting the definitions as available in the Presidential Order and the Rules of 2017; which are identical, it was found that none of the petitioners fall under the said definitions. The facts varied from case to case, but there (1987) 1 SCC 362 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. were even students who studied from the first to tenth standard within the local area of the State of Telangana, under the Rules of 2017, but moved away for the secondary and higher secondary studies. The reasons were multifarious and included varied situations of life, including transfer of parents, better educational opportunities and so on and so forth. The categorical

finding was that none of the petitioners fall under the two definitions of 'study' or 'residence'; which is also just prior to the higher secondary qualifying examination, the appearance in which had to be undertaken in the State of Telangana.

23. Having found so, the Court went to the further question as to whether the rule defining a local candidate is arbitrary and violative of Article 14 of the Constitution of India. Relying upon the decisions in Ahmedabad Municipal Corpn. v. Nilaybhai R. Thakore¹² and Meenakshi Malik v. University of Delhi & Ors.¹³ as also decisions of various High Courts, it was found to be (1999) 8 SCC 139 (1989) 3 SCC 112 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. violative of the mandate contained in Article 14 of the Constitution. Relying on the trite principle that when a harmonious construction is possible, no provision of a statute or legislation should be struck down, the Division Bench thus expanded the definition to include any student who produced his residence certificate issued by a competent authority of the Government of Telangana. At the outset, we have to state that without a definition of what constitutes residence or at least without reference to a statute or rule prescribing the issuance of a residence certificate, the directions issued by the High Court would only result in an anomalous situation, making the reservation unworkable and open to a series of litigation.

24. Yet again, as has been argued by the State and the University, similar provisions have been upheld by this Court in a number of decisions over very many years. D.P.Joshi v. State of Madhya Bharat and Ors.¹⁴ upheld the levy of capitation fee on those students residing outside Madhya Bharat. The object of the classification, found to be justified, was the State's desire to help at least (1955) 1 SCC 58 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. to some extent the students who are its residents, encouraging education of the indigenous people, especially when the State spends money for the upkeep and running of the educational institutions; therein a medical college. The aforesaid decision was followed in Kumari N.Vasundara v. State of Mysore & Anr.¹⁵ which prescribed conditions of residence for ten years in the State of Mysore, at any time prior to the date of application for the purpose of admission. Therein also an argument was raised that, candidates whose parents, out of necessity or by compelling reasons of transfers, while remaining out of the Mysore State, cannot afford to arrange for the residence of their children inside the State. The argument was repelled by this Court on two grounds. It was held that mere likelihood of hardship cannot result in the striking down of a rule and in any event, hardship is likely to arise in the working of almost any rule, especially when applied to a selection of a limited number of candidates, which alone cannot render the rule unconstitutional. It was clearly held that, for relief (1971) 2 SCC 22 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. against such hardship and reducing the wide gap between the number of available seats and the number of aspirants, the grievance would have to be addressed elsewhere; clearly indicating the policy formulation by the government/legislature. The exclusive domain for policy formulation was not liable to be interfered with, unless validly challenged on gross discrimination, clear arbitrariness, patent illegality, perversity or unconstitutionality.

25. Pradeep Jain v. Union of India¹⁶, considered the question whether admission to institutions of higher learning situated in a State can be confined to those having their domicile within their State or who are residents within the State for a specific number of years, irrespective of merit and

whether this would be consistent with the constitutional values. Referring to the earlier decisions of this Court, it was held that at least in the scheme of admission to medical colleges, there can be a departure from the principle of selection based on merit 1984 AIR 1420 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. to bring about real equality of opportunity between those who are unequal. It was famously observed that 'equality must not remain mere idle incantation, but it must become a living reality for the large masses of people' (sic). Such departure was held to be justified on two considerations; one the State interest and the other a region's claim of backwardness.

26. Referring to D.P.Joshi (supra), it was found that therein the capitation fee for persons belonging to outside Madhya Bharat was justified on the assumption that those who are bona fide residents of Madhya Bharat would settle down and serve the needs of the people in the State, after they qualify; though, there was nothing observed in the judgment as to whether there was any such justification pleaded. It was held that despite intra- state discrimination between persons resident in different districts and regions of a State was frowned upon by this Court, institutional reservation effected through university-wise distribution was upheld. Referring also to D.P.Joshi (supra) and Kumari N. Vasundara (supra); CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. while unreservedly condemning wholesale reservation on the basis of domicile or residential requirement, 70% reservation was prescribed as an outer limit with 30% being made available on an All-India basis. The percentage was subsequently increased to 85% in the case of Dinesh Kumar (Dr.) v. Motilal Nehru College¹⁷, with the prescription of an entrance examination on an all- India basis for the remaining 15% seats.

27. Anand Madaan v. State of Haryana¹⁸, provided for a reservation to those who are residents or domiciled in the State of Haryana with a further condition of having studied in the 10th, 10+1 and 10+2 classes as a regular candidate in recognised institutions in Haryana. An exception was carved out insofar as employees of the State Government/All India services borne in the Haryana cadre, employees of statutory bodies or Corporations established under an Act of the State of Haryana and the children/wards of the employees of Indian Defence Services and Paramilitary services belonging to the (1986) 3 SCC 727 (1995) 2 SCC 135 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. Haryana State. This Court specifically referred to Meenakshi Malik¹³ which was a lone case where a student's parents in Government service were posted outside the country in the last two years of education, which was otherwise commenced and continued in Delhi, which was held to be condonable. Anand Madaan¹⁸ found, that was a singular grievance which similar contention was not available to any of the petitioners and upheld the rule in the State of Haryana.

28. We have to immediately notice that the learned Advocate General for the State of Telangana who appeared in the case has assured us that there would be mitigation insofar as such candidates; which we will refer to a little later.

29. Rajdeep Ghosh v. State of Assam and Others¹⁹ was another case in which reservation was made for local candidates who studied all the classes from Class 8 to 12 in the State of Assam, who have also passed the qualifying examination or its equivalent from the institutes situated in the State of Assam. Relying on the cited precedents, 2018 INSC 718 CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. this Court held that the petitioners could not place any relevant data showing that there were no coaching facilities available in Assam and when some students can afford to obtain coaching in other

States, they stand on a different footing, belonging to an affluent class who cannot be adjusted in the State quota, especially when they can seek admission in the All India quota, thus, making the Rule not totally exclusionary.

30. In the wake of the binding precedents, holding the field for three score and ten years; a lifetime, we are unable to accede to the claim of the students who did not fall under the definition that the rule is exclusionary, arbitrary and constitutionally invalid. We cannot but notice that in Ahmedabad Municipal Corpn. (supra), the rule providing reservation to those local students, qualifying from educational institutions situated within the municipal limits were merely expanded to include the Ahmedabad Urban Development Area (AUDA). The Rule was justified in the counter affidavit filed on behalf of the Ahmedabad Municipality, on the ground that the Medical CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. College in question was established to cater to the needs of the students residing in Ahmedabad city and hence only those students who qualified from schools or colleges within the Ahmedabad Municipality were entitled to be treated as local students. The question posed by this Court was whether those who are residents of Ahmedabad city, who also contribute to the revenue of the Municipality, could be denied the status of local students, merely for reason that they study in schools outside the Municipality limits, but within the AUDA. The rule was held to include even the students of the institutions in the AUDA on the ground that otherwise it creates a differentia within the class of students of Ahmedabad on the basis of their acquiring qualifications from schools within the Municipal limit or within the limits of AUDA, which would be arbitrary and violative of Article

14. There is no such unintelligible differentia arising in this case.

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31. For all the reasons noticed above, we are unable to uphold the impugned judgment dated 29.08.2023 of the High Court of Telangana.

32. Now, we come to the challenge against the amended Rules of 2023. As has been argued by the State and the University, the Reorganisation Act of Andhra Pradesh permitted continuance of the benefit under Article 371D in the newly formed States for a period of ten years and there was a requirement for a new legislation, after the expiry of that period. This prompted the State to amend the rule by G.O (MS) No.33 dated 19.07.2024, incorporating a fresh Rule 3 in the Rules of 2017. The said amendment provided for the 'Competent Authority Quota' in the State of Telangana, which on incorporation in the Rules of 2017 traces its power to legislate, to the Regulation Act of 1983, which we already found has been brought out under Entry 25 of List III, Seventh Schedule read with Article 371D and the Presidential Order of 1974 as also Articles 245 & 246. The new rule provided for reservation to an extent of 85% to those candidates who CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. have either (i) studied in the educational institutions in the local area for a period of not less than four consecutive academic years ending with the academic year in which he qualified for admission or (ii) where during the whole or any part of the four consecutive years ending with the academic year in which he qualified for admission, resided in the local area but without studying in any educational institutions, which candidate also should have appeared for the qualifying

examination in the State of Telangana. The Division Bench, considering the amended rule, noticed the decision in Pradeep Jain¹⁶, Anand Madaan¹⁸ and Rajdeep Ghosh¹⁹ having laid down that the requirement of residence/domicile for admission to MBBS/BDS course is permissible, but without anything more proceeded to consider whether the amended rule has to be struck down or read down. After looking at the principle of reading down, again Meenakshi Malik¹³ and the earlier judgment dated 29.08.2023 were noticed to find that the amended rule will have to be read down to mean those petitioners having permanent residence or CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. domicile in the State of Telangana, who will have to be considered as a local candidate. At this point, it was pointed out from the Bar that there are no guidelines/rules framed by the State Government to ascertain the domicile/permanent residence within the State of Telangana. The State Government was directed to frame guidelines to determine such domicile/residence and directed to consider writ petitioners as per the newly framed guidelines/rules.

33. We have already held that the pre-amended rule defining a local candidate was perfectly in order, which reasoning applies squarely to the amended rule also. There was no warrant for a reading down when the definition is clear, in consonance with the Presidential Order and similar rules having been upheld by this Court as coming out from the binding precedents. We find no reason to take a different view with respect to the amended rule also; 15% having been conceded to the All- India quota.

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34. We also observe that the learned Advocate General has handed over a further amendment proposed, incorporating a proviso to Rule 3 as follows: -

I. Provided that a candidate who studies outside Telangana for any period during the requisite four consecutive academic years ending with the academic year in which he appeared, or as the case may be, first appeared in the relevant qualifying examination will be eligible to be considered if they fall under any of the below categories:

1. Children of employees of the Telangana State Government who have served or are serving outside Telangana corresponding to the candidate's year/s of study outside Telangana
2. Children of serving or retired employees belonging to the Telangana cadre of All India Services (IAS/IFS/IPS) who have served or are serving outside Telangana corresponding to the candidate's year/s of study outside Telangana
3. Children of defence personnel/ex-servicemen/ Central Armed Police Force service who at the time of joining service, have declared their hometown to be in the State of Telangana and who have served or are serving outside Telangana corresponding to the candidate's year/s of study outside Telangana

4. Children of employees of a Corporation/Agency/ Instrumentality under Government of Telangana, liable to be transferred anywhere in India as per the terms and conditions of his/her employment, who have served or are serving outside Telangana corresponding to the candidate's year/s of study outside Telangana II. Subject to the candidate submitting Certificate of employment from the competent authority for the candidate's father/mother's service outside the State for the period corresponding to the candidate's year/s of study outside Telangana.

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35. The said proviso should allay and mitigate the grievances of those who claim that they were taken out of the State by compulsion of the movement of their parents outside the State by reason of employment in Government/All-India Services/ Corporations or Public Sector Undertakings constituted as an instrumentality of the State of Telangana as also defence and paramilitary forces who trace their nativity to the State, subject to the conditions thereunder. With only the said reservation, we uphold the Rules of 2017 as it stood amended in 2024. We were told that in the previous academic year on concession made by the Government before this Court, students who did not fall strictly under the definition were granted admission to mitigate the grievance of the hardship alleged and argued. We make it clear that the admissions so made shall not be disturbed.

36. The appeals of the State and the University are allowed, setting aside both the impugned judgments in the Writ Petitions filed by the students. The Writ Petitions and the SLP filed by the students before this Court, as a CA @ SLP (C) Nos. 21536-21588 of 2024 Etc. consequence stand dismissed; however, with the reservation insofar as candidates who are covered by the proviso to Rule 3 as specified in paragraph 34 above. No order as to costs.

37. Pending applications, if any, shall stand disposed of.

..... CJI.

(B. R. GAVAI) J.

(K. VINOD CHANDRAN) NEW DELHI;

SEPTEMBER 01, 2025.

CA @ SLP (C) Nos. 21536-21588 of 2024 Etc.

The General Manager (P) Canara Bank vs Ganganarasimhaiah on 9 September, 2025

Author: J.K. Maheshwari

Bench: J.K. Maheshwari

REPORTABLE

2025 INSC 1088

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO.....OF 2025
(ARISING OUT OF SPECIAL LEAVE PETITION (C) No. 20343 of 2022)

THE GENERAL MANAGER (P)
CANARA BANK

...APPELLANT(S)

VERSUS

GANGANARASIMHAIAH

...RESPONDENT(S)

JUDGMENT

VIJAY BISHNOI, J.

Leave granted.

2. This appeal has been preferred by the Appellant challenging the Judgment dated 12.08.2022 passed in Writ Petition No. 1857 of 2020 (L-RES) by the High Court of Karnataka. The Division Bench of the High Court, thereby affirmed the Award passed Reason:

by the Central Government Industrial Tribunal, Labour Court (hereinafter referred to as “Tribunal”) in C.R. No. 138/2007 dated 25.09.2019, by setting aside the punishment of compulsory retirement imposed upon the Respondent and directed his reinstatement into the original post with continuity of service without back wages.

BRIEF FACTS

3. The facts, in brief, are that the Respondent joined the service of the Appellant-Bank as a daily wage Sub-Staff on 17.10.1990.

Subsequently, his service was confirmed as Duftery-cum-

Cash Peon as Sub-Staff Leader on 18.07.1992. The Respondent was thereafter posted at V.G. Doddi branch from 11.11.1997 till 01.08.2004. Thereafter, he was posted at Bommasandra branch on 02.08.2004.

4. The then manager, Shri H.N. Ramesh of V.G. Doddi branch submitted an investigation report on 06.08.2004 alleging serious irregularities at the branch office, V.G. Doddi branch when the Respondent and other staff members were posted there.

5. A preliminary enquiry was conducted into the said irregularities and the Respondent, in the said enquiry, on 24.07.2004 admitted that certain loans were advanced to his wife which were availed by coercing the manager and without obtaining any sanction from the Controlling Officer. The Respondent also accepted that he made unauthorized entries in the bank accounts of one Shri Ramakrishnaiah and his father, Shri Kambaiah, thereby tampering with the official records.

6. The Respondent was then put under suspension on 19.08.2004 because of contemplation to initiate the disciplinary proceeding, and thereafter a chargesheet dated 28.04.2005 was issued to the Respondent in respect of the charges. The chargesheet is reproduced herein below for easy reference:-

“... CHARGE You were working at our V.G. Doddi branch from 11.11.1997 to 01.08.2004 prior to your joining Bommasandra Branch on 02.08.2004 and you were placed under suspension on 19.08.2004.

Serious discrepancies in the Advances Portfolio of our V.G. Doddi branch was observed and an investigation conducted into the matter has brought to fore the following irregularities/ fraudulent acts on your part;

FGC 1/2000 for Rs. 25000/- for Rs. 25,000/- to Shri Kambaiah on 03.04.2000;

On 03.04.2000 FGC 1/2000 for Rs. 25,000 has been granted to Shri. Kambaiah S/o Shri Rangaiah, Nayakanapalya, Magadi Taluk who is your father.

On 01.03.2000, Shri R. R. Hoover , the then Manager had allowed a TOD for Rs. 10000/- in the SB Account No. 519 of Shri. Kambaiah. Again on 24.03.2000, you had requested for a further finance of Rs. 25,000/- in your father's account informing the Mnagaer that your father would be visiting the branch for executing the loan papers. At your behest Shri. R. R. Hoover had prepared the debit and credit slips far by debiting FGC account and crediting SB account No. 519 of Shri. Kambaiah. The

slips for granting FGC loan was prepared without even preparing the loan papers as Shri. Kambaiah had not personally visited the branch for executing loan papers.

You have posted the credit slips in SB 519 of Shri. Kambaiah and withdrawn Rs. 15000/- from his SB account on the same day i.e. on 24.03.2000. In order to set right the unauthorised debit in FGC loan of your father, you have on the next day i.e. on 25.03.2000 unauthorisedly debited SB account 1550 of Shri. Ramakrishnaiah without the knowledge of the Manager and without, preparing any slips for debiting the account and without showing any corresponding. Credit. You have debited the amount in the ledger sheet only and not made any entry in the subsidiary sheet.

You have brought this unauthorised, transaction to Manager's knowledge only on 31.03.2000. Subsequently Shri R. R. Hoover passed the slips on that day by debiting SB 1550 of Shri Ramakrishnaiah. M and crediting FGC subsidiary, without slips. By doing so, the entry pertaining - to FGC loan granted in the absence of Shri Kambaiah on 24.03.2000 was reversed and the unauthorised debit in SB 1550 of Shri Rsmakrishnaiah remained outstanding. Subsequently to set right the transaction of unauthorized debit in SB 1550 and crediting FGC head, Shri R. R. Hoover had hurriedly sanctioned a loan FGC 1/2000 for Rs.25000/- to Shri Kambaiah on 03.04.2000 by duly obtaining loan papers and crediting the proceeds to SB 1550 of Shri Ramakrishnaiah thus re-crediting the unauthorised debit. You have posted the debit slip pertaining to the transaction. You have knowingly made the unauthorised entries in your father's and Shri. Ramakrishnaiah's accounts for your personal gains.

Shri. Chennavenkataiah, P.T.E. of the branch had extracted the balancings of Rs. 3,00,196/- before the debit of Rs.25,000/- on 25.03.2000 in the SB balancing book. You have deliberately made alterations in the balancing book and altered the amount of Rs, 2,75,196/- to tally the balancing book. You have also made alterations in SB Control Register and the closing balance in the ledger subsidiary to tally the books which amounts to tempering and falsification of Bank's records.

To conceal this unauthorized debit in SB 1550 of Shri. Ramakrishnaiah you have deliberately left out the debit and credit entry while updating his pass book. You have admitted having deliberately left out these entries in the pass book.

Shri. Ramakrishnaiah had nothing to do with this transaction and Manager has granted the loan for accommodation purpose at your instance and as you had pressurized him in granting the said loan.

Shri. R. R. Hoover, Manager had allowed TODs in SB Account 2450 of Smt. Suvaramma who is your wife, on 8 occasions during the period from 16.4.99 to 23.5.2000 totalling to Rs. 55,857/-. Apart from this, she was granted with DPN RT 22/09 for Rs. 20000/-, DPN RT 31/99 for Rs. 25,000/-, ALS 15/03 for Rs. 25000/-. Further loans have been granted to Shri. Kambaiah, your father, under ALS 10/02 for Rs. 25000/- and ALGL 98/03 for Rs. 25000/- for which concurrence of controlling office were not been taken.

You have unauthorisdiy made debits in the SB Account 1550 for raising funds for personal gain. You have coerced the Manager for sanctioning loans to your family members for personal gains. You

have tempered the Bank records by making alterations in the balancing book, key register and SB subsidiary sheets to keep the books tallied by fraudulent means on account of unauthorized debits.

Our Staff Section (Officers), Circle Office, Bangalore, vide their letter No- BLC/SSO/7023/EP dated 04.10.2004, has called for your explanation into, the matter. The reply submitted by you vide your letter dated 02.11.2004 is neither convincing nor satisfactory.

You have by your above actions failed to discharge your duties with utmost integrity, honesty, devotion and diligence and thus cant ravened the provisions of Chapter XI, Regulation 2(A), (i) of Canara Bank Service Code and committed a "Gross Misconduct"”

7. On 07.06.2005, the Disciplinary Authority appointed an Enquiry Officer and a Presenting Officer. The Enquiry Officer after conclusion of the enquiry submitted a report on 09.01.2006, concluding that all the charges levelled against the Respondent stands proved.

8. The copy of the Enquiry Report was supplied and in response to that the Respondent submitted his submissions alleging that the enquiry was not fair as two relevant witnesses were not examined.

9. The Disciplinary Authority issued “Show Cause Notice” dated 10.03.2006 to the Respondent proposing the punishment of compulsory retirement. The Respondent was also afforded personal hearing by the Disciplinary Authority. Finally on 15.03.2006, while agreeing with the findings of the Enquiry Officer, the Disciplinary Authority imposed the punishment of compulsory retirement upon the Respondent.

10. Being aggrieved, the Respondent preferred an appeal before the Appellate Authority which rejected the appeal preferred by the Respondent vide Order dated 22.11.2006.

11. Further, pursuant to the dispute raised by the Respondent before the Central Government, the Central Government made a reference to the Tribunal, the terms of the reference read as follows:

“Whether the punishment of the compulsory retirement imposed on Shri Ganganarasimahaiah by the management of Canara Bank is legal and justified? If not, to what relief the workmen is entitled?”

12. The Tribunal framed a preliminary issue as to whether the domestic enquiry held against the Respondent is fair and proper or not? On behalf of the Respondent, following contentions were raised:

☐Some key witnesses have not been examined and certain relevant documents were not furnished to him; ☐Sufficient opportunity was not provided to examine the departmental witnesses; and ☐The enquiry proceedings were not conducted in the Kannada language but in English language which was inconvenient to the Respondent and his defence representative to effectively put forward the defence.

The Tribunal after dealing with the above contentions of the Respondent and also considering the stand of the Appellant-

Bank vide Order dated 17.05.2013 had concluded that the enquiry was fair. The operative portion of the order dated 17.05.2013, passed by the Tribunal is reproduced herein under:-

“....Thus, I find no to say that fair and proper opportunity was denied to the CSE or his defence Representative to put forward their case. In the result while arriving at conclusion of answering this issue in the affirmative holding that the Domestic Enquiry held against the I Party by the II party is fair and proper, I pass the following Order:

ORDER The Preliminary issue is answered in the Affirmative holding that the Domestic Enquiry held against the I Party by the II party is fair and proper...” It is to be noticed that the said order passed by the Tribunal dated 17.05.2013 has not been challenged by the Respondent and has thus, attained finality.

13. The Tribunal vide order dated 25.09.2019, had passed the Final Award and answered the reference in favour of the Respondent and directed the Appellant to reinstate the workman into his original post with continuity of service without back wages.

14. The Appellant thereafter preferred the impugned Writ Petition No. 1857 of 2020 (L-RES) before the High Court challenging the Final Award dated 25.09.2019 passed by the Tribunal.

15. The High Court vide the impugned Order dated 12.08.2022 dismissed the Writ Petition and upheld the Award passed by the Tribunal.

SUBMISSIONS OF THE PARTIES

16. The learned counsel for the Appellant argued that the Tribunal while exercising jurisdiction under Section 11A of the Industrial Disputes Act had exceeded its jurisdiction and acted as a Court of Appeal. It is contended that, though, the Tribunal vide order dated 17.05.2013 had held that the Disciplinary Enquiry against the Respondent was fair and proper, had re-appreciated the evidence and had interfered with the punishment order illegally.

17. The learned counsel has argued that the finding of the Tribunal, to the effect that the management did not produce any evidentiary material to prove the charges against the Respondent is perverse and bad in law. It is contended that as many as 19 documents were produced during the course of enquiry and the Enquiry Officer as well as the Disciplinary Authority has dealt extensively with those documents despite the fact that during the preliminary enquiry, the Respondent had admitted his guilt. Learned Counsel has further argued that the copies of the documents relied upon by the Appellant were supplied to the Respondent and he was granted sufficient opportunity to cross-examine the witnesses. In such circumstances, the Tribunal had grossly erred in interfering

with the punishment order passed by the Disciplinary Authority and the High Court had also erred in affirming the order passed by the Tribunal. Learned Counsel has further argued that the Tribunal as well as the High Court were impressed only by the fact that the Appellant had failed to prove that the Respondent was the author of the entries whereby some irregular/illegal transactions were carried out in the bank/loan accounts of one Shri Ramakrishnaiah, the father of the Respondent, Shri Kambaiah and other customers of the banks. It is further contended that the Tribunal despite observing that it is highly possible that at the instance of the Respondent, the manager committed the irregularities as alleged in the chargesheet and also observing that the Respondent was the beneficiary of the misconduct/loan sanction has illegally interfered with the punishment order. It is argued that it is a settled position of law that strict rules of evidence do not apply to the disciplinary proceedings and the findings of the Disciplinary Authority are to be tested on the principle of preponderance of probabilities.

18. Learned counsel for the Appellant has further argued that the Tribunal has erred in observing that the punishment of compulsory retirement on the Respondent is too harsh and disproportionate, despite holding that he was benefitted on account of misconduct/irregular loan sanction. The Tribunal has also wrongly observed that if the Respondent is reinstated into service, then only he will get the retiral benefits. It is contended that the Respondent being compulsorily retired from this service would otherwise also be entitled to retiral benefits because it is not a case of dismissal from the service.

It is further submitted that the other staff working at the relevant time in the V.G. Doddi branch, namely, Shri R.R. Hoover and Shri N. Govinda Raju were also subjected to disciplinary proceedings and since the charges have been proved against them, punishment of compulsory retirement had also been imposed upon them. Their challenge to the punishment was rejected by the Appellate and Reviewing Authority and thereafter, they have not made any further challenge before any of the Authority and therefore, the punishment inflicted upon them became final.

19. Learned Counsel for the Appellant has further argued that the customers put their trust in the banks and deposit their money with the belief that their money would be safe in the banks. In such a condition, if an employee of the bank indulges in malpractices or irregularities in maintaining the accounts of the customers, then the faith of the general public would erode in the banking system. It is contended that the Respondent was found indulged in making unauthorized transactions in the bank account of strangers and was also involved in making irregular transactions in the accounts of his father and his wife and therefore, it is not desirable that such employee would remain in the banking system. The irregularities committed by the Respondent resulted in loss of confidence of the employer and in such circumstances the Respondent had rightly been compulsorily retired.

20. In support of the above submissions, the learned counsel for the Appellant has relied upon the judgements passed by this Court in Deputy General Manager (Appellate Authority) And Others vs. Ajai Kumar Srivastava reported in (2021) 2 SCC 612, Standard Chartered Bank vs. R.C. Srivastava reported in (2021) 19 SCC 281 and Indian Overseas Bank and Others vs. Om Prakash Lal Srivastava reported in (2022) 3 SCC 803.

21. Per contra, the learned counsel appearing for the Respondent has opposed the appeal and has argued that the High Court had not committed any illegality in passing the impugned order because the Appellant did not produce any evidence to prove that the unauthorized entries and tampering of the records were done by the Respondent. The learned counsel for the Respondent further argued that the Enquiry Officer also failed to examine two material witnesses, namely Shri Ramakrishnaiah and Shri R.R. Hoover and the Enquiry Officer did not obtain an expert opinion to verify whether the disputed entries were made in the handwriting of the Respondent.

22. The learned counsel for the Respondent also contends that the statement of admission of guilt by the Respondent, that are relied upon by the Appellant, were involuntary as they were taken under threat and coercion. It is asserted that the Respondent has only studied till 7th standard and it is difficult to comprehend that he, not being an educated person, had made the entries in the bank accounts of his father or that of any other customers. It is contended that as a matter of fact, the whole irregularities in the loan/bank accounts of father of the Respondent and the other customers were done by the then manager of the bank and the Respondent has been falsely implicated.

23. It is further contended that the Appellant-bank has failed to produce any evidence which suggests that the Respondent was directly involved in the alleged misconduct, therefore, the Tribunal has rightly held that the punishment of compulsory retirement imposed upon the Respondent is too harsh and disproportionate.

24. We have heard the arguments advanced by both the parties and pursued the material on record.

ANALYSIS AND CONCLUSION

25. The allegation against the Respondent is that when he was posted as Sub-staff at the V.G. Doddi branch of the Appellant-

bank, he had committed certain irregularities. Pursuant to the same, the Respondent was suspended on 19.08.2004 and thereafter a charge sheet was served upon him on 28.04.2005. The Enquiry Officer submitted his report concluding that the charges levelled against the Respondent had been proved and as such he is guilty of misconduct. The copy of the enquiry report was supplied to the Respondent, and his explanation was sought wherein he had furnished his explanation. The Disciplinary Authority after providing an opportunity of personal hearing and considering his defence had concurred with the enquiry report and vide Order dated 15.03.2006 had imposed the penalty of compulsory retirement upon the Respondent. The order passed by the Disciplinary Authority imposing the punishment of compulsory retirement is reproduced hereunder:

“I have perused the Chargesheet, the Enquiry Proceedings, relevant documents, findings of the Enquiring Officer and submissions of the CSE.

Sri Ganganarasimhaih was working at our V.G. Doddi Branch from 11.11.97 to 01.08.2004 prior to his joining Bommasandra branch on 02.08.04 and he was placed under suspension with effect from 19.08.04.

Serious discrepancies in the Advances Portfolio of V.G. Doddi Branch was observed and an Investigation conducted in the matter brought to the more certain irregularities/ fraudulent activities on his part.

The charges are morefully enumerated in the above referred Chargesheet which shall be read as part and parcel of this order.

Upon an enquiry, Sri Ganganarasimhaiah was found 'guilty' of the charges in the EO's findings which was served upon him and the CSE vide his letter dated 28.01.06 has made his submissions.

On perusal of the records, I observe the following:

During the course of the enquiry 19 documents were introduced as Management Exhibits and two witnesses were examined. On behalf of the defence/ CSE one document was introduced and no witnesses were produced.

Sri H N Ramesh, Manager and the Investigating Officer was examined as MW-1. He has identified documents MEx - 1 to MEx - 16. MEx - 1, the contents of which were confirmed by MW1 reveals as follows:

On 03.05.2000, FGC Rs.25,000/- was granted to Sri Kambaiah, father of the Chargesheeted Employee. The debit slip was prepared for FGC 1/2000 and credit slip was prepared for SB 1550 of Sri Ramakrishnaiah. In SB 1550, ledgersheet, there is a debit of Rs.25,000/- to FGC 1/2000 on 25.03.2000 and a credit of Rs.25,000/- is made on 03.04.2000 by FGC. These ledger entries are in the handwriting of CSE.

There are no "corresponding debit and credit slips in the slip bundle of 25.03.2000. In the slip bundle of 31.03.2000, there is a debit slip for Rs.25,000/- debiting SB 1550 of Sri Ramakrishnaiah with the narration towards FGC 1/2000 and a Credit Slip for the equal amount for the credit of FGC 1/2000. The debit slip bears the ledger folio no 78.12 with initials of CSE and the slip was released by Sri Robert R. Hoover, Manager. The balancing of SB ledger was extracted by Sri Channavenkataiah, PTE. The total balancing has been altered to Rs.275196/- and the balancing tallied. The alterations in the SB balancing book are admittedly in the handwriting of CSE. The SB key register is also in the handwriting of the CSE. The final total is altered by using white fluid and initialled by CSE. The CSE has admitted debiting the account of Sri Ramakrishnaiah without Manager's knowledge On 31.03.2000. Sri Robert R. Hoover, Manager, came to know of the debit to SB account No 1550 on 25.03.2000 for Rs.25,000/-and alteration in SB key register and in SB Balancing book. CSE pleaded for mercy and as such the Manager had not written to CO. Sri Robert R. Hoover to set right the above transaction made transfer slips on 31.03.2000 debiting SB 1550 and crediting FGC head. The CSE has written passbook of SB 1550 deliberately omitting the above two entries and CSE has admitted this in writing. [Emphasis Supplied] The CSE admitted in his statement dt 24.07.2004 that he got SB 2450 opened in the name of Smt Suvarnamma, wife of CSE on 19.12.1997. She is not working and not doing any busyness but she goes to tailoring training class.

He had taken the TODs in this account and repaid the same. The CSE has posted the relevant slips in his own handwriting. [Emphasis Supplied] The CSE has admitted having availed DPNRT 22/98 for Rs.20,000/-, DPNRT 31/99 for Rs.25,000/-and ALS 15/2003 for Rs.25,000/-in his wife's name. The CSE has admitted for having posted the slips of FGC 1/2000 in SB ledger sheet of SB 519 & SB 1550. That there is no relationship between SB 1550 of Sri Ramakrishnaiah and FGC 1/2000 of his father. The fact of debiting SB 1550 with Rs.25,000/- was not informed to Sri Ramakrishnaiah. The CSE also admitted that Sri Ramakrishnaiah is deprived of his own amount from 25.03.2001 & 03.04.2000. The CSE in his statement dated 28.07.2004 has admitted for having entered the pass book No 1550 deliberately leaving out the details pertaining to FGC 1/2000. The CSE has admitted having made entries in SB ledger sheet No 549518 of SB 2959 which pertains to Mr George Joseph.

It is brought on record through MEx-4 that Sri Robert R. Hoover, at the instance of CSE allowed TOD of Rs.10,000/- in the account of Sri Kambaiah SB 519. To clear TOD he has prepared debit slip of FGC 1/2000. However CSE debited SB account 1550. Sri Robert R. Hoover also informed that CSE altered the figures in SB Balancing and SB control register.

[Emphasis Supplied] It is brought on record through MEx -7, 8, 13 and MEx -15 that debit entry of Rs.25,000/- made on 25.03.2000 in SB 1550 ledger sheet is not appearing in SB subsidiary sheet of the day. SB pass book No 1550 does not show the debit entry of Rs.25,000/-of 25.03.2000 and credit entry of Rs.25000/- of 03.04.2000 which were made In the ledger sheet of SB 1550. SB daily control register of 31.03.2000 debit entry pertaining to ledger no 2 is altered from Rs.68/- to 25068/- and the number of slips from 1 to 2. But the total number of slip is retained as 8 even though it comes to 9. The closing balance for the ledger no 2 and the grand total is also altered. The CSE in his statement dated 24.07.2004 has admitted for having made the alterations.

It is also brought on record though the deposition of MW 1 basing on MEx 16 that TODs were allowed in the SB account No 2450 of Smt Suvamma, W/o Chargesheeted Employee on 16.04.99, 05.10.99, 11.10.99, 23.10.99, 08.11.99, 01.03.2000 and 03.04.2000.

MW 2 Sri Channavenkataiah PTE had extracted the balancing in SB Ledger No as at 31.03.2000, he has confirmed that the balance extracted by him in SB 1550 was Rs.300196/- where as the altered figure was Rs.275196/-the balancing was not tailed and the alterations in the balance was not made by him and he had only extracted the grand total in a rough sheet since it was not tallied.

There were no operations in the SB A/c No 519 during 1998 and 1999. A TOD was allowed on 01.03.2000 to an inoperative account, which is not a routine action of the Branch Manager. Sri Kambaiah is the father of CSE and hence, tho TOD allowed can be Justified for no other purpose than the coercion of the CSE. TOD was outstanding for more than 15 days and was adjusted by posting an entry of Rs.25,000/- on 24.03.2000, as narration "FGC 1/2000". The entry was posted by CSE, though the entry was illegible by the Manager. The FGC 1/2000 was granted on 03.04.2000, and the CSE who posted the slips on 24.03.2000, cannot claim ignorance and the CSE had sufficient knowledge and knowingly he had posted the slips with the connivance of the Manager.

MW 1 stated that the CSE has approached the Manager on 01.03.2000 and pressurized him for a TOD of Rs. 10,000/- in his father's account, which account, which he had permitted to be cleared within 7 days. On 24.03.2000, the CSE has again approached the Manager for a further finance of Rs.25,000/- and coerced him to prepare the debit & credit slip for Rs.25,000/- each to FGC and SB account stating that his father would come to the branch on that day for executing the loan papers. Sri Kambaiah did not turn up and the amount was withdrawn and subsequently on 25.03.2000 debited Rs.25,000/- to SB account 1550 of Sri Ramakrishnaiah, without the knowledge of the Manager. There is no corresponding debit or credit slip in the slip bundles. On 31.03.2000, there is a debit slip for Rs.25,000/- to SB 1550 of Sri Ramakrishnaiah which bears the ledger folio no 7812, with initials of the CSE.

It is on record that the TOD dt 01.03.2000, was allowed by the Manager at the coercion of the CSE, and the debit entries dated 25.03.2000 and 31.03.2000, were made by the Chargesheeted Employee fraudulently and the defence argument that the entries have been authenticated is not true. On the other and the previous Manager advantage of Manager and benefit it hand all evidences show that both the CSE colluded and the CSE had taken undue made fraudulent entries to gain pecuniary.

The Submission of the defence that TOD dt 01.03.2000 and granting FGC 1/2000 on 03.04.2000 are made under normal course of business, is not true. The evidences, show involvement of the CSE and Sri Robert R. Hoover, had obliged the Chargesheeted Employee on account of coercion. Further as per MEx- 1, and MEx -13 & 14, the SB control dt 24.03.2000, 25.03.2000 & 31.03.2000 are in the handwritings of CSE. As per MEx - 8, the CSE had debited Rs.25,000/-to SB 1550 on 25.03.2000 in the ledger account only and not made entry in the Subsidiary (MEx- 14) and SB control register (MEx-13). If the entry in MEx -8 was authenticated as claimed by Defence Representative the same should have reflected in MEx- 13 and

14. The debit entry dt 31.03.2000, of Rs.25,000/- was made by the CSE in the SB Ledger 2 Subsidiary, i.e., MEx- 14, In his own handwriting and no entry was made in the SB 1550 Ledger sheet.

After taking the balancing by MW 2, the balance in the SB control register, MEx 13 was altered in the handwriting of the CSE, which is visible to the naked eye and also the balancing extract. DEx-1 was also altered in the handwriting of the CSE and by putting the initial by the CSE. [Emphasis Supplied] As per deposition of MW 1 there more two initials in MEx -13 and DEx -1 and one could be of the Supervisor. But it is true that, one initial is of the CSE and another initial is of the Manager who has colluded with the CSE and had admitted during Investigation that all-these entries were made at the request of the CSE to accommodate him with funds.

The charge of unauthorised debits in SB 1550 & the alteration in SB control register and SB Balancing book- is not disproved / rebutted by the defence. Though entries of closing balance on 31.03.2000 and balancing on 31.03.2000 appears to be authenticated, the earlier entries of 24.03.2000, 25.03.2000 & 31.03.2000 and the FGC 1/2000 sanction on 03.04.2000 are all indicating that the alterations on 31.03.2000 were made to cover up all the unauthorised entries made by the CSE, for his, personal gains.

It is brought 25.03.2000 and Ledger sheet 1550. During branch on 28 03.04.2000, are on record that the debit entry of Rs.25,000/- on credit entry of Rs.25,000/- on 03.04.2000, made in SB of SB 1550, are not shown in the pass book of SB. It is brought on record that the debit entry of Rs. 25,000/- on 25.03.2000 and credit entry of Rs. 25,000/- on 03.04.2000, made in SB ledger sheet of SB 1550, are not shown in the pass book of SB 1550. During Investigation, Sri Ramakrishnaiah, was called at the branch on 28.07.2004 & who reported that the entries of 25.03.2000 & not belonging to him. MWI in his Investigation report has stated that the CSE had written the pass book in his own handwriting. The CSE had admitted during the Investigation for having written the pass book of SB 1550 of Sri Ramakrishnaiah by deliberately omitting the above two entries. Sri Ramakrishnaiah has stated vide MEx -9 that he had not demanded any FGC Loan either on 25.03.2000 or on 03.04.2000 and he never availed any loans from the Bank.

[Emphasis Supplied] It is brought on record that the debit and credit entry of Rs.26,000/- on 13.10.99, were not made in the pass book i.e., MEx -.15. But as can be seen that, the branch had debited Rs.100/- on 31.03.2000 towards processing charges in respect of GL 168/99 sanctioned on 13.10.99. However in the case of debit entry dt 25.03.2000;- the same was not entered in the SB Subsidiary on 25.03.2000, and in the case of credit entry dt 03.04.2000, the loan FGC 1/00 was not sanctioned in the name of Sri Ramakrishnaiah. As the CSE was knowing the substantial credit of Rs.298937/- to the SB account 1550, on 24.03.2000 and hence he had debited Rs.25,000/- to the account without the knowledge of the Manager. The defence has tried to bring on record that the entries dt 13.10.99 was not reflected in the pass book & accordingly, the entries dt 25.03.2000 L 03.04.2000 were also not reflected in the pass book and the defence tried to bring that the action of the CSE was not deliberate. However, as analysed above, the omitting of entries dt 25.03.2000 & 03.04.2000 are deliberate and the account holder i.e., Sri Ramakrishnaiah, had never made any objection/ complaint about the entries dt 13.10.99, 31.03.00 in respect of GL 168/99 vide MEx- 9, and Sri Ramakrishnaiah had nothing to do with the transactions dt 25.03.2000 and 03.04.2000.

[Emphasis Supplied] The CSE in his statement dt 24.07.04 had admitted that, he has got opened SB account 2450 in the name of his wife Smt Suvarnamma, who is neither working anywhere nor doing any business, but she was attending tailoring training class. On "8" occasions TODs were taken by him in the said account & repaid. The CSE had also admitted for having availed loan DPN(RT) 22/98 for Rs. 20,000/- DPN (RT) 31/99 for Rs.25,000/- and ALS 15/2003 for Rs. 72570007- in the name of his wife. It is charged that, the concurrence of the controlling office was not taken for the above TODs/Loans. [Emphasis Supplied] The defence has argued that the CSE is not responsible for non obtention of concurrence from Circle Office. The guidelines issued by the Bank with regard to obtention of concurrence from controlling office for the loans/ advances granted to close relatives of the employees are applicable to all the employees of the bank. Though it is the responsibility of the Branch Manager to obtain concurrence from the controlling office, before granting loans to close relatives of the employees, the concerned employee has also to take interest /initiative in this regard and to see that the Manager has obtained the concurrence or not, for the best interest of himself.

In this case, the defence has made an allegation that the management has made right allegation on a wrong employee. The defence has not produced any evidence to show that, the CSE had also took

initiative to remind the manager to obtain concurrence as a responsible employee of the Bank. When the CSE had took initiative in availing various facilities in the name of his wife, he should have shown the same interest to get the concurrence from the controlling office.

The evidence on record show that the CSE has unauthorisedly made debits in the SB account 1550, for raising funds for persona) gain. He had has coerced the Manager for sanctioning of loana to his family members for personal gains. He has tampered the Bank records, by making alterations in the SB control register, SB subsidiary sheets and SB Balancing book to keep the book tallied by fraudulent means on account of unauthorised debits.

The CSE had availed loans/ TODs in tho-name of his wife, for which he has not initiated any steps for obtaining concurrence from controlling off ice.

I observe that all the contention of the CSE are covered by the Enquiring Officer in his findings dated 09.01.2006 and the CSE hats not brought any valid grounds for review of the findings of the EO - which merit consideration. Hence, while agreeing with the findings of the Enquiring Officer and for the reasons stated above. I hold the CSE guilty of the charges as enumerated in this order and I order accordingly.

A copy of this order shall be communicated to Sri Gangrasimhaiah Place: CO, Bangalore Date: 15.03.2006 Sd/-

DEPUTY GENERAL MANAGER DISCIPLINARY AUTHORITY "CANARA BANK Ref: BLC:DAC:4421:E-37:2006 DISCIPLINARY AUTHORITY CIRCLE OFFICE BANGALORE PROCEEDINGS OF THE DEPUTY GENERAL MANAGER Sub: In the natter of alleged misconduct on the part of Sri Gangrasimhaiah (61633), Sub-Staff(U/s), Canara Bank, Bomnasandra Branch.

Ref: 1. Chargesheet No. BLC:DAC:3038:E-37:CH-25/2005 dated 28.04.2005.

2. Suspension Proceedings No. BLC:SSW:10813:EP:E.37:2004 dated 18.08.2004.

WHEREAS, departmental proceedings were initiated against the subject employee by serving on him the above referred Chargesheat;

WHEREAS, an Enquiring Officer was appointed by the Disciplinary Authority to conduct an enquiry into the- above referred Chargesheet;

WHEREAS, the Enquiring Officer after conducting an enquiry submitted his findings holding the employee "Guilty" of the charges levelled against him as enumerated in his findings;

WHEREAS, a copy of the findings was forwarded to the Chargesheeted Employee vide letter No. BLCs -DACs 31:2006 dated 09.01.2006 and the Chargesheeted Employee has made his submissions on the findings vide his letter dated 28.01.2006;

WHEREAS, after analyzing the findings of the Enquiring Officer, the submissions made by the chargesheeted employee on the findings of Enquiring Officer and other connected records, the Disciplinary Authority concurred with the findings of the Enquiring Officer;

WHEREAS, after taking into consideration the gravity of misconduct, circumstances of the case, the punishment of "Compulsory Retirement" Was proposed to be imposed on the Chargesheeted Employee and a personal hearing in this -regard was given by the Disciplinary Authority on 15.03.2006;

REF: NO. BLC:DAC:4421:E-37:2005 DATED 15.05.2006 NOW THEREFORE, taking into consideration the submissions made by the Chargesheeted Employee during the personal hearing, the gravity of the misconduct, connected records, the circumstances of the case, agreeing with the findings of the Enquiring Officer and holding the Chargesheeted Employee 'guilty' of the charges as enumerated in the orders of the Disciplinary Authority, the punishment of "COMPULSORY RETIREMENT"

as envisaged under Chapter XI, Regulation 4, Clause (b) of Canara Bank Service Code is hereby imposed on the subject employee.

The period of suspension shall not be reckoned for any purpose whatsoever and also the increment for the period of suspension shall not be released.

A copy of the order of the Disciplinary Authority is enclosed.

CIRCLE OFFICE BANGALORE DATE :15.03.2006"

26. Thereafter, the Respondent had preferred an appeal before the Appellate Authority, i.e., General Manager of the Canara Bank and the Appellate Authority after considering the grounds taken in the said appeal had dismissed the said appeal vide Order dated 22.11.2006. The Order passed by the Appellate authority is as under:-

Perused the memorandum of appeal, proceedings of the enquiry, findings of the Enquiry Officer and other connected records.

Sri.Ganganarasimhaiah was given a personal hearing on 02/11/2006 at Head Office, Bangalore and his submissions were heard and recorded.

Shri. Ganganarasimhaiah was working at our V.G.Doddi branch from 11.11.1997 to 01.08.2004 prior to his joining Bommasandra branch on 02.08.2004 and he was placed under suspension on 19.08.2004.

Serious discrepancies in the Advances Portfolio of our V.G.Doddi branch was observed and an investigation conducted into the matter has revealed that Shri.Ganganarasimhaiah has unauthorisedly made debits in the SB Account 1550 for

raising funds for personal gain. He has coerced the Manager for sanctioning loans to his family members for personal gains. He has tampered the Bank records by making alterations in the balancing book, key register and SB subsidiary sheets to keep the books tallied by fraudulent means on account of unauthorised debits.

He has by his above actions failed to discharge his duties with utmost integrity, honesty, devotion and diligence. The charges are fully enumerated in the above referred chargesheet.

Upon enquiry, the Enquiry Officer submitted his findings holding the appellant guilty of the charges. Agreeing with the findings of the Enquiry Officer, the Disciplinary Authority has imposed the subject punishment.

Aggrieved by the imposition of -the above punishment, Sri. Ganganarasimhaiah has preferred the instant appeal which has been duly taken into consideration.

On a perusal of the records, I observe the following:

On 3/4/2000, an FGC loan of Rs.25000/- was granted to Sri.Kambaiah, who is reported to be father of the appellant. The debit slip was prepared for FGC 1/2000 and corresponding credit slip was prepared for SB 1550 of Sri.Ramakrishnaiah. It has been revealed that in SB 1550, ledger sheet, there was a debit of Rs.25000/- "To FGC 172000" on 25/3/2000, and a credit of Rs.25000/- is made on 3/4/2000 as "By FGC". All the ledger entries are made in the handwritings of appellant. There were no corresponding debit or credit slips in the slip bundle of 25/3/2000. In the slip bundle of 31/3/2000, there was a debit slip for Rs.25000/- debiting SB 1550, of Sri. Ramakrishnaiah, with the narration "towards FGC 1/2000" and a credit slip for the equal amount for the credit of FGC 1/2000. The debit slip bears the ledger folio No. 7812, with the initials of the appellant and the slip was released by Shri. R. R. Hoover. The balancing of SB ledger was extracted by Sri.Channavenkataiah, PTE of the branch. The total balancing has been altered to Rs.275196/- and balancing tallied. The relevant alterations in the SB balancing book are admittedly in the handwriting of the appellant, SB key register was also written in the handwriting of the appellant and the final total has been altered by applying white fluid and initialled by the appellant. The appellant has admitted for having wrongly debited the account of Sri.Ramakrishnaiah without the knowledge of the Manager. The debit of SB account 1550 on 25/3/2000 for Rs.25000/- and alteration i.e. SB key register and SB balancing book came to the knowledge of Sri.Robert R Hoover on 31/3/2000. Sri. Robert R Hoover has stated that the matter was not reported to Circle Office as the appellant had pleaded for mercy ... To- set right the above transactions, Sri. Robert R Hoover had made the transfer slips on 31/3/2000 by debiting the SB 1550 and crediting FGC head. The appellant had Written the pass-book of SBT550 by deliberately omitting the above two entries, which he had admitted in writing.

The Appellant admitted in his statement dt. 24.07.2004 that he got SB 2450 opened in the name of Smt. Suvarnamma, wife of Appellant-on 19.12.1997. She is not working and not doing any business but she goes to tailoring training class. He had taken the TODs in this account and repaid the same. The Appellant has posted the relevant slips in his own handwriting. The Appellant has admitted-having availed DPNRT 22/98 for Rs.20,000/-, DPNRT 31/99 for Rs.25,000/-and ALS 15/2003 for Rs.25,000/- in his wife's name. The Appellant has admitted for having posted the slips of FGC 1/2000 in SB ledger sheet of SB 519 (of Sri Kambaiah, father of the appellant) & SB 1550 and that there is no relationship between SB 1550 of Sri Ramakrishnaiah and FGC 1/2000 of his father and the fact of debiting SB 1550 with Rs.25,000/- was not informed to Sri Ramakrishnaiah. The Appellant also admitted that Sri. Ramakrishnaiah is deprived of his own amount from 25.03.2000 to 03.04.2000. The Appellant in his statement dated 28.07.2004 has admitted for having entered the pass book No 1550 deliberately leaving out the details pertaining to FGC 1/2000. The Appellant has admitted for having made entries in SB ledger sheet No 549518 of SB 2959 which pertains to Mr George Joseph.

It is brought on record through MEx -4 that Sri Robert RHoover, at the instance of Appellant allowed TOD of Rs.10,000/- in the account of Sri Kambaiah SB 519. To clear TOD he has prepared debit slip of FGC 1/2000. However Appellant debited SB account 1550. Sri Robert R. Hoover also informed that Appellant altered the figures in SB Balancing and SB control register.

TOD was outstanding for more than 15 days and was adjusted by posting an entry of Rs.25,000/- on 24.03.2000, as narration "FGC 1/2000". The entry was posted by Appellant, though the entry was initialled by the Manager.

It has come on record that the Appellant has approached the Manager on 01.03.2000 and pressurised him for a TOD of Rs.10,000/-in his father's account, which he had permitted to be cleared within 7 days. On 24.03.2000//\ the Appellant has again approached the Manager for further finance of Rs.25,000/- and coerced him to prepare the debit & credit slip for Rs.25,000/- each to FGC and SB account stating that, his father would come to the branch on that day for executing the loan papers. Sri. Kambaiah did not turn up and the amount was withdrawn and subsequently on 25.03.2000 debited Rs.25,000/- to SB account 1550 of Sri. Ramakrishnaiah, without the knowledge of the Manager. There is no corresponding debit or credit slip in the slip bundles. On 31.03.2000, there is a debit slip for Rs.25,000/- to SB 1550 of Sri. Ramakrishnaiah which bears the ledger folio no 7812, with initials of the Appellant.

All evidences show that both the Appellant and Sri R R Hoover the then Manager colluded and made fraudulent entries to gain pecuniary benefit. In view of the above, the contentions of the appellant has no merit.

The charges levelled against the Appellant are proved by oral/ documentary evidence. Merely because Shri.Ramakrishnaiah and Shri.R.R. Hoover were not examined in the enquiry, the same will not invalidate the evidence brought on record through MEx-4 and MEx-9 (the statements given by

the above persons).

The Appellant himself has recorded the statements (i.e., MEx-2 and MEx-3) in his own handwriting and all his statements are addressed to Shri. H. N. Ramesh, Manager (Investigating Officer). The defence has also failed to introduce any evidence either Oral and documentary in the enquiry to prove their stand that the investigation in the matter was not conducted in a fair manner and the report is a fabricated one.

The guidelines issued by the Bank with regard to obtention of concurrence from controlling office for the loans/ advances granted to close relatives of the employees are applicable to all the employees of the bank. Though it is the responsibility of the Branch Manager to obtain the concurrence from the controlling office, before granting loans to close relatives of the employees, the concerned employee has also to take interest/ initiative in this regard and to see that the Manager has obtained the concurrence or not, for the best interest of himself.

The punishment imposed on Appellant commensurates with the gravity of the misconduct. The Appellant has not raised any valid grounds / contentions in his appeal which will merit reconsideration of the orders of the Disciplinary Authority. The appeal lacks merit. Hence, the appeal may be rejected.

In view of the foregoing, I do not find any reason to interfere either with the findings of the Enquiry Officer or with the orders of the Disciplinary Authority. Therefore, I confirm the punishment and the appeal shall stand rejected accordingly.

A copy of this order shall communicated to Sri Gangrasimhaiah Sd/-

GENERAL MANAGER APPELLATE AUTHORITY 22.11.2006

27. As already noted, the Tribunal vide Order dated 17.05.2013, while deciding the preliminary enquiry, had concluded that the enquiry against the Respondent was fair and the said order had attained finality. However, while passing the Final Award dated 25.09.2019, the Tribunal has re-appreciated the evidence adduced during the departmental proceedings against the Respondent. The relevant portion of final award is reproduced hereunder.

“...On a perusal of the evidence placed before the Enquiry Officer, it is obvious that there was no evidence pointing towards the CSE for causing entries in any of the Management documents exhibited. None of his colleagues were brought before the Enquiry Officer to depose that he is the Author of the entries in the Management documents. The statements of the witnesses recorded by the Investigating Officer do not serve by themselves as evidence. These statements since not subjected for cross examination, they are not worth considering as evidentiary material. What is established by the evidence of MW-2 is, Part time employee has also made entries in the record and the total pertaining to SB A/c 1550 did not tally on 31.03.2000 and subsequently the entry is corrected by someone. He has never stated having seen the 1 st Party handling the records of the Bank. The 1st Party workman is a Sub Staff with the education qualification of 7 th Standard. No

attempt is made to procure expert opinion that, the disputed entries are authored by the 1st Party workman. He has disputed the so called statement recorded by the Investigating Officer. Being a Sub Staff, it is a wild imagination to say that he was in a dominant position to harass his Superior Officer / the Bank Manager to sanction Loans by violating the procedure. Now it is submitted on his behalf that, all the Loan sanctioned in favour of his father and wife are cleared. His father is living separately from him and his wife earns her own income. I am unable to subscribe to this submission, if really that was the factuality; he ought to have examined his father and wife as his witnesses during the enquiry. Subsequent to the adjudication of the Preliminary issue he has adduced evidence contending that his Parent's and wife are dependent on him. There is contraction between his own evidence and argument.

9. Let us peruse the charge segment wise, though, his father Sh. Kambaiah was sanctioned Rs. 25,000/- (Twenty Five Thousand Rupees Only) Loan on 03.04.2000, the 1st Party requested for further Loan of Rs. 25,000/- (Twenty Five Thousand Rupees). Without executing Loan papers, the 1st Party posted the credit slips in the SB A/c 519 of Sh. Kambaiah and withdrew Rs. 15,000/- (Fifteen Thousand Rupees Only) from the said account on 24.03.2000, it is not shown that the entry in the SB A/c is made by the 1st Party. In the usual course the entries in the SB A/c should have been authored by the concerned Clerk. If at all the 1st Party had made such entry the witness to speak in the record was either the Manager or the concerned Clerk. The cheque leaf / withdrawal slip pertaining to Rs. 15,000/- (Fifteen Thousand Rupees Only) is not produced.

On 25.03.2000 he unauthorisedly debited SB A/c 1550 of Sh. Rama Krishnaiah, the credit slip and debit slip of 25.03.2000 and daily control register are not produced.

Again, it is not established that the relevant entry in SB A/c statement/Mex-8 is that of 1st Party workman.

he has not made corresponding entry in the subsidiary sheet - but that is not the duty of a Sub Staff.

the above transaction was brought to the notice of the Manager by the 1st Party on 31.03.2000 on which the Manager passed the slips on 31.03.2000 by debiting the SB. A/c of Sh. Rama Krishna and debiting the FGC Subsidiary- but same is not substantiated by the evidence.

That the debit slip was posted by him to Loan account Mex-12 of Sh. Kambaiah for his personal gain. It is not proved that the 1st Party is the Author of the entries in Ex Mex-12, though probably he might have enjoyed the Loan amount sanctioned. He made alterations in the balancing book and deliberately made alterations to Rs. 2,75,196/- (Two Lakhs Seventy Five Thousand One Hundred and Ninety Six Rupees Only) to tally the balance. He made alterations in SB control registers, closing balance in the subsidiary ledger to tally the book - but SB control register, balancing book and subsidiary ledger were not produced during the enquiry.

With a motive to conceal unauthorised debit in SB A/c of Sh. Rama Krishnaiah, the 1st Party left out debit and credit entry while updating the Passbook- not only that the 1st Party has no authority, to make entry in the Passbook but also, it is not proved that he was the author of the entries in the

passbook of Rama Krishna.

The TOD's in the SB A/c of Smt. Suvarnamma was allowed and Loan granted to Sh. Kambaiah without concurrence of controlling office the responsibility of the omission is directly on the Manager.

The outcome of the entire evidence was, irregularly Loan was sanctioned to the father and Wife of the 1st Party workman. Both being the members of the family of the 1st Party it is highly possible that at the insistence of the 1st Party the Manager committed the irregularities as alleged in the Charge Sheet. However, there was no complaint against the 1st Party nor did the Bank suffered any financial loss from the alleged incident. Mere suspension with or without proof cannot take over the seat of legal evidence. In the absence of any evidentiary material establishing the complicity of the 1st Party workman in the manipulation of the Bank records, the finding of the Enquiry Officer that,

(i) He unauthorizedly made debit in SB A/c 1550,

(ii) He coerced the manager for sanction of Loans,

(iii) He tampered the Bank records, without the foundation of evidentiary material, is perverse. Wherefore, the Punishment order passed on the basis of such imperfect and fragile finding is illegal.

10. Having said so, now the focus is on the nature of relief to be moulded. The 1st Party though was not directly involved in the alleged misconduct, it is obvious that he was the beneficiary of the misconduct / irregular Loan sanction. The punishment of compulsory retirement on the 1st Party workman who was in the midway of his carrier and had the responsibility of raising a family on such petty reason is too harsh and disproportionate. The workman probably has few more years of service if reinstated into service, he is enjoying retirement benefits. Having observed that, he was an interested Party in the alleged misconduct in my considered opinion reinstatement with continuity of service without back wages is the appropriate Award that would meet the situation.

AWARD The reference is accepted. The order of the 2nd Party Canara Bank in imposing punishment of Compulsory Retirement from service dated 15.3.2006 against the 1st Party workman Sh. Ganaganarasimaiah is set aside.

The 2nd Party is directed to reinstate the workman into his original post with continuity of service without back wages.”

28. From the scrutiny of the Final Award, it appears that the Tribunal was mainly influenced by the fact that the department had failed to produce evidence to the fact that the Respondent was the author of the entries made in the bank/loan accounts, for which chargesheet had been served to him. The Tribunal had also emphasized that no attempt was made by the bank to procure expert opinion to ascertain that the disputed entries were authored by the Respondent.

However, the Tribunal has observed that it is highly possible that the irregularities as alleged in the chargesheet were committed by the Manager at the instance of the Respondent.

The Tribunal then went on to record that in the absence of any evidentiary material in respect of complicity of the Respondent with regards to manipulation of bank record, the findings of the Enquiry Officer regarding making entries of unauthorized debit in disputed SB account, coercion on the part of the Respondent upon the manager for sanctioning of loan and tampering of books of record cannot be sustained.

The Tribunal had also observed that though the Respondent was the beneficiary of the misconduct/irregular loan sanction but since there is no evidence that he was directly involved in the alleged misconduct, the punishment of compulsory retirement on the Respondent was too harsh and disproportionate.

29. Surprisingly, the High Court had confirmed the order of the Tribunal by adding its own reason that the charges levelled against the Respondent are absurd and since the father of the Respondent was eligible for sanction of loan and the same has been sanctioned by the competent authority, it cannot be concluded that there is any illegality in sanctioning the loan in favour of the father of the Respondent. Strangely, the High Court had not taken into consideration the charge regarding the illegal disbursement of loans advanced in favour of the wife of the Respondent. The High Court was also impressed with the fact that since no financial loss has been occurred to the bank, no case for interference is made out.

30. We are at pain to say that the Tribunal as well as the High Court had failed to take into consideration the settled principal of law in respect of judicial review in disciplinary matters. It is well settled that when a Disciplinary Enquiry against a delinquent for alleged misconduct is initiated and in the said Disciplinary Enquiry, he/she is found guilty and subsequently punished, the court before which a challenge is made by the delinquent, is required to examine and determine the following aspects: -

(i) Whether the enquiry was held by the competent authority?

(ii) Rule of natural justice has been complied with or not;

(iii) The conclusions arrived by the Disciplinary Authority are based on no evidence or the findings are perverse.

It is also equally settled that strict rules of evidence are not applicable in the departmental proceedings and the charge against the delinquent can be proved on preponderance of probabilities.

31. This Court in the case of B.C. Chaturvedi vs. Union of India and Others reported in (1995) 6 SCC 749, a three-

judges Bench has held as under: -

12. Judicial review is not an appeal from a decision but a review of the manner in which the decision is made. Power of judicial review is meant to ensure that the individual receives fair treatment and not to ensure that the conclusion which the authority reaches is necessarily correct in the eye of the court.

When an inquiry is conducted on charges of misconduct by a public servant, the Court/Tribunal is concerned to determine whether the inquiry was held by a competent officer or whether rules of natural justice are complied with. Whether the findings or conclusions are based on some evidence, the authority entrusted with the power to hold inquiry has jurisdiction, power and authority to reach a finding of fact or conclusion. But that finding must be based on some evidence. Neither the technical rules of Evidence Act nor of proof of fact or evidence as defined therein, apply to disciplinary proceeding. When the authority accepts that evidence and conclusion receives support therefrom, the disciplinary authority is entitled to hold that the delinquent officer is guilty of the charge. The Court/Tribunal in its power of judicial review does not act as appellate authority to reappraise the evidence and to arrive at its own independent findings on the evidence. The Court/Tribunal may interfere where the authority held the proceedings against the delinquent officer in a manner inconsistent with the rules of natural justice or in violation of statutory rules prescribing the mode of inquiry or where the conclusion or finding reached by the disciplinary authority is based on no evidence. If the conclusion or finding be such as no reasonable person would have ever reached, the Court/Tribunal may interfere with the conclusion or the finding, and mould the relief so as to make it appropriate to the facts of each case.

[Emphasis supplied]

13. The disciplinary authority is the sole judge of facts. Where appeal is presented, the appellate authority has coextensive power to reappraise the evidence or the nature of punishment. In a disciplinary inquiry, the strict proof of legal evidence and findings on that evidence are not relevant. Adequacy of evidence or reliability of evidence cannot be permitted to be canvassed before the Court/Tribunal. In *Union of India v. H.C. Goel* this Court held at p. 728 that if the conclusion, upon consideration of the evidence reached by the disciplinary authority, is perverse or suffers from patent error on the face of the record or based on no evidence at all, a writ of certiorari could be issued.

14. In *Union of India v. S.L. Abbas* when the order of transfer was interfered with by the Tribunal, this Court held that the Tribunal was not an appellate authority which could substitute its own judgment to that bona fide order of transfer. The Tribunal could not, in such circumstances, interfere with orders of transfer of a government servant. In *Administrator of Dadra & Nagar Haveli v. H.P. Vora* it was held that the Administrative Tribunal was not an appellate authority and it could not substitute the role of authorities to clear the efficiency bar of a public servant. Recently, in *State Bank of India v. Samarendra Kishore Endow* a Bench of this Court of which two of us (B.P. Jeevan Reddy and B.L. Hansaria, JJ.) were members, considered the order of the Tribunal, which quashed the charges as based on no evidence, went in detail into the question as to whether the Tribunal had power to appreciate the evidence while exercising power of judicial review and held that a tribunal could not appreciate the evidence and substitute its own conclusion to that of the disciplinary

authority. It would, therefore, be clear that the Tribunal cannot embark upon appreciation of evidence to substitute its own findings of fact to that of a disciplinary/appellate authority.

This judgment has been consistently followed in various cases.

32. This Court in the case of Standard Chartered Bank vs. R.C. Srivastava reported in (2021) 19 SCC 281 has held that in the disciplinary proceedings, the tribunal cannot convert itself into court of appeal and also cannot revisit the evidence and in excess of its jurisdiction conferred by Section 11-A of the Industrial Disputes Act, 1947. Relevant Paragraphs of the Judgment are reproduced hereunder:

9. The learned counsel for the appellant submits that after the domestic enquiry was held to be fair and proper, the Tribunal has a limited scope to interfere with the findings recorded in the domestic enquiry and unless the finding is perverse and not supported by a piece of evidence, it was not open for the tribunal to interfere within the scope of Section 11-A of the Industrial Disputes Act, 1947 (hereinafter being referred to as “the 1947 Act”).

10. However, in the instant case, the Tribunal converted itself into a court of appeal and has not only revisited the evidence in toto but has proceeded on the assumption that the management has to prove the charges beyond reasonable doubt and despite the material evidence of three officers, who were abused by respondent workman in drunkenness condition, have been completely disowned on the premise that one Watchman (DW 1) and an ex-employee of the Bank (DW 2) have stated in their deposition that such incident has not occurred and to justify it, a document was placed on record i.e. the attendance register of the time in question and to confront it further with the fact that the delinquent had not appeared in the domestic enquiry and still a finding has been recorded by the Tribunal that such incidence has not occurred is something which has appeared from blue and without there being any iota of the factual foundation, the interference made by the Tribunal in the finding of guilt recorded in the course of enquiry is not only perverse but is unsustainable in law.

11. The scope of judicial review in the matter of domestic enquiry is to examine whether the procedure in holding domestic enquiry has been violated or the principles of natural justice has been complied with, or any perversity in the finding of guilt recorded during the course of domestic enquiry has been committed. The basic error which was committed by the Tribunal in its impugned award has not been appreciated even by the High Court and dismissed the writ petition without appreciating the finding recorded in the domestic enquiry keeping into consideration the principles laid down by this Court of preponderance of probabilities while holding guilt in the domestic enquiry and exceeded in its jurisdiction defined under Section 11-A of the 1947 Act. To the contrary, the officers with whom the alleged occurrence of gross misconduct has been committed have been put to notice that their allegation

on the face of it is unfounded, baseless and has not at all occurred which is something beyond imagination. More so, when it was established during the course of enquiry after affording an opportunity of hearing to the delinquent respondent, enquiry officer held the charges proved and confirmed by the disciplinary authority followed with the penalty of dismissal upon the respondent.

33. This Court in the case of State of Rajasthan and Others vs. Heem Singh reported in (2021) 12 SCC 569 on the issue of judicial review or disciplinary matters has held as under: -

37. In exercising judicial review in disciplinary matters, there are two ends of the spectrum. The first embodies a rule of restraint. The second defines when interference is permissible.

The rule of restraint constricts the ambit of judicial review. This is for a valid reason. The determination of whether a misconduct has been committed lies primarily within the domain of the disciplinary authority. The Judge does not assume the mantle of the disciplinary authority. Nor does the Judge wear the hat of an employer. Deference to a finding of fact by the disciplinary authority is a recognition of the idea that it is the employer who is responsible for the efficient conduct of their service. Disciplinary enquiries have to abide by the rules of natural justice. But they are not governed by strict rules of evidence which apply to judicial proceedings. The standard of proof is hence not the strict standard which governs a criminal trial, of proof beyond reasonable doubt, but a civil standard governed by a preponderance of probabilities. Within the rule of preponderance, there are varying approaches based on context and subject. The first end of the spectrum is founded on deference and autonomy — deference to the position of the disciplinary authority as a fact-finding authority and autonomy of the employer in maintaining discipline and efficiency of the service. At the other end of the spectrum is the principle that the court has the jurisdiction to interfere when the findings in the enquiry are based on no evidence or when they suffer from perversity. A failure to consider vital evidence is an incident of what the law regards as a perverse determination of fact. Proportionality is an entrenched feature of our jurisprudence. Service jurisprudence has recognised it for long years in allowing for the authority of the court to interfere when the finding or the penalty are disproportionate to the weight of the evidence or misconduct. Judicial craft lies in maintaining a steady sail between the banks of these two shores which have been termed as the two ends of the spectrum. Judges do not rest with a mere recitation of the hands-off mantra when they exercise judicial review. To determine whether the finding in a disciplinary enquiry is based on some evidence an initial or threshold level of scrutiny is undertaken. That is to satisfy the conscience of the court that there is some evidence to support the charge of misconduct and to guard against perversity. But this does not allow the court to reappraise evidentiary findings in a disciplinary enquiry or to substitute a view which appears to the Judge to be more appropriate. To do so would offend the first principle which has been outlined above. The ultimate guide is the exercise of robust common sense without which the Judges' craft is in vain. [Emphasis Supplied]

34. In the light of the law laid down in the above referred cases, if we analyze the Final Award passed by the Tribunal, it is apparent that the Tribunal had acted in a manner as if it was hearing an appeal against the order passed by the Disciplinary Authority. The Tribunal had failed to take into account

that it is a settled law that in the departmental proceedings strict rules of evidence, as applicable in the judicial proceedings, cannot be applied and a charge of misconduct is to be proved only on preponderance of probabilities. The Tribunal, despite recording a finding that it is highly possible that irregular entries in the bank/loan accounts were made at the insistence of the Respondent and that he was the beneficiary of those irregularities, had interfered with the punishment order passed by the Disciplinary Authority merely on the ground that the department had failed to prove that the Respondent was the author of the disputed entries. The Tribunal had even gone to the extent of observing that the opinion of the handwriting expert had not been obtained to prove the signatures of the Respondent. The Tribunal had dealt the case with a pre-

conceived notion that in the disciplinary proceeding strict rules of evidence, as applicable in a criminal case, are applicable whereas the position of law is altogether contrary to it.

35. It is also to be noticed that the Enquiry Officer as well as the Disciplinary Authority had recorded a finding that from the naked eyes, it can be ascertained that the author of the disputed entries in the bank/loan accounts is the Respondent and other documents were also altered in the handwriting of him by putting his initial. We cannot ignore the fact that the Enquiry Officer as well as the Disciplinary Authority were bank officers and they might be in practice of comparing the signature of customers with naked eyes in routine and therefore, could have gained sufficient experience in identifying the signatures of customers and their fellow employees from the perspective of “banker’s eye”.

36. This Court in the case of Indian Overseas Bank and Others vs. Om Prakash Lal Srivastava reported in (2022) 3 SCC 803 dealing with the similar situation has held as under:-

“17. We would like to emphasise at the threshold that there are certain inherent legal limitations to the scrutiny of an award of a Tribunal by the High Court while exercising jurisdiction under Article 226 of the Constitution of India. We may refer to the judgment of this Court in GE Power India Ltd. v. A. Aziz. If there is no jurisdictional error or violation of natural justice or error of law apparent on the face of the record, there is no occasion for the High Court to get into the merits of the controversy as an appellate court. That too, on the aspect of an opinion formed in respect of two sets of signatures where the inquiry was held by an officer of the Bank who came to an opinion on a bare comparison of the signatures that there is a difference in the same. It has been looked at from the perspective of a “banker’s eye”...”

37. This Court in the case of State Bank of Bikaner and Jaipur vs. Nemi Chand Nalwaya reported in (2011) 4 SCC 584 while dealing with the case wherein the Disciplinary Authority has imposed punishment of dismissal on a bank employee who was guilty of committing irregularities in the bank records, has held as under:-

7. It is now well settled that the courts will not act as an appellate court and reassess the evidence led in the domestic enquiry, nor interfere on the ground that another

view is possible on the material on record. If the enquiry has been fairly and properly held and the findings are based on evidence, the question of adequacy of the evidence or the reliable nature of the evidence will not be grounds for interfering with the findings in departmental enquiries. Therefore, courts will not interfere with findings of fact recorded in departmental enquiries, except where such findings are based on no evidence or where they are clearly perverse. The test to find out perversity is to see whether a tribunal acting reasonably could have arrived at such conclusion or finding, on the material on record. The courts will however interfere with the findings in disciplinary matters, if principles of natural justice or statutory regulations have been violated or if the order is found to be arbitrary, capricious, mala fide or based on extraneous considerations. (Vide *B.C. Chaturvedi v. Union of India*, *Union of India v. G. Ganayutham*, *Bank of India v. Degala Suryanarayana* and *High Court of Judicature at Bombay v. Shashikant S. Patil*).

8. When a court is considering whether the punishment of “termination from service” imposed upon a bank employee is shockingly excessive or disproportionate to the gravity of the proved misconduct, the loss of confidence in the employee will be an important and relevant factor. When an unknown person comes to the bank and claims to be the account-holder of a long inoperative account, and a bank employee, who does not know such person, instructs his colleague to transfer the account from “dormant” to “operative” category (contrary to the instructions regulating dormant accounts) without any kind of verification, and accepts the money withdrawal form from such person, gets a token and collects the amount on behalf of such person for the purpose of handing it over to such person, he in effect enables such unknown person to withdraw the amount contrary to the banking procedures; and ultimately, if it transpires that the person who claimed to be the account-holder was an impostor, the bank cannot be found fault with if it says that it has lost confidence in the employee concerned. A bank is justified in contending that not only the employees who are dishonest, but those who are guilty of gross negligence, are not fit to continue in its service. [Emphasis Supplied]

9. Several witnesses were examined to prove the charge. One of them was H.S. Sharma who conducted the preliminary enquiry and to whom the respondent had made a statement broadly admitting the facts which constituted the subject-matter of the second charge. I.M. Rawal, who was the cashier and I.C. Ojha, the officiating Branch Manager were also examined. Based upon their evidence, the enquiry officer found the respondent to be guilty of the second charge and that has been accepted by the disciplinary authority. The High Court has interfered with the said finding without expressly holding that the said finding of guilt was erroneous. The High Court has proceeded as if it was sitting in appeal over the departmental enquiry and interfered with the finding on a vague assumption that the respondent must have acted bona fide in an “increasing customer-friendly atmosphere”. There was no justification for the Division Bench to interfere with the finding of guilt.

10. The fact that the criminal court subsequently acquitted the respondent by giving him the benefit of doubt, will not in any way render a completed disciplinary proceeding invalid nor affect the validity of the finding of guilt or consequential punishment. The standard of proof required in criminal proceedings being different from the standard of proof required in departmental enquiries, the same charges and evidence may lead to different results in the two proceedings, that is, finding of guilt in departmental proceedings and an acquittal by giving benefit of doubt in the criminal proceedings. This is more so when the departmental proceedings are more proximate to the incident, in point of time, when compared to the criminal proceedings. The findings by the criminal court will have no effect on previously concluded domestic enquiry. An employee who allows the findings in the enquiry and the punishment by the disciplinary authority to attain finality by non-challenge, cannot after several years, challenge the decision on the ground that subsequently, the criminal court has acquitted him.

11. We are, therefore, of the view that the High Court was not justified in quashing the punishment and directing reinstatement with back wages and consequential benefits. In fact, the order of the High Court directing back wages amounts to rewarding a person who has been found guilty of a misconduct. However, having regard to the fact that the proven charge did not involve either misappropriation or fraudulent conduct and the other circumstances of the case, we are of the view that the punishment of dismissal should be substituted by compulsory retirement, which does not involve reinstatement.

38. Emphasising on the conduct of a bank employee, the three-

judge Bench of this Court in the case of 'Deputy General Manager (Appellate Authority) and Others vs. Ajai Kumar Srivastava' reported in (2021) 2 SCC 612 has held as under:-

42. Before we conclude, we need to emphasise that in banking business absolute devotion, integrity and honesty is a sine qua non for every bank employee. It requires the employee to maintain good conduct and discipline and he deals with money of the depositors and the customers and if it is not observed, the confidence of the public/depositors would be impaired. It is for this additional reason, we are of the opinion that the High Court has committed an apparent error in setting aside the order of dismissal of the respondent dated 24-7-1999 confirmed in departmental appeal by order dated 15-11-1999.

[Emphasis Supplied]

39. In the present case, the Enquiry Officer as well as the Disciplinary Authority had taken into consideration the evidence available on record and had come to the conclusion that the Respondent was found guilty on the charges levelled against him. The Appellate Authority had also revisited the evidence and concurred with the Disciplinary Authority. After careful scrutiny of the order passed by

the Disciplinary Authority as well as the Appellate Authority, it cannot be said that the said orders were based on no evidence or are perverse in the absence of cogent and reliable evidence. The Tribunal had acted as an Appellate Authority and despite concluding that it is highly possible that the irregularities as alleged in the chargesheet were committed by the manager at the insistence of the Respondent, and he was the direct beneficiary of the irregular loan sanction, had illegally interfered with the punishment order passed by the Disciplinary Authority. The Tribunal had also erred in observing that the punishment of compulsory retirement imposed upon the Respondent is too harsh and disproportionate as it may result in denial of the retirement benefit to him.

40. It is well settled that compulsory retirement of an employee from the services does not mean that the employee is not entitled to retirement benefits, which can only be denied in a case of dismissal from service. Unfortunately, the High Court without taking into consideration the settled principle of law in the matter of judicial review in the disciplinary proceedings, and while adding its irrelevant reasons, confirmed the order passed by the Tribunal.

41. In view of the above discussions, we are of the view that the impugned Order passed by the Tribunal as well as the High Court cannot be sustained and therefore, the same are set aside. The writ petition filed by the Appellant before the High Court is allowed and the order passed by the Disciplinary Authority is affirmed. However, as punishment of compulsory retirement is imposed upon the Respondent, he is entitled for gratuity and other pensionary benefits in accordance with law.

42. With these observations, the present appeal is disposed of.

43. Pending application(s), if any, shall stand disposed of.

..... J.

(J.K. MAHESHWARI) J.

(VIJAY BISHNOI) NEW DELHI, Dated: 09th SEPTEMBER, 2025

Sushil Kumar Tiwari vs Hare Ram Sah on 1 September, 2025

2025 INSC 1061

RE

IN THE SUPREME COURT OF INDIA

CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. _____/2025
(arising out of SLP(Crl.) No. 18377 of 2024)

SUSHIL KUMAR TIWARI

...APPELLANT

VERSUS

HARE RAM SAH & ORS.

...RESPONDENT(S)

JUDGMENT

SATISH CHANDRA SHARMA, J.

1. Leave granted.

2. The struggle for sensitivity towards offences against women, children and other marginalized groups passes through various phases of evolution. Whereas, the end goal is most victims find themselves pitched against a system full of insensitive stakeholders and at other times, the victims find themselves in conflict with the procedural intricacies of the laws in place. Despite the importance of procedural sanctity, it is always a matter of utter failure for the system as a whole when a culprit, that too of a heinous sexual offence, manages to walk free by entangling the victim in misapplication of procedural rules, without the knowledge of the victim and without any control of the victim. The present case presents one such illustration from a place called Piro, District Bhojpur, Bihar.

3. In 2016, a few months after the festival of Holi, the victim

- the appellant's daughter – started feeling unwell. Upon finding that her health was constantly deteriorating, the appellant's wife took their daughter to her native place in Ballia, Uttar Pradesh for treatment. There, she was taken to Zila Mahila Chikitsalaya on 01.07.2016 and upon examination,

the victim was found to be 3 months pregnant. Upon questioning, she disclosed that she was raped by the respondents, namely, Hare Ram Sah and Manish Tiwari about 3-4 months ago, sometime after the festival of Holi. On the strength of this disclosure, the appellant lodged a complaint at PS Piro, District Bhojpur, Bihar on 02.07.2016, which culminated into FIR/Criminal Case No. 209/2016. Investigation commenced and chargesheet was filed in the concerned Court.

4. After trial, Learned Additional District & Sessions Judge- cum-Special Judge, POCSO Act, Bhojpur at Ara found the Respondent Nos. 1 and 2 guilty for the commission of offences under Sections 376(2) of Indian Penal Code, 1860, and Sections 4 & 6 of Protection of Children from Sexual Offences (POCSO) Act, 2012. For the commission of the offence under Section 376 IPC, the Respondent Nos. 1 and 2 were sentenced to undergo rigorous life imprisonment along with a fine of Rs. 50,000/- each. In default of payment of fine, additional sentence of imprisonment for one year was imposed. For the commission of the offence under Section 6 of POCSO Act, the Respondent Nos. 1 and 2 were sentenced to undergo rigorous life imprisonment along with a fine of Rs. 25,000/- each. In default of payment of fine, additional sentence of imprisonment for one year was imposed. For the commission of the offence under Section 4 of POCSO Act, the Respondent Nos. 1 and 2 were sentenced to undergo rigorous imprisonment of 7 years along with a fine of Rs. 10,000/- each. In default of payment of fine, additional sentence of imprisonment for three months was imposed. The sentences were directed to run concurrently.

Hereinafter referred as “IPC” Hereinafter referred as “POCSO Act” IMPUGNED JUDGMENT

5. In appeal, the High Court examined the entire evidence on record and came to the conclusion that the prosecution did not succeed in proving the case against the Respondent Nos. 1 and 2. In doing so, the High Court primarily found the following infirmities in the prosecution case:

- i. The date and time of the alleged incident were not proved;
- ii. The determination of age of the victim was not carried out;
- iii. No proof of abortion of the victim was placed on record;
- iv. The charge was not framed properly as it recorded the date as 02.07.2016, whereas the incident was reported on 01.07.2016 and offence was committed 3-4 months prior to its reporting;
- v. The Trial Court committed an error in conducting the joint trial of the Respondent Nos. 1 and 2, despite the case not falling within the conditions stipulated in Section 223 of the Code of Criminal Procedure, 1973 for conducting joint trial. The Hereinafter referred as “Cr.P.C.” High Court observed that the trial was bad in law, as the Respondent Nos. 1 and 2 were accused of committing different offences committed at different points of time, and the joinder of trial had caused grave prejudice to them and led to miscarriage of justice.

6. The High Court emphasized that in addition to the procedural infirmities that resulted from the non-compliance of Section 223 Cr.P.C., there were major inconsistencies in the deposition of prosecution witnesses. However, it clarified that the conviction was not set aside solely due to procedural lapses. The relevant para reads thus:

“42. As per the principles laid down by the Hon’ble Supreme Court, and the two pronged test satisfies this case that the joint trial conducted has prejudiced the defence of the accused and has successfully proven to cause a miscarriage of justice. In view of the aforesaid facts and circumstances of the present case, we are of the view that the prosecution has failed to prove the case on various grounds. The conviction of the present appellants is not being set aside on the mere ground that the procedure of Section 223 of the Code has not been adhered to but there are numerous laches on the part of the prosecution in proving the case beyond reasonable doubt. The learned Trial Court has also failed to consider the fact that Section 223 was applicable in this matter, but the same has not been considered in this case and the appellants have been tried jointly, causing prejudice to the appellants, despite which, the learned Trial Court has recorded the impugned judgment of conviction and the order of sentence. As such, the same are required to be quashed and set aside.” THE CHALLENGE

7. Taking exception to the impugned judgment, Learned Counsel on behalf of the appellant submits that the High Court fell in a grave error in concluding that prejudice was caused to the Respondent Nos. 1 and 2 due to non-compliance of Section 223 Cr.P.C. He submits that the ground qua non-compliance of Section 223 was never taken by the Respondent Nos. 1 and 2 and the High Court examined the same on its own. To buttress the submission, it is submitted that even if Section 223 was not complied, it did not cause any prejudice to the Respondent Nos. 1 and 2 and they had sufficient opportunity to participate and defend themselves during the trial.

8. It is further submitted that the age of the victim was established to be under 18 years without any doubt, on the strength of the school transfer certificate, statement of the victim under Section 164 Cr.P.C. and the medical report dated 01.07.2016. It is further submitted that there was no reason to doubt the testimony of the victim and in a case of this nature, the testimony of the victim could form the sole basis of conviction.

It is further submitted that the aspects of pregnancy and abortion were duly proved in the case on the basis of the medical reports and abortion papers.

9. It is further submitted that there was no enmity between the victim and the Respondent Nos. 1 and 2 and thus, there was no motive to implicate the Respondent Nos. 1 and 2. It is further submitted that even if the High Court had found any procedural irregularity, it ought to have remanded the matter back for fresh adjudication instead of acquitting the Respondent Nos. 1 and 2. To buttress, it is submitted that the impugned decision completely disregarded the rights of the victim.

10. Per contra, the respondents advanced submissions in support of the impugned decision. On their behalf, it is submitted that the investigation was carried out in a completely casual and negligent manner and the same cause prejudice to the Respondent Nos. 1 and 2. The submissions draw attention to the aspects of age determination, absence of proof of pregnancy and abortion, lack of investigation qua the date, time and place of the incidents, etc. It is further submitted that the charges framed by the Trial Court were defective and the entire trial was conducted on the basis of defective charges, thereby disentitling the Respondent Nos. 1 and 2 from a fair participation.

11. It is further submitted that the Trial Court conducted a joint trial of the Respondent Nos. 1 and 2 in utter violation of Section 223 Cr.P.C. and without fulfilment of the conditions contemplated thereunder. It is further submitted that even at the stage of Section 313 Cr.P.C., the incriminating evidence was not put properly to the Respondent Nos. 1 and 2 and consequently, the Respondent Nos. 1 and 2 were prevented from explaining the evidence against them in a proper manner. Further, it is submitted that the version of the prosecution witnesses, especially that of the victim, was not consistent and the Trial Court committed an error in placing reliance upon their testimonies. It is further submitted that the defence witnesses presented a valid defence and the same ought to have been considered.

12. Both the parties have filed written submissions and compilation of judgments in support of their case. We have considered the same.

DISCUSSION

13. We have carefully considered the contentions advanced by the parties, impugned judgment, judgment of the Trial Court and the decisions relied upon by the parties. In light of the controversy involved in the matter, the following two issues arise for our consideration:

i. Whether the High Court fell in a grave error in acquitting the Respondent Nos. 1 and 2 by holding that the prosecution failed to discharge its evidentiary burden as the evidence led by the prosecution was full of inconsistencies and contradictions?

ii. Whether the High Court erred in its finding that the trial was carried out in violation of Section 223 Cr.P.C. and non-adherence to the same had caused prejudice to the Respondent Nos. 1 and 2, thereby leading to miscarriage of justice?

14. We may first consider the issue regarding inconsistencies and contradictions in the prosecution evidence, which would require some degree of examination of the evidence on record. At the outset, it needs to be noted that the High Court has outlined a few specific issues in the case i.e. victim's age, date and time of the incident, proof of pregnancy and abortion, and delay in lodging the FIR.

15. Before appreciation of evidence led on these aspects, we may first traverse through the testimony of the victim, examined before the Trial Court as PW-2, in order to understand the precise allegations. After the discovery of pregnancy, PW-2 deposed that the incident took place in 2016, a few days after the festival of Holi. She deposed that one afternoon, her mother and father were not

at home and she was sleeping alone in the house. Respondent No. 2 Manish Tiwari entered the house and raped her, and before leaving, he threatened her saying that should she tell anyone about it, she would be killed. Two or three days after this incident, the victim went near Shivala in the evening hours to look for her brother Himanshu. On the way, she passed respondent No. 1 Hare Ram Sah's room and inquired if he had seen her brother. The said respondent pointed towards an inner room (used as coaching center) and suggested to the victim that her brother had gone in that direction. She went to check inside the room and found no one there. At the same time, Hare Ram Sah came from behind and grabbed her. She deposed that he took her inside and raped her. He also threatened her by saying that should she tell anyone about it, she would be killed. The victim further deposed that she got scared and told no one about it. The story does not end here. She further deposed that after this incident, for two-three successive months, the Respondent Nos. 1 and 2 took turns and raped her multiple times. Thereafter, she fell sick and started experiencing stomach pain and vomiting. She informed her mother and her mother firstly took her to a doctor in Ara. Despite administration of medicines, her health did not improve. Thereafter, the victim was taken to her maternal uncle's house in Ballia, Uttar Pradesh, where an ultrasound was conducted and the pregnancy was discovered. It is noteworthy that the statement of the victim recorded by the police, statement recorded by the concerned Magistrate under Section 164 Cr.P.C. and the deposition recorded in the Court, are fairly consistent. There appears to be no variance insofar as the material aspects of the offence are concerned.

16. As regards the first issue concerning the age of the victim, it is quite understandable that for an offence under the POCSO Act, the victim must be aged under 18 years. In order to prove so, the prosecution has relied upon both oral and documentary evidence. The oral testimony of the mother of the victim, examined before the Trial Court as PW-3, reveals that the victim was 12 years old at the time of incident. Further, the statement of victim under Section 164 Cr.P.C. also bears an endorsement regarding her age. The concerned ACJM, examined as PW-4, has recorded her age as 13 years. The father of the victim, examined as PW-5, has deposed that the victim's age at the time of incident was 12 years. Insofar as the documentary evidence is concerned, the Transfer Certificate (Annexure P-10) issued by the government school attended by the victim records her date of birth as 03.10.2004, thereby meaning that during the concerned time-frame of the year 2016, the victim was around 12 years old. The medical report dated 01.07.2016 (Annexure P-1) is also relevant on this aspect. The said medical report pertains to the ultrasound examination of the victim and records her age as 15 years.

17. It cannot be denied that there are slight variations in the age of the victim at the relevant point of time, as discernible from the oral and documentary evidence. However, we do not find ourselves in agreement with the High Court that the age was not proved during trial. The oral testimonies of PW-3, PW-5 and PW- 6 are consistent inter-se as well as with the Transfer Certificate issued by the government school. The age of the victim appears to be within the range of 12-13 years at the relevant point of time. The medical report records the age as 15 years. However, we cannot lose sight of the fact that the age of the victim was not challenged during cross-examination of any of the witnesses mentioned above. Their testimonies, on the point of age, have largely remained un rebutted, thereby meaning that the Respondent Nos. 1 and 2 had no claim that she was not a minor at the relevant point. We do not mean to say in cases involving POCSO Act or Juvenile Justice

(Care & Protection) Act, 2015, the determination of age is not required. Most certainly, the determination of minority is essential to extend the protection of these legislations, however, as long as the age conclusively appears to be under 18 years, the special protections carved out in favour of children cannot be diluted by insisting upon a rigid determination of the age, that too when it was not even questioned at the right time. In the present case, even if it is believed that the age of the victim was not determined to the hilt, the Trial Court had concluded that the victim was aged between 12 to 15 years at the relevant point of time and thus, was a minor. Thus, it could not be stated that the Trial Court had not determined the minority of the victim. It was done and, in our opinion, rightly so, on the basis of the unrebutted oral and documentary evidence.

18. Interestingly, the Respondent Nos. 1 and 2 neither claimed that the victim was not a minor at any point of time nor led any evidence to that effect. We find that the High Court has erred in raising a doubt where none existed, even inter-se the parties to the case. We are also of the opinion that once the minority of the victim was beyond doubt, the special protection of POCSO Act ought not to have been diluted by raising a fictitious doubt regarding the precise age of the victim. For, the Courts must remain alive to the socio-economic circumstances of the victims, especially those who are based in remoter regions of the country. In rural regions, discrepancies in the educational and identification documents are not unknown and, in such circumstances, the Courts must be sensitive to the ground realities of the society, so as to ensure that the intent of the law is not suppressed and protections created by the legislature reach the intended persons in their right spirit.

19. As regards the issue regarding date and time of the incident, the High Court has observed that the prosecution had failed to prove the date and time of the offence. In order to examine this aspect, we must appreciate the circumstances in which the offence was committed and discovered. The main witness pertaining to the commission of the offence is the victim herself, examined as PW-2. She has expressed the entire chain in a consistent manner and her version is also consistent with other PWs. She has deposed that the offence took place in the days following the festival of Holi and the same is corroborated by the medical report dated 01.07.2016, which indicates that she was 3- 4 months pregnant as on 01.07.2016. The medical report corroborates the time frame stated by the victim. Further, as regards the time, the victim has deposed that the first incident took place during the afternoon and the second incident took place in the evening. Importantly, it is not a case wherein the victim reported the offence immediately after its commission. The victim was scared to report the incident to anyone as she was threatened by the Respondent Nos. 1 and 2 and probably, if not for the pregnancy and deterioration of health, she would not have reported either. Therefore, the inability of the victim, a minor girl, to recollect the precise time and date of the offence is completely natural. Furthermore, the victim has specified the places used for the commission of the alleged offence, including her house and coaching center of Respondent No. 1-Hare Ram Sah, and has also correctly identified both the respondent Nos. 1 and 2. during trial. Therefore, the victim has deposed in a completely natural manner and her inability to depose about some facts in precise terms is not only natural, but is also inconsequential as the medical report has corroborated the time-frame of the offence. The testimony of the victim is fairly consistent and there is no reasonable ground to doubt the same. Moreover, this deficiency has not caused any prejudice to the Respondent Nos. 1 and 2.

20. As regards the proof of pregnancy and abortion, we find that the High Court has fell in a grave error by failing to acknowledge the evidence on record. The medical report dated 01.07.2016 categorically indicates that at the time of ultrasound, the victim was 15 weeks pregnant. In the subsequent examination conducted on 02.07.2016 at Ara, the victim was again found to be 16 weeks pregnant and in support of the same, PW-7 has deposed before the Trial Court. No infirmity has been pointed out in the examination of PW-7. The factum of abortion has been proved on the basis of the medical documents/Discharge Ticket dated 30.07.2016 issued by Sadar Hospital, Ara. Further, the Trial Court has noted that the letter dated 28.07.2016 bearing Letter No. 60/BSLSA/AccT/2472 issued by the Bihar State Legal Services Authority indicated that the victim's father had sought permission for her abortion. The said letter is Annexure P-4 and it aligns with the observation of the Trial Court. It is also averred that abortion was conducted after the constitution of medical board by the Executive Chairman, BSLSA, Patna High Court, a fact which has not been disputed. Thus, it appears preposterous to hold that the prosecution could not prove the elements of pregnancy and abortion. There is ample documentary and oral evidence to prove these elements and we feel that the High Court has overlooked relevant evidence in arriving at its finding. This fact was duly proved in the common course of natural events, but the natural events were overlooked.

21. As regards the delay in lodging the FIR, we feel that the same has been appropriately explained. The incident came to light only after the ultrasound conducted on 01.07.2016 and the FIR was lodged on the very next day. Before the discovery of offence, the delay of 3-4 months was a consequence of the intimidation made by the Respondent Nos. 1 and 2, which prevented the victim from opening up before her parents. It is completely natural and understandable. We do not find that the victim could be faulted in any manner on account of delay.

22. On an examination of the concerns, which formed the basis of the impugned decision, we are of the view that undue emphasis has been laid on these aspects by the High Court. One of the foremost principles of appreciation of evidence is that natural variations, errors and inconsistencies are not to be elevated to the standard of a reasonable doubt or to hold that the prosecution has failed. There is nothing like perfect evidence in a Court and in fact, perfection is often suggestive of tutoring and manufacturing of evidence. The availability of evidence as well as the quality of evidence are not open to judgment on any pre-determined parameters. For, these aspects not only depend upon the quality of investigation but also upon the societal circumstances prevalent in the area of crime. They also depend upon the level of awareness, not only of the persons involved in the case but also of the members of the locality who often appear as witnesses. Therefore, the Courts must be alive to the state of affairs on the ground and in that backdrop, it must examine whether the inconsistencies and gaps have been properly explained or not. If so, such inconsistencies and gaps may not affect the case of the prosecution. However, if the prosecution fails to explain the inconsistencies in its case, an adverse inference may be drawn against it.

23. Be that as it may, the present case does not fall in such category, as the prosecution witnesses have invariably deposed in support of the version put across by the victim. The medical reports and other documentary evidence have corroborated the oral statement of the victim. Moreover, the oral statement of the victim has remained fairly consistent at all levels of the proceeding, including before the Magistrate who recorded her statement under Section 164 Cr.P.C. and the Trial Court

where she was subjected to cross examination. The version of the victim has remained completely natural and consistent with the chain of circumstances of the case. Despite cross-examination, there is nothing to suggest that she is not creditworthy as a witness.

24. Having said so, we do agree that better investigation could have been conducted in the present matter on certain aspects. For instance, the accused persons ought to have been tested for DNA analysis as it could have enabled more fool-proofing of the prosecution's case. This argument has been taken by the Respondent Nos. 1 and 2 in the written submissions and reliance has been placed upon the decision of this Court in *Krishan Kumar Malik v. State of Haryana*⁴. We have carefully considered this aspect and are of the opinion that despite this error, the case of the Respondent Nos. 1 and 2 cannot be advanced as it does not give rise to any reasonable doubt. It is so because the factual matrix of the present case is substantially distinct from that in *Krishan Kumar Malik*. In the said case, the version of the prosecutrix was found to be doubtful as she had failed to disclose the name of the accused in the FIR, despite admitting that she knew his name. She had also failed to explain (2011) 7 SCC 130 the identity of the accused in an accurate manner and in fact, stated that the accused was a short-structured person, which was found to be contrary to his appearance. The prosecutrix had also concealed and falsely presented certain material aspects of the case. Thus, in this backdrop, the Court had observed that the prosecution had failed to prove the identity of the accused therein and DNA test ought to have been carried out to obtain scientific evidence of identification. However, in the present case, the victim has correctly named and identified both the Respondent Nos. 1 and 2 right from the beginning of the case. In the Trial Court as well, she had correctly identified them and no doubt qua identity was raised at that stage. On the point of identity, the victim has not even been rebutted at any stage. The Respondent Nos. 1 and 2 have not shown any circumstance which could enable this Court to raise a question on the identification of the Respondent Nos. 1 and 2 by the victim. Perhaps, there is none. Therefore, merely on account of non-availability of DNA analysis, the case of the prosecution cannot be discarded, especially because the purpose of identification has been fulfilled on the strength of other credible evidence. The reliance placed on *Krishan Kumar Malik* (supra) is, thus, wholly misplaced.

25. Another important aspect that has weighed with the High Court is the manner of framing of charge by the Trial Court. On this aspect, the High Court has noted thus:

“25. The Code lays down various provisions with regard to the framing of charges against an accused. On perusal of charge sheet dated 06.12.2017, it is mentioned that the date of occurrence of the incident was on 02.07.2016, but the ferdbeyan dated 02.07.2016, states that the daughter of the informant was pregnant for three months and few days as according to the treatment of the victim which was done on 01.07.2016.

Further, on perusal of the F.I.R and case diary, the statement of the victim which is in para-3 of the case diary dated 02.07.2016, she has stated that the first incident, where Manish Tiwary (appellant no. 2) raped her three to four months back during the time of Holi and after a few days, the victim stated that Hare Ram Sah (appellant no.

1) raped her while she was searching for her brother. It is factually impossible that the incident was reported on 01.07.2016 and the charge was framed for the occurrence of incident dated 02.07.2016, but the ferdbeyan and the statement of the victim itself states that the incident had occurred three to four months before the F.I.R was filed.

26. Thus, it is clear to us that the charges framed are not in accordance with law and, thus, causing prejudice to the accused persons / appellants as mentioned in the trial court record. The framing of charge is the most basic step of the process of initiation of a trial in a criminal proceeding. Utmost care must be taken while the charges are being framed as wrong framing may lead to denial of justice. Therefore, one should abstain from wrongful framing and joinder of charges as such an inefficiency would vitiate the very basic essence of a fair trial.”

26. A perusal of the charge framed by the Trial Court in this matter reveals that the charge stated to the Respondent Nos. 1 and 2 pertained to the commission of offences “on or about the 2nd day of July 2016”. It is an admitted position that the date of offence was a few days after the festival of Holi and 3-4 months prior to the date of discovery of the offence i.e. 01.07.2016. In fact, 2nd July, 2016 was the date of registration of FIR and the same has been put to the Respondent Nos. 1 and 2 as the date of commission of the offences. We have no doubt in observing that the charge stated to the Respondent Nos. 1 and 2 was not free from defects. Even if the exact date of commission of the offence was not known, the charge ought to have stated that the offences was committed before 2nd July 2016 and a few days after the festival of Holi, so as to correctly state the time frame. The Trial Court clearly fell in error in not doing so. However, the consequence of error or defect in charge is to be determined in a nuanced manner. Section 464 Cr.P.C. is of instructive value in this regard and it provides that no finding, sentence or order of any Court shall be deemed invalid merely on account of any error, omission or irregularity in the framing of charge, unless the same has occasioned any failure of justice. Sub-section (1) of Section 464 Cr.P.C. reads thus:

“464. Effect of omission to frame, or absence of, or error in, charge.— (1) No finding, sentence or order by a Court of competent jurisdiction shall be deemed invalid merely on the ground that no charge was framed or on the ground of any error, omission or irregularity in the charge including any misjoinder of charges, unless, in the opinion of the Court of appeal, confirmation or revision, a failure of justice has in fact been occasioned thereby.” Thus, mere discovery of an error, irregularity or omission in the framing of charge does not ipso facto render the decision of the Court as invalid. In fact, even a case of non-framing of charge is not liable to be discarded on that ground alone. In order to vitiate the decision, what is necessary is the failure of justice as a result of such error or omission or irregularity. Thus, the quintessential issue that requires an answer is whether the defect in the framing of charge in the instant matter has occasioned a failure of justice for the Respondent Nos. 1 and 2. In other words, has it prevented the Respondent Nos. 1 and 2 from having a fair trial or has denied them any opportunity to present a valid defence before the Trial Court? We feel not.

27. Ordinarily, in a criminal trial, the stage of charge is sandwiched between the stages of investigation and trial. It is the gateway to trial and prior to this stage, the stages of registration of FIR, filing of chargesheet and arguments on charge occur.

During all these stages, the accused has a right to be informed, and is informed, about the allegations against him and the chargesheet finally culminates the entire case of the prosecution and makes it clearly known to the accused persons the colour and content of the allegations. Thus, on receipt of the chargesheet, the Respondent Nos. 1 and 2 were conscious of the allegations. Merely for non-statement of the correct date in the formal charge, it could not be said that the accused persons have been robbed of a fair trial or that failure of justice has been occasioned. Throughout the trial, there was no confusion regarding the date or time frame of the commission of the offence. Had there been so, the error in charge could have been suitably corrected under Section 216 Cr.P.C. However, the error in question did not have the effect of misleading the Respondent Nos. 1 and 2 in any manner during the trial. Section 215 Cr.P.C., which finds place in the chapter of “Charge” and deals with the effect of errors, also provides that no error in the framing of charge shall be regarded as material, unless it has the effect of misleading the accused and results into failure of justice. In this matter, there is no explanation as to how the Respondent Nos. 1 and 2 were misled by the charge or had suffered any failure of justice. During their statements under Section 313 Cr.P.C. and defence evidence as well, the allegations were fully addressed by the Respondent Nos. 1 and 2 without any confusion with respect to the time-frame of offence. The time frame alleged by the victim was well known to the Respondent Nos. 1 and 2 and there was no occasion for any confusion on that count, let aside any failure of justice. The decision relied upon by the Respondent Nos. 1 and 2, rendered by this Court in *Soundarajan v. State (Represented by the Inspector of Police, Vigilance Anti-Corruption, Dindigul)*⁵, is of no consequence in the present matter. Ironically, in the said decision, the contention regarding failure of justice due to defective framing of charge was turned down by the Court. Despite finding that non-statement of correct date in the charge had rendered the charge as defective, the Court went on to hold that it had not occasioned any failure of justice.

28. Nevertheless, we consider it a fit matter to call upon the Trial Courts to be vigilant and cautious in framing of charges. The prosecutors representing the State are also duty bound to render suitable assistance during the trial and to remain vigilant in identifying the errors in statement of charges. For, timely intervention is always better in a trial and the criminal procedure provides ample provisions for rectifying the mistakes in framing of charges during the trial itself. The identification of such (2023) 16 SCC 141 mistakes at appellate stages, which could have easily been spotted and corrected during the trial, does not only affect the finality of cases but also affects the credibility of the criminal justice system as a whole. The Trial Court does the job of raising the building from the scratch, brick by brick. In the performance of this onerous task, some mistakes are quite natural. While finding defects in the building, the Appellate Court must carefully weigh the mistakes and analyze their consequence on the outcome of the trial. We may suffice to observe that not every mistake is fatal.

29. As an extension of the same discussion, we must also refer to the next ground of contention i.e. non-compliance of Section 223 Cr.P.C. The High Court has observed that the joinder of trial of both the Respondent Nos. 1 and 2 was impermissible and consequently, the Respondent Nos. 1 and 2

have been prejudiced before the Trial Court. Ordinarily, distinct offences committed by different persons are to be tried separately. The principle becomes clear from a reading of Section 218 Cr.P.C. However, from Sections 219 to 223 of Cr.P.C., various situations are envisaged wherein multiple offences committed by the same person could be tried together or different offences committed by different persons could be tried together. Whereas, a joint trial of different offences committed by the same person is contingent upon the fulfilment of the conditions envisaged in Sections 219 to 221; a joint trial of different offences committed by different persons is solely governed by Section 223. In the present case, we are concerned with the second scenario.

30. Section 223 lays down various conditions wherein different persons who have committed different offences could be charged and tried jointly. Amongst other things, it provides that the persons alleged of committing different offences, but as a part of the same transaction, could be charged and tried jointly. It is contended that the offences alleged upon the Respondent Nos. 1 and 2 pertained to two completely independent acts and thus, they could not be considered to have formed part of the same transaction. It has also been contended that there was no allegation qua commission of any offence jointly by the Respondent Nos. 1 and 2. It is stated that the incidents took place at different points of time and there was no unity between them. The High Court has accepted this factual position. The statement of the victim reveals that allegations pertain to two specific instances of rape along with a general allegation that for 2-3 months, the Respondent Nos. 1 and 2 continued to rape her. However, we cannot lose sight of the fact that there is no direct allegation that the offences were committed together by the Respondent Nos. 1 and 2 and on a plain view of the matter, it is not a case wherein the principles of common intention under Section 34 of IPC or conspiracy would be attracted. The only question is whether the offences committed by the Respondent Nos. 1 and 2 formed part of the same transaction, so as to attract clause (d) of Section 223 Cr.P.C., which permits joint trial of persons accused of different offences committed in the course of the same transaction.

31. In criminal law, the question whether certain acts and omissions form part of the same transaction often troubles the Courts. There is no definition of “same transaction” in the Code and more often than not, this determination is contingent upon the peculiar facts and circumstances of the case. To make it judicially determinable, we have often applied the three tests of “unity of purpose and design”, “proximity of time or place” and “continuity of action”. Reference may be drawn to the decision of this Court in *State of Andhra Pradesh Vs. Cheemalapati Ganeswara Rao and another*⁶. Let us have a look at some admitted facts. The victim and the Respondent Nos. 1 and 2 were residing in the same village, the house of respondent No. 2- Manish Tiwari was situated one house away from that of the victim, respondent No. 2-Manish had taken the victim’s father to hospital a few days prior to the incident, respondent No. 1-Hare Ram Sah was running a coaching center adjacent to his house and in the same vicinity, and both the respondents threatened the AIR 1963 SC 1850 victim of similar consequences if she dared to disclose their acts to anyone. Evidently, the nature of acts committed by the Respondent Nos. 1 and 2 herein and subsequent intimidation to keep the victim silent were of a similar design. Further, there was a certain proximity of time and place as the incidents were committed within a continuous time-frame and at different places in the same village. However, it is also admitted that they never committed the acts together and always acted separately. Therefore, there is no direct evidence of commission of offences in the same

transaction, however, an inference may be drawn. Be that as it may, we need not render a finding on this aspect and we are not inclined to disturb the factual finding of the High Court. For, even if the conclusion of the High Court, that the joint trial was conducted in violation of Section 223 Cr.P.C., is accepted, the Respondent Nos. 1 and 2 would still have to further show that the joint trial had caused prejudice to them and had occasioned a failure of justice. Mere irregular conduct of a joint or separate trial does not vitiate the trial as a whole and the proof of failure of justice is sine qua non for holding the trial as invalid.

32. The legal position on Section 223 could not be termed as *res integra*, especially in light of the pronouncement in *Nasib Singh v. State of Punjab* and another⁷, also relied upon by the High Court. The relevant extract of the decision reads thus:

“51. From the decisions of this Court on joint trial and separate trials, the following principles can be formulated:

51.1 Section 218 provides that separate trials shall be conducted for distinct offences alleged to be committed by a person. Sections 219 - 221 provide exceptions to this general rule. If a person falls under these exceptions, then a joint trial for the offences which a person is charged with may be conducted. Similarly, under Section 223, a joint trial may be held for persons charged with different offences if any of the clauses in the provision are separately or on a combination satisfied;

51.2 While applying the principles enunciated in Sections 218 - 223 on conducting joint and separate trials, the trial court should apply a two-pronged test, namely, (i) whether conducting a joint/separate trial will prejudice the defence of the accused; and/or (ii) whether conducting a joint/separate trial would cause judicial delay.

51.3 The possibility of conducting a joint trial will have to be determined at the beginning of the trial and not after the trial based on the result of the trial. The Appellate Court may determine the validity of the argument that there ought to have been a separate/joint trial only based on whether 2021 INSC 642 the trial had prejudiced the right of accused or the prosecutrix;

51.4 Since the provisions which engraft an exception use the phrase ‘may’ with reference to conducting a joint trial, a separate trial is usually not contrary to law even if a joint trial could be conducted, unless proven to cause a miscarriage of justice; and 51.5 A conviction or acquittal of the accused cannot be set aside on the mere ground that there was a possibility of a joint or a separate trial. To set aside the order of conviction or acquittal, it must be proved that the rights of the parties were prejudiced because of the joint or separate trial, as the case may be.” (emphasis supplied)

33. On a reading of the provision as well as the exposition reproduced above, it is discernible that when a ground of non-joinder or misjoinder of charges/trial is taken before an Appellate Court, the

test to be applied is whether such non-joinder or misjoinder has resulted into a failure or miscarriage of justice and has prejudiced the accused. It is not enough for the Appellate Court to merely hold that the Trial Court ought to have tried certain persons jointly or separately in the facts and circumstances of the case. That is where the High Court has clearly fell in error in the present case.

34. In its appellate capacity, the High Court was required to address two aspects – first, whether the Respondent Nos. 1 and 2 ought to have been tried separately and second, whether the misjoinder of trials had caused prejudice to the Respondent Nos. 1 and 2 and resulted in failure of justice. We are afraid, the High Court restricted itself to the first aspect and did not deal with the second aspect in the manner required by law. On the first aspect, as already expressed above, we refrain from disturbing the factual finding rendered by the High Court that the offences were not committed in the same transaction. We feel that both views appear to be possible on that aspect and therefore, we do not consider it necessary to disturb the finding. On the second aspect, which is more important, the observation of the High Court reads thus:

“33. Considering the above provision of the Code, the present case of the appellants is nowhere applicable for joint trial and learned trial Court has convicted both the accused persons through a joint trial. For a joint trial to be conducted for two persons committing an offence at different place and at different time, the trial Court shall mention this on record or an application should be moved for conducting a joint trial, and the learned Trial Court shall apply a judicial mind while considering the matter, and the Judicial Officer while performing the duties shall make sure that the procedure prescribed in the Code is followed and no prejudice be caused to any person. But, in the present case, on perusal of the entire record, no such application or mention of conducting joint trial has been brought on record. This causes a great prejudice on the accused persons as the victim herself states in para-30 of her deposition that both the appellants raped her at different time at different places and they never raped her together ...” (emphasis supplied)

35. It could be seen that the sole basis of the High Court’s reasoning in arriving at a finding of prejudice in the impugned decision is that a joint trial was not permissible. The finding is unsustainable and in fact, there is no finding of actual prejudice or failure of justice as a result of the joint trial, as necessitated by law. As noted above, the High Court ought to have analyzed the facts of the case to return a finding of actual prejudice. Mere non-

compliance of the procedure contemplated under Section 223 does not ipso facto render the trial as invalid, and the same cannot form the basis of returning a finding of prejudice and failure of justice. The said conclusion must emanate from the facts of the case, after a thorough examination of the facts and evidence on record. It is not a case wherein the joint trial precluded the Respondent Nos. 1 and 2 from presenting a valid defence. It is also not a case wherein separate evidence of the prosecution witnesses could have made any difference to the end result. There is no explanation as to how separate trials could have made any difference to the outcome of the case, except causing

harassment to the victim by compelling her to face her offenders twice in the witness box for explaining the same version. Thus, we are of the considered view that the joint trial of the Respondent Nos. 1 and 2 did not cause any prejudice to them and no case for failure of justice, on account of the said irregularity, appears to be made out.

36. Before closing, we deem it fit to observe that noticeably, the principle of beyond reasonable doubt has been misunderstood to mean any and every doubt in the case of the prosecution. Often, we come across cases wherein loose acquittals are recorded on the basis of minor inconsistencies, contradictions and deficiencies, by elevating them to the standard of reasonable doubts. A reasonable doubt is one that renders the version of the prosecution as improbable, and leads the Court to believe in the existence and probability of an alternate version of the facts. It is a serious doubt which must be backed by reason. The underlying foundation of the principle of beyond reasonable doubt is that no innocent should face punishment for a crime that he has not done. But a flipside of the same, of which we are conscious, is that at times, owing to a mis-application of this principle, actual culprits manage to find their way out of the clutches of law. Such misapplication of this principle, resulting into culprits walking free by taking benefit of doubt, is equally dangerous for the society. Every instance of acquittal of an actual culprit revolt against the sense of security of the society and acts as a blot on the criminal justice system. Therefore, not only should no innocent face punishment for something that he has not done, but equally, no culprit should manage an acquittal on the basis of unreasonable doubts and misapplication of procedure.

37. In the present case, a fairly consistent and creditworthy case of the prosecution has been discarded on what could only be termed as misapplication of procedure. It takes us back to the first principle that procedure is not supposed to control justice.

38. In view of the foregoing discussion, we are of the considered view that the impugned judgment is liable to be set aside being unsustainable. The view taken by the Trial Court was correct and we find no infirmity in the same. The judgment of the Trial Court stands restored, both on conviction and sentence.

39. The Respondent Nos. 1 and 2 shall surrender before the trial court within a period of two weeks from today. In case the Respondent Nos. 1 and 2 do not surrender within the stipulated time, the trial court shall take appropriate recourse to take them into custody for serving the remaining part of sentence. Registry is directed to suitably communicate this judgment to ensure due compliance.

40. The captioned appeal stands disposed of in the aforesaid terms. Interim application(s), if any, shall also stand disposed of.

.....J. [SANJAY KUMAR]J. [SATISH CHANDRA
SHARMA] NEW DELHI SEPTEMBER 01, 2025

Shree Nagani Silk Mills Pvt. Ltd vs L.D Industries Ltd on 2 September, 2025

2025 INSC 1064

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION
CRIMINAL APPEAL NO. 3821 OF 2025
(Arising out of SLP (Crl.) No.1550/2024)

SHREE NAGANI SILK MILLS PVT. LTD....APPELLANT(S)

VERSUS

L.D. INDUSTRIES LTD. & ORS.

...RESPONDENT(S)

WITH
CRIMINAL APPEAL NO. 3822 OF 2025
(@ SLP (Crl.) No.1551/2024)

CRIMINAL APPEAL NO. 3823 OF 2025
(@ SLP (Crl.) No.1552/2024)

CRIMINAL APPEAL NO. 3824 OF 2025
(@ SLP (Crl.) No.1553/2024)

CRIMINAL APPEAL NO. 3825 OF 2025
(@ SLP (Crl.) No.530/2024)

Signature Not Verified

Digitally signed by
babita pandey
Date: 2025.09.02

15:47:47 IST

CRIMINAL APPEAL NO. 3826 OF 2025

(@ SLP (Crl.) No.1554/2024)

Reason:

CRIMINAL APPEAL NO. 3827 OF 2025
(@ SLP (Crl.) No.1555/2024)

JUDGMENT

MANOJ MISRA, J.

1. Leave granted.

2. These seven appeals arise from identical judgment(s) and order(s) of the High Court of Judicature at Bombay (for short the High Court), dated 5.10.2023, passed on separate petitions, under Article 227 of the Constitution of India, impugning revisional court order(s) emanating from separate complaint(s) filed by the appellant against the respondent(s) under Section 138 of the Negotiable Instruments Act, 1881. As common questions of law and fact arise for our consideration, between same set of parties, these appeals were heard together and are being decided by a common order.

Factual matrix

3. Appellant is the original complainant who had lodged separate complaints, under Section 138 read with Section 141 of N.I. Act, against L.D. Textile Industries (for short the accused company – first respondent) and four others (other respondents) in N.I. Act respect of dishonour of cheques issued by the accused company. Details of those cheques with reference to corresponding SLP (Crl.) No. and complaint number(s) are given in the table below:

Special Complaint Cheque Cheque No. Cheque Leave No. Date Amount (In Petition
Rs.) No. SLP 1164/5/2001 25.04.2001 Cheque No. Rs.

(CRL) No. 1550 of 2024 SLP	1162/5/2001	25.04.2001	Cheque No. 948365	Rs. 20,00,000/-
(CRL) No. 1551 of 2024		25.04.2001	Cheque No. 948367	Rs. 20,00,000/-
		25.04.2001	Cheque No. 948368	Rs. 20,00,000/-
		20.04.2001	Cheque No. 948369	Rs. 20,00,000/-
SLP (CRL) No. 1552 of 2024	1167/5/2001	25.04.2001	Cheque No. 948363	Rs. 20,00,000/-
SLP (CRL) No. 1553 of 2024	1168/5/2001	25.04.2001	Cheque No. 948362	Rs. 20,00,000/-
SLP	1163/5/2001	25.04.2001	Cheque No.	Rs.

(CRL)			948364	20,00,000/-
of 2024				
SLP	1166/5/2001	25.04.2001	Cheque No.	Rs.
(CRL)			948361	20,00,000/-
No. 1554				
of 2024				
SLP	1165/2001	25.04.2001	Cheque No.	Rs.
(CRL)			948366	20,00,000/-
No. 1555		25.04.2001		
of 2024			Cheque No.	Rs.
			948388	1,61,646/-

4. Allegations in each complaint, inter alia, are:

(a) that the accused company, towards part payment for supplies made by the complainant, issued cheque(s) in favour of the complainant; (b) those cheque(s) were deposited for collection but they returned for “insufficient funds” in the drawer’s account; (c) complainant thereafter served notice on all the accused calling upon them to pay to the complainant the cheque amount; (d) despite service of notice, the amount was not paid; and (e) therefore, the accused company including respondents 2 to 5, who were in-charge of and responsible for day-to-day business affairs of the accused company, are liable to be punished for offence punishable under Section 138 read with Section 141 of N.I. Act.

5. Based on the complaint and the affidavit filed in support thereof, the accused were summoned by Magistrate concerned.

6. On being summoned, the accused applied to the learned Magistrate to recall the processes issued against them and prayed that proceedings against them be dropped and they be discharged. In their application, it was claimed that the accused company was not only declared ‘SICK’ by the Board of Industrial and Financial Reconstruction² under the BIFR provisions of Sick Industrial Companies (Special Provisions) Act, 1985³ but it was restrained from disposing of any of its assets without the consent of BIFR. In such circumstances, when a legal embargo was imposed on disposal of its assets, it could not have responded to the demand notice. Therefore, proceedings qua them, under Section 138 of N.I. Act, were not sustainable. In support of its plea, the accused relied on a decision of this Court in M/s. Kusum Ingots & Alloys Ltd. vs. M/s. Pennar Peterson Securities Ltd. and others⁴.

7. The learned Magistrate dismissed the application seeking recall of the processes. Against which, the accused filed a revision before the Court of Session. The revisional court allowed the revision and set aside the order of the learned Magistrate thereby discharging the accused of offences punishable under Section 138 read with Sections 141 and 142 of N.I. Act. Aggrieved by orders of the

revisional court, appellant filed Criminal Writ Petition Nos.767, 768, 769, 770, 776, 777 and 779 of 2005 before the High Court of Judicature at Bombay, which came to be dismissed by impugned order(s) dated 5.10.2023.

SICA (2000) 2 SCC 745

8. Aggrieved therewith, these appeals have been filed.

9. We have heard Sri Ninad Laud for the appellants and Sri Rishi Bhuta for the respondents.

Submissions on behalf of the appellant

10. Learned counsel for the appellant submitted:

(i) Recall of processes is not permissible in view of law laid down by this Court in Adalat Prasad vs. Rooplal Jindal⁵ and Constitution Bench decision In Re:

Expeditious Section	138	Trial of	of NI	Cases under Act,	18816.
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Therefore, the learned Magistrate was justified in rejecting the recall application. In such circumstances, the revisional court ought not to have interfered with the order of learned Magistrate. Thus, the High Court erred in not correcting the mistake committed by the revisional court.

(ii) High Court misconstrued the law laid down by this Court in Kusum Ingots (supra) where, in paragraph 18, (2004) 7 SCC 338 (2021) 16 SCC 116 it was held that Section 22 of SICA does not create any legal impediment for instituting and proceeding with a criminal case on the allegations of an offence under Section 138 of the N.I. Act against a company or its Directors.

Further, in paragraph 19 of the said judgment, it was clarified that where BIFR has issued a restraint order under Section 22A the Court would have to examine whether proceedings under Section 138 of N.I. Act can be instituted during the period in which the restraint order remains operative. Therefore, such issue would have to be decided on the facts of each case, that is, by taking into account the nature of the restraint order, the date when the cheque is issued and the reason for which it is issued. It was also urged that the restraint order issued by BIFR clearly provided that if the company was running, the current assets could be drawn to the extent required for day-to-

day operations which meant that the embargo was not absolute and if cheques were issued for running day to day operations, the restraint order would not hit the proceedings under Section 138 of N.I. Act.

(iii) Restraint order of BIFR is dated 21.08.2000 whereas the cheques in question were issued in 2001 as is clear from the date on the face of the cheque.

Further, the date on the cheque raises a rebuttable presumption, under Section 118(b) of N.I. Act, that it was issued on the date which the cheque bears. In such circumstances, if the cheque was issued in 2001 to meet day-to-day expenses of the accused-company, the restraint order of BIFR cannot stifle the proceedings under Section 138 of N.I. Act.

11. In a nutshell, the submission of learned counsel for the appellant is that whether the proceedings under Section 138 of N.I. Act are barred on account of restraint order of BIFR, is a mixed question of law and fact which has to be decided on the facts of each case based on the evidence led by the parties. Therefore, restraint order cannot be used to stifle a legitimate prosecution without giving opportunity to the complainant to lead evidence.

Further, the power to recall the summoning order does not exist. Hence, the learned Magistrate's order rejecting the recall application required no interference by the revisional court. In such circumstances, the High Court ought to have corrected the error committed by the revisional court. Submissions on behalf of accused-respondent(s)

12. Per contra, learned counsel for the accused- respondent(s) supported the judgment of the High Court and submitted that the cheques sought to be encashed by the complainant were all post-dated and once the accused company was declared 'SICK' and a restraint order was passed, the complaint proceedings were liable to be quashed and, therefore, order of the revisional court as well as the High Court calls for no interference.

Analysis/ Discussion

13. We have considered the submissions and have perused the materials on record.

14. Before we address the rival submissions, it would be apposite to notice the allegations which are common in all the complaints. In all complaints, it is alleged that cheques were issued in 2001 against supplies made to the accused company. No doubt, a plea has been raised on behalf of accused that those were post-dated cheques. However, the law raises a presumption that every negotiable instrument bearing a date was made or drawn on such date⁷. In such circumstances, to rebut the said presumption, evidence would have to be led. Therefore, at this stage, while dealing with validity of the processes issued, based on complaint allegations and affidavit filed in support thereof, in absence of any evidence led by the accused, it would not be permissible to pre-judge the issue and record a finding that cheque was post-dated.

15. Section 228 of SICA, inter-alia, deals with suspension of legal proceedings etc against a 'SICK'

118. Presumptions as to negotiable instruments.— Until the contrary is proved, the following presumptions shall be made:—

(a) of consideration — that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, endorsed, negotiated or transferred, was accepted, endorsed, negotiated or transferred for consideration;

(b) as to date —that every negotiable instrument bearing a date was made or drawn on such date;

22. Suspension of legal proceedings, contracts etc - (1) Where in respect of an industrial company, an inquiry under section 16 is pending or any scheme referred to under section 17 is under preparation or consideration or a sanctioned scheme is under implementation or where an appeal under section 25 relating to an industrial company is pending, then, notwithstanding anything contained in the Companies Act, 1956 (1 of 1956), or any other law or the memorandum and articles of association of the industrial company or any other instrument having effect under the said Act or other law, no proceedings for the winding up of the industrial company or for execution, distress or the like against any of the properties of the industrial company or for the appointment of a receiver in respect thereof (and no suit for the recovery of money or for the enforcement of any security against the industrial company or of any guarantee in respect of any loans or advance granted to the industrial company) shall lie or be proceeded with further, except with the consent of the Board or, as the case may be, the Appellate Authority.

(2) Where the management of the sick industrial company is taken over or changed (in pursuance of any scheme sanctioned under section 18), notwithstanding anything contained in the Companies Act, 1956 (1 of 1956), or any other law or in the memorandum and articles of association of such company or any instrument having effect under the said Act or other law -

(a) it shall not be lawful for the shareholders of such company or any other person to nominate or appoint any person to be a director of the company;

company. Section 22A9 empowers BIFR to direct the Sick Industrial Company not to dispose of, except with the consent of the Board, any of its assets:

(b) no resolution passed at any meeting of the shareholders of such company shall be given effect to unless approved by the Board.

(3) Where an inquiry under section 16 is pending or any scheme referred to in section 17 is under preparation or during the period) or consideration of any scheme under section 18 or where any such scheme is sanctioned thereunder, for due implementation of the scheme, the Board may by order declare with respect to the sick industrial company concerned that the operation of all or any of the contracts, assurances of property, agreements, settlements, awards, standing orders or other instruments in force, to which such sick industrial company is a party or which may be applicable to such sick industrial company immediately before the date of such order, shall remain suspended or that all or any of the rights, privileges, obligations and liabilities accruing or arising thereunder before the said date, shall remain suspended or shall be enforceable with such adoptions and in such manner as may be specified by the Board :

Provided that such declaration shall not be made for a period exceeding two years which may be extended by one year at a time so, however, that the total period shall

not exceed seven years in the aggregate.

(4) Any declaration made under sub-section (3) with respect to a sick industrial company shall have effect notwithstanding anything contained in the Companies Act, 1956 (1 of 1956), or any other law, the memorandum and articles of association of the company or any instrument having effect under the said Act or other law or any agreement or any decree or order of a court, tribunal, officer of other authority or of any submission, settlement or standing order and, accordingly, -

(a) any remedy for the enforcement of any right, privilege, obligation and liability suspended or modified by such declaration, and all proceedings relating thereto pending before any court, tribunal, officer or other authority shall remain stayed or be continued subject to such declaration; and

(b) on the declaration ceasing to have effect -

(i) any right, privilege, obligation or liability so remaining suspended or modified, shall become revived and enforceable as if the declaration had never been made; and

(ii) any proceeding so remaining stayed shall be proceeded with, subject to the provisions of any law which may then be in force, from the stage which had been reached when the proceedings became stayed.

(5) In computing the period of limitation for the enforcement of any right, privilege, obligation or liability, the period during which it or the remedy for the enforcement thereof remains suspended under this section shall be excluded.

22-A - Direction not to dispose of assets - The Board may, if it is of opinion that any direction is necessary in the interest of the sick industrial company or creditors or shareholders or in the public interest, by order in writing direct the sick industrial company not to dispose of, except with the consent of the Board, any of its assets -

(a) during the period of preparation or consideration of the scheme under section 18; and

(b) during the period beginning with the recording of opinion by the Board for winding up of the company under sub-section (1) of section 20 and up to commencement of the proceedings relating to the winding up before the High Court concerned.

(a) during the period of preparation or consideration of the scheme under Section 18; and

(b) during the period beginning with the recording of opinion by the Board for winding up of the company under sub-section (1) of Section 20 and up to commencement of the proceedings relating to the winding up before the High Court concerned.

16. In the instant case, the restraint order passed by BIFR, dated 21.08.2000, extracted in paragraph 10 of the impugned judgment of the High Court, reads thus:

“The company/promoters were directed u/s. 22-A of the Act not to dispose of any fixed or current assets of the company without the consent of the BIFR. In case the company was running, the current assets could be drawn to the extent required for day-to-day operations, proper account of which should be maintained.”

17. The afore-quoted restraint order would indicate that there was no embargo on drawing from the assets of the company to the extent required for day-to-day operations.

18. In the instant case, according to the complaint allegations, the complainant company had made supplies and in lieu thereof the cheques in question were issued. In such circumstances, in our view, as there would be a presumption regarding the date on which those cheques were issued, the question as to whether those cheques were issued for running day-to-day operations of the company is an issue, which would have to be addressed on the basis of evidence led in trial.

19. The decision of this Court in Kusum Ingots (supra) does not propound a complete bar on proceedings against a “SICK” company under Section 138 of N.I. Act. Paragraphs 18, 19 and 20 of Kusum Ingots are relevant, and are reproduced below:

“18. In our considered view section 22 SICA does not create any legal impediment for instituting and proceeding with a criminal case on the allegations of an offence under section 138 of the NI Act against a company or its Directors. The section as we read it only creates an embargo against disposal of assets of the company for recovery of its debts. The purpose of such an embargo is to preserve the assets of the company from being attached or sold for realisation of dues of the creditors. The section does not bar payment of money by the company or its directors to other persons for satisfaction of their legally enforceable dues.

19. The question that remains to be considered is whether section 22A of SICA affects a criminal case for an offence under section 138 NI Act. In the said section provision is made enabling the Board to make an order in writing to direct the sick industrial company not to dispose of, except with the consent of the Board, any of its assets - (a) during the period of preparation or consideration of the scheme under section 18;

and (b) during the period beginning with the recording of opinion by the Board for winding up of the company under sub-section (1) of section 20 and up to commencement of the proceedings relating to the winding up before the concerned High Court. This exercise of the power by the Board is conditioned by the prescription that the Board is of the opinion that such a direction is necessary in the interest of the sick industrial company or its creditors or shareholders or in the public interest. In a case in which the BIFR has submitted its report declaring a company as 'sick' and has

also issued a direction under section 22-A restraining the company or its directors not to dispose of any of its assets except with consent of the Board then the contention raised on behalf of the appellants that a criminal case for the alleged offence under section 138 NI Act cannot be instituted during the period in which the restraint order passed by the BIFR remains operative cannot be rejected outright. Whether the contention can be accepted or not will depend on the facts and circumstances of the case. Take for instance, before the date on which the cheque was drawn or before expiry of the statutory period of 15 days after notice, a restraint order of the BIFR under Section 22-A was passed against the company then it cannot be said that the offence under section 138 NI Act was completed. In such a case it may reasonably be said that the dishonouring of the cheque by the bank and failure to make payment of the amount by the company and/or its Directors is for reasons beyond the control of the accused. It may also be contended that the amount claimed by the complainant is not recoverable from the assets of the company in view of the ban order passed by the BIFR. In such circumstances it would be unjust and unfair and against the intent and purpose of the statute to hold that the Directors should be compelled to face trial in a criminal case.

20. Except in the circumstances noted above we do not find any good reason for accepting the contentions raised by the learned counsel for the appellants in favour of the prayer for quashing the criminal proceedings or for keeping the proceedings in abeyance. It will be open to the appellants to place relevant materials in this regard before the learned Magistrate before whom the cases are pending and the learned Magistrate will examine the matter keeping in mind the discussions made in this judgment. We make it clear that we have not considered the question whether in the facts and circumstances of a particular case Section 138 NI Act is attracted or not, for that is a question to be considered by the Court at the appropriate stage of the case in the light evidence on record. The appeals are disposed of on the terms aforesaid.” (Emphasis supplied)

20. A careful reading of the aforesaid extracts from Kusum Ingots (supra) would make it clear that Section 22 of SICA does not create any legal impediment for instituting and proceeding with a criminal case on the allegations of an offence under Section 138 of the N.I. Act against a sick company or its Directors. However, where a direction is issued by BIFR, under Section 22A of SICA, restraining the company or its Directors not to dispose of any of its assets except with consent of the Board, whether a criminal complaint for the alleged offence under Section 138 N.I. Act can be instituted during the period in which the restraint order remains operative, is a plea which would have to be considered, and whether that plea is to be accepted or not will depend on the facts and circumstances of the case.

21. In Southern Steel Ltd. and Others vs. Jindal Vijayanagar Steel Ltd.¹⁰, this Court had an occasion to consider whether proceedings against a company, under Sections 138 and 141 of N.I. Act, should be interdicted only because the company has been declared ‘SICK’ under SICA. In the said case, the accused-company, after being declared ‘SICK’, in lieu of purchases made from the complainant, had issued a cheque which got dishonoured. Those purchases were made holding out that goods will be paid for. On non-payment of cheque amount, despite notice, the complainant initiated criminal proceeding against the accused-company under Section 138 of N.I. Act. Aggrieved by the proceeding under Section 138 of N.I. Act, accused-company filed petition under Section 482 of the Code of Criminal Procedure, 1973¹¹. The High Court dismissed the petition. Thereafter, the

accused-company approached the trial court and sought discharge, under Section 258 of Cr.P.C., by placing order passed by BIFR under Section 22A. The trial court dismissed the application. The accused, thereafter, approached the (2008) 5 SCC 762 Cr.P.C.

High Court. The High Court dismissed the application and refused to quash the proceedings. Aggrieved therewith, the accused approached this Court by placing reliance on Kusum Ingots (supra). Dismissing the appeal, this Court held:-

“9. According to the High Court, admittedly the purchase orders in question were entered into and the purchases were made by the appellants with full knowledge of the proceedings that the company was declared sick under the SICA, the appellants clearly all through gave the impression to the respondent company that the outstanding amount towards the purchase of the goods would be shortly cleared. The fact that the purchases were made with the clear promise to repay could not be disputed by the appellants. The Directors had in fact issued the cheques for discharging their liability with the full knowledge, would not only clearly show that there was an undisputed debt, but would also show that, right from the inception, the appellants in fact had no intention of paying the amount for the purchases made by them. The intention of the appellants can be gathered by their subsequent acts, conduct and behaviour of taking a shelter under the provisions of SICA. Hence, the appellants are not entitled to any indulgence of this court under its extraordinary jurisdiction under Article 136 of the Constitution. The appellants had lost their total credibility because of their conduct. When the appellant company was declared sick, then without disclosing this fact the appellants ought not to have made huge purchases from the respondent company. Ultimately, the appellant company did not pay for the purchases. This clearly indicates that the appellants had no intention of making payment of the purchases made by it.”

22. Legal principles deducible from the decisions above, inter alia, are, (a) there is no embargo on filing a complaint under Section 138 of N.I. Act against a ‘SICK’ company; (b) even if there is a restraint order under Section 22A of SICA, the nature of the restraint order and the facts of that case would have to be considered before taking a decision whether the proceeding under Section 138 could continue or not;

and, (c) the appropriate stage for taking such a decision would, ordinarily, be after parties have led their evidence.

23. In the instant case, the restraint order under Section 22A of SICA did not restrain the accused-company to draw on its assets to meet its day-to-day operations and, according to the complaint allegations, the cheques in question were issued to discharge the liability of the accused-company against supplies made by the complainant company. In such circumstances, the revisional court fell in error by recalling the processes and discharging the accused at the threshold of the proceeding and the High Court erred in not correcting the error so committed by wrongly relying on Kusum Ingots & Alloys Ltd. (supra).

24. Besides above, the prayer to recall the processes was not maintainable in view of the decision of this Court in Adalat Prasad (supra), which has been affirmed by a Constitution Bench of this Court In Re: Expeditious Trial of Cases under Section 138 of NI Act, 1881 (supra)¹².

25. For the foregoing reasons, the appeals are allowed. The impugned judgment(s) and order(s) of the High Court as well as of the revisional court are set aside. The proceeding(s) on the complaints of the appellant, under Section 138 read with Section 141 of N.I. Act, shall stand restored on the file of the learned Magistrate. The learned Magistrate shall now proceed in accordance with law and bring the proceedings to its logical end.

26. Pending applications, if any, shall stand disposed of.

.....J. (MANOJ MISRA)J. (UJJAL BHUYAN) New Delhi;

September 02, 2025 24.6. The Judgments of this Court in Adalat Prasad (supra) and Subramaniam Sethuraman (supra) have interpreted the law correctly and we reiterate that there is no inherent power of Trial Courts to review or recall the issue of summons. This does not affect the power of the Trial Court under Section 322 of the Code to revisit the order of issue of process in case it is brought to the court's notice that it lacks jurisdiction to try the complaint.

Ramesh Chand (D) Thr.Lrs vs Suresh Chand on 1 September, 2025

Author: Aravind Kumar

Bench: J.K. Maheshwari, Aravind Kumar

2025 INSC 1059

REP

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 6377 OF 2012

RAMESH CHAND (D) THR. LRS.

...APPELLANT

VERSUS

SURESH CHAND AND ANR.

...RESPONDENT (

JUDGMENT

ARAVIND KUMAR, J.

1. Heard.

2. The appellants are aggrieved by the judgment dated 9 th April, 2012, passed by the Hon'ble High Court of Delhi whereby the Regular First Appeal No. 358/2000 filed by them against the judgment and decree dated 11th May, 2000 came to be dismissed and the judgment and decree passed in Suit No. 613/1997 by the Additional District Judge, Delhi decreeing the suit for possession, mesne profits, declaration, mandatory injunction filed by the Respondent No. 1, who was the plaintiff, came to be confirmed, by dismissing the counterclaim for declaration filed by the Appellant has been affirmed. For convenience, the parties are referred as per their rank before the Trial Court.

FACTUAL MATRIX:

3. Facts necessary for adjudication of the controversy on hand are as follows:

4. The suit property bearing No. 563, at Ambedkar Basti near Balmiki Gate, Delhi - 110053 was originally owned by Shri. Kundan Lal, father of the Appellant/Defendant No. 1 and Respondent No. 1/Plaintiff. The plaintiff claims that he had acquired title to the suit property from his father, Shri. Kundan Lal by virtue of a General Power of Attorney, Agreement to Sell, Affidavit, and a Receipt. He also claimed that his father had executed a registered Will dated 16.05.1996 bequeathing the suit schedule property in his favour. He further claims that defendant No. 1 has been living in the suit property as a licensee and after purchase of the suit property by the plaintiff, the defendant No. 1 was residing in the suit property as a mere trespasser. He further claims that in order to gain wrongfully, the defendant No. 1 sold half the portion of the suit property to the defendant No. 2, who is the Respondent No. 2 before us. Hence, the plaintiff filed a suit against the defendant No.1 and defendant No. 2 for the recovery of possession, mesne profits, declaration of title and mandatory injunction directing the defendant No. 1 to handover the original documents to him. In response to the said claim of the plaintiff, the defendant No. 1 filed a written statement and also raised a counter claim, contending that the suit property was orally transferred to him by the father in July 1973. He further contended that the plaintiff had earlier filed OS No. 294/1996 wherein he admitted that the father, Shri Kundan Lal was the owner of the property. However, he withdrew the said suit on 06.06.1997. In the counter claim, defendant sought for declaration that the alleged documents i.e. Will, Agreement to Sell, GPA etc. in respect of the suit property by Lt. Sh. Kundan Lal, who expired on 10 th April, 1997 was null and void and not binding on him.

5. The Ld. Addl. District Judge decreed the suit in favour of the plaintiff and dismissed the counter claim filed by the defendant No.1 on the ground that the property had been transferred by the Sh. Kundan Lal in favour of the plaintiff by upholding the validity of the documents. The defendant No.1 assailed the same by filing Regular First Appeal No. 358 / 2000 before the High Court of Delhi, which came to be dismissed by the High Court by relying upon the judgment of Asha M. Jain v. Canara Bank and Others 1 which was later on overruled by this court in Suraj Lamp and Industries Private Limited (2) through Director v. State of Haryana and Another.2 Against the said dismissal, the defendant No.1 had filed Civil Appeal No. 9012/2011.

6. Vide the order 31.10.2011 aforesaid civil appeal came to be allowed in part and the matter was remanded back to the High Court for fresh disposal with an observation that the Agreement to Sell / General Power of Attorney / Will Transactions are not 'transfers' or 'sales' and such transactions cannot be treated as transfers or conveyances as contemplated under Transfer of Property Act, 1882. Hence, RFA No.358/2000 came to be restored to the file of High Court which has been heard afresh, and by the impugned order, it came to be dismissed on 09.04.2012. Aggrieved by the same, the defendant no.1 is in appeal before us.

SUBMISSIONS

7. Mr. S.Mahendran, Learned Counsel for the defendant No.1 made the following submissions:

1 (2001) SCC OnLine Del 1157 2 (2012) 1 SCC 656 □That there is no title of ownership conferred merely on the basis of Agreement to Sell, GPA, Affidavit, Receipt, Will etc. without there being any possession thereof.

- ☐ That the original title deeds of suit schedule property are in possession of the defendant No.1.
 - ☐ That the Will has not been proved in accordance with law. ☐ Section 53A of the Transfer of Property Act is not attracted if the possession of the property is not delivered.
 - ☐ That Will is not an instrument of sale under Section 54 of Transfer of Property Act. As per Section 54, immovable property can be sold by a registered instrument only.
 - ☐ That the alleged Attesting Witnesses PW-3 and PW-4 could not prove the execution of the documents filed by the plaintiff such as GPA, Agreement to Sell, Receipt, Will as required by Section 3 of Transfer of Property Act, Section 68 of Indian Evidence Act and Section 63 of Indian Succession Act.
 - ☐ That the Courts below have failed to appreciate that in the previous suit which is OS No. 294/1996 the plaintiff himself admitted in his replication filed on 12.10.1996 that the father, Shri Kundan Lal is owner of the suit property. On the other hand the present suit is filed by falsely alleging that he had purchased the suit property from the father on 16.05.1996 which is much prior to the date of filing of the replication.
 - ☐ That the vital facts clearly reveal that the alleged documents pertaining to the suit property had been obtained by the plaintiff on misrepresentation.
 - ☐ That ever since 1973, the defendant No.1 has been in continuous, uninterrupted possession and occupation of the suit property in his own right and during this period i.e. 1973 to 1997, the father Shri Kundan Lal neither filed any ejectment proceedings nor served any notice for his eviction during his lifetime, who died on 10.04.1997.
8. The Respondent No.1 / Plaintiff who was duly served has not entered appearance and is proceeded ex-parte.
9. Mrs. Rekha Pandey, Learned Counsel for Respondent No.2 / Defendant No. 2 has made the following submissions:
- ☐ That the defendant No. 2 has purchased 50% share of the suit property from the defendant No.1 / Ramesh Chand.
 - ☐ That the High Court vide order dated 28.02.2011 in RFA No. 358/2000 as well as this Court vide interim order dated 26.08.2013 in present appeal has protected the right of the Respondent no. 2 as he was a bona fide purchaser of the property and is in possession of the property.
 - ☐ That this Court must protect the rights of Respondent No. 2.

10. Upon hearing the Learned Counsels appearing for the parties and on perusal of the material available on record, the following points would arise for our consideration:

I. Whether the impugned documents, i.e., Agreement to Sell, General Power of Attorney, Receipt of Consideration and the registered Will, allegedly entered into by Mr. Kundan Lal in favour of the Plaintiff would confer a valid title over the suit property?

II. Whether the Plaintiff can claim any benefit under Section 53A of TP Act, which deals with Part Performance?

III. To what relief the parties would be entitled to?

FINDINGS:

RE: POINT NO.1

11. It is an undisputed factual position that plaintiff and defendant no. 1 are brothers, and the suit property belongs to their father Lt. Sh. Kundan Lal. The plaintiff claimed title to the suit property by placing reliance upon four documents, i.e., agreement to sell dated 16.05.1996, power of attorney dated 16.05.1996, affidavit dated 16.05.1996, receipt dated 16.05.1996, and a registered Will dated 16.05.1996. Admittedly, no sale deed was executed in favour of the plaintiff by his father. Hence, this court is called upon to see whether these documents confer a valid title on him. In order to ascertain the same, it is essential for us to expound on the position of law with respect to the same.

Agreement of Sale

12. The Transfer of immovable property inter vivos is governed by the Transfer of Property Act, 1882 (hereinafter referred to as “the TP Act”). Section 5 of the said TP Act defines “transfer of property” as follows:

“5. ‘Transfer of property’ defined. —In the following sections ‘transfer of property’ means an act by which a living person conveys property, in present or in future, to one or more other living persons, or to himself or to himself and one or more other living persons and ‘to transfer property’ is to perform such act.”

13. The TP Act envisages five different modes for transferring a property but for the purpose of the present appeal we are only concerned with one of the modes i.e., by way of “Sale” and the same is dealt under section 54 of the TP Act which defines “sale” and a “contract for sale” as follows:

“54. ‘Sale’ defined. — ‘Sale’ is a transfer of ownership in exchange for a price paid or promised or part-paid and part- promised.

Sale how made. —Such transfer, in the case of tangible immovable property of the value of one hundred rupees and upwards, or in the case of a reversion or other intangible thing, can be made only by a registered instrument.

In the case of tangible immovable property of a value less than one hundred rupees, such transfer may be made either by a registered instrument or by delivery of the property. Delivery of tangible immovable property takes place when the seller places the buyer, or such person as he directs, in possession of the property.

Contract for sale. —A contract for the sale of immovable property is a contract that a sale of such property shall take place on terms settled between the parties.

It does not, of itself, create any interest in or charge on such property.”

14. Perusal of above said provisions lays down a specific mode of execution of sale deed with respect to immovable property for concluding the sale of a property. In sale for an immovable property the value of which exceeds Rs. 100/-, the three requirements of law are that the transfer of property of sale must take place through a validly executed sale deed, i.e., it must be in writing, properly attested and registered. Unless the sale deed is in writing, attested and registered, the transaction cannot be construed as sale, or in other words, the property will not be transferred.

15. There is a difference between a sale deed and an agreement for sale, or a contract for sale. A contract for sale of immovable property is a contract that a sale of such property shall take place on terms settled between the parties. While a sale is a transfer of ownership; a contract for sale is merely a document creating a right to obtain another document, namely a registered sale deed to complete the transaction of sale of an immovable property. Section 54 in its definition of sale does not include an agreement of sale and neither confers any proprietary rights in favour of the transferee nor by itself create any interest or charge in the property. If after entering into a contract for sale of property, the seller without any reasonable excuse avoids executing a sale deed, the buyer can proceed to file a suit for specific performance of the contract.

16. The scope of an agreement for sale has been highlighted by this court in the case of Suraj Lamp and Industries Private Limited (2) through Director v. State of Haryana and Another 3, wherein this Court observed that “16. Section 54 of the TP Act makes it clear that a contract of sale, that is, an agreement of sale does not, of itself, create any interest in or charge on such property. This Court in Narandas Karsondas v. S.A. Kamtam [(1977) 3 SCC 247] observed:

“32. A contract of sale does not of itself create any interest in, or charge on, the property. This is expressly declared in Section 54 of the Transfer of Property Act. (See Ram Baran Prasad v. Ram Mohit Hazra [AIR 1967 SC 744]). The fiduciary character of the personal obligation created by a contract for sale is recognised in Section 3 of the Specific Relief Act, 1963, and in Section 91 of the Trusts Act. The personal obligation created by a contract of sale is described in Section 40 of the Transfer of Property Act as an obligation arising out of contract and annexed to the 3 (2012) 1

SCC 656 ownership of property, but not amounting to an interest or easement therein.

33. In India, the word 'transfer' is defined with reference to the word 'convey'. ... The word 'conveys' in Section 5 of the Transfer of Property Act is used in the wider sense of conveying ownership.

37. ... that only on execution of conveyance, ownership passes from one party to another....”

17. In *Rambhau Namdeo Gajre v. Narayan Bapuji Dhotra* [(2004) 8 SCC 614] this Court held:

“10. Protection provided under Section 53-A of the Act to the proposed transferee is a shield only against the transferor. It disentitles the transferor from disturbing the possession of the proposed transferee who is put in possession in pursuance to such an agreement. It has nothing to do with the ownership of the proposed transferor who remains full owner of the property till it is legally conveyed by executing a registered sale deed in favour of the transferee. Such a right to protect possession against the proposed vendor cannot be pressed into service against a third party.”

18. It is thus clear that a transfer of immovable property by way of sale can only be by a deed of conveyance (sale deed). In the absence of a deed of conveyance (duly stamped and registered as required by law), no right, title or interest in an immovable property can be transferred.

19. Any contract of sale (agreement to sell) which is not a registered deed of conveyance (deed of sale) would fall short of the requirements of Sections 54 and 55 of the TP Act and will not confer any title nor transfer any interest in an immovable property (except to the limited right granted under Section 53-A of the TP Act). According to the TP Act, an agreement of sale, whether with possession or without possession, is not a conveyance. Section 54 of the TP Act enacts that sale of immovable property can be made only by a registered instrument and an agreement of sale does not create any interest or charge on its subject-matter.”

17. In the instant matter, undisputedly plaintiff claims that there is only an agreement to sell, and there is no sale deed executed in his favour by the father. As per the settled position of law, this document does not confer a valid title on the plaintiff as it is not a deed of conveyance as per Section 54 of the TP Act. At best, it only enables the plaintiff to seek for specific performance for the execution of a sale deed and does not create an interest or charge on the suit property.

General Power of Attorney

18. A power of attorney is a creation of an agency whereby the grantor authorizes the grantee to do the acts specified therein, on behalf of grantor, which when executed will be binding on the grantor

as if done by him. It is revocable or terminable at any time unless it is made irrevocable in a manner known to law. A General Power of Attorney does not ipso facto constitute an instrument of transfer of an immovable property even where some clauses are introduced in it, holding it to be irrevocable or authorizing the attorney holder to effect sale of the immovable property on behalf of the grantor. It would not ipso facto change the character of the document transforming it into a conveyance deed.⁴ 4 Dr. Poonam Pradhan Saxena, Property Law, Third Edition, 2017 (Lexis Nexis), p. 66

19. A power of attorney is not a sale. A sale involves transfer of all the rights in the property in favour of the transferee but a power of attorney simply authorises the grantee to do certain acts with respect to the property including if the grantor permits to do certain acts with respect to the property including an authority to sell the property.⁵

20. In the case of State of Rajasthan and Others v. Basant Nahata,⁶ it was held that:

“13. A grant of power of attorney is essentially governed by Chapter X of the Contract Act. By reason of a deed of power of attorney, an agent is formally appointed to act for the principal in one transaction or a series of transactions or to manage the affairs of the principal generally conferring necessary authority upon another person. A deed of power of attorney is executed by the principal in favour of the agent. The agent derives a right to use his name and all acts, deeds and things done by him and subject to the limitations contained in the said deed, the same shall be read as if done by the donor. A power of attorney is, as is well known, a document of convenience.

XXXX

52. Execution of a power of attorney in terms of the provisions of the Contract Act as also the Powers of Attorney Act is valid. A power of attorney, we have noticed hereinbefore, is executed by the donor so as to enable the donee to act on his behalf. Except in cases where power of attorney is coupled with interest, it is revocable. The donee in exercise of his power under such power of attorney only acts in place of the donor subject of course to the powers granted to him by reason thereof.

He cannot use the power of attorney for his own benefit. He acts in a fiduciary capacity. Any act of infidelity or breach of trust is a matter between the donor and the donee.” ⁵ Dr. Poonam Pradhan Saxena, Property Law, Third Edition, 2017 (Lexis Nexis), p. 6 (2005) 12 SCC 77

21. Further, the position of a power of attorney with respect to conferment of title was explained by this Court in the case of Suraj Lamp (supra), thus:

“20. A power of attorney is not an instrument of transfer in regard to any right, title or interest in an immovable property. The power of attorney is creation of an agency whereby the grantor authorises the grantee to do the acts specified therein, on behalf of grantor, which when executed will be binding on the grantor as if done by him (see Section 1-A and Section 2 of the Powers of Attorney Act, 1882). It is revocable or

terminable at any time unless it is made irrevocable in a manner known to law. Even an irrevocable attorney does not have the effect of transferring title to the grantee.”

22. Having discussed the position of law, it is essential to peruse the recitals of the General Power of Attorney, which is on record and pressed into service by plaintiff. The said GPA merely authorises the grantee to manage the affairs of the suit property, which includes the power to let out the property on rent, and create a mortgage of the same, etc. However, it is silent on the aspect of conveyance. Be that as it may. The recitals of the power of attorney would indicate the intent of the grantor is to limit the powers of the grantee to only manage the suit property, and not to create any interest in his favour, which is in consonance with the settled position of law as discussed above that a power of attorney is an agency by which the agent derives the authority or the right to enter into transactions on behalf of the principal. Even if we accept the validity of the Power of Attorney in favour of the plaintiff, still it does not confer a valid title on him with respect to the suit property.

Will

23. The third document that the plaintiff has relied upon to claim his title over the property is a Registered Will dated 16.05.1996 said to have been executed by his father. The term “Will” has been defined under Section 2(h) of the Succession Act, 1925 as “the legal declaration of a testator with respect to his property which he desires to be carried into effect after his death”. Its essentials have been further enumerated by this Court in the case of Mathai Samuel and Others v. Eapen Eapen (Dead) by Lrs. And Others⁷ thus:

“12. Will is an instrument whereunder a person makes a disposition of his properties to take effect after his death and which is in its own nature ambulatory and revocable during his lifetime. It has three essentials:

(1) It must be a legal declaration of the testator's intention; (2) That declaration must be with respect to his property; and (3) The desire of the testator that the said declaration should be effectuated after his death.

13. The essential quality of a testamentary disposition is ambulatoriness of revocability during the executant's lifetime. Such a document is dependent upon the executant's death for its vigour and effect.” 7 (2012) 13 SCC 80

24. Will has also been expounded upon in the case of Suraj Lamp (supra), thus:

“22. A will is the testament of the testator. It is a posthumous disposition of the estate of the testator directing distribution of his estate upon his death. It is not a transfer inter vivos. The two essential characteristics of a will are that it is intended to come into effect only after the death of the testator and is revocable at any time during the lifetime of the testator. It is said that so long as the testator is alive, a will is not worth the paper on which it is written, as the testator can at any time revoke it. If the testator, who is not married, marries after making the will, by operation of law, the

will stands revoked. Registration of a will does not make it any more effective.”

25. This Court on the issue of the proof of Wills in the case of H. Venkatachala Iyengar v. B.N. Thimmajamma and Others⁸ has succinctly defined the contours as under:

“18. What is the true legal position in the matter of proof of wills? It is well-known that the proof of wills presents a recurring topic for decision in courts and there are a large number of judicial pronouncements on the subject. The party propounding a will or otherwise making a claim under a will is no doubt seeking to prove a document and, in deciding how it is to be proved, we must inevitably refer to the statutory provisions which govern the proof of documents. Sections 67 and 68 of the Evidence Act are relevant for this purpose. Under Section 67, if a document is alleged to be signed by any person, the signature of the said person must be proved to be in his handwriting, and for proving such a handwriting under Sections 45 and 47 of the Act the opinions of experts and of persons acquainted with the handwriting of the person concerned are made relevant. Section 68 deals with the proof of the execution of the document required by law to be attested; and it provides that such a document shall not be used as evidence until one attesting witness at least has been called for the purpose of proving its execution. These provisions prescribe the requirements and the nature of proof which must be satisfied by the party who relies on a document in a court of law. Similarly, Sections 59 and 63 of the Indian Succession Act are also relevant. Section 59 provides 8 AIR 1959 SC 443 that every person of sound mind, not being a minor, may dispose of his property by will and the three illustrations to this section indicate what is meant by the expression “a person of sound mind” in the context. Section 63 requires that the testator shall sign or affix his mark to the will or it shall be signed by some other person in his presence and by his direction and that the signature or mark shall be so made that it shall appear that it was intended thereby to give effect to the writing as a will. This section also requires that the will shall be attested by two or more witnesses as prescribed. Thus the question as to whether the will set up by the propounder is proved to be the last will of the testator has to be decided in the light of these provisions.

Has the testator signed the will? Did he understand the nature and effect of the dispositions in the will? Did he put his signature to the will knowing what it contained? Stated broadly it is the decision of these questions which determines the nature of the finding on the question of the proof of wills. It would prima facie be true to say that the will has to be proved like any other document except as to the special requirements of attestation prescribed by Section 63 of the Indian Succession Act. As in the case of proof of other documents so in the case of proof of wills it would be idle to expect proof with mathematical certainty. The test to be applied would be the usual test of the satisfaction of the prudent mind in such matters.”

26. Further, in the case of Meena Pradhan and Others v. Kamla Pradhan and Another⁹ following essentials to prove a Will were mentioned:

“10.1. The court has to consider two aspects : firstly, that the will is executed by the testator, and secondly, that it was the last will executed by him;

10.2. It is not required to be proved with mathematical accuracy, but the test of satisfaction of the prudent mind has to be applied.

10.3. A will is required to fulfil all the formalities required under Section 63 of the Succession Act, that is to say:

(a) The testator shall sign or affix his mark to the will or it shall be signed by some other person in his presence and by his direction and the said signature or affixation shall 9 (2023) 9 SCC 734 show that it was intended to give effect to the writing as a will;

(b) It is mandatory to get it attested by two or more witnesses, though no particular form of attestation is necessary;

(c) Each of the attesting witnesses must have seen the testator sign or affix his mark to the will or has seen some other person sign the will, in the presence and by the direction of the testator, or has received from the testator a personal acknowledgment of such signatures;

(d) Each of the attesting witnesses shall sign the will in the presence of the testator, however, the presence of all witnesses at the same time is not required;

10.4. For the purpose of proving the execution of the will, at least one of the attesting witnesses, who is alive, subject to the process of court, and capable of giving evidence, shall be examined;

10.5. The attesting witness should speak not only about the testator's signatures but also that each of the witnesses had signed the will in the presence of the testator;

10.6. If one attesting witness can prove the execution of the will, the examination of other attesting witnesses can be dispensed with;

10.7. Where one attesting witness examined to prove the will fails to prove its due execution, then the other available attesting witness has to be called to supplement his evidence. 10.8. Whenever there exists any suspicion as to the execution of the will, it is the responsibility of the propounder to remove all legitimate suspicions before it can be accepted as the testator's last will. In such cases, the initial onus on the propounder becomes heavier.

10.9. The test of judicial conscience has been evolved for dealing with those cases where the execution of the will is surrounded by suspicious circumstances. It requires to consider factors such as awareness of the testator as to the content as well as the consequences, nature and effect of the dispositions in the will; sound, certain and disposing state of mind and memory of the testator at the time of execution; testator executed the will while acting on his own free will;

10.10. One who alleges fraud, fabrication, undue influence et cetera has to prove the same. However, even in the absence of such allegations, if there are circumstances giving rise to doubt, then it becomes the duty of the propounder to dispel such suspicious circumstances by giving a cogent and convincing explanation.

10.11. Suspicious circumstances must be “real, germane and valid” and not merely “the fantasy of the doubting mind [Shivakumar v. Sharanabasappa, (2021) 11 SCC 277]”. Whether a particular feature would qualify as “suspicious” would depend on the facts and circumstances of each case. Any circumstance raising suspicion legitimate in nature would qualify as a suspicious circumstance, for example, a shaky signature, a feeble mind, an unfair and unjust disposition of property, the propounder himself taking a leading part in the making of the will under which he receives a substantial benefit, etc.”

27. Considering the aforementioned cases, it is clear that in order to rely upon a Will, the same has to be proved in accordance with law. A Will has to be attested by two witnesses, and either of the two attesting witnesses have to be examined by the propounder of the will. In the present matter, we have carefully perused the Trial Court’s judgment. There is not an iota of discussion about the validity of the Will as contemplated under Section 63 of the Succession Act, 1925 and Section 68 of the Evidence Act, 1872 and yet, the validity of the Will has been upheld. This is contrary to law. Even the High Court, while evaluating the validity of the Will, has gone on a different tangent and has erroneously held that the requirement of examining the attesting witnesses springs into action only in cases of disputes between legal heirs. Such an observation is quite contrary to law, for Section 68 of the Evidence Act makes it mandatory to examine at least one of the attesting witnesses of the Will. Mere fact that the Will was registered will not grant validity to the document. Besides that, the will propounded by plaintiff is surrounded with suspicious circumstances, in as much as the alleged propounder of the Will, Lt. Sh. Kundan Lal, had four children, including the plaintiff and the defendant No. 1. There is not even a whisper of reasoning as to why the propounder of the Will choose to exclude other three children from the bequest, and whether any other properties or assets were given to them. It is highly unlikely that a father would grant his entire property to one of his children, at the cost of three others, without there being any evidence of estrangement between the father and the children. This suspicious circumstance surrounding the will has not been removed by the plaintiff either. Hence, for these cumulative reasons, the Will propounded by plaintiff though registered would not confer any valid title on the plaintiff either.

Receipt of Consideration / Affidavit

28. Apart from the aforementioned documents, there is also an affidavit dated 16.05.1996 said to have been executed by Sh. Kundan Lal in favour of the plaintiff, along with a receipt of consideration, wherein Sh. Kundan Lal is said to have acknowledged receipt of full consideration for the sale of suit property to the tune of Rs. 1,40,000/- from the Plaintiff. The said instruments do not confer a valid title upon the plaintiff because as per Section 54 of TP Act, only through a deed of conveyance can a title can be transferred, and none of the other documents and recitals in the said affidavit are not proved by examining any other independent witnesses.

□RE: POINT NO.2

29. The plaintiff also lays claim to the property by virtue of Section 53A of the TP Act. Section 53-A of the TP Act defines “part-performance” as follows:

“53-A. Part performance. —Where any person contracts to transfer for consideration any immovable property by writing signed by him or on his behalf from which the terms necessary to constitute the transfer can be ascertained with reasonable certainty:

and the transferee has, in part performance of the contract, taken possession of the property or any part thereof, or the transferee, being already in possession, continues in possession in part performance of the contract and has done some act in furtherance of the contract, and the transferee has performed or is willing to perform his part of the contract, then, notwithstanding that, where there is an instrument of transfer, that the transfer has not been completed in the manner prescribed therefor by the law for the time being in force, the transferor or any person claiming under him shall be debarred from enforcing against the transferee and persons claiming under him any right in respect of the property of which the transferee has taken or continued in possession, other than a right expressly provided by the terms of the contract: Provided that nothing in this section shall affect the rights of a transferee for consideration who has no notice of the contract or of the part performance thereof.”

30. According to Section 53A of the TP Act, where there is a contract to transfer any immovable property in writing and the transferee has in part performance of the contract taken the possession of the property or part thereof, then notwithstanding that the transfer has not been completed in the manner prescribed by law, the transferor will be debarred from taking the possession of the property. The essential conditions for invoking the doctrine of part-performance as envisaged u/s 53A of TP Act have been enunciated by this Court in the case of Nathulal v. Phoolchand¹⁰ thus:

“9. The conditions necessary for making out the defence of part performance to an action in ejectment by the owner are:

(1) that the transferor has contracted to transfer for consideration any immovable property by writing signed by him or on his behalf from which the terms necessary to constitute the transfer can be ascertained with reasonable certainty; (2) that the transferee, has, in part performance of the contract, taken possession of the property or any part thereof, or the transferee, being already in possession continues in possession in part performance of the contract;

(3) that the transferee has done some act in furtherance of the contract; and (4) that the transferee has performed or is willing to perform his part of the contract.

If these conditions are fulfilled then notwithstanding that the contract, though required to be registered, has not been registered, or, where there is an instrument of transfer, that the transfer has not been completed in the manner prescribed therefor by the law for the time being in force, the transferor or any person claiming under him is debarred from enforcing against the transferee any right in respect of the property of which the transferee has taken or continued in possession, other than a right expressly provided by the terms of the contract.”

31. A perusal of Section 53A of TP Act, as well as the case law on point, it is forthcoming that one of the main ingredients for taking shelter 10 (1969) 3 SCC 120 under Section 53A is the factum of possession. Unless the transferee in the instrument of agreement to sale is able to prove that he has been in possession of the suit property, no benefit u/s 53A will be given. In the instant matter, the very fact that plaintiff has filed the present suit for possession, along with other reliefs, shows that on the date of filing of the suit, plaintiff was not in possession of the entire suit property. Since there was no possession with the plaintiff, he cannot derive any benefit under the doctrine of part-possession.

□RE: POINT NO.3

32. Thus, the aforestated discussion would indicate that the property was originally owned by Shri Kundan Lal namely the father of plaintiff and defendant No.1 and on his demise the succession has opened up. The will dated 16.05.1996 propounded by the plaintiff having been held not proved and as such class-I legal heirs of deceased Shri Kundan Lal would be entitled to the share in the suit schedule property.

33. In the instant case, the appellant herein has sold 50% of the suit property in favour of the second defendant. This Court by order dated 26.08.2013 had passed the following order:

“In view of the statement contained in para 11 of the impugned judgment as well as the operative portion thereof, interim order dated 05.09.2012 is modified and it is made clear that the same shall not prejudicially affect the rights of respondent No.2.”

34. In the light of the said order passed, we are of the considered view that the right of the second defendant would stand protected to the extent of the share of the appellant only and except reiterating to this effect contentions of all parties are kept open, and no opinion is expressed and they are at liberty to work out their rights if so advised in accordance with law.

35. In the light of the aforementioned discussion, the impugned judgment is set aside, and appeal is allowed, and suit of the plaintiff stands dismissed subject to the observations made herein above. We make no order as to costs. Pending application(s), if any, shall stand consigned to records.

....., J.

[ARAVIND KUMAR], J.

[SANDEEP MEHTA] New Delhi;

September 01st, 2025.

Phireram vs State Of Uttar Pradesh on 2 September, 2025

2025 INSC 1074

REPORTAB

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. 3830 OF 2025
[Arising out of Special Leave Petition (Crl.) No. 9082 of 20

PHIRERAM

...APPELLANT (

VERSUS

STATE OF UTTAR PRADESH & ANR.

...RESPONDENT (S)

ORDER

1. Leave granted.

2. This appeal arises from the order passed by the High Court of Judicature at Allahabad dated 11.04.2025 in Criminal Miscellaneous Bail Cancellation Application No.93 of 2025 (for short, the “Impugned Order”), by which the application filed by the appellant herein-the original complainant seeking to get the bail of the accused persons cancelled on the ground that they are administering threats to the witnesses came to be finally disposed of with some directions.

3. The Impugned Order being very short, we quote it as under: -

“1. The instant Criminal Misc. Bail Cancellation Application has been filed for cancellation of bail of accused/Opposite Party No.2 on behalf of complainant/First Informer in C.Cr.No. 137 of 2022 under Section 34, 302, 201, 120B, 34 IPC, Police Station - Surajpur, District - Gautam Budh Nagar.

2. Heard learned counsel of complainant/First Informer and learned Government Counsel and perused file.

3. It is the averment of learned counsel of complainant/first informer that bail has been granted to accused/Opposite Party No.2 on conditions mentioned in the bail order, but accused/Opposite Party No.2 has violated the conditions mentioned in the

bail order. The complainant and his witnesses are being threatened by him. An application has also been filed by the First Informant before Police/Administrative officers in this regard.

4. It is the averment of learned Additional Government Counsel that the complainant/first informer has this remedy/opportunity under the Witness Protection Scheme, 2018 and this application for cancellation of bail can be disposed of in the light of protection provided to the first informer/witnesses under the Witness Protection Scheme, 2018 instead of filing application for cancellation of bail.

5. Keeping in view the contentions of the learned Additional Government Counsel, it is the opinion of this court that because the complainant/First Informer has right to get protection under the Witness Protection Scheme, 2018, which has been allowed by the Hon'ble Supreme Court in Mahender Chawla and others Vs. Union of India reported in (2019) 14 SCC 615.

6. Accordingly, this application for cancellation of bail is finally disposed of with liberty that if the complainant/first informant files an application in prescribed form under Witness Protection Scheme, 2018 before the competent authority for the redressal of his grievances along with the certified copy of this order, then the application of the complainant/first informer will be heard immediately within a week by the competent authority and a legal decision will be taken thereon at the earliest/as early as possible within one month.

7. Accordingly, this application for cancellation of bail is finally disposed of.”

4. It appears from the materials on record that the appellant herein-the original first informant, lodged the FIR bearing No.137 of 2022 with the Surajpur Police Station District Gautam Budh Nagar, U.P. for the offence punishable under Sections 302, 201, 364, 120-B read with 34 of the Indian Penal Code, 1860 (for short, “the I.P.C.”).

5. The accused persons were arrested and thereafter were ordered to be released on bail by the High Court, subject to certain terms and conditions.

6. We take notice of the order passed by the High Court dated 29.04.2024 by which the High Court granted bail to the respondent no. 2 herein-the original accused. While ordering the release of the respondent no. 2 on bail, the High Court imposed the following conditions: -

“1. The accused will not tamper with the prosecution evidence during the course of investigation and trial.

2. The applicant will not threaten/ intimidate the prosecution witnesses and victim / complainant.

3. The applicant will follow the orders of the court. He will be present in the court on the date fixed for hearing and will not take adjournment unnecessarily and will co-operate the trial honestly.

4. The applicant will not misuse the liberty of bail after being released on bail and will not take part in any criminal activity nor will commit any offence.

5. The applicant will not lure or threaten any person or police officers familiar with the facts of the case directly or indirectly nor will make any promise to them due to which they have to refrain from revealing the facts in the court.

In violation of any of the above conditions in the case, the trial court is at liberty to dismiss the bail of the applicant as per rules.” (Emphasis supplied)

7. It is the case of the appellant herein that thereafter, the respondent no.2 started administering threats to the witnesses.

8. We are also informed that two First Information Reports bearing nos.

262 of 2024 and 740 of 2024, respectively came to be lodged at the Surajpur Police Station, District Gautum Budh Nagar by the witness namely Chahat Ram to whom threats were being administered by the accused i.e. the respondent no. 2 herein.

9. In such circumstances, referred to above, the appellant went before the High Court with an application under Section 439 (2) of the Criminal Procedure Code, 1973 (for short the “Cr.P.C.”) seeking cancellation of bail on the ground that the accused had violated the conditions imposed at the time of his release on bail.

10. We take notice of the fact that the High Court has passed a very curious order.

11. The High Court says that the remedy with the appellant as an aggrieved person being the original first informant is under the Witness Protection Scheme, 2018. In other words, what we have been able to understand from the bare reading of the impugned order is that the High Court wants the appellant to avail the provisions of the Witness Protection Scheme, 2018 (for short, the “Witness Protection Scheme”). Having said so, the High Court declined to cancel the bail.

12. In such circumstances, referred to above, the appellant is here before this Court with the present appeal.

13. We heard Mr.Rishi Malhotra, the learned senior counsel appearing for the appellant, Mr. Vijendra Singh the learned counsel appearing for the State and Mr.Nitin Saluja, the learned counsel appearing for the respondent no. 2; the original accused.

14. The learned counsel appearing for the respondent no. 2 would submit that when the impugned order came to be passed by the High Court, his client was not before the High Court as no notice was issued to him.

15. On the other hand, the learned counsel appearing for the State, upon instructions from the Investigating Officer, who is personally present in the Court today submitted that the I.O. has found some substance in the allegations levelled by the appellant as regards the administration of threats to the witnesses by the respondent no. 2.

16. We are of the view that the High Court should have decided the application seeking cancellation of bail on its own merits by applying the well settled Principles of law.

17. We take notice of the fact that the High Court while ordering release of the respondent no. 2 on bail, had itself observed that in the event of violation or breach of any of the conditions, the trial court would be at liberty to cancel the bail of the accused.

18. When it is an outright case of breach of the conditions of the bail order and when the original first informant is able to prima facie demonstrate in what manner the accused person is abusing the liberty granted to him, then, in such circumstances, the provisions of the Witness Protection Scheme, 2018 have hardly any role to play. This Scheme has nothing to do as such when the complainant seeks cancellation of bail on the ground of threats being administered to the witnesses.

SALUTARY OBJECT OF WITNESS PROTECTION SCHEME, 2018

19. We take this opportunity to explain the true scope and purport of the Witness Protection Scheme more particularly to make it clear that it is not an alternative to the provisions of the erstwhile CrPC and the Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023 in so far as cancellation of bail is concerned.

Legislative History

20. The concept that witnesses of a crime should be accorded protection is not novel, rather it has been a brewing byproduct of years of deliberation, and a widely accepted facet, considered to be essential to the fair functioning of any criminal machinery.

21. In *Zahira Habibullah Sheikh v. State of Gujarat* reported in (2004) 4 SCC 158 it was observed that “if the witness himself is incapacitated from acting as eyes and ears of justice, the trial gets putrefied and paralysed, and it no longer can constitute a fair trial.” Without protection and support, witnesses cannot discharge their solemn role, and criminal justice loses both its purpose and legitimacy.

22. Criminal justice rests upon the testimony of witnesses. It is they who bring before the court the truth of the events, the identity of the offender, and the sequence of acts which constitute the offence. The quality of justice depends to a large extent on the testimony of witnesses and unless

witnesses are able to depose freely, the entire process would be reduced to futility. Without the testimony of witnesses, justice cannot be done. Delay, harassment, and intimidation cause a collapse of faith in criminal justice.

23. Yet, the plight of witnesses has long been a matter of serious concern. Over a period of years, it has been seen that witnesses are being harassed and threatened a great deal and many a time there is no adequate arrangements by the State for reassuring their confidence to speak the truth freely.

24. The need for a comprehensive framework for protection of witness had been echoed as early as 1958, more particularly in the 14th Report of the Law Commission of India, titled “Reform of Judicial Administration”, wherein it took note of the concerning trend of harassment and intimidation of witness over the years. It expressed its anguish over a increasing pattern of witnesses turning hostile under duress and intimidation that was resulting in a complete collapse of prosecutions in cases of grave and heinous offences.

25. Decades later, in 1996, the 154th Report of the Law Commission on the Code of Criminal Procedure lamented that, although “witnesses are the most important factor in the criminal justice system” yet, there exists no law “for protecting them from harassment or threats”. It stressed that “unless the witnesses are protected, it would be difficult to expect them to come forward and depose truthfully.”

26. A witness who is unable to depose freely is a liability, not an asset, to the system. A criminal justice system that cannot protect its witnesses cannot protect its citizens. A fair trial is not only the right of the accused but also of the victim and of society. The right to a fair trial is meaningless if the witnesses cannot come forward to depose without fear.

27. The Malimath Committee Report on Reforms of Criminal Justice System in 2003 expressed its concerns over how witnesses were being threatened and lured, particularly by accused persons enlarged on bail, which had the domino effect of many of them turning hostile. It observed that protection of witnesses, is the duty of the State for without them, there can be no justice.

28. Several other reports of the Law Commission and other committees, time and again reiterated the growing need for a comprehensive framework on witness protection, and made a slew of recommendations for protecting witnesses not only from external threats but also from re-victimisation within the courtroom.

29. The 198th Report of the Law Commission in 2006, titled “Witness Identity Protection and Witness Protection Programmes”, earmarked a watershed moment that emphatically asserted the pressing need for witness protection to enable them to depose without fear and to ensure that trials continue remain fair and not a farce. It recommended a comprehensive cohort of measures for eradicating or neutralizing the effects of threats, intimidation and harassment that have entered the minds of the witnesses (emphasis).

30. It was against this backdrop of reports, committee recommendations, and catena of decisions of this Court, that the Ministry of Home Affairs, formulated the draft Witness Protection Scheme, 2018. However, the scheme assumed the force of law, only after the decision in the case of Mahender Chawla v. Union of India, reported in (2019) 14 SCC 615, wherein this Court whilst recognizing that the Right to Fair Trial encompassed within its ambit the right of witnesses to depose fearlessly and without intimidation, exercised its powers under Article 142 to declare the draft Witness Protection Scheme as operative and binding.

The Witness Protection Scheme, 2018 is Curative in Nature

31. The reason for us to exhaustively discuss the legislative history, and the longstanding push by the various committees over a significant period of years for a witness protection scheme is to lay emphasis that, the promulgation of the Witness Protection Scheme, was not conceived as an alternative or substitute for the existing considerations or conditions for the grant or cancellation of bail, already enshrined in Section(s) 437 and 439 of the Cr.P.C., respectively.

32. The principle that individual liberty of accused and undertrial can be curtailed to ensure that his conduct does not interfere with the course of criminal justice existed even before the first report of the Law Commission in 1958, that emphatically urged the pressing need for formulation of a witness protection scheme. Rather, as already discussed in the aforesaid, this push for a witness protection scheme gained momentum due to the alarming increase in the instances of witnesses turning hostile on account of threats, intimidation, and harassment, despite the sweeping provisions on cancellation of bail, if an accused person attempts to contact any of the witness.

33. In this regard, few observations of some of the committees is instructive. The 4th Report of the National Police Commission, as far back as 1980, had noted that the “existing provisions regarding cancellation of bail are wholly insufficient to reassure witnesses who face social and economic pressures beyond the courtroom.” On similar lines, the Malimath Committee observed that despite bail cancellations and penal provisions, “witnesses turn hostile because the system does not provide them the protective shield necessary to resist intimidation.” The Law Commission in its 154th Report remarked that “the menace of intimidation has assumed dimensions far beyond the reach of provisions relating to bail and cancellation”.

34. The aforesaid observations underscore that a dedicated scheme on witness protection was a result of the imperative need to secure testimony, due to the psychological complexities of witness vulnerability, that the law on bail could not by itself address. If the witnesses are not able to depose freely, justice itself will be a casualty.

35. In Zahira Habibullah Sheikh (supra) this Court succinctly explained that while courts may cancel bail or issue directions restraining the accused, “the majesty of the law is eroded if witnesses are not protected and are driven to silence by intimidation.” The emphasis was not merely on the formal power of the court to act against the accused, but on the lived reality of the witness who must continue to reside in the shadow of fear. Cancellation of bail could not remove that fear; only protection could.

36. The true purpose of the Witness Protection Scheme is to eradicate the corrosive effect that intimidation and threats, whether overt or covert, have upon the witness's ability to speak the truth fearlessly. It is to address the insidious psychological impact on the minds of witnesses and eliminate the climate of fear, that may cloud the testimony of the witnesses during trial.

37. There is a fine but pertinent distinction between the grant of bail and its cancellation on the ground of violation of the conditions of bail order and the affording of protection to a witness under the Scheme.

38. The Witness Protection Scheme is a remedial and curative measure, designed to neutralise the effects of threats once they have materialised. Bail cancellation, on the other hand, is a preventive and supervisory function of the criminal court, whose very duty it is to ensure that the trial proceeds unpolluted by intimidation. The former is a positive obligation of the State, whereas the latter is judicial in nature, flowing from the inherent power of the courts to ensure that justice is done under its watch.

39. The existence of a Witness Protection Scheme can by no stretch be a consideration to decline to cancel the bail, even when there is prima- facie material indicating that the accused administered threats or caused intimidation to the witnesses. To substitute one for the other is to denude the court of its authority and render the provisions of bail cancellation otiose and thereby make a mockery of the conditions imposed while granting bail. As then there could be no meaningful or reason for imposition of conditions for grant of bail, if its violation, that has the potency to pollute the streams of justice is simpliciter brushed aside on the pretext of some form of alternative remedy.

40. Bail is not to be understood merely as a mechanical order releasing a person from custody; it is, in substance, a judicial recognition that liberty is the norm and detention an exception, subject however to the overriding imperative that liberty should not be abused to thwart the course of justice. This Court in *Gudikanti Narasimhulu v. Public Prosecutor, A.P.* reported in (1978) 1 SCC 240 and a catena of other decisions has emphasised that the discretion of granting bail is guided by considerations of likelihood of abscondence, tampering of evidence, and intimidation of witnesses.

41. When bail is granted, it is not an untrammelled licence to act as one pleases. The conditions imposed under Section(s) 437 sub-section (3) or 439 sub-section (2) of the Cr.P.C. are not mere ad-libs, they constitute substantive obligations upon the accused as-well as the courts granting the bail. The grant of bail is not a mere release but a conditional liberty. Before enlarging the accused on bail, the court is required to impose such conditions as necessary to meet the ends of justice and ensure a fair trial. Even after the release of the accused person, the court retains the duty of supervision to revoke bail upon breach of the conditions on which the accused was released.

42. Violation of those conditions is a ground for cancellation of bail as a matter of duty enjoined upon the court who whilst enlarging the infracting accused on bail, allowed such violation to ensue under its watch.

43. As held in *State v. Captain Jagjit Singh* reported in AIR 1962 SC 253 the considerations relevant for bail are not only with reference to the accused but also with reference to the larger interests of the public and the State.

44. The courts cannot abdicate its role on the pretext that since the State has a scheme for protecting witnesses, we shall not exercise our jurisdiction to cancel bail even though conditions have been violated.

45. The Witness Protection Scheme is applicable to offences which are punishable with death or life imprisonment or an imprisonment up to seven years and above and also offences punishable under Section(s) 354, 354A, 354B, 354C, 354D and 509 of the I.P.C., respectively. The protection granted by the Scheme is limited, it does not address concerns of persons who are witness to offences other than the aforesaid. Whereas the net effect of cancellation of bail, when the accused person so released, violated any of the conditions imposed therein is two folds; first, it is a preventive and corrective measure aimed at ensuring that such infractions which have the propensity to seriously undermine a particular prosecution, is adequately prevented from happening again in the near future, by nipping in the bud, the root cause of such actions, and secondly, it is a measure that the courts are empowered to undertake, in view of the peculiar facts of each case and the attending circumstances, and is not confined to any particular threshold of offences or nature of witnesses, etc., it is the general sweeping powers of the court as the sentinel on qui vive and the custodian of the sword of justice.

46. The scope of the Scheme reflects its objective, that a witness to an offence must be able to depose before the court without fear or intimidation. At the same time, it acknowledges that the decision to extend protection is inherently subjective, to be taken upon a careful assessment of the vulnerability of the witness and the seriousness of the threat perception (emphasis). The same reads as under: -

“Scope of the Scheme:

Witness Protection may be as simple as providing a police escort to the witness up to the Courtroom or using modern communication technology (such as audio video means) for recording of testimony. In other more complex cases, involving organised criminal group, extraordinary measures are required to ensure the witness's safety viz. anonymity, offering temporary residence in a safe house, giving a new identity, and relocation of the witness at an undisclosed place. However, Witness protection needs of a witness may have to be viewed on case to case basis depending upon their vulnerability and threat perception.” (Emphasis supplied)

47. From a bare perusal of the Scheme, it is evidence that the considerations for when the recourse to the Scheme may be taken by any witness is not contingent upon violation of a condition imposed on an accused during grant of bail or even during its pendency. This Court has time and again cautioned that due to the non- implementation of the scheme, many witnesses succumb to hostility.

48. In *Hari v. State of U.P.* reported in (2021) 17 SCC 111, this Court lamented that had the Witness Protection Scheme been implemented when the witnesses were deposing evidence in the said case, they would not have turned hostile. What needs to be noted here is that the scheme is merely for the protection of the witness, and it casts a positive obligation on the State machinery to ensure that a fair trial takes place. But to outrightly treat it as a ground to deny cancellation of bail is entirely erroneous.

49. In *Munilakshmi v. Narendra Babu* reported in 2023 SCC OnLine SC 1380, this Court cancelled the bail of the respondent as the principal witnesses to the trial turned hostile while the respondent was on bail. This Court noted that a vital witness had made a “sudden summersault” in her stance and the same cannot be detached from the allegations made against the respondent of hiring goons, etc. This Court noted that when glaring and overwhelming circumstances come under the notice of the court which reflect upon the misuse of concession of bail, it becomes an imperative upon the court to cancel the bail. This Court concluded that the respondent had the potential to influence the witnesses slated to depose against him. This Court also noted that in such situations the remedies in law for courts are either to cancel the bail so tendered or to recall such witness. In the following paragraphs, reproduced below this Court explained the importance of witnesses during prosecution and the factors which lead to their hostility: -

“26. A major challenge before this Court is to ensure a fair trial amidst the hostility of witnesses. Undoubtedly, witnesses play a very vital role in bringing justice home, especially in the adversarial system of court trials where the onus lies on the prosecution to prove the guilt of the accused by bringing persons acquainted with the facts before the courts of justice. Their testimony determines the fate of a trial before the court of law, without which the court would be like a sailor in an ocean sans the radar and the compass.[Mohd. Ashraf, ‘Peculiarities of Indian Criminal Justice System Towards Witnesses : An Analysis’ (2018) 26 ALJ 64.] If a witness turns hostile for extenuating reasons and is reluctant to depose the unvarnished truth, it will cause irreversible damage to the administration of justice and the faith of the society at large in the efficacy and credibility of the criminal justice system will stand eroded and shattered.

27. This Court in *Ramesh v. State of Haryana* [(2017) 1 SCC 529] has illustratively explained the reasons behind the witnesses retracting their statements before the Court and turning hostile. These include : (i) threat/intimidation; (ii) inducement by various means; (iii) use of muscle and money power by the accused; (iv) use of stock witnesses; (v) protracted trials; (vi) hassles faced by the witnesses during investigation and trial; and (vii) nonexistence of a robust legislative mechanism to check hostility of witnesses.

Amongst these reasons, the ‘threat’ and ‘intimidation’ of the witnesses have always been a matter of serious concern amongst all the stakeholders.”

50. What we want to convey is that the scheme is not an answer for every form of threat or intimidation that a witness is subjected to. In fact, if we are to go by the bare provisions of the scheme the real quotient of danger that an accused is capable of exhibiting does not even figure out. There is nothing in the entire scheme that is aimed at preventing the accused person or anyone else, as the case may be, from going around administering threats or causing intimidation to the witnesses. If we are to comment on the scheme, it offers protection to witnesses of heinous crimes and crimes against women, which, with all humility, is a very myopic view to societal realities, in our view. More importantly, a straitjacket formula to witness protection is neither possible nor endeavoured. In *NHRC v. State of Gujarat* reported in (2009) 6 SCC 767, this Court pointed out that it would not be proper to give any general directions for witness protection, as the facts of each case would require unique measures to assure that the witnesses' right to testify safely is secured.

51. While the scheme creates an executive mechanism in pursuance of which the relevant authorities make the requisite measures for the protection of the witnesses, in no way does the obligations of the courts of law stand delegated. The standards applied in a case of seeking witness protection and cancellation of bail will be entirely on different levels. To ask a witness, on whose presence the fine thread of a fair trial rests, to run from pillar to post is grossly unjust.

52. Thus, the purpose of the Scheme is to ensure that witnesses, who are the eyes and ears of justice, are not reduced to silence or falsehood by threats that invade their psyche. It does not displace or dilute the established jurisprudence of bail; rather, it works alongside it, providing a protective canopy so that the existing provisions can operate in an environment where witnesses are free to testify. This duality is essential, as the law on bail restrains the accused through conditions, and prevents any further infractions of intimidation by cancellation of bail while the Witness Protection Scheme eradicate the invisible yet potent influence of fear, intimidation or threat, that are the consequences of the threats made by the accused persons to maintain the sanctity of trial.

53. Fair Trial requires earnest initiative, on the part of both the State that represents the collective conscience of society against crimes, and the courts acting as sentinel on the qui vive to secure that truth is not suppressed, nor justice subverted, by any external interference. It is in this light that the Witness Protection Scheme must be understood in the context of provisions on grant or cancellation of bail Principles governing Cancellation of Bail

54. The law on cancellation of bail is well settled through a plethora of decisions of this Court.

55. In *P v. State of M.P.* reported in (2022) 15 SCC 211 this Court held that the grant of bail is always conditional and may be subject to cancellation, if after the grant of the same there is any supervening circumstances that impedes fair trial.

“23. In a recent decision of a three-Judge Bench of this Court in *Imran v. Mohd. Bhava* [*Imran v. Mohd. Bhava*, (2022) 13 SCC 70] it has been held as follows:

“20. Indeed, it is a well-established principle that once bail has been granted it would require overwhelming circumstances for its cancellation. However, this Court in its

judgment in *Vipan Kumar Dhir v. State of Punjab* [*Vipan Kumar Dhir v. State of Punjab*, (2021) 15 SCC 518] has also reiterated, that while conventionally, certain supervening circumstances impeding fair trial must develop after granting bail to an accused, for its cancellation by a superior court, bail, can also be revoked by a superior court, when the previous court granting bail has ignored relevant material available on record, gravity of the offence or its societal impact.

It was thus observed :

‘9. ... Conventionally, there can be supervening circumstances which may develop post the grant of bail and are non-

conducive to fair trial, making it necessary to cancel the bail. This Court in *Dolat Ram v. State of Haryana* [*Dolat Ram v. State of Haryana*, (1995) 1 SCC 349 : 1995 SCC (Cri) 237] observed that:

“4. Rejection of bail in a non-bailable case at the initial stage and the cancellation of bail so granted, have to be considered and dealt with on different basis. Very cogent and overwhelming circumstances are necessary for an order directing the cancellation of the bail, already granted. Generally speaking, the grounds for cancellation of bail, broadly (illustrative and not exhaustive) are : interference or attempt to interfere with the due course of administration of justice or evasion or attempt to evade the due course of justice or abuse of the concession granted to the accused in any manner. The satisfaction of the court, on the basis of material placed on the record of the possibility of the accused absconding is yet another reason justifying the cancellation of bail. However, bail once granted should not be cancelled in a mechanical manner without considering whether any supervening circumstances have rendered it no longer conducive to a fair trial to allow the accused to retain his freedom by enjoying the concession of bail during the trial.”

10. These principles have been reiterated time and again, more recently by a three-

Judge Bench of this Court in *X v. State of Telangana* [*X v. State of Telangana*, (2018) 16 SCC 511 : (2020) 1 SCC (Cri) 902].

11. In addition to the caveat illustrated in the cited decision(s), bail can also be revoked where the court has considered irrelevant factors or has ignored relevant material available on record which renders the order granting bail legally untenable. The gravity of the offence, conduct of the accused and societal impact of an undue indulgence by Court when the investigation is at the threshold, are also amongst a few situations, where a Superior Court can interfere in an order of bail to prevent the miscarriage of justice and to bolster the administration of criminal justice system...’ xxx xxx xxx

23. Thus, while considering cancellation of bail already granted by a lower court, would indeed require significant scrutiny at the instance of superior court, however, bail when granted can always

be revoked if the relevant material on record, gravity of the offence or its societal impact have not been considered by the lower court. In such instances, where bail is granted in a mechanical manner, the order granting bail is liable to be set aside. Moreover, the decisions cited hereinabove, enumerate certain basic principles which must be borne in mind when deciding upon an application for grant of bail. Thus, while each case has its own unique factual matrix, which assumes a significant role in determination of bail matters, grant of bail must also be exercised by having regard to the abovementioned well-settled principles.”

24. As can be discerned from the above decisions, for cancelling bail once granted, the court must consider whether any supervening circumstances have arisen or the conduct of the accused post grant of bail demonstrates that it is no longer conducive to a fair trial to permit him to retain his freedom by enjoying the concession of bail during trial [Dolat Ram v. State of Haryana, (1995) 1 SCC 349 : 1995 SCC (Cri) 237] . To put it differently, in ordinary circumstances, this Court would be loathe to interfere with an order passed by the court below granting bail but if such an order is found to be illegal or perverse or premised on material that is irrelevant, then such an order is susceptible to scrutiny and interference by the appellate court.” (Emphasis supplied)

56. This Court then summed up the principles or circumstance governing the cancellation of bail as under: -

“25. Some of the circumstances where bail granted to the accused under Section 439(1)CrPC can be cancelled are enumerated below:

- (a) If he misuses his liberty by indulging in similar/other criminal activity;
- (b) If he interferes with the course of investigation;
- (c) If he attempts to tamper with the evidence;
- (d) If he attempts to influence/threaten the witnesses;
- (e) If he evades or attempts to evade court proceedings;
- (f) If he indulges in activities which would hamper smooth investigation;
- (g) If he is likely to flee from the country;
- (h) If he attempts to make himself scarce by going underground and/or becoming unavailable to the investigating agency;
- (i) If he attempts to place himself beyond the reach of his surety.
- (j) If any facts may emerge after the grant of bail which are considered unconducive to a fair trial.

We may clarify that the aforesaid list is only illustrative in nature and not exhaustive.” (Emphasis supplied)

57. The governing principle is that if the accused tampers with evidence, threatens witnesses, or attempts to subvert the trial, the indulgence of bail is to be withdrawn. It is a recognition that liberty is conditional, not absolute, and subject always to the larger interest of ensuring a fair trial. Considerations for cancellation of bail must always be on the basis of the well settled principles as discussed aforesaid. There cannot be any extraneous considerations involved that are unknown to the law of bails.

58. At the same time, emphasis has to be laid that cancellation of bail occupies a distinct space in the criminal justice machinery. Cancellation intervenes at the stage of violation, to prevent recurrence. In State through Delhi Administration v. Sanjay Gandhi reported in (1978) 2 SCC 411, this Court underscored that tampering with witnesses constitutes a cogent ground for cancellation, for the “opportunity of being on bail cannot be permitted to be abused for the purpose of thwarting the course of justice.” Similarly, in Raghubir Singh v. State of Bihar reported in (1986) 4 SCC 481, it was reiterated that intimidation of witnesses is sufficient to revoke the liberty granted. It must be guided by the lodestar of preventing interference with witnesses that “strikes at the root of the rule of law.”

59. Thus, the considerations that must weigh with the court for setting aside the bail order on an application being moved by the aggrieved party include any supervening circumstances that might have occurred after granting relief to the accused, the conduct of the accused while on bail, any attempt on the part of the accused to procrastinate, resulting in delaying the trial, any instance of threats being extended to the witnesses while on bail, any attempt on the part of the accused to tamper with the evidence in any manner etc. The Practice prevailing in the Allahabad High Court

60. Before, we close this matter, we must address ourselves on one very important aspect that has come to our notice. We have come across a catena of orders from the Allahabad High Court proceeding on an incorrect assumption of the law, more particularly that the Witness Protection Scheme is a substitute for cancellation of bail. According to the High Court it is an alternative remedy. We are at pains to note that we came across at least forty recent orders, that have been passed in the last one year alone, as per the records available from the official website of the Allahabad High Court, which are as under: -

S. No.	Details of the Case	Date of Order
1.	Shaym Manohar v. State of U.P.	29.08.2025

Crl. Misc. Bail Cancellation Application No.

2. Amar Nath v. State of U.P. & Anr. 28.08.2025 Crl. Misc. Bail Cancellation Application No.

3. Dharmendra Kumar Kesarwani v. State of U.P. 01.08.2025 & Anr.

Crl. Misc. Bail Cancellation Application No.

4. Ram Narayan Pandey v. State of U.P. 14.07.2025 Crl. Misc. Bail Cancellation Application No.
5. Saumya Singh v. State of U.P. & Anr. 10.07.2025 Crl. Misc. Bail Cancellation Application No.
6. Meena Devi v. State of U.P. 09.05.2025 Crl. Misc. Bail Cancellation Application No.
7. Qadir Husain v. State of U.P. & Anr. 07.07.2025 Crl. Misc. Bail Cancellation Application No.
8. Pankaj Dubey v. State of U.P. & Anr. 07.07.2025 Crl. Misc. Bail Cancellation Application No.
9. Shiv Ganesh v. State of U.P. & Ors. 03.07.2025 Crl. Misc. Bail Cancellation Application No.
10. Arun Kumar Singh v. State of U.P. 02.07.2025 Crl. Misc. Bail Cancellation Application No.
11. Ashish Kumar Aggarwal v. State of U.P. & Ors. 01.07.2025 Crl. Misc. Bail Cancellation Application No.
12. Ashif v. State of U.P. & Anr. 08.05.2025 Crl. Misc. Bail Cancellation Application No.
13. Rajesh Makan v. State of U.P. & Anr. 08.05.2025 Crl. Misc. Bail Cancellation Application No.
14. Bakelal v. State of U.P. & Anr. 07.05.2024 Crl. Misc. Bail Cancellation Application No.
15. Sri Krishna v. State of U.P. & Anr. 01.05.2025 Crl. Misc. Bail Cancellation Application No.
16. Dharmendra Kumar Kesarwani v. State of 30.04.2025 U.P.& Ors.
Crl. Misc. Bail Cancellation Application No.
17. Priya Rana v. State of U.P. & Anr. 30.04.2025 Crl. Misc. Bail Cancellation Application No.
18. Ram Milan v. State of U.P. & Ors. 30.04.2025 Crl. Misc. Bail Cancellation Application No.
19. Smt. Reena Yadav v. State of U.P. & Anr. 30.04.2025 Crl. Misc. Bail Cancellation Application No.
20. Saumya Singh v. State of U.P. & Anr. 25.04.2025 Crl. Misc. Bail Cancellation Application No.
21. Archarya Mahant Vivek Das v. State of U.P. & 23.04.2025 Anr.
Crl. Misc. Bail Cancellation Application No.
22. Dhanmani Devi v. State of U.P. & Ors. 22.04.2025 Crl. Misc. Bail Cancellation Application No.
23. Shyam Manohar v. State of U.P. & Ors. 29.08.2025 Crl. Misc. Bail Cancellation Application No.

24. Aleem v. State of U.P. & Anr. 28.08.2025 Crl. Misc. Bail Cancellation Application No.
25. Sadar Mohd Khan v. State of U.P. & Anr. 01.08.2025 Crl. Misc. Bail Cancellation Application No.
26. Ikbal Jahan v. State of U.P. & Anr. 08.05.2025 Crl. Misc. Bail Cancellation Application No.
27. Maina Devi v. State of U.P. & Anr. 01.08.2025 Crl. Misc. Bail Cancellation Application No.
28. Smt. Rajmati Devi v. State of U.P. & Anr. 03.07.2025 Crl. Misc. Bail Cancellation Application No.
29. Arvind Singh v. State of U.P. & Anr. 09.05.2025 Crl. Misc. Bail Cancellation Application No.
30. Smt. Pooja Sharma v. State of U.P. & Anr. 08.05.2025 Crl. Misc. Bail Cancellation Application No.
31. Nagendra Singh Yadav v. State of U.P. & Anr. 21.04.2025 Crl. Misc. Bail Cancellation Application No.
32. Mishri Lal Nishad v. State of U.P. & Anr. 23.04.2025 Crl. Misc. Bail Cancellation Application No.
33. Shivom Sharma v. State of U.P. & Anr. 30.04.2025 Crl. Misc. Bail Cancellation Application No.
34. Shivpujan Pandey v. State of U.P. & Anr. 30.04.2025 Crl. Misc. Bail Cancellation Application No.
35. Sikander Patel v. State of U.P. & Anr. 02.05.2025 Crl. Misc. Bail Cancellation Application No.
36. Nankoo Bind v. State of U.P. & Anr. 01.05.2025 Crl. Misc. Bail Cancellation Application No.
37. Gulshnover v. State of U.P. & Anr. 15.07.2025 Crl. Misc. Bail Cancellation Application No.
38. Mubarak Husain v. State of U.P. & Anr. 25.04.2025 Crl. Misc. Bail Cancellation Application No.
39. Shiv Singh v. State of U.P. & Anr. 24.04.2025 Crl. Misc. Bail Cancellation Application No.
40. Raju v. State of U.P. & Anr. 21.04.2025 Crl. Misc. Bail Cancellation Application No.

61. All of the above orders are a verbatim copy of each other. We are dismayed to note that the aforesaid practice of passing cyclostyled template orders has been in vogue past more than two years. The most disturbing feature of all these orders passed is that the Public Prosecutor instead of assisting the learned Judge in the right direction by pointing out the correct position of law, has instead himself urged that the witness or complainant be relegated to avail remedy under the Witness Protection Scheme rather than seeking cancellation of the bail of the accused person, who administered threats and caused intimidation to the witness, in violation of the conditions of his bail

order. We deprecate this practice.

62. In such circumstances, referred to above, we set aside the impugned order passed by the High Court and remand the matter to the High Court with a direction to rehear the application for cancellation of bail on its own merits, after calling for an appropriate report from the Investigating Officer as regards the two FIRs which have been registered by Chahat Ram i.e. one of the witnesses in the said case.

63. After giving an opportunity of hearing to all the Parties concerned and looking into the report that the High Court may call for from the I.O., the High Court shall proceed thereafter to pass an appropriate order in accordance with law.

64. Let the entire exercise as aforesaid be undertaken at the earliest, and an appropriate order be passed within a period of four weeks from today.

65. With the aforesaid, this appeal stands disposed of.

66. Pending application(s), if any, stand disposed of.

67. The Registry is directed to circulate one copy each of this order to all the High Courts. The Registry is further directed to forthwith send a copy of this order to the Hon'ble Chief Justice of the Allahabad High Court.

..... J.

(J.B. Pardiwala) J.

(Sandeep Mehta) New Delhi 02nd September,2025.

M/S Triveni Engineering And Industries ... vs The State Of Uttar Pradesh on 1 September, 2025

2025 INSC 1060

REPORTABLE

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NOS. 8119-8120 OF 2022

M/S. TRIVENI ENGINEERING
AND INDUSTRIES LTD.

APPELLANT(S)

VERSUS

STATE OF UTTAR PRADESH
& ORS.

RESPONDENT(S)

JUDGMENT

UJJAL BHUYAN, J.

These two civil appeals filed under Section 22 of the National Green Tribunal Act, 2010 are directed against orders dated 15.02.2022 and 16.09.2022 passed by the National Green Tribunal, Principal Bench, New Delhi ('NGT' for short) in Original Application No. 71/2021 (Chandra Shekhar Vs. State of Uttar Pradesh).

2. By the order dated 15.02.2022, NGT held that the project proponent (appellant herein) had violated the environmental norms which included illegal disposal of untreated effluent, dilution at outlet with fresh water to conceal real status, absence of flow meter at boiler/mill house to avoid monitoring, absence of record of oil and grease stored and absence of Effluent Treatment Plant (ETP) logbook. Thereafter, NGT observed that the joint committee needed to assess the past violations and recover compensation in accordance with law having regard to the nature of the violation, period of violation, cost of remediation and turnover of the project proponent (appellant). The joint committee was directed to submit a supplementary report in this regard. 2.1. By the second order dated 16.09.2022, NGT considered the supplementary report filed by the joint committee on 10.08.2022 and held that compensation of Rs. 18 crores at the rate of 2 percent of annual turnover would be justified. It was directed that the amount may be deposited by the project proponent (appellant) with the District Magistrate, Muzaffarnagar, within one month to be utilized for restoration of the environment.

3. At the outset, a brief recital of facts is considered necessary.

4. Appellant i.e. M/s. Triveni Engineering and Industries Limited is a public limited company incorporated under the Companies Act, 1956. It is engaged in diverse business activities including manufacture of sugar. It is stated that appellant has seven sugar manufacturing units across the State of Uttar Pradesh.

4.1. In the year 1952, appellant under its earlier name, Ganga Sugar Corporation Limited, which was incorporated under the Companies Act, 1913, had acquired the sugar manufacturing unit at village Sheikhpura, Khatauli, Muzaffarnagar District in the State of Uttar Pradesh (sugar mill). It is stated that the sugar mill is a functional unit, having all the necessary permissions as required under the applicable statutes.

4.2. It appears from the record that in the month of March, 2021, respondent No. 2 filed a complaint before the NGT which was registered as Original Application No. 71/2021 (O.A. No. 71/2021) alleging that the sugar mill of the appellant was discharging untreated waste in a particular drain resulting in contamination of ground water in an area of about one and a half kilometer around the sugar mill having depth upto 50 metres.

4.3. By order dated 22.03.2021, NGT constituted a joint committee of Central Pollution Control Board (CPCB), Uttar Pradesh Pollution Control Board (UPPCB) and District Magistrate (DM), Muzaffarnagar. The joint committee was directed to conduct inspection and thereafter to file status report within two months.

4.4. It appears that the sugarcane crushing season for the year 2020-21 came to an end on 22.05.2021. Joint committee in its report dated 02.07.2021 stated that because of various reasons including conclusion of the sugarcane crushing season and the sugar mill remaining closed on account of the covid pandemic, inspection could not be carried out and prayed for further time to carry out fresh inspection.

4.5. Thereafter, regional office of UPPCB, Muzaffarnagar carried out inspection of the sugar mill and the area around it on 13.09.2021 and observed that no contamination was found in the ground water samples. However, it was observed that further investigation could be carried out when the industry become operational during the next crushing season.

4.6. O.A. No. 71/2021 was heard on 21.09.2021. NGT on perusal of the report declared that it was not satisfied with the stand of the State PCB. NGT was of the view that there was no justification for carrying out inspection when the sugar mill was not functional due to off season. NGT, therefore, directed the joint committee to conduct inspection when the unit was functional and thereafter to furnish a report to it on or before 15.12.2021. It was clarified that the report should indicate status of compliance with the standards as prior to the season, quality of treated effluence and utilization as per protocol/agreement with the users/farmers, further indicating that it should be mentioned whether effluents were reaching any drain leading to river/waterbody with direction to check the quality of ground water as per parameters relevant to the industry in question, particularly fluoride

etc. Reference was made to an order dated 01.09.2021 passed by the NGT in O.A. No. 539/2019 (Adil Ansari Vs. M/s. Dhampur Sugar Mills Limited) wherein it was directed that ETPs must continue to run for maintenance of bio-mass even during the off season.

4.7. Pursuant to the aforesaid order dated 21.09.2021, the joint committee conducted inspection on 08.12.2021 and submitted report dated 11.01.2022. After extensively referring to the observations, conclusions and recommendations of the joint committee, NGT passed the first impugned order dated 15.02.2022 observing that the report showed violation of the environmental norms by the project proponent (appellant), such as, illegal disposal of untreated effluents etc. while stating that such violation was required to be remedied in terms of the recommendations made in the report. For the past violations, the joint committee was directed to assess the compensation in accordance with law, having regard to the nature of violation, period of violation, cost of remediation and turn over of the project proponent. Joint committee was further directed to submit a supplementary report with copy to the project proponent (appellant) for its response.

4.8. Pursuant to the aforesaid directions, supplementary report was filed by the joint committee on 10.08.2022 whereafter the matter was taken up for hearing on 16.09.2022. NGT recorded that no response was filed by the project proponent (appellant). NGT referred to the report which mentioned that compensation amounts to Rs. 34,20,000.00 for 114 days of violation at the rate of Rs. 30,000.00 per day which works out to Rs. 18 crores at the rate of 2 percent of the annual turnover of Rs. 900 crores. After hearing the learned counsel for the UPPCB, NGT was of the view that having regard to the established illegal discharge of untreated effluents, dilution at the outlet to conceal the real status, absence of monitoring, absence of record of oil and grease stored and ETP logbook, compensation of Rs. 18 crores at the rate of 2 percent of annual turnover would be justified. It was ordered vide the second impugned order dated 16.09.2022 that the compensation recovered may be utilized for restoration of the environment. Project proponent (appellant) was directed to deposit the aforesaid amount with the District Magistrate, Muzaffarnagar within one month. The compensation amount was directed to be utilized within six months in terms of the action plan to be prepared by the joint committee, clarifying that UPPCB would be the nodal agency for coordination and compliance.

5. Aggrieved by the aforesaid orders dated 15.02.2022 and 16.09.2022, appellant has preferred the related appeals. By order dated 02.11.2022, permission to file appeal was granted and delay was condoned. Thereafter, notice was issued. This Court also passed an interim order staying the operation of the impugned orders dated 15.02.2022 and 16.09.2022 so far as imposing compensation on the appellant.

6. Learned senior counsel for the appellant submits that the impugned orders dated 15.02.2022 and 16.09.2022 are non est in the eye of law in as much as those orders were passed by the NGT in complete violation of the principles of natural justice. Though the entire allegations in O.A. No. 71/2021 were directed against the appellant and though the impugned orders have adversely affected the appellant yet appellant was not made a party to the proceedings in O.A. No. 71/2021. NGT failed to appreciate that the appellant was a necessary party and without issuing notice and giving opportunity of hearing to the appellant, no adverse order against the appellant such as the

ones dated 15.02.2022 and 16.09.2022 could have been passed. That being the position, not only the impugned orders but also the entire proceedings in O.A. No. 71/2021 being in absolute violation of the principle of audi alteram partem are liable to be set aside and quashed on this ground alone.

6.1. Learned senior counsel asserts that no opportunity of hearing, not to speak of any fair opportunity of hearing, was afforded to the appellant before rendering the findings vide the impugned orders dated 15.02.2022 and 16.09.2022. 6.2. Adverting to the reports of the joint committee dated 11.01.2022 and 10.08.2022, learned senior counsel submits that findings recorded in the reports are scientifically not possible. Those are materially different from the readings shown by the data retrieved and recorded by the inspection team during the inspection on 08.12.2021. The joint committee relied upon the reports prepared by third party laboratories which were based on erroneous data. As a result, there are glaring contradictions in the above reports. 6.3. Learned senior counsel also questioned the methodologies adopted by the joint committee in carrying out the inspection and thereafter in submitting the reports. According to him, NGT and the joint committee gave a complete go-bye to the procedure laid down under Sections 21 and 22 of the Water (Prevention and Control of Pollution) Act, 1974. That apart, the reports of the joint committee suffered from factual mistakes in as much as appellant has been maintaining ETP logbook at all times which were provided to the joint committee officials when they had visited the sugar mill for inspection. Likewise, boiler ash records were also maintained. Had an opportunity of hearing being given to the appellant, it could have explained its position qua the joint committee reports. NGT accepted the erroneous reports of the joint committee without subjecting the same to further scrutiny by permitting the appellant to have its say in the matter.

6.4. Learned senior counsel also referred to the provisions of Section 19(1) of the National Green Tribunal Act, 2010 which states that though the NGT shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908, it shall be guided by the principles of natural justice. There is clear infraction of Section 19(1) of the National Green Tribunal Act, 2010 in the present case which has vitiated the impugned orders.

6.5. Summing up his arguments, learned senior counsel submitted that the impugned orders are wholly untenable in law as well as on facts and those are as such liable to be set aside.

7. Learned senior counsel for the respondents on the other hand has supported the impugned orders passed by the NGT. It is submitted that without treatment of the effluent, water was being discharged from the sugar mill of the appellant; the same was being released into the drain which has contaminated the ground water of the area in and around the sugar mill where about 10 to 15 thousand people reside. The entire population is thus exposed to the polluted water and resultant health hazards.

7.1. Learned senior counsel submits that NGT took cognizance of this alarming situation and constituted the joint committee to carry out necessary inspection. Joint committee carried out inspection in a scientific manner and thereafter submitted reports to the NGT. The reports being prepared by a committee of experts was rightly accepted by the NGT. Based on the observations and conclusions reached by the joint committee, NGT passed the impugned orders which calls for no

interference.

7.2. Learned senior counsel submits that principles of natural justice cannot be applied as a straight jacket formula. NGT was careful enough to direct the joint committee to furnish copies of its reports to the project proponent (appellant). Appellant was, therefore, very much aware of the contents of the two reports, yet it did not contest the same before the NGT. That being the position, the contentions advanced on behalf of the appellant are without any substance.

7.3. He finally submits that the civil appeals being devoid of merit are, therefore, liable to be dismissed.

8. Submissions made by learned counsel for the parties have received the due consideration of the Court.

9. At the outset, it would be apposite to refer to some of the relevant statutory provisions.

10. The Water (Prevention and Control of Pollution) Act, 1974 (briefly 'the Water Act' hereinafter) is an act to provide for the prevention and control of water pollution and the maintaining or restoring of wholesomeness of water, for the establishment with a view to carrying out the purposes aforesaid, of pollution control boards for the prevention and control of water pollution, for conferring on and assigning to such boards, powers and functions relating thereto and for matters connected therewith. Section 2 is the definition clause. Section 2(dd) defines 'outlet' to include any conduit, pipe or channel, open or closed, carrying sewage or trade effluent or any other holding arrangement which causes, or is likely to cause, pollution.

10.1. The expression 'pollution' is also defined. As per Section 2(e), 'pollution' means contamination of water. Section 2(e) reads thus:

"pollution" means such contamination of water or such alteration of the physical, chemical or biological properties of water or such discharge of any sewage or trade effluent or of any other liquid, gaseous or solid substance into water (whether directly or indirectly) as may, or is likely to, create a nuisance or render such water harmful or injurious to public health or safety, or to domestic, commercial, industrial, agricultural or other legitimate uses, or to the life and health of animals or plants or of aquatic organisms.

10.2. 'Sewage effluent' has been defined in Section 2(g) and means effluent from any sewerage system or sewage disposal works and includes sullage from open drains.

Section 2(gg) defines 'sewer' to mean any conduit pipe or channel, open or closed, carrying sewage or trade effluent. 10.3. 'Stream' has been defined in Section 2(j) and as per the said definition, stream includes:

- (i) river;
- (ii) water course (whether flowing or for the time

being dry);

(iii) inland water (whether natural or artificial);

(iv) sub-terranean waters;

(v) sea or tidal waters to such extent or, as the case may be, to such point as the State

Government may, by notification in the Official Gazette, specify in this behalf.

10.4. 'Trade effluent' has been defined in Section 2(k) in the following manner:

"trade effluent" includes any liquid, gaseous or solid substance which is discharged from any premises used for carrying on any industry, operation or process or treatment and disposal system, other than domestic sewage.

10.5. Section 21 of the Water Act is included in Chapter V which deals with prevention and control of water pollution.

Sub-section (1) of Section 21 empowers the State Pollution Control Board or any officer authorized by it to take samples of water from any stream or well or samples of any sewage or trade effluent which is passing from any plant or vessel or from or over any place into such stream or well for the purposes of analysis. Sub-section (2) however clarifies that the result of any analysis of a sample of any sewage or trade effluent taken under sub-section (1) shall not be admissible as an evidence in any legal proceedings unless the provisions of sub-sections (3), (4) and (5) are complied with. Sub-sections (1) and (2) of Section 21 are as follows:

21. Power to take samples of effluents and procedure to be followed in connection therewith. — (1) A State Board or any officer empowered by it in this behalf shall have power to take for the purpose of analysis samples of water from any stream or well or samples of any sewage or trade effluent which is passing from any plant or vessel or from or over any place into any such stream or well.

(2) The result of any analysis of a sample of any sewage or trade effluent taken under sub-section (1) shall not be admissible in evidence in any legal proceeding unless the provisions of sub-sections (3), (4) and (5) are complied with.

10.6. As noticed above, analysis of any sample of any sewage or trade effluent taken under sub-section (1) would not be admissible as a piece of evidence in any legal proceedings unless the procedure contemplated under sub-sections (3), (4) and (5) are complied with. Let us therefore take note of the provisions contained in sub-sections (3), (4) and (5) of Section 21 which are extracted as under:

* * * * * (3) Subject to the provisions of sub-sections (4) and (5), when a sample (composite or otherwise as may be warranted by the process used) of any sewage or trade effluent is taken for

analysis under sub-section (1), the person taking the sample shall—

(a) serve on the person in charge of, or having control over, the plant or vessel or in occupation of the place (which person is hereinafter referred to as the occupier) or any agent of such occupier, a notice, then and there in such form as may be prescribed of his intention to have it so analysed;

(b) in the presence of the occupier or his agent, divide the sample into two parts;

(c) cause each part to be placed in a container which shall be marked and sealed and shall also be signed both by the persons taking the sample and the occupier or his agent;

(d) send one container forthwith,—

(i) in a case where such sample is taken from any area situated in a Union Territory, to the laboratory established or recognised by the Central Board under Section 16; and

(ii) in any other case, to the laboratory established or recognised by the State Board under Section 17;

(e) on the request of the occupier or his agent, send the second container,—

(i) in a case where such sample is taken from any area situated in a Union Territory, to the laboratory established or specified under sub-section (1) of Section 51; and

(ii) in any other case, to the laboratory established or specified under sub-section (1) of Section 52.

(4) When a sample of any sewage or trade effluent is taken for analysis under sub-section (1) and the person taking the sample serves on the occupier or his agent, a notice under clause (a) of sub-section (3) and the occupier or his agent wilfully absents himself, then,—

(a) the sample so taken shall be placed in a container which shall be marked and sealed and shall also be signed by the person taking the sample and the same shall be sent forthwith by such person for analysis to the laboratory referred to in sub-clause (i) or sub-clause

(ii), as the case may be, of clause (e) of sub-section (3) and such person shall inform the Government analyst appointed under sub-section (1) or sub-section (2), as the case may be, of Section 53, in writing about the wilful absence of the occupier or his agent; and

(b) the cost incurred in getting such sample analysed shall be payable by the occupier or his agent and in case of default of such payment, the same shall be recoverable from the occupier or his agent, as the case may be, as an arrear of land revenue or of public demand:

Provided that no such recovery shall be made unless the occupier or, as the case may be, his agent has been given a reasonable opportunity of being heard in the matter.

(5) When a sample of any sewage or trade effluent is taken for analysis under sub-section (1) and the person taking the sample serves on the occupier or his agent a notice under clause (a) of sub-section (3) and the occupier or his agent who is present at the time of taking the sample does not make a request for dividing the sample into two parts as provided in clause (b) of sub-section (3), then, the sample so taken shall be placed in a container which shall be marked and sealed and shall also be signed by the person taking the sample and the same shall be sent forthwith by such person for analysis to the laboratory referred to in sub- clause (i) or sub-clause (ii), as the case may be, of clause

(d) of sub-section (3).

10.7. As can be seen from the above, the person who is taking the sample is required to serve on the person in charge of or having control over the plant or vessel etc. a notice of his intention to have the sample analyzed; take and divide the sample into two parts in the presence of the occupier or his agent. One container after being sealed and signed by both the persons taking the sample and the occupier or his agent is taken to the laboratory established or recognized by the pollution control board (whether central or state) and send the other container in the same manner to the laboratory established under Section 51(1) in case of a union territory and Section 52(1) in any other case. In case the occupier or his agent willfully absents himself from the aforesaid process, then the person taking the sample shall inform the government analyst in writing about the willful absence of the occupier or his agent.

10.8. Section 22 of the Water Act is concerned with reports of the result of analysis on samples taken under Section 21. Section 22 reads thus:

22. Reports of the result of analysis on samples taken under section 21.—(1) Where a sample of any sewage or trade effluent has been sent for analysis to the laboratory established or recognised by the Central Board or, as the case may be, the State Board, the concerned Board analyst appointed under sub-section (3) of Section 53 shall analyse the sample and submit a report in the prescribed form of the result of such analysis in triplicate to the Central Board or the State Board, as the case may be.

(2) On receipt of the report under sub-section (1), one copy of the report shall be sent by the Central Board or the State Board, as the case may be, to the occupier or his agent referred to in Section 21, another copy shall be preserved for production before the court in case any legal proceedings are taken against him and the other copy shall be kept by the concerned Board.

(3) Where a sample has been sent for analysis under clause (e) of sub-section (3) or sub-section (4) of Section 21, to any laboratory mentioned therein, the Government analyst referred to in that sub-section shall analyse the sample and submit a report in the prescribed form of the result of the analysis in triplicate to the Central Board or, as the case may be, the State Board which shall comply with the provisions of sub- section (2).

(4) If there is any inconsistency or discrepancy between, or variation in the results of, the analysis carried out by the laboratory established or recognised by the Central Board or the State Board, as the case may be, and that of the laboratory established or specified under Section 51 or Section 52, as the case may be, the report of the latter shall prevail.

(5) Any cost incurred in getting any sample analysed at the request of the occupier or his agent shall be payable by such occupier or his agent and in case of default the same shall be recoverable from him as arrears of land revenue or of public demand. 10.9. As is evident from the above, after a sample of any sewage or trade effluent is sent to the concerned laboratory, the competent analyst shall analyse the samples and submit a report in the prescribed form of the result of such analysis to the pollution control board. A copy of such report shall also be forwarded to the occupier or his agent. 10.10. Section 24 prohibits release or disposal of polluting matter into any stream or well or sewer or on land. Sub- section (1) of Section 24 is relevant and reads as under:

24. Prohibition on use of stream or well for disposal of polluting matter, etc.—(1)
Subject to the provisions of this section,—

(a) no person shall knowingly cause or permit any poisonous, noxious or polluting matter determined in accordance with such standards as may be laid down by the State Board to enter (whether directly or indirectly) into any stream or well or sewer or on land;

or

(b) no person shall knowingly cause or permit to enter into any stream any other matter which may tend, either directly or in combination with similar matters, to impede the proper flow of the water of the stream in a manner leading or likely to lead to a substantial aggravation of pollution due to other causes or of its consequences.

10.11. As per Section 43 of the Water Act, whoever contravenes the provisions of Section 24 shall be punishable with imprisonment for a term which shall not be less than one year and six months but which may extend to six years and with fine.

11. We now come to the Environment (Protection) Act, 1986 (briefly ‘the Environment Act’ hereinafter). It is an act to provide for the protection and improvement of environment and for matters connected therewith. Section 2(a) defines ‘environment’ in the following manner:

“environment” includes water, air and land and the inter-relationship which exists among and between water, air and land, and human beings, other living creatures, plants, micro-organism and property.

11.1. ‘Environmental pollutant’ has been defined in Section 2(b) to mean any solid, liquid or gaseous substance present in such concentration as may be, or tend to be, injurious to environment. ‘Environmental pollution’ is defined under Section 2(c)

and means the presence in the environment of any environmental pollutant. Section 2(f) defines 'occupier' in relation to any factory or premises, to mean a person who has control over the affairs of the factory or the premises and includes, in relation to any substance, the person in possession of the substance.

11.2. Sections 7, 8, 14A, 15 and 15A are included in Chapter III which deals with prevention, control and abatement of environmental pollution. Section 7 says that no person carrying on any industry, operation or process shall discharge or emit or permit to be discharged or emitted any environmental pollutant in excess of such standards as may be prescribed. Similarly, Section 8 says that no person shall handle or cause to be handled any hazardous substance except in accordance with such procedure and after complying with such safeguards as may be prescribed.

11.3. Section 14A has been introduced by way of an amendment in the year 2023 with effect from 01.04.2024. It provides for penalty in the event of contravention of Sections 7 and 8. Section 14A is extracted hereunder:

14A. Penalty for contravention of section 7 or section 8.—(1) If any person, contravenes provisions of Section 7 or Section 8 or the rules made thereunder, he shall be liable to penalty in respect of each such contravention, which shall not be less than one lakh rupees but which may extend to fifteen lakh rupees.

(2) Where any person continues contravention under sub-section (1), he shall be liable to additional penalty of fifty thousand rupees for every day during which such contravention continues.

11.4. Be it stated that Section 15 was also introduced in the Environment Act by way of the 2023 amendment with effect from 01.04.2024. Section 15 deals with penalty for contravention of the provisions of the Environment Act, rules, orders and directions. Section 15 reads thus:

15. Penalty for contravention of provisions of Act, rules, orders and directions.—(1) Where any person contravenes or does not comply with any of the provisions of this Act or the rules made or orders or directions issued thereunder for which no penalty is provided, he shall be liable to penalty in respect of each such contravention which shall not be less than ten thousand rupees but which may extend to fifteen lakh rupees.

(2) Where any person continues contravention under sub-section (1), he shall be liable to additional penalty of ten thousand rupees for every day during which such contravention continues.

11.5. Similarly, Section 15A provides for penalty for contravention by companies. Section 15A is as follows:

15A. Penalty for contravention by companies.—(1) Where any company contravenes any of the provisions of this Act, the company shall be liable to penalty for each such contravention which shall not be less than one lakh rupees but which may extend to fifteen lakh rupees.

(2) Where any company continues contravention under sub-section (1), the company shall be liable to additional penalty of one lakh rupees for every day during which such contravention continues.

12. To provide for the establishment of a National Green Tribunal for the effective and expeditious disposal of cases relating to environmental protection and conservation of forests and other natural resources including enforcement of any legal right relating to environment and giving relief and compensation for damages to person and property and for matters connected therewith or incidental thereto, the National Green Tribunal Act, 2010 has been enacted. Section 2(1)(c) defines the word 'environment'. It says 'environment' includes water, air and land and the inter-relationship which exists among and between water, air and land and human beings, other living creatures, plants, micro-organism and property.

12.1. Section 2(1)(m) defines 'substantial question relating to environment' and is as follows:

2(m) "substantial question relating to environment" shall include an instance where,—

(i) there is a direct violation of a specific statutory environmental obligation by a person by which,— (A) the community at large other than an individual or group of individuals is affected or likely to be affected by the environmental consequences; or (B) the gravity of damage to the environment or property is substantial; or (C) the damage to public health is broadly measurable;

(ii) the environmental consequences relate to a specific activity or a point source of pollution.

12.2. As per Section 14, National Green Tribunal (NGT) has the jurisdiction over all civil cases where a substantial question relating to environment (including enforcement of any legal right relating to environment) is involved. 12.3. Section 15 deals with the relief, compensation and restitution that NGT may provide. Sub-section (1) of Section 15 reads as under:

15. Relief, compensation and restitution.—(1) The Tribunal may, by an order, provide,—

(a) relief and compensation to the victims of pollution and other environmental damage arising under the enactments specified in the Schedule I (including accident occurring while handling any hazardous substance);

(b) for restitution of property damaged;

(c) for restitution of the environment for such area or areas, as the Tribunal may think fit.

12.4. Section 17 deals with liability to pay relief or compensation in certain cases. As per sub-section (1), where death of, or injury to, any person (other than a workman) or damage to any property or environment has resulted from an accident or the adverse impact of an activity or operation or process under any enactment specified in Schedule I, the person responsible shall be liable to pay such relief or compensation for such death, injury or damage. Sub-section (2) says that if the death, injury or damage cannot be attributed to any single activity or operation or process but is the combined or resultant effect of several such activities, operations and processes, NGT may apportion the liability for relief compensation amongst those responsible for such activities, operations and processes on an equitable basis. In case of an accident, NGT shall apply the principle of no fault. 12.5. We now come to Section 19 which deals with the procedure and powers of NGT. Sub-section (1) says that NGT shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908 but shall be guided by the principles of natural justice. For the purposes of discharging its functions, NGT shall have the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 while trying a suit in respect of the matters mentioned in sub-section (4) and as per Clause (i), it has the mandate to pass an interim order (including granting an injunction or stay) after providing the parties concerned an opportunity to be heard on any application made or appeal filed under the said Act. Sub-section (5) makes it abundantly clear that all proceedings before NGT shall be deemed to be judicial proceedings within the meaning of Sections 193, 219 and 228 for the purposes of Section 196 of the Indian Penal Code, 1860 and the NGT shall be deemed to be a civil court for the purposes of Section 195 and Chapter XXVI of the Code of Criminal Procedure, 1973.

13. Having adverted to the relevant statutory provisions, let us examine as to how the NGT proceeded in this matter. We have already noticed that a joint committee was constituted by NGT comprising of CPCB, UPPCB and District Magistrate, Muzaffarnagar to conduct inspection of the sugar mill of the appellant when it was functional and thereafter to file status report with regard to handling of the effluents. Pursuant thereto, inspection was carried out on 08.12.2021 whereafter report was submitted on 11.01.2022. General observations of the joint committee as extracted in the impugned order dated 15.02.2022 are as follows:

3.0 OBSERVATIONS

1. The unit M/s Triveni Engineering and Industries Limited, Sugar Unit, Village Sheikhpura, Khatauli, Dist.- Muzaffarnagar is engaged in production of refined sugar by Defco melt Phosphatation followed by Ion Exchange Process (IER) with consented capacity of 16000 TCD.
2. The unit has started its crushing season 2021-22 on 07th November, 2021 and the unit was operational on the date of visit i.e. 08th December 2021.

3. As informed by the unit ETP was started on 27/09/2021 for stabilization purpose in compliance to notified standards in MoEF&CC Notification G.S.R. 35(E) dated 14th January, 2016
4. The unit has valid Consent to Operate under section 21/22 of the Air (Prevention & Control of Pollution) Act, 1981 (as amended) for 65 TPH boiler, which is valid up to 31.12.2023 and for two boilers of 120 TPH, which is valid up to 31.12.2024.
5. The unit has valid Consent to Operate under section 25/26 of Water (Prevention & Control of Pollution) Act, 1974 (as amended) for discharge of effluent, which is valid up to 31.12.2023.
6. The unit has valid Authorization issued under the provisions of Hazardous and Other Wastes (Management and Trans-Boundary Movement) Rules, 2016 for storage and disposal of hazardous wastes valid up to 13.01.2023.
7. As per Daily Manufacturing Reports (DMRs) provided by the unit, the average actual crush rate (TCD) is 11975.56 TCD (for duration of 20th November 07th December, 2021), against the consented capacity of 16000 TCD.
8. The unit is an integrated backend refinery sugar unit with 45 MW cogeneration power plant for in-house activity in sugar manufacturing process and the unit has valid Consent to Operate under section 25/26 of Water (Prevention & Control of Pollution) Act, 1974 (as amended) for discharge of effluent, which is valid up to 31.12.2024.
9. Being a Sugar Refinery SO₂ gas is not used in sugar manufacturing process, hence provision of separate Sulphur Recovery System (SRS) is not required.
10. The unit has installed Ion Exchange Resin Technology for decoloring of sugar syrups. The Ion Exchange resin gets saturated/ exhausted after repeated usage and has to be regenerated. The unit re-

generates exhausted resin using caustic brine solutions.
11. The unit has submitted the details about the Brine recovery system, which is as follows:

Overall Operating Parameters Feed capacity 7500 LPH Operating hr 20 hr Overall permeate 6775 LPH Final Reject 725 LPH Overall Recovery 90 % $\pm$ 2%
12. The unit has 03 boilers with capacity of 120 TPH (02 nos.) for co-gen and one boiler with capacity of 65 TPH for sugar manufacturing process with valid consent. 65 TPH boiler has stack height of 40m from ground level and two boilers of 120 TPH has stack height of 74 meter from ground level.

13. The unit has 02 DG sets having capacity of 1010 KVA each with acoustic enclosure.
14. As informed, the unit transfers used oil to third party (Ramky Enviro Engineers Ltd.) for its disposal on quarterly basis. The unit has provided membership certificate (UPWMP – KNP – HzW – CHW – TSDF - 2174) with Ramky Group, valid up to 23.02.2022.
15. The unit has Permitted Quantity (kg/day) of 10.0 kg/day of Used Oil under Schedule I (Category 5.1) and Wastes or residues containing oil under Schedule I (Category 5.2) of Hazardous and Other Wastes (Management and Trans-
Boundary Movement) Rules, 2016 as per consent issued by UPPCB. The unit has not provided the details of quantity provided to Ramky Enviro Engineers Ltd.
16. The unit has not installed flow meter at mill house and boiling house to quantify the effluent generation separately. The effluent generated from the mill house and boiling house is being collected in a collection tank and further it goes to ETP inlet by gravity for further treatment.
17. The unit has setup environmental laboratory; however, the unit has not maintained the ETP log book for daily analysis of sugar effluent parameter.
18. As informed by the unit representative, the boiler ash is used to fill low laying area, however, the unit has not provided record of generated boiler ash.
19. It was observed that the unit has not maintained the record of Press mud generation, however, it was informed that press mud was provided to local farmers as organic manure.
20. The unit has two underground reservoirs (UGR) for hot water and cold- water recirculation system having capacities of 300 m³ and 400 m³ each.

14. The joint committee also observed that there were two ponds filled with waste water at the backside of the sugar mill. It is stated that the inspecting team collected the samples from the ponds for physio-chemical analysis. Thereafter, the observations of the joint committee alongwith the analysis results were extracted by the NGT in the impugned order dated 15.02.2022 which reads as follows:

21. The Joint Team has observed two ponding (Pond 1- large in size and Pond 2- small in size) filled with waste water at the back side of the press mud storage area. The team has collected the sample from pond for physico-chemical analysis. The analysis results of the collected samples are mentioned as below:

Table-1: Analysis results of Ponding behind press mud storage area
Sample pH COD BOD TSS TDS Cl- Col SO NO₃ NO₂ PO₄ Analysis or 42- - - -

N N P Pond-1 5.8 750 420 43 592 190 65 39 6.89 0. 2.11 Pond-2 5.1 1267 587 94 472 260 57 419 7.69 BDL 2.70 (Small)

22. Analysis result of sample collected from pond-1 shows acidic pH-5.8, Color-65, high BOD-420 mg/l and COD- 750 mg/l, which indicate the characteristics of untreated effluent.

23. Analysis result of sample collected from pond-2 shows acidic pH-5.1, Color-57, high BOD-587 mg/l and COD-1267 mg/l, which reflect the characteristics of Refined Sugar effluent (pH-5.5- 6.5, Color- Light brown, BOD- 600-1000 mg/l, COD- 1500-2500 mg/l).

15. The joint committee also collected water samples from the sugar mill drain. The findings of the joint committee qua the samples collected from the sugar mill drain reads as under:

24. The team has also collected water samples from Sugar mill drain (name of the drain is Sugar mill drain), river Kali East i.e. upstream and downstream of the Sugar mill drain & Canal near sugar mill (Lat-

29.269901, Long-77.743243). The analysis results are mentioned as below:

Table-2: Analysis results of Sugar mill Drain, River Kali East i.e. upstream and downstream of the Sugar mill drain & Canal near sugar mill River Kali Sugar River Kali Canal near Sample East u/s Mill East d/s Sugar mill Analysis drain Sugar Mill Sugar Mill (29.269901 drain drain 77.743243) pH 6.5 6.8 6.6 7.9 COD 198 402 529 7.0 (mg/l) BOD 68 98 166 -

(mg/l) TSS (mg/l) 79 567 901 33 TDS (mg/l) 196 120 328 122 Color 30 46 43 BDL (mg/l) NO₃-N 1.95 2.62 1.87 1.3 (mg/l) NO₂-N BDL BDL BDL -

(mg/l)				
P04-P	0.64	0.75	0.73	0.07
(mg/l)				
Conductivity	-	-	-	216
(µmho/cm)				
Total hardness	-	-	-	303
as CaCO ₃				
(mg/l)				
Total Alkalinity	-	-	-	322
as CaCO ₃				
(mg/l)				
Fluoride	-	-	-	0.3
(mg/l)				

25. Analysis result of sample collected from River Kali East u/s Sugar Mill drain shows pH- 6.5, COD- 198 mg/l, BOD-68 mg/l, TSS-79 mg/l, TDS- 196 mg/l, Chloride-47 mg/l, SO₄²⁻-451 mg/l, NO₃-N-1.96 mg/l, NO₂-N-BDL, PO₄-P-0.64 mg/l.

26. Analysis result of sample collected from River Kali East d/s Sugar Mill drain shows pH- 6.6, COD- 529 mg/l, BOD-166 mg/l, TSS-901 mg/l, TDS- 328 mg/l, Chloride-66 mg/l, SO₄²⁻-52 mg/l, NO₃-N-1.87 mg/l, NO₂-N-BDL, PO₄-P-0.73 mg/l indicate the effect of effluent carried by sugar mill drain i.e. pH- 6.8, COD- 402 mg/l, BOD-98 mg/l, TSS-567 mg/l, TDS-120 mg/l, Chloride-64 mg/l, SO₄²⁻-46 mg/l, NO₃-N-2.67 mg/l, NO₂-N-BDL, PO₄-P-0.75 mg/l.

27. The increase in BOD, COD and TSS in River Kali East at downstream of Sugar mill drain is due to turbulent flow conditions contributing in higher TSS, thereby BOD & COD increased. The entire flow in drain was sewage. Direct discharge or outlet into the Sugar mill drain was not evident during inspection.

28. Analysis result of samples collected from Canal near Sugar mill shows pH- 7.9, COD- 7.0 mg/l, TSS-33 mg/l, TDS- 122 mg/l, Chloride-46 mg/l, SO₄²⁻-44 mg/l, NO₃-N- 1.3 mg/l, PO₄-P-0.07 mg/l.

16. Similar analysis of water samples collected from borewells and handpumps of the sugar mill and nearby areas were made and results have been recorded. Likewise, analysis results of samples collected from the Sewage Treatment Plant and Effluent Treatment Plant have been recorded. Thereafter, the joint committee concluded in the following manner:

5.0 CONCLUSION A. Compliance with the Standards:

1. The analysis results of sample collected from ETP outlet after filtration show pH - 7.5, COD- 15 mg/l, BOD - 05 mg/l, TSS - BDL, TDS - 272 mg/l, Oil & Grease - BDL & from lagoon show pH-7.6, COD- 04 mg/l, BOD - 01 mg/l, TSS - BDL, TDS - 532 mg/l, which are complying w.r.t. the Notified standards in MoEF&CC Notification G.S.R. 35 (E) dated 14th January, 2016.

2. However, it seems from the percentage reduction by two Aeration Tank (in series) in BOD-99.27%, COD- 97.73% & TSS- 100% as compared from Primary Clarifier outlet to Secondary Clarifier-1, indicate dilution with fresh water by the unit.

3. MLSS value of 1674 mg/l in Aeration Tank-

I of ETP indicates presence of less biomass against desired level (2500-3000 mg/l).

4. Also, Secondary Clarifier-2 outlet charac-

teristics TSS - BDL and TDS - 136 mg/l (compared to Secondary Clarifier -1 outlet TDS 680 mg/l with same influent) indicate provisions of dilutions using fresh water in the outlet.

5. The effluent stored (Pond 1 & Pond 2) behind press mud is an illegal disposal of untreated effluent and the characteristics i.e. BOD (420 mg/l and 587 mg/l) and COD (750 mg/l and 1267 mg/l) confirm stored/disposed effluent was untreated which is a violation of consent conditions issued by UPPCB.

B. Quality of treated effluents and utilisation as per protocol/agreement with the users /farmers:

1. The unit has stored treated effluent in lagoon after ETP filtration units, which was in semi filled condition. The analysis results of sample collected from lagoon are complying w.r.t. the Notified standards in MoEF&CC Notification G.S.R. 35(E) dated 14th January, 2016.

2. The unit has not provided any agreement for providing treated effluent for irrigation to users/farmers, however as informed by the unit representative, treated effluent used in the plant.

C. Effluents are reaching any drain leading to river/water body:

1. Provision of direct discharge or outlet point from unit into the sugar mill drain was not evident during inspection. The entire flow in Sugar mill drain was carrying sewage. The increase in BOD, COD and TSS in River Kali East at downstream of Sugar mill drain is due to turbulent flow conditions contributing in higher TSS, thereby BOD & COD increased.

D. Ground water quality be checked as per parameters relevant to the industry in question, particularly, fluoride etc.:

1. The analysis result of sample collected from 01 borewell located inside and 04 handpumps located outside the unit premises shows fluoride within permissible limit i.e.1.5 mg/l as per BIS IS 10522:2012 Standards.

2. However, analysis results of samples collected from borewells within unit premises and all 04 Handpumps outside the unit premises are within permissible limit as per drinking water standard BIS IS 10500:2012 except Fe- 0.62mg/l, 4.78 mg/l, 0.46 mg/l from Handpump Sugar Mill near canal, Handpump Sugar Mill near drain and Handpump near Main gate of sugar mill respectively. Selenium (Se)- 0.02 mg/l is also detected which is beyond the permissible limit i.e. 0.01 mg/l as per drinking water standard BIS IS 10500:2012 in the sample collected from Handpump near Main gate of sugar mill.

E. Others:

1. The unit M/s Triveni Engineering and Industries Limited, Sugar Unit, Village Sheikhpura, Khatauli, Distt Muzaffarnagar is an integrated refinery sugar unit with 45 MW cogen and having consented capacity of 16000 TCD. As per Daily Manufacturing Reports (DMRs) provided by the unit, the average actual crush rate (TCD) is 11975.56 TCD (for duration of 20th November 07th December, 2021).
2. The unit has valid Consent to Operate under section 21/22 of the Air (Prevention & Control of Pollution) Act, 1981 (as amended) for 65 TPH boiler, which is valid up to 31.12.2023 and for two boilers of 120 TPH, which is valid up to 31.12.2024.
3. The unit has valid Consent to Operate under section 25/26 of Water (Prevention & Control of Pollution) Act, 1974 (as amended) for discharge of effluent, which is valid up to 31.12.2023. The unit has valid Authorization issued under the provisions of Hazardous and Other Wastes (Management and Trans-Boundary Movement) Rules, 2016 for storage and disposal of hazardous wastes valid up to 13.01.2023.
4. The unit has a membership of TSDF with Ramky Enviro Engineers Ltd. as informed for disposal of used oil and wastes or residues containing oil on quarterly basis. Membership is valid up to 23.02.2022.
5. The unit has not installed flow meter at mill house and boiling house to quantify the effluent generation separately.
6. The unit has environmental laboratory for daily analysis of sugar effluent parameter, however, the unit has not maintained the ETP log book.
7. The unit has not provided record of generated Boiler ash.
8. The unit has not maintained the record of Press mud generation.
9. The unit has permission to abstract total 430 m³/hr of groundwater from four existing bore-wells as per No Objection Certificate (NOC) from Uttar Pradesh Ground Water Department (UPGWD), which is valid up to 13.01.2023.
10. The unit has Sewage Treatment Plant (STP) with capacity of 500 KLD for the treatment of domestic waste water generated from its residential colony/mill staff having population around 1000-1200 people. The analysis results (BOD-10 mg/l and COD-39 mg/l) of samples collected from STP inlet indicate dilution with fresh water by the unit.

11. The unit has installed flowmeters at the inlet & outlet of STP, however, flowmeters were found non-operational at the time of inspection.

17. On the aforesaid basis, the joint committee made the following recommendations:

6.o RECOMMENDATIONS

1. The unit shall not discharge partially treated effluent into the drain and on land within or outside the unit premises.

2. The unit shall install flow meters at mill house and boiling house to quantify the effluent generation separately.

3. The unit shall maintain the proper records for quantity of used oil & grease as per valid Authorization issued under the provisions of Hazardous and Other Wastes (Management and Trans-Boundary Movement) Rules, 2016 for storage and disposal of hazardous wastes.

4. The unit shall maintain proper record of Press Mud which is provided to the local farmers.

5. The unit shall maintain the ETP log book for daily analysis of raw and treated effluent parameters.

6. The unit shall maintain the proper record of boiler ash generation, sludge and their disposal.

7. The unit shall maintain adequate MLSS & MLVSS concentration in Aeration Tank-I & II while operating the ETP to ensure proper stabilization of ETP.

8. The unit shall make proper color coding of pipelines for water distribution network w.r.t. the defined coding of color for particular pipe carrying sugar effluent, treated effluent and fresh water.

9. The unit shall dismantle the Pond-1 and Pond-2 which contains waste water having characteristics of partially treated industrial effluent.

10. The unit shall restrict the use of Handpump near Main gate of sugar mill as the sample analysis shows Selenium (Se)- 0.02 mg/l which is beyond the permissible limit i.e. 0.01 mg/l as per drinking water standard BIS IS 10500.

11. The unit shall make flow meters operational installed at STP inlet and outlet.

18. The impugned order dated 15.02.2022 indicates that the said report was accepted by the NGT and held that appellant had violated the environmental norms. On that basis and following further report of the joint committee dated 10.08.2022, compensation amount of Rs. 18 crores at the rate of 2 percent of annual turnover was worked out and imposed on the appellant by the NGT vide the second impugned order dated 16.09.2022, further directing that the same may be deposited by the appellant with the District Magistrate, Muzaffarnagar within one month.

19. From a conjoint reading of the report of the joint committee and the impugned orders of the NGT, the following features are clearly discernable:

(i) NGT constituted a joint committee to carry out inspection of the sugar mill of the appellant vis a vis maintenance of pollution control measures and discharge of effluents.

(ii) This is an adhoc committee when the Water Act, more particularly Sections 21 and 22 thereof, clearly prescribe a statutory procedure to be followed while carrying out such inspection to examine pollution, if any, or the extent of pollution caused by the project proponent and to suggest remedial measures.

(iii) The joint committee report dated 11.01.2022 as noticed above, is silent as to whether it has followed the procedure laid down in the aforesaid Act more particularly notice to the occupier or his agent and collection and sealing of samples in the presence of the occupier or his agent having his signature on the sealed containers.

(iv) NGT did not deem it appropriate to get the appellant impleaded as a party respondent in O.A. No. 71/2021 though the entire proceedings were directed against it.

(v) No opportunity was granted to the appellant to contest the report of the joint committee and to have its say. Thus, there is clear violation of the provisions contained in Section 19 of the National Green Tribunal Act, 2010.

(vi) It is the categorical stand of the appellant that the joint committee did not issue any notice to it before carrying out the inspection and it was not served with a copy of the report of the joint committee either.

(vii) NGT accepted the report of the joint committee without any adjudication on it.

(viii) Environmental compensation was quantified without any adjudication and without granting any opportunity of hearing to the appellant.

(ix) Environmental compensation was imposed on the appellant without giving any opportunity to the appellant to contest the reports of the joint committee and without

giving any opportunity of hearing to the appellant.

20. Let us now refer to and examine some of the relevant case laws on the subject.

21. In *A.K. Kraipak Vs. Union of India*¹, a Constitution Bench of this Court considered the question as to whether principles of natural justice applied to administrative proceedings, after observing that the dividing line between an administrative power and a quasi-judicial power is quite thin and is being gradually obliterated. This Court observed that horizon of natural justice is constantly expanding. Aim of the (1969) 2 SCC 262 rules of natural justice is to secure justice or to put it negatively to prevent miscarriage of justice. Rules of natural justice operate in areas not covered by any law validly made. Natural justice do not supplant the law of the land but supplement it. This Court answered the above question in the following manner:

20. The aim of the rules of natural justice is to secure justice or to put it negatively to prevent miscarriage of justice. These rules can operate only in areas not covered by any law validly made. In other words they do not supplant the law of the land but supplement it. The concept of natural justice has undergone a great deal of change in recent years. In the past it was thought that it included just two rules namely: (1) no one shall be a judge in his own case (*Nemo debet esse judex propria causa*) and (2) no decision shall be given against a party without affording him a reasonable hearing (*audi alteram partem*). Very soon thereafter a third rule was envisaged and that is that quasi-judicial enquiries must be held in good faith, without bias and not arbitrarily or unreasonably. But in the course of years many more subsidiary rules came to be added to the rules of natural justice. Till very recently it was the opinion of the courts that unless the authority concerned was required by the law under which it functioned to act judicially there was no room for the application of the rules of natural justice. The validity of that limitation is now questioned. If the purpose of the rules of natural justice is to prevent miscarriage of justice one fails to see why those rules should be made inapplicable to administrative enquiries. Often times it is not easy to draw the line that demarcates administrative enquiries from quasi-judicial enquiries. Enquiries which were considered administrative at one time are now being considered as quasi-judicial in character. Arriving at a just decision is the aim of both quasi-judicial enquiries as well as administrative enquiries. An unjust decision in an administrative enquiry may have more far reaching effect than a decision in a quasi-judicial enquiry. As observed by this Court in *Suresh Koshy George v. University of Kerala* [1968 SCC OnLine SC 9] the rules of natural justice are not embodied rules.

What particular rule of natural justice should apply to a given case must depend to a great extent on the facts and circumstances of that case, the framework of the law under which the enquiry is held and the constitution of the Tribunal or body of persons appointed for that purpose. Whenever a complaint is made before a court that some principle of natural justice had been contravened the court has to decide whether the observance of that rule was necessary for a just decision on the facts of that case.

22. As observed in A.K. Kraipak (supra), the rules of natural justice are constantly expanding. A Constitution Bench of this Court in S.N. Mukherjee Vs. Union of India² held that an administrative authority exercising quasi-judicial functions must record the reasons for its decision. An important consideration for holding so is that the reasons so recorded would enable the higher forum to effectively exercise appellate or supervisory powers. Further the requirement of recording reasons would guarantee consideration by the authority; introduce clarity in the decisions; and minimise chances of arbitrariness in decision making. Recording of reasons by an administrative authority serves a salutary purpose by excluding chances of arbitrariness and ensuring a degree of fairness in the decision making process. The Bench clarified that the requirement that reasons be recorded should govern the decisions of an administrative authority exercising quasi-judicial functions irrespective of the fact whether the decision is subject to appeal, revision or judicial (1990) 4 SCC 594 review. The Bench conclusively held that except in cases where the requirement has been dispensed with, expressly or by necessary implication, an administrative authority exercising judicial or quasi-judicial functions is required to record the reasons for its decision.

23. If this is true for an administrative authority exercising quasi-judicial functions, it is all the more true for a judicial tribunal vested with adjudicatory powers.

24. In Municipal Corporation of Greater Mumbai Vs. Ankita Sinha³, this Court referred to its earlier decision involving the same parties whereby and whereunder the question as to whether National Green Tribunal (NGT) can exercise suo motu jurisdiction or initiate suo motu action was answered in the affirmative. Thereafter, this Court held that even if NGT intends to initiate suo motu action, it must provide an opportunity of hearing to persons likely to be affected before passing any adverse order against them. In that context, this Court held that the impugned ex-parte 2021 SCC Online SC 1298 preemptory order passed by the NGT without giving opportunity to the person likely to be affected by such order be treated as effaced from the record. This Court made it amply clear that NGT is obliged to hear the party before issuing any adverse directions which is likely to be directly affected by it, including an action initiated suo motu.

25. This Court in T. Takano Vs. Securities and Exchange Board of India⁴ examined the issue of disclosure of all relevant materials to the parties in the context of disclosure of investigative report submitted to the Securities and Exchange Board of India under Regulation 9 of the Securities and Exchange Board of India (Prohibition of Fraudulent and Unfair Trade Practices Relating to Securities Market) Regulations, 2003 to the noticee to whom the show cause was issued and held that possession of information by both the parties can aid the courts in determining the truth of the contentions. The role of the court is not restricted to interpreting the provisions of law but also in determining the (2022) 8 SCC 162 veracity and truth of the allegations made before it. The court would be able to perform this function accurately only if both parties have access to information and possess the opportunity to address arguments and counter arguments related to the information.

25.1. Elaborating further, this Court held that principles of fairness and transparency of adjudicatory proceedings are the cornerstones of the principle of open justice. This is the reason why an adjudicatory authority is required to record its reasons for every judgment or order it passes. The purpose of disclosure of information is not merely individualistic that is to prevent errors in the

verdict but is also towards fulfilling the larger institutional purpose of fair trial and transparency. Therefore, all relevant materials must be disclosed; otherwise it would be fundamentally contrary to the principles of natural justice. In the circumstances, this Court concluded as under:

50.1. A quasi-judicial authority has a duty to disclose the material that has been relied upon at the stage of adjudication.

50.2. An ipse dixit of the authority that it has not relied on certain material would not exempt it of its liability to disclose such material if it is relevant to and has a nexus to the action that is taken by the authority. In all reasonable probability, such material would have influenced the decision reached by the authority.

50.3. Thus, the actual test is whether the material that is required to be disclosed is relevant for purpose of adjudication. If it is, then the principles of natural justice require its due disclosure.

26. State Bank of India Vs. Rajesh Agarwal 5 is a case where this Court once again reiterated that principles of natural justice are not mere legal formalities. They constitute substantive obligations that need to be followed by decision- making and adjudicating authorities. This Court held as under:

36. We need to bear in mind that the principles of natural justice are not mere legal formalities. They constitute substantive obligations that need to be followed by decision-making and adjudicating authorities. The principles of natural justice act as a guarantee against arbitrary action, both in terms of procedure and substance, by judicial, quasi-judicial, (2023) 6 SCC 1 and administrative authorities. Two fundamental principles of natural justice are entrenched in Indian jurisprudence : (i) *nemo iudex in causa sua*, which means that no person should be a Judge in their own cause; and (ii) *audi alteram partem*, which means that a person affected by administrative, judicial or quasi-

judicial action must be heard before a decision is taken. The courts generally favour interpretation of a statutory provision consistent with the principles of natural justice because it is presumed that the statutory authorities do not intend to contravene fundamental rights. Application of the said principles depends on the facts and circumstances of the case, express language and basic scheme of the statute under which the administrative power is exercised, the nature and purpose for which the power is conferred, and the final effect of the exercise of that power.

26.1. Further, this Court held in clear terms that every order or proceeding which involves civil consequences or adversely affects a citizen should be in accordance with the principles of natural justice.

27. In *Kantha Vibhag Yuva Koli Samaj Parivartan Trust Vs. State of Gujarat* 6, this Court dealt with an appeal arising out of an order passed by the NGT dismissing an original application alleging environmental degradation and seeking restitution of the environment. This Court observed that it

is important to differentiate expert committees which are set up by the courts/tribunals from those set up by the government in exercise of executive powers or under a particular statute and held as follows:

17. It is first important to differentiate Expert Committees which are set up by the courts/tribunals from those set up by the Government in exercise of executive powers or under a particular statute. The latter are set up due to their technical expertise in a given area, and their reports are, subject to judicially observed restraints, open to judicial review before the courts when decisions are taken solely based upon them. The precedents of this Court unanimously note that courts should be circumspect in rejecting the opinion of these committees, unless they find their decision to be manifestly arbitrary or mala fide. On the other hand, the courts/tribunals themselves set up Expert Committees on occasion. These committees are (2023) 13 SCC 525 set up because the fact-finding exercise in many matters can be complex, technical and time-consuming, and may often require the committees to conduct field visits. These committees are set up with specific terms of reference outlining their mandate, and their reports have to conform to the mandate. Once these committees submit their final reports to the court/tribunal, it is open to the parties to object to them, which is then adjudicated upon. The role of these Expert Committees does not substitute the adjudicatory role of the court or tribunal. The role of an Expert Committee appointed by an adjudicatory forum is only to assist it in the exercise of adjudicatory functions by providing them better data and factual clarity, which is also open to challenge by all the parties concerned. Allowing for objections to be raised and considered makes the process fair and participatory for all the stakeholders.

27.1. This Court also referred to an earlier decision in the case of Sanghar Zuber Ismail Vs. Union of India⁷ wherein it was held that constitution of an expert committee does not absolve NGT of its duty to adjudicate. The adjudicatory functions of NGT cannot be assigned to committees, even expert committees. The decisions have to be that of NGT. NGT (2021) 17 SCC 827 has been constituted as an expert adjudicatory authority under the statute. The discharge of its functions cannot be obviated by tasking committees to carry out a function which vests in the NGT. Adverting to the facts of that case, this Court held that NGT had abdicated its jurisdiction by entrusting judicial function to an administrative expert committee. An expert committee may be able to assist NGT, for instance, by carrying out a fact finding exercise but the adjudication has to be by NGT.

28. This Court in Grasim Industries Limited Vs. State of Madhya Pradesh⁸ noticed that NGT had followed a similar procedure as in the present case. The procedure followed by NGT has been summed up in the following manner:

4. After the NGT entertained the O.A. on the basis of the letter addressed by Respondent No. 1, it initially directed the plant of the appellant to be examined by the State Pollution Control Board. After the receipt of the report of the State Pollution Control Board, the Court appointed a Joint Committee to give its report.

The said Joint Committee made certain (2024) SCC Online SC 3538 recommendations and the NGT passed the impugned order on the basis of the said recommendations.

5. The material placed on record would also reveal that the appellant herein was not made a party to the proceedings before the learned NGT or before the Joint Committee. Though an application for impleadment was filed by the appellant, the same was rejected by the learned NGT.

6. It further appears that even the Joint Committee appointed by the NGT neither gave any notice to the appellant nor an opportunity was given of being heard. Though, this objection was specifically taken by the appellant, the NGT observed “We asked the learned Counsel whether the stand of the unit is that the violations found never existed or whether they existed but have been remedied. His answer is later. It is patent that there were violations.

28.1. It was in the above context that this Court held that the procedure followed by NGT was totally unknown to the settled principles of natural justice. Neither was any notice given by the joint committee to the appellant before giving an adverse report against the appellant nor the NGT permitted impleadment of the appellant as a party respondent. NGT could not have proceeded further with the matter even at the initial stage without impleading the appellant as a party respondent. Approach adopted by the NGT clearly smacks of condemning a person unheard. NGT cannot outsource an opinion and base its decision on such opinion.

29. In Delhi Pollution Control Committee Vs. Lodhi Property Company Limited⁹, this Court examined the challenge of Delhi Pollution Control Board to a judgment of the Delhi High Court whereby it was held that Delhi Pollution Control Board is not empowered to levy compensatory damages in exercise of powers under Section 33A of the Water (Prevention and Control of Pollution) Act, 1974 and Section 31A of the Air (Prevention and Control of Pollution) Act, 1981 on the ground that such an action amounts to imposition of penalty provided for in Chapters VI and VII of the aforesaid Acts and, as such, the procedure contemplated thereunder will be the only method for imposing and collecting compensatory damage. The core question in that case was whether the regulatory boards in exercise of powers under 2025 SCC OnLine SC 1601 Section 33A of the Water Act and Section 31A of the Air Act can impose and collect as restitutionary and compensatory damages fixed sums of monies or require furnishing bank guarantees as an ex-ante measure towards potential environmental damage? The above question was answered in the affirmative by holding that pollution control boards can impose and collect as restitutionary and compensatory damages, fixed sums of monies or require furnishing bank guarantees as an ex-ante measure towards potential environmental damage in exercise of the aforesaid powers. However, what is relevant for our present consideration is the following declaration:

39. * * * * *

(c) it is further directed that the power to impose or collect restitutionary or compensatory damages or the requirement to furnish bank guarantees as an ex-ante measure under Sections 33A and 31A of the Water and Air Acts shall be enforced only after detailing the principle and procedure incorporating basic principles of natural

justice in the subordinate legislation.

30. Having surveyed the relevant case law on the subject, let us revert back to the present case. From the conspectus of facts and law, it is clearly evident that the impugned orders are in complete violation of the procedures laid down in the Water (Prevention and Control of Pollution) Act, 1974, the Environment (Protection) Act, 1986, more particularly Sections 21 and 22 of the Water Act and the National Green Tribunal Act, 2010, including Section 19 thereof. It is crystal clear that the impugned decisions which entail adverse civil consequences upon the appellant were passed without following the due procedure laid down under the statute as well as the elementary principles of natural justice. We, therefore, have no hesitation in declaring such orders to be illegal and null and void.

31. NGT exercises judicial functions. Therefore, it is all the more necessary for the NGT to adhere to a fair procedure which is statutorily laid down of which principles of natural justice are an inalienable part. Rigor of Section 19(1) of the National Green Tribunal Act, 2010 is qua the procedure to be adopted by the NGT in conducting its proceedings. It cannot be stretched to abandon the statutory procedure laid down under Sections 21 and 22 of the Water Act and by outsourcing investigation to administrative committees by overlooking the statutory provisions and basing its decisions on the recommendation of such administrative committee. This is not within the remit of NGT.

32. As we have noticed above, this is a classic case where in the quest for doing justice, NGT has ended up doing just the reverse.

33. Ordinarily, in a case where there is violation of the principles of natural justice, parties are relegated to the adjudicatory forum to re-do the exercise after following the due process. But in this case, the entire exercise has been vitiated because of non-conforming to the laid down procedure contemplated under Sections 21 and 22 of the Water (Prevention and Control of Pollution) Act, 1974. In such circumstances, relegating the parties back to the NGT in our considered opinion would serve no useful purpose. However, we clarify that it will always be open to the UPPCB to carry out inspection and take remedial measures qua the sugar mill of the appellant by following the procedure laid down under the Water Act and after complying with the due process statutorily laid down thereunder, including by adhering to the principles of natural justice.

34. Accordingly and in the light of the above, the impugned orders dated 15.02.2022 and 16.09.2022 passed by the NGT in O.A. No. 71/2021 are hereby set aside. Consequently, the civil appeals are allowed. However, there shall be no order as to cost.

.....J. [MANOJ MISRA]J. [UJJAL BHUYAN] NEW DELHI;

SEPTEMBER 01, 2025.

Kiran vs Rajkumar Jivraj Jain on 1 September, 2025

Author: B.R. Gavai

Bench: B.R. Gavai

2025 INSC 1067

Reportable

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. _____ OF 2025
(@SPECIAL LEAVE PETITION (CRL.) NO. 8169 OF 2025)

KIRAN

...APPELLANT(S)

VERSUS

RAJKUMAR JIVRAJ JAIN & ANR.

...RESPONDENT(S)

JUDGMENT

N.V. ANJARIA, J.

Leave granted.

1.1 With the consent of learned counsels for the parties and upon their joint request, the appeal was taken up for final hearing today.

2. By way of present appeal, what is called in Date: 2025.09.02 18:03:03 IST Reason:

question is judgment and order dated 29.04.2025 of the High Court of Judicature at Bombay, Bench at Aurangabad, in Criminal Appeal No.201 of 2025, whereby the High Court allowed the pre-arrest bail to respondent No.1 under Section 438 of the Code of Criminal Procedure, 1973, which was refused by the Additional Sessions Judge, Paranda.

3. FIR No.255/2024 came to be registered by the appellant-complainant with the Paranda Police

Station, District Dharashiv on 26.11.2024 against accused- respondent No.1 herein and others in respect of alleged commission of offenses punishable under Sections 118 (1), 115(1), 189(2), 189(4), 190, 191(2), 191(3), 333, 324(4), 76, 351(3) and 352 of the Bharatiya Nyaya Sanhita, 2023 and under Sections 3(1)(o), 3(1)(r), 3(1)(s), 3(1)(w)(i) of the Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989.

3.1 The relevant and material part of the contents of the said FIR is extracted below.

"Today on 25.11.2024 at around 11:00 AM, while I and my mother Mohini were at home, Bahubali Masalkar, a peon from the Gram Panchayat Office, Kapilapuri, came in front of my house and started abusing us, asking why we did not vote in yesterday's assembly elections as we had asked. At that time, I tried to tell him that voting was my only concern, but he abused me and then rushed at me. At that time, we got into a fight. After that we got into a fight. After that he left from there.

Then at 11:20 in the morning, my village's known, namely Rajkumar Jain, Jaykumar Jain, Bharatesh Awani, Jayghosh Jain, Kishore Awani, Vaibhav Awani, Nabiraj Awani, Bahubali Masalkar, Jitendra Wasgadekar, Anil Wasgadekar, Ranjit Rajkumar Jain, Jagdish Jain, all residents of Kapilapuri (all Jains), came in front of our house. At that time, Rajkumar Jain said to me, "Mangtyano, you have become much arrogant", you are staying in the village and voting against me, so he hit me on the head and back with an iron rod." At that time, I fell down. After that, Kishore Jain and Vaibhav Awani entered my house, pushed my mother Mohini and aunt Rekha, grabbed the saree of mother Mohini and pulled it, threatened that "Mangtyano, you have become arrogant, we will not let you stay in the village, we will burn your houses," beat them with an iron rod and even punched them giving internal injuries. In it, a one-tola gold mangalsutra from mother Mohini's fortune necklace fell somewhere in the scuffle. The household utensils were damaged by the rioters, causing total damage to our household items. Seeing us being beaten up, my friend Yashwant Bodre from the village came to the house to resolve the dispute. Rajkurhar Jain also said to him that you Ramoshi have also become arrogant, that you voted for someone else in yesterday's assembly elections without listening to us; so he beat Yashwant on the left hand and back with an iron rod in his hand. At that time, some of them had petrol bottle in their hands and were shouting and threatening repeatedly that they would burn our houses and not let us stay in the village. Due to the noise of this commotion, three of our villagers, Avinash Masgude, Appa Masgude, Omkar Mane, came to the house and rescued us from the clutches of these men. After that, when approached to the Paranda police station to file a complaint, the police immediately gave us a letter for medical treatment and sent us to the Paranda Sub-District Hospital for medical treatment.

On 25.11.2024 between 11:00 AM to 11.20 AM, the names of Rajkumar Jain, Jaykumar Jain, Bharatesh Awani, Jayghosh Jain, Kishore Awani, Vaibhav Awani, Nabiraj Awani, Bahubali Masalkar, Jitendra Wasgadekar, Anil Wasgadekar, Ranjeet Rajkumar Jain, Jagdish Jain, all residents of Kapilapuri, angry that I voted against them in yesterday's assembly elections, even though they knew that I and my family belongs to the Matang community, they abused us in caste terms, beat us with an iron rod and injured us, and they also entered my house and beat my mother and aunt abusing in filthy language, and they pulled my mother's saree and molested her, so I have a complaint against them.

I am giving my above statement with full of my consciousness and after reading it, I found it completely correct as per my narration.” 3.2 What is narrated in the FIR disclosed certain manifest aspects. On 25.11.2024 in the morning, the respondent-accused along with others went to the house of the appellant and standing outside and in front of appellant’s house stated to the appellant “Mangtyano, you have become much arrogant, you are staying in the village and voting against me”. The appellant was attacked with an iron rod. The mother and aunt of the appellant were addressed with the same set of words as above and that they all were beaten with the iron rod and were punched inflicting internal injuries, the Mangalsutra of the mother fell somewhere in the scuffle. The accused had in their hands petrol bottles and were repeatedly shouting and threatening that they would burn the house of the appellant. The injured appellant lodged the FIR from the hospital.

3.3 The evident reason for this incident was animosity generated in the mind of the accused in respect of appellant’s act of not voting in favour of particular candidate in the assembly elections which had concluded on the previous day. The exhibition of enmity by the accused, their utterances as above and the conduct of beating the appellant and hurling castiest abuses and threats were in public view, outside the house of the appellant. The appellant belonged to the Scheduled Caste community whose caste was “Mang” or “Matang”; whereas the respondent accused was not the member of the Scheduled Caste or Scheduled Tribe community. He hailed from ‘Jain’ community.

3.4 While rejecting the prayer of respondent- accused for anticipatory bail, the Additional Sessions Judge, Paranda recorded findings in paragraph 8 of his order inter alia that there was a specific allegation against the accused and that the accused had abused the complainant by referring to his caste, that the caste certificate confirmed that the complainant-informant belonged to the Scheduled Caste community and further that the incident was witnessed by independent witnesses. On the basis of statements in the FIR and the material available, the court concluded that the ingredients of the offences punishable under Section 3 of the Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989 (hereinafter referred to as “the SC/ST Act”) as alleged were made out.

3.5 When the order rejecting the anticipatory bail was challenged before the High Court by the accused, the High Court took the view to record that there were inconsistencies in the prosecution story as could be gathered from the account of eye-witnesses. According to the High Court, the entire prosecution case appeared to be exaggerated and false. What weighed with the High Court was also the aspect that the incident took place immediately after the declaration of results of the assembly elections, therefore, it had political overtures. Resting on such considerations, the High Court concluded that the appellant was falsely implicated. Further referring to the nature of the injuries and allegations, the High Court granted anticipatory bail.

4. Mr. Amol Nirmalkumar Suryawanshi, learned counsel appearing for the appellant-herein assailed the judgment and order of the High Court to submit that the High Court not only misdirected itself in exercise of the discretion to grant bail to respondent No.1, but it plainly overlooked the provisions of Section 18 of the SC/ST Act. Highlighting the contents of and the allegations in the FIR, it was submitted that the accused used abusive language referring to caste and the appellant who was the member of the Scheduled Caste community was thereby subjected to derogation and insult. The appellant was intimidated and his mother and aunt were also abused with castiest slur and were

threatened. Learned counsel for the appellant further submitted that the castiest slur and the castiest abuse employed against the appellant clearly made out the offence under Section 3 of the SC/ST Act as alleged and since the offence was prima facie committed, the pre-arrest bail could not have been granted by the High Court in view of the provision of Section 18 of the Act. 4.1 Learned counsel for the appellant relied on the decision of Vilas Pandurang Pawar vs. State of Maharashtra¹ to submit that at the stage of the consideration of grant of bail or otherwise, the High Court was not expected to conduct a mini trial. It was submitted that the reasoning of the High Court was not acceptable. Regarding bar created by virtue of Section 18 of the SC/ST Act, learned counsel pressed into service the decision of this Court in Prathvi Raj Chauhan vs. Union of India². 4.2 On the other hand, learned counsel for respondent No.1 seeking to defend the order of the High Court, submitted that Section 18 of the SC/ST Act did not create an absolute bar to grant anticipatory bail. He proceeded to submit that in subsequent decision of this Court in Shajan Skaria vs. The State of Kerala & Anr.³, (2012) 8 SCC 795 (2020) 4 SCC 727 2024 SCC OnLine SC 2249 it was observed that the court needed to undertake an exercise to find out whether there was a prima facie substance in the allegations. According to learned counsel for respondent No.1, the allegations in the FIR were made for the sake of making and were out of anger regarding casting of vote in the assembly elections. He tried to submit that it was wrong to give a castiest colour to the allegations to conclude that any offence under the SC/ST Act was committed by the accused. 4.3. The respondent-State of Maharashtra filed the counter affidavit and opposed the grant of pre-arrest bail to respondent No.1 accused by emphasising the operational ambit of Section 18 of the SC/ST Act. It was highlighted that when prima facie material existed in the form of allegations in the FIR and other attendant factual aspects, the respondent No.1 could not have been granted the anticipatory bail by the High Court.

5. Amongst the offences alleged in the FIR, included those under Sections 3(1)(o), 3(1)(r), 3(1)(s) and 3(1)(w)(i) of the SC/ST Act. The relevant extract of Section 3 of the SC/ST Act is as under.

“3. Punishments for offences atrocities.— (1) Whoever, not being a member of a Scheduled Caste or a Scheduled Tribe,

(b) to (n)

(o) commits any offence under this Act against a member of a Scheduled Caste or a Scheduled Tribe for having voted or not having voted for a particular candidate or for having voted in a manner provided by law;

(p)

(q)

(r) intentionally insults or intimidates with intent to humiliate a member of a Scheduled Caste or a Scheduled Tribe in any place within public view;

(s) abuses any member of a Scheduled Caste or a Scheduled Tribe by caste name in any place within public view;

(t)
 (u)
 (v)

(w) (i) intentionally touches a woman belonging to a Scheduled Caste or a Scheduled Tribe, knowing that she belongs to a Scheduled Caste or a Scheduled Tribe, when such act of touching is of a sexual nature and is without the recipient's consent; (ii) uses words, acts or gestures of a sexual nature towards a woman belonging to a Scheduled Caste or a Scheduled Tribe, knowing that she belongs to a Scheduled Caste or a Scheduled Tribe.

5.1. Section 18 of the SC/ST Act is reproduced:

"18. Section 438 of the Code not to apply to persons committing an offence under the Act.— Nothing in section 438 of the Code shall apply in relation to any case involving the arrest of any person on an accusation of having committed an offence under this Act." 5.1.1 Section 18A in its sub section (1) of the Act provides that for the registration of an FIR against any person, preliminary enquiry shall not be required. It is further stated that the investigating officer shall not be required to take approval for the arrest, if necessary, of any person against whom an accusation about the commission of an offence under this SC/ST Act has been made. Sub section (2) of Section 18A of the SC/ST Act mentions that the provisions of Section 438 of the Cr.PC shall not apply to a case under this Act notwithstanding any judgment or order or direction of any Court. 5.2 It is evident from the above provision of Section 18 that it expressly excludes the applicability of Section 438 of the Code of Criminal Procedure, 1973 ("hereinafter referred to as "the Cr.PC"). In another words, in relation to any case involving arrest of a person who is facing the accusation about committing offence under this Act, protection of Section 438, Cr.P.C. would not be available.

The Legislature has taken away the benefit of anticipatory bail in respect of the arrest for the offences alleged under the SC/ST Act. The bar in Section 18 of the SC/ST Act would operate.

5.3. While upholding the Constitutional validity of Section 18 of the Act, this Court in State of M.P. & Anr. vs. Ram Krishna Balothia & Anr.⁴ observed as under, "... The offences enumerated under the said Act fall into a separate and special class. Article 17 of the Constitution expressly deals with abolition of 'untouchability' and forbids its practice in any form. It also provides that enforcement of any disability arising out of 'untouchability' shall be an offence punishable in accordance with law. The offences, therefore, which are enumerated under Section 3(1) arise out of the practice of 'untouchability'." (Para 6) 5.3.1 The court proceeded to observe, "The exclusion of Section 438 CrPC in connection with offences under the Act has to be viewed in the contest of the prevailing social conditions which give rise to such offences, and the apprehension that perpetrators of such atrocities are likely to threaten and intimidate their victims and prevent or obstruct them in the prosecution of these offenders, if the offenders are allowed to avail of anticipatory bail as pointed out in the Statement of Objects and Reasons of the Act. In these circumstances, if anticipatory bail is not made available to persons who commit such offences, such a denial cannot be considered as

unreasonable or violative of Article 14, as these offences form a distinct class by themselves and cannot be compared with other offences” (para 6) (1995) 3 SCC 221 5.4 The aforesaid bar is held to be not violative of Article 21 of the Constitution. In *Kartar Singh vs. State of Punjab*⁵ it was stated that taking away the right of pre-arrest bail under Section 438 of the Cr.PC, under Section 18 of the SC/ST Act would not infringe the right to personal liberty.

5.5 In *Vilas Pandurang Pawar vs. State of Maharashtra*⁶, this Court explained the bar under Section 18 of the SC/ST Act against grant of anticipatory bail in the following words, “Section 18 of the SC/ST Act creates a bar for invoking Section 438 of the Code. However, a duty is cast on the court to verify the averments in the complaint and to find out whether an offence under Section 3(1) of the SC/ST Act has been prima facie made out. In other words, if there is a specific averment in the complaint, namely, insult or intimidation with intent to humiliate by calling with caste name, the accused persons are not entitled to anticipatory bail.” (Para 9) 5.5.1 It was further stated in *Vilas Pandurang Pawar* (supra), “Moreover, while considering the application for bail, scope for appreciation of evidence and (1994) 3 SCC 569 (2012) 8 SCC 795 other material on record is limited. The court is not expected to indulge in critical analysis of the evidence on record. When a provision has been enacted in the Special Act to protect the persons who belong to the Scheduled Castes and the Scheduled Tribes and a bar has been imposed in granting bail under Section 438 of the Code, the provision in the Special Act cannot be easily brushed aside by elaborate discussion on the evidence.” (Para 10) 5.6 A three judge bench of this Court in *Prathvi Raj Chauhan* (supra) expressed itself thus, “... exclusion of Section 438 CrPC in connection with offences under the Act has to be viewed in the context of the prevailing social conditions which give rise to such offences, and the apprehension that perpetrators of such atrocities are likely to threaten and intimidate their victims and prevent or obstruct them in the prosecution of these offenders, if the offenders are allowed to avail of anticipatory bail as pointed out in the Statement of Objects and Reasons of the Act.” (Para 6) 5.6.1 This Court emphasised in *Prithvi Raj Chauhan* (supra) that anticipatory bail cannot be granted as a matter of right. It was stated that bail is essentially a statutory right and cannot be said to be an essential ingredient of Article 21 of the Constitution. It was further observed that if anticipatory bail is not made available to persons who commit such offences, such a denial cannot be considered as unreasonable or violative of Article 14, as these offences form a distinct class by themselves and cannot be compared with other offences. 5.7 The aforesaid provision of Section 18 and the bar created thereunder has to be seen in the context of the object and purpose with which the Parliament enacted the SC/ST Act, 1989. This legislation was brought into force with an avowed object of implementing the measures to improve the socio-economic conditions of the Scheduled Castes and Scheduled Tribes, who have remained a vulnerable class in the society. The underlying idea is to ensure that the persons belonging to these classes are not denied their civil rights, are not subjected to indignities and are insulated from humiliation and harassment. 5.7.1 The provisions of Section 18 in its ultimate analysis, furthers the very object of the enactment. Seemingly a stricter provision, it underscores the Constitutional idea of availing social justice and to ensure the same pedestal for the Scheduled Caste and Scheduled Tribe community people with other classes in the society. 5.8 The decision of this Court in *Shajan Skaria* (supra) sought to be pressed into service on behalf of respondent No.1 take no different view. In that case, the Bench of two Judges of this Court elaborated the law in respect of grant of anticipatory bail, then highlighted and recognised the bar created under Section 18 of the SC/ST Act to observe that only in the cases where the offence could

not be said to have been made out on a very prima facie consideration, the court may exercise the discretion to grant pre-arrest bail to the accused. 5.8.1 In *Shajan Skaria* (supra) case the appellant-accused who was an Editor of an Online news channel who had published a video on YouTube levelling certain allegations against the complainant who belonged to “Pulaya” community and who was a Member of Kerala State Legislative Assembly representing the constituency which seat was reserved for the member of Scheduled Caste and Scheduled Tribe community. An attentive reading of the broadcast made on YouTube which was a subject matter in that case, would go to indicate that there was no reference therein to the caste name, which aspect becomes clear from the very translation itself, narrated in the judgment by the Court. The caste word “Pulaya” was not even referred to in the complaint also, what was only stated by complainant the subject matter was on Scheduled Caste community. In the totality of the circumstances thereby this Court in *Shajan Skaria* (supra) took the view that the contents of the YouTube video displayed by the accused were not intended to denigrate the complainant as a member of the Scheduled Caste and that it could not be said to be with castiest slur. 5.9 In *Hitesh Verma vs. State of Uttarakhand & Anr.*⁷ as well as in *Ramesh Chandra Vaish vs. State of U.P.*⁸ this Court stated that intimidation or insult amounts to an offence under Section 3(1) of the Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act, 1989 should have been targeted intentionally to the member of the Scheduled Caste or Scheduled Tribe community and also because he is member of the Scheduled Caste or (2020) 10 SCC 710 2023 SCC OnLine SC 668 Scheduled Tribe community. In *Swarn Singh* (supra), it was stated that for making out the offence under Section 3(1)(r) of the SC/ST Act, 1989, it requires that the insult or intimidation should be at a place within public view.

6. In light of the parameters in relation to the applicability of Section 18 of the Act emanating from afore-discussed various decisions of this Court, the proposition could be summarised that as the provision of Section 18 of the Scheduled Caste and Scheduled Tribes, Act, 1989 with express language excludes the applicability of Section 438, Cr.PC, it creates a bar against grant of anticipatory bail in absolute terms in relations to the arrest of a person who faces specific accusations of having committed the offence under the Scheduled Caste and Scheduled Tribe Act. The benefit of anticipatory bail for such an accused is taken off.

6.1 The absolute nature of bar, however, could be read and has to be applied with a rider. In a given case where on the face of it the offence under Section 3 of the Act is found to have not been made out and that the accusations relating to the commission of such offence are devoid of prima facie merits, the Court has a room to exercise the discretion to grant anticipatory bail to the accused under Section 438 of the Code.

6.2 Non-making of prima facie case about the commission of offence is perceived to be such a situation where the Court can arrive at such a conclusion in the first blush itself or by way of the first impression upon very reading of the averments in the FIR. The contents and the allegations in the FIR would be decisive in this regard. Furthermore, in reaching a conclusion as to whether a prima facie offence is made out or not, it would not be permissible for the Court to travel into the evidentiary realm or to consider other materials, nor the Court could advert to conduct a mini trial.

7. Reverting to the facts of the present case, the respondent-accused was not a member of Scheduled Caste or Scheduled Tribe community. The appellant belonged to scheduled caste community known as “Mang” or “Matang”. The allegations made in the FIR lodged by the complainant was that he was addressed by the accused with abusive casteist utterance “Mangatyano, you are became very arrogant, you are staying in the village and voting against”. The appellant was addressed as above by the accused outside the house of the appellant where others were present 7.1 The accused persons beat the complainant with iron rod and threatened to burn the house. The mother and aunt of the appellant-complainant were also meted out similar treatment with intimidation and were addressed with same casteist slur. The use of the word “Mangatyano” was with a clear intention to humiliate the complainant because he belonged to the said Scheduled Caste community. In the said abusive utterances and conduct by the accused, the caste nexus was established. The complainant was humiliated with casteist and abusive approach for the reason that he did not vote in favour of particular candidate one Bahubali-accused No.8 in the Assembly Election as desired by the respondent- accused.

7.2 The incident as above took place outside the house of the complainant, it was a place within public view. The term “any place within public view” was considered by this Court in Swarn Singh (supra) and Hitesh Verma (supra) was also subsequently referred to in the decision of this Court in Karuppudayar vs. State Rep. by the Deputy Superintendent of Police, Lalguid Trichy & Ors.9 wherein the Court drew distinction between “public place” and “any place within public view”. It was held that if the offence is committed outside the building, for example in the lawn outside the house, and the lawn can be seen by someone from the road or lawn outside the boundary wall, then the lawn would certainly be a place within the public view.

8. In the present case, as noted above, the incident took place outside the house of the appellant which could be viewed by anybody. It was indeed a place within public view. There is no gainsaying that in the facts of the case all ingredients necessary to prima facie constitute 2025 SCC OnLine SC 2015 offences under Section 3 of the Scheduled Caste and Scheduled Tribe Act, 1989 as alleged in the FIR stood satisfied. Furthermore, the occurrence of incident was fortified by recovery of clothes and weapons.

9. In the above view, there is no escape from the conclusion that offence under the Scheduled Caste and Scheduled Tribe (Prevention of Atrocities) Act, 1989 is made out from the bare reading of the FIR. The High Court in proceeding to evaluate the testimony of witnesses and to opine on that basis that there were certain discrepancies, no offence was made out, committed a manifest error. The anticipatory bail granted by overlooking of and disregarding the bar of Section 18 of the Act was a clear illegality and jurisdictional error committed by the High Court. The order of the High Court could not be sustained in the eye of law.

10. In the result, the judgement and order dated 29.04.2025 in Criminal Appeal No.201 of 2025 passed by the High Court of Judicature at Bombay, Bench at Aurangabad is hereby set aside. The Appeal is allowed. The anticipatory bail granted to respondent No. 1 stands cancelled.

10.1 It is clarified at this stage that the observations and findings recorded in this judgment are of prima facie nature, limited for the purpose of deciding the question of grant of anticipatory bail. The trial shall proceed independently on its own merits, uninfluenced by any observations herein.

In view of the disposal of the main appeal, all the interlocutory applications as may be pending stands disposed of.

.....,CJI.

[B.R. GAVAI], J.

[K. VINOD CHANDRAN], J.

[N.V. ANJARIA] NEW DELHI;

SEPTEMBER 1, 2025.

(VK)

Haryana Power Purchase Centre (Hppc) vs Gmr Kamalanga Energy Limited on 8 September, 2025

Author: B.R.Gavai

Bench: B.R.Gavai

2025 INSC 1079

REPORTABLE

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 1929 OF 2020

HARYANA POWER PURCHASE
CENTRE (HPPC) AND OTHERS

... APPELLANTS

versus

GMR KAMALANGA ENERGY
LIMITED AND OTHERS

... RESPONDENTS

with

CIVIL APPEAL NO. 3429 OF 2020

JUDGMENT

B.R.GAVAI, CJI.

FACTUAL ASPECTS

1. These appeals take exception to the judgment and final order dated 20th December 2019 passed by the Appellate Tribunal for Electricity, New Delhi¹ in Appeal No. 135 of 2018 along with Appeal No. 54 of 2019, whereby the learned APTEL dismissed the said appeals and upheld the order dated 20th March 2018 passed by the Central Electricity Regulatory Commission, New Delhi² in Petition No. 105/MP/20173.

14:20:44 IST Reason: Hereinafter referred to as the 'APTEL' Hereinafter referred to as the 'CERC' Hereinafter referred to as 'Petition No. 105'

2. We have two appeals before us, both of which challenge the same judgment and final order of the learned APTEL. The first appeal being Civil Appeal No. 1929 of 2020 has been filed by Haryana Power Purchase Centre and two others⁴ whereas the second appeal being Civil Appeal No. 3429 of 2020 has been filed by one GRID Corporation of Orissa Limited⁵. For the sake of clarity and to avoid any confusion, the parties will be referred to according to their positions in the first of the two

civil appeals.

3. Before we proceed with the facts of the case, it would be apposite to give a brief overview of the parties before us. 3.1 HPCC (Appellant No.1) is the nodal agency for the procurement of power on behalf of the distribution licensees in the State of Haryana, being Dakshin Haryana Bijli Vitran Nigam Limited (Appellant No.2) and Uttar Haryana Bijli Vitran Nigam Limited (Appellant No.3). Haryana Power Generation Corporation Limited (Proforma Respondent No.6) is the body corporate that was responsible for the initiation of the competitive bid process on behalf of Appellant Nos. 2 and 3 for procurement of power in the Hereinafter referred to as the 'HPCC' Hereinafter referred to as 'GRIDCO' State of Haryana. Together, the said parties may be referred to as the "Haryana Utilities".

3.2 GMR Kamalanga Energy Limited⁶ (Respondent No.1) is a generating company within the meaning of the Electricity Act, 2003⁷. Notably, GKEL is a special purpose vehicle of GMR Energy Limited⁸ which was the predecessor-in-interest of the Respondent No.1.

3.3 PTC India Limited⁹ (Respondent No.2) is a trading licensee within the meaning of the 2003 Act. Respondent No. 2 had an arrangement with GKEL for the procurement of power. 3.4 CERC (Respondent No.3) is the regulatory commission under the 2003 Act.

3.5 GRIDCO (Respondent No.4) is a licensee under the 2003 Act which is responsible for procuring power for supply within the State of Odisha.

3.6 Similarly, Bihar State Power (Holding) Company¹⁰ (Respondent No.5) is a licensee under the 2003 Act which is Hereinafter referred to as 'GKEL' Hereinafter referred to as the '2003 Act' Hereinafter referred to as 'GEL' Hereinafter referred to as 'PTC' Hereinafter referred to as 'Bihar Utilities' responsible for procuring power for supply within the State of Bihar.

4. Having given a brief overview of the parties in the civil appeals, we may now proceed to examine the facts which lead to the present appeals. The facts are as follows:-

4.1 With the intention to set up a thermal power plant of about 1,000 MW comprising of two units of about 500 MW each at village Kamalanga, Dhenkanal in the State of Odisha, GEL entered into a Memorandum of Understanding (MoU) with the Government of Odisha on 9th June 2006. Per the terms of the MoU, the power project as envisaged was to operate with coal as the primary fuel, for which purpose the State of Odisha was to either allot coal blocks upon receipt of sanction from the Government of India or allot long-term coal linkage of such quality and quantity as required for the project. The MoU further necessitated that a nominated agency authorized by the Government of Odisha would have the right to purchase up to 25% of power sent out from the thermal power plants. While initially, the MoU envisaged the setting up of thermal plants with an aggregate capacity of 1,000 MW (500 x 2), by way of alteration carried out subsequently, it was decided that GKEL would develop four power plants each having a capacity of 350 MW. Three out of the four said units

have been installed, however, the fourth unit of 350 MW is yet to be installed. Subsequently, this project was accorded the Mega Power Project status by the Ministry of Power, Government of India vide its letter dated 1st February 2012.

4.2 In terms of the MoU, on 28th September 2006, GKEL executed a Power Purchase Agreement with GRIDCO (Respondent No.4) being the nominated agency of the State of Odisha for the sale of 25% of the gross power generated by GKEL to GRIDCO, which came to 262.5 MW, upon the installed capacity reaching 1050 MW (350 MW x 3).

4.3 Thereafter, on 5th January 2007, GKEL addressed a letter to the Government of Odisha requesting the State Government for a recommendation to the Ministry of Coal, Government of India for the allotment of long-term coal linkage in favour of GKEL.

Accordingly, the Department of Energy, Government of Odisha vide letters dated 19th December 2005 and 12th January 2007 pursued the matter with the Government of India. 4.4 While this was underway, on 1st March 2007, the Haryana Power Generation Corporation (Respondent No.6) issued a Request for Proposal¹¹ on behalf of the Haryana Utilities for procurement of 2,000 MW power on a long-term basis. The said RfP envisaged the procurement of power by way of a tariff-based bidding process as provided for under Section 63 of the 2003 Act. In order to qualify for the bid, all the bidders were required to submit proof of fuel arrangements in terms of Clauses 2.1.5 and 2.1.5 A of the RfP which read thus: -

“2.1.5 All Bidders are required to submit copies of one or more of the following :-

(a) Linkage letter from the fuel supplier; or

(b) Fuel Supply Agreement between the Bidder and Fuel Supplier; or

(c) Coal Block Allocation letter/In principle approval for allocation of captive block from Ministry of Coal; or

(d) Other details submitted by Bidders subject to acceptance by the Procurer as sufficient proof for demonstration of ability, The above proof of fuel arrangement is not required in case the fuel to be used by the Bidder is imported fuel.

2.1.5 A The Successful Bidder is required to show a firm fuel supply agreement/linkage by the time limit specified for fulfilment of Conditions Subsequent as mentioned in the PPA” Hereinafter referred to as ‘RfP’ 4.5 Subsequently, the Standing Linkage Committee (Long Term)¹² of the Government of India in a meeting dated 2nd August 2007 approved a firm coal linkage of 2.14 MTPA¹³ for a 500 MW power plant as had been originally envisaged under the 1,000 MW (500 MW x 2) configuration.

4.6 In addition to the said approval, the Ministry of Coal, Government of India intimated its decision to allocate Rampia and Dip Side Rampia coal blocks in Odisha to a consortium of six generating companies including GEL. GEL's share was 4.6 MTPA which corresponded to the project capacity of 1,000 MW. The approval came to pass when the Ministry of Coal, Government of India confirmed the allotment of the said coal blocks to the aforementioned consortium vide letter dated 17th January 2008. 4.7 In the meanwhile, on 31st October 2007, GEL entered into an agreement with PTC in order to enable the latter to participate in the bidding process initiated by Haryana Power Generation Corporation (Respondent No. 6) by way of the RfP. In pursuit of the same, PTC submitted its bid for sale of 300 MW of power to the Haryana Utilities and the bid was accepted. Thereafter, vide Hereinafter referred to as 'SLC-LT' Short for 'million tonnes per annum' an order dated 31st July 2008, the Haryana Electricity Regulatory Commission (HERC) adopted the tariff successful bidders including PTC under Section 63 of the 2003 Act. 4.8 Subsequently, upon the allocation of the Rampia and Dip Side Rampia coal blocks to GEL and the remaining allottees of the consortium, Mahanadi Coalfields Limited¹⁴ issued a Letter of Assurance¹⁵ dated 25th July 2008 in favour of GEL for providing firm linkage of 2.14 MPTA coal, being the normative requirement of one of the power plants having capacity of 500 MW. 4.9 Thereafter, on 7th August 2008, PTC executed two separate Power Purchase Agreements¹⁶ with the Dakshin Haryana Bijli Vitran Nigam Limited (Appellant No.2) and Uttar Haryana Bijli Vitran Nigam Limited (Appellant No.3) for supply of 150 MW of power to each, aggregating to 300 MW with the Haryana STU-Inter Connection Point being the delivery point. Notably, the fuel type proposed to be utilized was Coal India Limited (CIL) coal linkage and it was proposed to be sourced from the MCL. 4.10 As the captive coal from Rampia and Dip Side Rampia had not become available, on 12th November 2008, the SLC-LT Hereinafter referred to as 'MCL' Hereinafter referred to as 'LoA' Hereinafter referred to as 'PPA' approved the tapering coal linkage of 2.384 MTPA for 550 MW of the power project, against the coal block allocation to the concerned project. In view of the same, on 8th July 2009, MCL issued a LoA to GEL providing tapering linkage as aforementioned till captive coal blocks became available. 4.11 Subsequently, as aforementioned, GKEL and GRIDCO executed an amended and restated PPA on 4th January 2011 which altered the configuration of the thermal power plants and their output capacity, while keeping intact the entitlement of GRIDCO to 25% gross power generated by GKEL. 4.12 On 9th November 2011, GKEL entered into a PPA with Bihar State Electricity Board, being the predecessor to Bihar Utilities for supply of 260 MW of net power/282 MW of gross power. Per the said PPA, the fuel source proposed to be utilized was Coal India Limited (CIL) coal linkage and the coal was proposed to be sourced from MCL and the Rampia and Dip Side Rampia coal blocks allocated to GKEL.

4.13 Thereafter, on 26th March 2013, MCL signed a Fuel Supply Agreement¹⁷ with GKEL for supply of coal to the power plants (3 x Hereinafter referred to as 'FSA' 350 MW) being 500 MW under normal linkage and 425 MW generation capacity covered under long term PPA i.e., an aggregate of 1.819 MTPA/18.19 lakh tonnes. The FSA was amended from time to time, initially to increase the quantum of coal supplied from 1.819 MTPA to 2.0009 MTPA for the same capacity of 425 MW and thereafter, the FSA was further amended on 18th September 2014 to increase the quantum of coal supplied to 2.14 MTPA on account of operationalization of the PPA with Bihar Utilities.

4.14 Subsequently, on 28th August 2013, GKEL entered into another independent FSA with MCL for tapering linkage. 4.15 In the meanwhile, on 23rd April 2013, GKEL preferred Petition No. 79/MP/2013¹⁸ before the CERC against Haryana Utilities, being a petition under Section 79 of the 2003 Act read with the statutory framework governing the procurement of power through the competitive bidding process and Articles 12, 13 and 17 of the PPA dated 7th August 2008 executed between PTC and the Haryana Utilities and the back-to-back PPA dated 12th March 2009 executed between GEL and PTC for compensation due to Hereinafter referred to as 'Petition No. 79' force majeure events and Change in Law during the operation period. In the said petition, the GKEL sought adjustment of tariff on account of events of Change in Law which affected the power project during the operation period in order to restore GKEL to the same economic position that it would have been in if the concerned events had never occurred. It is notable that GRIDCO was not made a party to this petition.

4.16 Soon thereafter, Unit I of the power project achieved commercial operation and GKEL began supplying power to GRIDCO w.e.f. 30th April 2013. Within a few months, Unit II of the power project achieved commercial operation and GKEL commenced the supply of power to Haryana Utilities w.e.f. 7th February 2014. Subsequently, Unit III of the power project achieved commercial operation on 25th March 2014 and thereafter GKEL began supplying power to Bihar Utilities w.e.f. 1st September 2014.

4.17 At this stage, it would be apposite to run through the quantum of power that was contracted to be delivered under each of the long-term PPAs, which are as follows:-

(a) Supply of 350 MW of gross power (Stage 1: 262.5 MW and Stage 2: 87.5 MW) to GRIDCO in terms of PPA dated 28th September 2006 (as amended on 4th January 2011, with delivery point as Odisha STU Interconnection point).

(b) Supply of 350 MW of gross power (300 MW net of transmission losses and auxiliary consumption) to Haryana Utilities based on PPA dated 7th August 2008 and back-to-

back PPA dated 12th March 2009 executed between GEL and PTC.

(c) Supply of 282 MW of gross power (260 MW net of auxiliary consumption) to Bihar State Electricity Board in term of PPA dated 9th November 2011, with delivery point as the Bihar STU Interconnection point.

4.18 The CERC vide order dated 3rd February 2016 disposed of the Petition No. 79 filed by GKEL in the following terms:-

(i) At the time of bid submission, the notified rate of royalty on coal was Rs. 55+5% of ROM price per tonne. This was subsequently increased to an ad-valorem rate of 14% on price of coal. The CERC held that GKEL would be entitled to compensation for the same from Haryana Utilities.

(ii) At the time of bid submission, there was no clean energy cess on coal. However, this was subsequently introduced by way of the Finance Act 2010 whereby statutory cess of Rs. 100 per tonne had been levied on coal. This was subsequently reduced to Rs. 50 per tonne. The CERC held that GKEL would be entitled to recover clean energy cess from Haryana Utilities in proportion to the coal consumed for generation and supply of electricity to the appellants.

(iii) At the time of bid submission, there was no excise duty on coal. Excise duty @ 6% on the determined sale price of coal was introduced by the Finance Act 2012. The CERC held that GKEL would be entitled to compensation through adjustment in tariff on account of the freshly applicable excise duty on coal.

(iv) Owing to shortfall in the linkage coal and also due to transfer of certain quantum of tapering linkage from MCL to Eastern Coalfields Limited, GKEL had to import coal and also source open market coal. This had led to an additional cost of Rs.

46.10 crores in the generation of power for the Haryana Utilities during the months of February and May to July 2014. The CERC held that GKEL would be entitled to compensation for the same and accordingly set out a mechanism for computing the actual additional cost incurred in a month to mitigate the shortfall in linkage coal. The actual compensation payable was to be calculated and certified by the auditor in terms of the method laid down by the CERC.

(v) At the time of submission of the bid, the pricing of coal was based on the UHV19 method which was Rs. 400 per tonne for F-grade, run-of-mine coal. Thereafter, the Government of India directed a switchover from UHV-based pricing system to GCV20-based pricing system. This led to a significant increase in price. The resultant impact of the change was an increase in cost of Rs. 10.76 crores for a full year. The CERC disallowed this claim, holding that any decision affecting the price of inputs for generating electricity including coal could not be covered under Change in Law.

(vi) GKEL had also raised claims for increase in rail freight charges owing to busy season surcharge and development surcharge. CERC disallowed this claim.

(vii) GKEL also raised claims towards compensation/payment for increase in MAT21 rate from 11.33% to 20.01% as brought in by the Finance Act, 2012. This claim was also disallowed. Short for 'Useful Heat Value' Short for 'Gross Calorific Value' Short for 'Minimum alternate tax'

(viii) A claim was raised by GKEL for payment towards the increase in VAT22 from 4% to 5%. This claim was disallowed.

(ix) A claim was also raised for payment/compensation owing to increase in water charges, which was disallowed. 4.19 It is notable that GKEL had preferred a similar petition being Petition No. 112/MP/201523 against the Bihar Utilities with regard to the PPA executed between the said parties for compensation due to Change in Law which impacted revenues and costs during the operating period. Vide order dated 7th April 2017, the CERC disposed of the petition by allowing all such

claims which fell within the parameters of Change in Law events. 4.20 Subsequently, in terms of the order dated 3rd February 2016 passed in Petition No. 79, GKEL raised supplementary bills towards compensation for 'Change in Law' events as approved by the CERC, by pro-rating coal received from various sources for the period commencing from February 2014 onwards. The bills were accompanied by Form 15, detailed annexures and calculations which clearly showed apportionment of firm linkage coal corresponding to respective PPA capacities.

Short for 'Value added tax' Hereinafter referred to as 'Petition No. 112' 4.21 Disputing the supplementary bills raised by GKEL, Haryana Utilities wrote to PTC on 22nd September 2016 seeking certain clarifications as to whether the bills were as per the order of the CERC dated 3rd February 2016. GKEL responded to the letter on 6th October 2016 wherein it contended that as per CERC's order, it was entitled to claim additional cost incurred during a month in respect of imported coal, open market coal and tapering coal or any other coal purchased to make up the shortfall in the firm linkage coal supplied by MCL.

4.22 Being dissatisfied with the response, Haryana Utilities refused to make payments. To resolve the issue, a meeting was held on 25th January 2017, however, the matter could not be resolved. In light of the same, it was decided by PTC that the supplementary bills raised by GKEL for the period between July 2016 to November 2016 would be considered to be disputed bills. 4.23 In order to resolve the issue, another meeting was convened between the parties on 24th April 2017 wherein it was jointly agreed that a clarificatory petition/review petition would be filed before the CERC.

4.24 Thereafter, GKEL preferred Petition No. 105 before the CERC under Section 79(1)(b) and (f) of the 2003 Act read with Articles 11.6 and 17 of the PPA dated 7th August 2008 for the recovery of the outstanding amount from the Haryana Utilities raised vide supplementary bills.

4.25 The CERC vide order dated 20th March 2018 disposed of the said petition by directing the Haryana Utilities to pay the supplementary bills raised by GKEL for the period from July 2016 to March 2017 along with late payment surcharge as per the provisions of the PPA executed between the parties within one month. The CERC held, in terms of the previous order dated 3rd February 2017 as well as the decision of this Court in *Energy Watchdog v. Central Electricity Regulatory Commission and Others*²⁴, GKEL would be eligible for relief for any shortfall in the firm linkage and tapering linkage met through import and open market coal. To avoid putting GRIDCO and Bihar Utilities at a disadvantage, the CERC further directed that the firm and tapering linkage coal supplied to GKEL would have to be apportioned on a pro rata basis to all the beneficiaries of the project and the cost of procurement of coal from alternate sources (2017) 14 SCC 80 to meet the shortfall would also be apportioned pro rata based on power supplied to beneficiaries.

4.26 Aggrieved thereby, Haryana Utilities preferred Appeal No. 135 of 2018 before the learned APTEL. Subsequently, GRIDCO preferred Appeal No. 54 of 2019 before the learned APTEL. 4.27 The learned APTEL vide the common judgment and final order dated 20th December 2019 dismissed both the appeals and upheld the order of the CERC.

4.28 Hence, these civil appeals under Section 125 of the 2003 Act.

SUBMISSIONS

5. We have heard Shri M.G. Ramachandran, learned Senior Counsel appearing for the appellants, Dr. Abhishek Manu Singhvi, learned Senior Counsel and Shri Vishrov Mukherjee, learned counsel appearing for Respondent No.1, Ms. Prerna Singh, learned counsel appearing for Respondent No.2, Shri Raj Kumar Mehta, learned counsel appearing for Respondent No. 4 and Shri S.B. Upadhyay, learned Senior Counsel appearing for Respondent No.5.

6. Shri Ramchandran, learned Senior Counsel appearing on behalf of the Haryana Utilities submitted that from the perusal of the RfP issued by Haryana Utilities in March, 2007 and the bid submitted by GKEL on 23rd November 2007 through PTC, it is clear that the bidders were required to submit the details with regard to fuel arrangement, source of fuel among other particulars. It is equally clear that while submitting the bid, GKEL had shown the source of fuel to be firm linkage granted by way of SLC-LT meeting held on 2nd August 2007. It is further submitted that the perusal of PPA dated 7th August 2008 between Haryana Utilities and PTC would also show that the PPA was based on firm linkage coal from MCL. It is submitted that as against this, the PPA dated 9th November 2011, entered into by GKEL with Bihar Utilities clearly indicated the sources of fuel as firm linkage as well as Rampia and Dip Side of Rampia coal block allotment (tapering linkage).

7. Shri Ramchandran further submitted that FSA as well as the LoA in favour of GKEL for the first phase was unit specific. It is submitted that FSA becomes operational in proportion to the generation covered under long term PPAs. It is submitted that at the time when the FSA dated 26th March 2013 was signed, even though the linkage was for 500 MW, only 425 MW was considered as generation capacity. This was so since the PPAs with Haryana Utilities for 300 MW as well as with GRIDCO for 125 MW were the only long term PPAs at that time. Shri Ramchandran further submitted that subsequently, when the Bihar PPA became operational, the capacity under the FSA vis-à-vis firm linkage was modified by specific additional 29.55 MW (out of a total Bihar PPA capacity of 260 MW).

8. Shri Ramchandran contended that the Haryana Utilities would be entitled to supply of 300 MW of energy from the firm linkage whereas GRIDCO would be entitled to supply of 125 MW energy produced using the coal available from the firm linkage. It is, therefore, submitted that the Haryana Utilities cannot be burdened with the additional cost incurred on account of production of coal from the MCL tapering linkage. Shri Ramchandran submitted that the difference on account of the use of fuel from tapering linkage will have to be borne only by the GRIDCO and Bihar Utilities inasmuch as the said coal was used for production of power for Unit II of 200 MW and Unit III of 350 MW. It is, therefore, submitted that both the CERC as well as the learned APTEL erred in putting the burden on the Haryana Utilities whereas the same should have been apportioned to Bihar Utilities and GRIDCO.

9. Shri Raj Kumar Mehta, learned counsel appearing on behalf of GRIDCO submitted that it was the PPA with GRIDCO which came to be operationalized first in April 2013. It is submitted that even though GRIDCO's share in the installed capacity of the thermal station of GKEL was 25%, the order dated 3rd February 2016 in Petition No. 79 and order dated 20th March, 2018 in Petition No. 105

were passed without impleading GRIDCO. It is submitted that GRIDCO was a necessary and proper party as its rights were adversely affected. It is submitted that GRIDCO was also not impleaded in the appeal being Appeal No. 135 of 2018 filed by the Haryana Utilities before the learned APTEL. It is submitted that on account of the order dated 28th November 2018 of the learned APTEL, GRIDCO came to be impleaded in the said appeal.

10. Shri Mehta further submitted that the reasoning given by the learned APTEL that since GRIDCO's PPA was Cost Plus Tariff PPA under Section 62 of the 2003 Act whereas the proceedings before the CERC and the learned APTEL were initiated seeking compensation on the grounds of Change in Law with regard to Haryana Utilities and Bihar Utilities which fell under Section 63 of the 2003 Act and therefore, GRIDCO was not necessary party, is wholly unsustainable. It is submitted that GKEL had specifically prayed for pro rating of linkage coal amongst all the three utilities namely GRIDCO, Haryana Utilities and Bihar Utilities and as such GRIDCO was a necessary party.

11. It is submitted that the project sought to be installed by GKEL was at the instance of the Government of Odisha. It is submitted that the State of Odisha had provided all the necessary facilities to GKEL to install the project. It is therefore submitted that it is the GRIDCO which had the first right to the power generated from the coal made available from the firm linkage.

12. Dr. Abhishek Manu Singhvi appearing on behalf of the respondent No. 1 submitted that the appeals are liable to be dismissed on the short ground that they do not raise any substantial question of law as is required under Section 125 of the 2003 Act. It is further submitted that the order dated 20th March 2018 in Petition No. 105 is passed by the CERC on the basis of its earlier order dated 3rd February, 2016 in Petition No.

79. It is submitted that the CERC in Petition No. 79 had clearly held that coal supplied to GKEL under linkage by Government of India is to be apportioned on pro rata basis to all the three Distribution Companies²⁵ i.e. Haryana Utilities, GRIDCO and Bihar Utilities. It is submitted that since the Haryana Utilities had not challenged the said order, it was not permissible for them to challenge the order passed in Petition No. 105. It is further submitted that supply of coal from all the modes of procurement has to be considered for the power project inasmuch as allocation by Government of India was for the whole project and not specific to any particular DISCOM.

13. Dr. Singhvi further submitted that the concurrent orders passed by the CERC and the learned APTEL are equitable orders inasmuch as it has been held that coal supplied under the linkage is to be apportioned on pro rata basis to all the DISCOMS. However, if the contentions of the Haryana Utilities are accepted, it will amount to burdening the consumers in the State of Odisha and Bihar. It is further submitted that if the contentions of both Haryana Utilities and GRIDCO are accepted, it will amount to putting the total burden on the consumers in the State of Bihar.

14. Dr. Singhvi further contended that the attitude of Haryana Utilities is of approbation and reprobation. It is submitted that in Hereinafter referred to as 'DISCOMS' the case of Uttar Haryana Bijli Vitran Nigam Ltd. & Another v. Adani Power (Mundra) Limited and Others²⁶, this Court noted that after accepting before the CERC that they would adopt the methodology as given in the case of

GMR-Kamalanga Energy Limited v. Dakshin Haryana Bijli Vitran Nigam Ltd.²⁷, Haryana Utilities changed their stand subsequently.

15. In the totality, Dr. Singhvi submitted that the appeals deserve to be dismissed.

16. Shri S.B. Upadhyay, learned Senior Counsel appearing on behalf of respondent No. 5 has supported the concurrent orders of the CERC and the learned APTEL.

DISCUSSION AND ANALYSIS

17. At the outset, it can be noticed that all three DISCOMS agree that GKEL is entitled to compensation on account of Change in Law event. However, the Haryana Utilities and GRIDCO argued that the said liability should not come to them but should instead be passed on to the other two. It is only the Bihar Utilities which agrees that the liability has to be equally shared by all three (2023) 14 SCC 736;

(2016) SCC OnLine CERC 43 DISCOMS in proportion to the energy supplied to them. We find it appropriate to deal with both the appeals separately. CIVIL APPEAL NO. 1929 OF 2020

18. Undisputedly, the present appeal filed by Haryana Utilities challenges the impugned judgment and final order passed by learned APTEL whereby the learned APTEL has upheld the order of the CERC. The appeal to this Court has been filed under Section 125 of the 2003 Act. The perusal of Section 125 shows that the appeal is tenable only on the grounds as available under Section 100 of the Code of Civil Procedure, 1908²⁸, as such, it could be seen that appeal would be tenable only on a substantial question of law.

19. One of us (B.R. Gavai, J, as he then was) had an occasion to deal with a large batch of electricity appeals pertaining to Change in Law event. This Court first decided the common issues involved in the said batch of appeals in Maharashtra State Electricity Distribution Company Limited v. Adani Power Maharashtra Hereinafter referred to as “CPC” Limited and Others²⁹. It would be apposite to refer to following paragraphs of the said judgment:

“118. It could thus be seen that two expert bodies i.e. CERC and the learned APTEL have concurrently held, after examining the material on record, that the factors of SHR and GCV should be considered as per the Regulations or actuals, whichever is lower. CERC as well as the State Regulatory bodies, after extensive consultation with the stakeholders, had specified SHR norms in the respective Tariff Regulations. In addition, insofar as GCV is concerned, the CEA has opined that the margin of 85-100 kcal/kg for a non- pit head station may be considered as a loss of GCV measured at wagon top till the point of firing of coal in boiler.

119. In this respect, we may refer to the following observations of this Court in Reliance Infrastructure Ltd. v. State of Maharashtra [Reliance Infrastructure Ltd. v. State of Maharashtra, (2019) 3 SCC 352] :

(SCC pp. 376-77, paras 38-39) “38. MERC is an expert body which is entrusted with the duty and function to frame regulations, including the terms and conditions for the determination of tariff. The Court, while exercising its power of judicial review, can step in where a case of manifest unreasonableness or arbitrariness is made out. Similarly, where the delegate of the legislature has failed to follow statutory procedures or to take into account factors which it is mandated by the statute to consider or has founded its determination of tariffs on (2023) 7 SCC 401, hereafter referred to as MSEDCL extraneous considerations, the Court in the exercise of its power of judicial review will ensure that the statute is not breached.

However, it is no part of the function of the Court to substitute its own determination for a determination which was made by an expert body after due consideration of material circumstances.

39. In *Assn. of Industrial Electricity Users v. State of A.P.* [*Assn. of Industrial Electricity Users v. State of A.P.*, (2002) 3 SCC 711] a three-Judge Bench of this Court dealt with the fixation of tariffs and held thus : (SCC p. 717, para 11) ‘11. We also agree with the High Court [*S. Bharat Kumar v. State of A.P.*, 2000 SCC OnLine AP 565 : (2000) 6 ALD 217] that the judicial review in a matter with regard to fixation of tariff has not to be as that of an appellate authority in exercise of its jurisdiction under Article 226 of the Constitution. All that the High Court has to be satisfied with is that the Commission has followed the proper procedure and unless it can be demonstrated that its decision is on the face of it arbitrary or illegal or contrary to the Act, the court will not interfere.

Fixing a tariff and providing for cross-

subsidy is essentially a matter of policy and normally a court would refrain from interfering with a policy decision unless the power exercised is arbitrary or ex facie bad in law.’ ” *****

121. Recently, the Constitution Bench of this Court in *Vivek Narayan Sharma (Demonetisation Case-5 J.) v. Union of India* [*Vivek Narayan Sharma (Demonetisation Case-5 J.) v. Union of India*, (2023) 3 SCC 1] has held that the Courts should be slow in interfering with the decisions taken by the experts in the field and unless it is found that the expert bodies have failed to take into consideration the mandatory statutory provisions or the decisions taken are based on extraneous considerations or they are ex facie arbitrary and illegal, it will not be appropriate for this Court to substitute its views with that of the expert bodies.”

20. It can thus be seen that this Court has held that when various expert bodies like the CERC, the APTEL and the Central Electricity Authority after considering the relevant material on record have taken a particular view, the Court should be slow in interfering with the decisions taken by them. It has been held that unless the Court finds that the expert bodies have failed to take into consideration the mandatory statutory provisions or if their decisions are based on extraneous considerations or they are ex facie arbitrary and illegal, it will not be appropriate for this Court to substitute its views with that of the expert bodies.

21. After deciding the common issues involved in the batch of electricity appeals in the case of MSEDCL (supra), this Court considered various additional issues involved in individual matters pertaining to the question of Change in Law event. One such case was GMR Warora Energy Limited v. Central Electricity Regulatory Commission (CERC) and Others³⁰. This Court in the said case observed thus:

“VI. Epilogue

171. Before we part with the judgment, we must note that we have come across several appeals in the present batch which arise out of concurrent findings of fact arrived at by two statutory bodies having expertise in the field. We have also found that in some of the matters, the appeals have been filed only for the sake of filing the same. We also find that several rounds of litigation have taken place in some of the proceedings.

172. Recently, this Court in Maharashtra State Electricity Distribution Co. Ltd. v. Adani Power Maharashtra Ltd. [Maharashtra State Electricity Distribution Co. Ltd. v. Adani Power Maharashtra Ltd., (2023) 7 SCC 401] has noted that one of the reasons for enacting the Electricity Act, 2003 was that the performance of the Electricity Boards had deteriorated on account of various factors. The Statement of Objects and Reasons of the Electricity Act, 2003 would reveal that one of the main features for enactment of the Electricity Act was delicensing of generation and freely permitting captive generation. In the said judgment, we have recorded the statement of the learned Attorney General made in Energy Watchdog [Energy Watchdog v. CERC, (2023) 10 SCC 401 (2017) 14 SCC 80 : (2018) 1 SCC (Civ) 133] that the electricity sector, having been privatised, had largely fulfilled the object sought to be achieved by the Electricity Act. He had stated that delicensed electricity generation resulted in production of far greater electricity than was earlier produced. The learned Attorney General had further urged the Court not to disturb the delicate balance sought to be achieved by the Electricity Act i.e. that the producers or generators of electricity, in order that they set up power plants, be entitled to a reasonable margin of profit and a reasonable return on their capital, so that they are induced to set up more and more power plants. At the same time, the interests of the end-consumers also need to be protected.

173. However, we find that, in spite of this position, litigations after litigations are pursued. Though the concurrent orders of statutory expert bodies cannot be said to be perverse, arbitrary or in violation of the statutory provisions, the same are challenged.”

22. It will also be appropriate to refer to the following observations made by this Court in paragraph 181 of the said judgment:

181. It is further to be noted that the appeal to this Court under Section 125 of the Electricity Act, 2003 is only permissible on any of the grounds as specified in Section 100 of the Code of Civil Procedure, 1908.

As such, the appeal to this Court would be permissible only on substantial questions of law. However, as already observed herein, even in cases where well-reasoned concurrent orders are passed by the Electricity Regulatory Commissions and the learned APTEL, the same are challenged by the DISCOMS as well as the generators. On account of pendency of litigation, which in some of the cases in this batch has been more than 5 years, non-payment of dues would entail paying of heavy carrying cost to the generators by the DISCOMS, which, in turn, will be passed over to the end-consumer. As a result, it will be the end-consumer who would be at sufferance. We are of the opinion that such unnecessary and unwarranted litigation needs to be curbed.

23. This Court in clear terms noted that the appeal under Section 125 of the 2003 Act is only permissible on any of the grounds as specified in Section 100 of the CPC. As such, it is permissible only on substantial questions of law. This Court observed that even in cases where well-reasoned concurrent orders are passed by the Electricity Regulatory Commissions and the learned APTEL, the same are challenged by DISCOMS as well as the generators. It has been observed that on account of pendency of litigation which in some of the cases in the said batch had been for more than 5 years, non-payment of dues would result in paying of heavy carrying cost to the generators by the DISCOMS. It was observed that, in turn, this heavy cost is passed over to the end-consumers who are the ultimate sufferers. The Court had in unequivocal terms observed that such unnecessary and unwarranted litigations need to be curbed. In spite of the aforesaid observations, this Court is flooded with such kind of litigations.

24. In the present matter, there are concurrent findings of facts not only in the impugned judgment passed by the learned APTEL and the order passed by the CERC in Petition No. 105, but also in the order dated 3rd February 2016 passed by the CERC in Petition No. 79 during the first round of litigation. The Court will, therefore, have to be very slow in interfering with the said findings of fact. Unless it is found that the findings are perverse, arbitrary or in violation of the statutory provisions, it will not be permissible for this Court to interfere with the same.

25. Though, it was sought to be argued on behalf of the appellants that in the present case question of interpretation of the documents arises and the same question would fall in the category of substantial question of law, we do not find that any substantial question of law arises for consideration in the present appeal.

26. Be that as it may, since the present appeal is pending since 2020 having been admitted on 3rd June 2020, we propose to deal with the merits of the matter.

27. It will be relevant to refer to the Petition No. 79 filed by GKEL before the CERC. GKEL contended in the said petition that it had entered into three long term PPAs as under:

a) Supply of 350 MW gross power (Stage 1: 262.5 MW and Stage 2: 87.5 MW) to Grid Corporation of Odisha Limited (GRIDCO) in terms of PPA dated 28th September 2006 (as amended on 4th January 2011 with delivery point as Odisha STU interconnection point).

b) Supply of 282 MW gross power (260 MW net of auxiliary consumption) to Bihar State Electricity Board in terms of PPA dated 9th November 2011, with delivery point as the Bihar STU interconnection point.

c) Supply of 350 MW gross power (300 MW net of transmission losses and auxiliary consumption) to Haryana Discoms based on the competitive bidding through back-to-back arrangements:

(i) The PPAs dated 7th August, 2008 entered into between PTC India Limited and Haryana Discoms with delivery point as Haryana STU bus bar;

(ii) Back-to-back PPA dated 12th March, 2009 between GMR Energy Limited (holding company of GKEL) and PTC India Limited.

28. The petition was filed by GKEL seeking relief on account of Change in Law on various grounds. One of the grounds was with regard to deviations from the New Coal Distribution Policy, 2007 (the NCDP) and changes in coal distribution policy of the Government of India and Coal India Limited.

29. The issue with regard to firm linkage and tapering linkage in favour of GKEL and allocation of captive coal mines in favour of a consortium of six companies including GKEL also fell for consideration in the said petition. It will also be relevant to refer to the following submissions of GKEL recorded by the CERC:

“6.....

(a) As regards the firm linkage, the Standing Linkage Committee (Long Term) (SLC-LT) approved a coal linkage for the project on 2.8.2007 which was communicated to the petitioner on 24.9.2007. Letter of Assurance (LOA) was issued in favour of GEL on 25.7.2008 for 2.14 MTPA of coal for 500 MW capacity of the Power Project.

LOA was transferred in the name of GEKL by Ministry of Coal on 17.2.2011.

(b) On 6.11.2007, Ministry of Coal conveyed its decision to allocate Rampia and Dip Side Rampia coal blocks in Odisha to a consortium comprising of GEL and five other companies (M/s Sterlite Energy Ltd, M/s Mittal Steel India Limited, M/s Lanco Group Limited, M/s Navbharat Power Private Ltd, and M/s Reliance Energy Ltd). Ministry of Coal vide its letter dated 17.1.2008 made the allocation under Section 3(3)(a) (iii) of the Coal Mines (Nationalisation) Act, 1973 for captive use in the specified end use projects by the allocatees. A joint venture company in the name of Rampia

Coal Mine and Energy Private Limited was formed by the allocattees to carry out coal mining in early 2008.

(c) On 12.11.2008, SLC-LT approved tapering coal linkage for the power project based on the recommendation of CEA that development of coal block allocated to GEL alongwith others was likely to take time. On 8.7.2009, LOA was issued for tapering coal linkage of 2.384 MTPA for 550 MW capacity in favour of GEL till coal from Rampia coal block was available. LOA was transferred in the name of GEKL by Ministry of Coal on 17.2.2011.

(d) On 26.3.2013, Mahanadi Coalfield Limited (MCL) signed the Fuel Supply Agreement with GEKL for supply of 1.819 MTPA of coal per annum.

7. According to the petitioners, the financial closure of the power project was achieved on 29.5.2009 and the petitioners went ahead with execution of the project with the expected COD of Unit 1 as 25.4.2013 as on the date of filing the present petition.

30. In the said petition, the Haryana Utilities had raised a preliminary objection on the ground that impact of Change in Law can be ascertained only during the operation period, i.e. after the power project has been declared under commercial operation. The CERC with following observations rejected the said preliminary objection:

“17. According to the Haryana Discoms, the present petition is premature since the impact of "Change in Law" can be ascertained only during the operation period, that is, after the power project has been declared under commercial operation. In this regard, it is noted that 1st Unit of the power project was commissioned on 30.4.2013 and has been taken note of by the Haryana Power Purchase Centre (which is responsible for purchase of power on behalf of the Haryana Discoms) in its letter dated 20.5.2013. Subsequently, in its letter dated 8.8.2013, HPCC in response to the petitioner's offer contained in the letter dated 4.7.2013, consented for scheduling of power from the Project. The 2nd Unit achieved COD on 12.11.2013 and supply to the Haryana Discoms commenced on 7.2.2014. 3rd Unit achieved COD on 25.3.2014. Since all units of the power project have achieved COD, the operating period has already commenced, making the petitioners eligible for compensation under Change in Law during the operating period. The objections of Haryana Discoms on this count are disposed of accordingly.”

31. The perusal of paragraphs 54, 55 and 73 of the order passed by the CERC dated 3rd February 2016 would reveal that it devised a formula for computing the Energy Charge Rate³¹ which required pro rata allocation of coal among all three DISCOMS. It is pertinent to note that the Haryana Utilities did not challenge the said order and paid the amounts due in terms of the said order till June 2016. The Haryana Utilities had accepted the bills which were submitted in pursuance to the order passed in Petition No. 79 and a total of about Rs. 140 crores were paid till June, 2016. However, in September 2016, the Haryana Utilities raised the issue of pro rata allocation of coal. After due deliberations, Haryana Utilities and GKEL agreed that the latter would approach the

CERC for clarification in this regard. As such, GKEL filed Petition No. 105. The argument of Haryana Utilities in the said petition was that coal received under FSA dated 26th March 2013 should be considered for Haryana Utilities only and shortfall in supply thereof should be met through imported, open market or tapering coal. However, it was submitted on behalf of GKEL that the allocation of coal was made for the entire plant of GKEL and Hereinafter referred to as 'ECR' therefore, coal shall be used proportionately for generation and supply of power to all beneficiaries namely GRIDCO, Haryana Utilities and Bihar Utilities.

32. The CERC vide order dated 20th March 2018 passed in Petition No. 105 considered the rival submissions as under:

"31. On perusal of the documents on record, it emerges that the Petitioner was granted firm linkage of 500 MW and linkage from captive coal mine for 550 MW for its plant which was envisaged to have capacity of 1050 MW(3x350 MW), Subsequently, LOA dated 25.7.2008 was issued for firm linkage of 2.14 MTPA for 500 MW and LOA dated 8.7.2009 was issued for tapering linkage of 2.384 MTPA for 550 MW by Ministry of Coal.

Perusal of the Standing Linkage Committee (SLC) Minutes of Meeting dated 14.2.2012 reveals that the tapering linkage of 2.384 MTPA was allocated to the Petitioner for all three beneficiaries i.e. GRIDCO, Bihar Discoms and Haryana Discoms. The Committee noted that in some cases like GMR Kamalanga Energy Ltd., two separate LoAs were recommended by the SLC (LT) in different meetings, due to change in the configuration/capacity of the unit. The 2nd LoA was recommended by the SLC (LT) for the remaining capacity arising out of the changed configuration. On the recommendation of SLC (LT), the LoAs dated 25.7.2008 and 8.7.2009 were issued to the Petitioner for 500 MW and 550 MW respectively to meet the coal requirement for the entire capacity of 1050 MW.

32. FSA dated 26.3.2013 was entered into by the Petitioner with Mahanadi Coalfield Limited for 500 MW of firm linkage coal. The Tapering Linkage FSA with MCL was signed on 20.5.2014 and Tapering linkage FSA with ECL was signed on 29.5.2014. Paras 4.1.1 and 4.2 of the FSA dated 26.3.2013 provide as under:

"4.1.1 The Annual Contracted Quantity of Coal agreed to be supplied by the Seller and undertaken to be purchased by the Purchaser, shall be 18.19 lakh Tes. Per Year from the Seller's mines and/or from import, as per Schedule I. For part of Year, the ACQ shall be prorated accordingly. The ACQ shall be in proportion of the percentage of Generation covered under long term Power Purchase Agreements executed by the Purchaser with the DISCOMs either directly or through PTC(s) who has/have signed the back to back long term PPA(s) with DISCOMs. Whenever, there is any change in the percentage of PPA(s), corresponding change in ACQ shall be effected through a side agreement. Such changes shall be allowed to be made only once in a year and shall be made effective only from the beginning of the next quarter. However, in no case ACQ should exceed the LOA quantity as mentioned in Schedule I. 4.2. The total

quantity of coal supplied pursuant to this Agreement is meant for use at Power Plant (3X350 MW), 500 MW under Normal Linkage (425 MW generation capacity covered under long term PPA).

Located at Village-Kamalanga, Dt.

Dhenkanal, Odhisha as listed in Schedule I. The Purchaser shall not sell/divert and/or transfer the Coal to any third party for any purpose whatsoever and the same shall be treated as material breach of Agreement, for which the Purchaser, shall be fully responsible and each act shall warrant suspension of coal supplies by the Seller in terms of Clause 14.1 (b)."

It is evident from the above provisions of the FSA that the total quantum of coal supplied pursuant to the FSA is meant for use at the power plant (3x350 MW) of the Petitioner. Further, ACQ would be in proportion to the percentage of generation covered under long term PPAs either with the DISCOMs directly or through PTC which have been signed by the Petitioner. Therefore, the FSA cannot be for a particular PPA as contended by HPPC. As on the date of the FSA, only 425 MW were to be operationalised under long term PPAs with PTC/Haryana DISCOMs and GRIDCO and accordingly, only 425 MW covered under the long term PPAs was mentioned in the FSA. The FSA further provides that whenever there is any change in the percentage of PPAs, corresponding changes in the ACQ shall be effected through side agreements. The FSAs for the tapering linkage were signed with MCL on 20.5.2014 and with ECL on 29.5.2014. These FSAs were signed before the commencement of supply under Bihar PPA. The Petitioner was receiving 2.58 MTPA of coal from both firm and tapering linkage to meet the requirement for 618 MW and after operationalization of Bihar PPA, the Petitioner received 3.63 MTPA of coal to meet the requirement of 905 MW. Therefore, any shortfall in the firm linkage as well as tapering linkage met through import and open market coal shall be eligible for relief under the Change in law in the light of the order dated 3.2.2016 and the Hon'ble Supreme Court's judgment in Energy Watchdog case.

33. In the light of the above discussion, it cannot be inferred from the language of para 48 of the order dated 3.2.2016 that the requirement of Haryana PPA shall be met from the firm linkage under the FSA dated 26.3.2013 and shortfall thereof shall be met through import and open market coal. Such an interpretation goes against the coal allocation by Ministry of Coal to power plant of the Petitioner as a whole and will put the GRIDCO PPA and Bihar PPA at a disadvantage vis- a-vis Haryana PPA. In fact, the Commission in para 73 (b) of the order dated 3.2.2016 in Petition No. 79/MP/2013 had observed as under:

"73.....

(b) The additional cost incurred in a month due to shortage of linkage coal shall be computed on ex-bus scheduled energy and shall be pro-rated corresponding to the scheduled generation for Haryana Discoms as per methodology given in para 56 above."

Therefore, in light of the allocation of firm as well as tapering linkage for all three beneficiaries and our order dated 3.2.2016 in Petition No. 79/MP/2013, the firm and tapering linkage coal supplied to the Petitioner has to be apportioned on pro rata basis to all beneficiaries of the project and the cost of procurement of coal from alternate sources to meet the shortfall of firm and tapering linkage coal has also to be apportioned pro rata based on power supplied to these beneficiaries. Accordingly, the contention of Haryana Discoms to appropriate the coal supplied under firm linkage towards the capacity being supplied to them instead of pro-rata apportionment to all the beneficiaries is not correct. The order dated 3.2.2016 has to be read in its entirety and HPPC is not correct to pick up an observation in para 48 of the said order to claim that Its liability is limited to imported/open market coal for the shortage in firm linkage coal only. In our view, the Petitioner has correctly apportioned the linkage coal to Haryana Discoms proportionate to the capacity being supplied to them and has issued Supplementary Bills in accordance with the formula devised in order dated 3.2.2016 in Petition No. 79/MP/2013. Accordingly, we direct the respondents to pay the supplementary bills raised by the Petitioner for the period from July, 2016 to March, 2017 along with late payment surcharge as per the provisions of the PPA within one month from the date of issue of the order.”

33. The said order came to be challenged by the Haryana Utilities. However, at the instance of the learned APTEL, GRIDCO came to be impleaded as party respondent in the appeal filed by the Haryana Utilities. Subsequently, GRIDCO also filed its own appeal before the learned APTEL. It was sought to be contended on behalf of the Haryana Utilities that the order passed in Petition No. 105 was beyond the order dated 3rd February 2016. Rejecting the said contention, the learned APTEL by a well-reasoned judgment and order observed thus:

“8.16 The Appellants contention that the Impugned Order has gone beyond Order dated 03.02.2016 is incorrect. It is evident from Paragraph 33 of the Impugned Order that CERC has merely reiterated its earlier Order and upheld the bills raised by GKEL in terms of Order dated 03.02.2016 in Petition No. 79/MP/2013.

Coal supply to Plant as whole and not Procurer Specific 8.17 GKEL had quoted tariff for Haryana PPAs considering coal availability for the Project from linkage coal and its own Captive Coal blocks based on

(a) SLC-LT approval dated 02.08.2007 for 500 MW;

and

(b) Ministry of Coal decision dated 06.11.2007 to allocate Rampia and Dip side Rampia coal blocks to GKEL.

8.18 At the time of bid submission for Haryana, the SBD did not permit inclusion of different sources of coal - linkage, captive etc. Therefore, GKEL had cited linkage from CIL/MCL. Use of coal from the Captive Coal block was envisaged for the entire Plant as evident from the allocation letter dated 17.01.2008 wherein GKEL share of coal reserves is 138 MT @ 4.6 MT for 30 years to meet coal requirement of the Project as a whole.

8.19 Coal supply was to the Project as a whole and not Procurer Specific is supported by:-

(a) The SLC minutes dated 14.02.2012 clearly state that the tapering linkage coal of 2.384 MTPA is to be utilized for all three PPAs with GRIDCO, Haryana and Bihar Discoms.

(b) Clause 4.2 of the FSA dated 26.03.2013 signed with MCL clearly states that:-

"the total quantity of coal supplied pursuant to this Agreement is meant for use at Power Plant (3x350 MW), 500 MW under Normal Linkage (425 MW generation capacity covered under long term PPA)."

8.20 It is submitted that LoA and FSA are for the station and never for a particular PPA as contended by the Appellants. Further, the Appellant's contention that the apportionment of coal (from firm linkage) is to be done proportionally between the Appellants (300 MW), GRIDCO (150 MW) and Bihar (29.55 MW) is erroneous. It is submitted that the end- use stated in these documents is for the Station/ Plant. This was confirmed by MCL in terms of letter dated 02.05.2018 which stated that the Coal is released for the total PPA capacity and not bifurcated on the basis of individual PPAs.

8.21 In terms of Clause 4.1 of the FSA, the ACQ shall be in proportion of the percentage generation covered under long term PPAs with Discoms. The relevant portion of Clause 4.1 is reproduced below:-

"4.1.1... The ACQ shall be in proportion of the percentage of Generation covered under long term Power Purchase Agreements executed by the Purchaser with the DISCOMs either directly or through PTC(s) who has/ have signed the back to back long term PPA(s) with DISCOMS."

It is only commencement of supply of coal which is linked to commencement of supply under the PPA. For example, if supply of power to Bihar commenced before Haryana, the ACQ would have been allocated/operationalized similarly.

8.22 In view of the above, contention of Haryana that the tapering linkage granted in relation to coal block cannot be linked to 300 MW is wrong. In fact, the linkage coal/ coal block or tapering linkage are allocated for the station and to be utilized for all three PPAs. In fact, allocating coal under the FSA to Haryana Discoms to the exclusion of Bihar and GRIDCO will be contrary to the provisions of the FSA. 8.23 As brought out above, the allocation of coal was for the Project as a whole and not Procurer/PPA wise. This is evident from the following:-

(a) LOAs dated 25.07.2008 and 08.07.2009 were for the plant as a whole.

(b) Allocation letter dated 17.01.2008 for the Captive Coal mine is for 4.6 MT which is sufficient for 1050 MW, being the installed capacity of the Project.

(c) Minutes of the SLC-LT dated 14.02.2012 note that the entire linkage (firm and tapering) is for all the 3 PPAs.

(d) Letter dated 02.05.2018 issued by Mahanadi Coalfields Limited ("MCL") states that CIL and its subsidiaries had allocated coal to the Project on pro-

rata basis vis-à-vis the operational capacities and not on basis of procurers. The letter specifically states that "in case of multiple PPAs, coal is released to the IPPs considering the total PPA capacity and not bifurcated on the basis of individual PPAs". The aforesaid only confirms the provision of clause 4.1.1 of the FSAs which also talks of allocation of coal on pro-rata basis to long term PPAs executed by the Discoms directly through PTC.

8.24 If the Appellant's contention is upheld, it will lead to an anomalous situation wherein GRIDCO and Bihar Discoms will end up cross-subsidizing supply of power to Haryana Discoms. It is submitted that the Ld. Central Commission has rightly allowed pro-rata allocation of linkage and alternate coal so as to ensure that the impact is equally apportioned. 8.25 Since the allocation is not PPA specific, allocation of coal to one procurer to the exclusion of others will be contrary to the terms of such allocation. 8.26 Further, such action will also be contrary to Article 14 of the Constitution of India since it will result in equals being treated unequally."

34. It could thus be seen that the present appeal challenges the concurrent findings arrived at by the CERC on two different occasions and the learned APTEL in the impugned judgment. The perusal of the aforesaid judgment and orders would reveal that they are based upon interpretation of various documents and considering the following factual aspects with respect to fuel arrangements for the Project:

(i) The original SLC-LT allocation dated 2nd August 2007 for firm linkage was made prior to the Haryana PPA;

(ii) Letter dated 6th November 2007 issued by Ministry of Coal intimating its decision to allocate Rampia and Dip Side Rampia coal blocks in Odisha to a consortium comprising of GKEL and five other allottees;

(iii) Allocation letter dated 17th January 2008 for the captive coal mine is for 4.6 MT which is sufficient for 1050 MW, being the installed capacity of the Project; and

(iv) SLC-LT minutes dated 14th February 2012 noted that the firm linkage capacity was intended for Odisha, Bihar and Haryana.

35. It will also be relevant to refer to letter dated 7th February 2022 issued by MCL in response to the clarification sought by GKEL on the letters dated 2nd May 2018 and 22nd June 2021 of MCL with regard to supply of coal to GKEL under FSA dated 26th February 2013. The relevant extracts of the said letter are as under:

“As per the provision of FSA dated 26/03/2013, Annual Contracted Quantity (ACQ) under FSA is in proportion to the percentage of Generation covered under long term Power Purchase Agreement(s) executed by the Purchaser (IPP) with DISCOMs against the total LOA quantity. In case of multiple PPAs, coal is allocated/ released as per the ACQ against the total PPA capacity and not segregated on the basis of any specific PPA. The same was clarified vide MCL's letter dated 02.05.2018.

It is pertinent to mention that letter dated of 22/06/2021 of MCL was issued to all concerned DISCOMs, with whom M/s GKEL has signed PPA, for the purpose of intimating the DISCOMs the quantum of coal procured by M/s GKEL under FSA from the sources of MCL to ensure proper utilization of coal. The said letter indicates the overall, quantity of coal supplied for all the PPAs.”

36. As mentioned earlier, after deciding the common issues involved in a batch of electricity appeals in the case of MSEDCL (supra), this Court decided various individual matters involving additional issues. Another such matter was Uttar Haryana Bijli Vitran (supra). It would be pertinent to note that the Haryana Utilities had approached this Court challenging the concurrent judgment and order passed by learned APTEL dated 3rd November 2020³² and CERC dated 31st May 2018³³.

2020 SCC OnLine APTEL 92 2018 SCC OnLine CERC 411

37. In the said proceedings Adani Power (Mundra) Ltd.³⁴ had filed Petition No. 97/MP/2017³⁵ before the CERC pursuant to the orders passed by this court in Energy Watchdog (supra). The CERC vide order dated 31st May 2018 had allowed the said petition and directed the working out of the relief. It will be relevant to refer to the following paragraphs of the Uttar Haryana Bijli Vitran (supra):

48. The grievance of Haryana Utilities is that the methodology for granting benefit on account of the change in law adopted by CERC and affirmed by the learned APTEL is contrary to the one which was previously arrived at in the earlier cases of GMR, DB Power, etc.

49. Perusal of the order passed by the learned APTEL would reveal that AP(M)L had proposed a methodology based on the methodology approved by CERC in the GMR-Kamalanga Energy Ltd. v. Dakshin Haryana Bijli Vitran Nigam Ltd. [GMR-Kamalanga Energy Ltd. v. Dakshin Haryana Bijli Vitran Nigam Ltd., 2016 SCC OnLine CERC 43] considering the quoted tariff under the PPAs as the base.

50. The learned APTEL had referred to the record of proceedings of CERC dated 10-8-2017, which read thus : (Uttar Haryana Bijli Vitran Nigam case [Uttar Haryana Bijli Vitran Nigam Ltd. v. Adani Power (Mundra) Ltd., 2020 SCC OnLine APTEL 92] , SCC OnLine APTEL para 7.3) Hereinafter referred to as AP(M)L Hereinafter referred to as ‘Petition No. 97’ “7.3. ... (a) ... ‘3. In response to the Commission's query as to whether the methodology adopted by the petitioner in the light of the

methodology given in GMR case [GMR-Kamalanga Energy Ltd. v. Dakshin Haryana Bijli Vitran Nigam Ltd., 2016 SCC OnLine CERC 43] is acceptable to Haryana Utilities, learned counsel replied in the positive.’ ” (emphasis in original)

51. The learned APTEL had also referred to the order of CERC dated 28-9-2017 [Adani Power Ltd. v. Uttar Haryana Bijli Vitran Nigam Ltd., 2017 SCC OnLine CERC 305] in IA No. 57 of 2017 in Petition No. 97/MP/2017, which reads thus : (Uttar Haryana Bijli Vitran Nigam case [Uttar Haryana Bijli Vitran Nigam Ltd. v. Adani Power (Mundra) Ltd., 2020 SCC OnLine APTEL 92] , SCC OnLine APTEL para 7.3) “7.3. ... (b) ... ‘7. ... Haryana Utilities who is the only respondent has not objected to the calculation made by the applicant.’ ” (emphasis in original)

52. The learned APTEL had also referred to the order dated 3-12-2018 [Uttar Haryana Bijli Vitran Nigam Ltd. v. Adani Power (Mundra) Ltd., 2018 SCC OnLine CERC 237] passed by CERC in review petition bearing No. 24/RP/2018, which reads thus : (Uttar Haryana Bijli Vitran Nigam case [Uttar Haryana Bijli Vitran Nigam Ltd. v. Adani Power (Mundra) Ltd., 2020 SCC OnLine APTEL 92] , SCC OnLine APTEL para 7.4) “7.4. ... ‘25. ... It is apparent from the above that the Commission, after due consideration of the submissions of the Adani Power and Prayas had consciously decided on the methodology for computation of relief due to shortage of domestic coal under change in law for the period from 1-4-2013 to 31-3-2017 in para 46 of the impugned order [Adani Power (Mundra) Ltd. v. Uttar Haryana Bijli Vitran Nigam Ltd., 2018 SCC OnLine CERC 411] . The review petitioners had not suggested any methodology of calculation of the relief due to shortage of domestic coal. On the other hand, the review petitioners in their reply dated 28-7-2017 in Petition No. 97/MP/2017 had stated that “the reliance to the decision of GMR is wholly inappropriate”. The review petitioners are now suggesting an alternative formula for computation of the relief under change in law. As already reiterated in the earlier part of the order, the review cannot be used for substitution of a view already taken with a new view. Therefore, the review on the ground is not maintainable.’ ”

53. We find that Haryana Utilities are indulging into approbation and reprobation. They cannot be permitted to blow hot and cold at the same time.

After accepting before CERC that they would adopt the methodology as given in GMR-Kamalanga Energy [GMR-Kamalanga Energy Ltd. v. Dakshin Haryana Bijli Vitran Nigam Ltd., 2016 SCC OnLine CERC 43] , it would not be appropriate, in our view, on the part of the appellants, which are, after all, instrumentalities of the State, to change its stand after final orders are passed by CERC.”

38. It could thus clearly be seen that the learned APTEL had referred to the record of proceedings of the CERC dated 10 th August 2017 wherein to the Commission’s query as to whether the methodology adopted by the petitioner in the light of the methodology given in GMR Kamalanga (supra) was acceptable to Haryana Utilities, learned counsel replied in the positive. The learned APTEL also referred to the order of the CERC dated 28th September 2017³⁶ in IA No. 57 of 2017 in

Petition No. 97 wherein Haryana Utilities had not objected to the calculation made by the applicant. It could further be seen that the learned APTEL had also referred to the order dated 3rd December 2018³⁷ passed by the CERC in Review Petition No. 24/RP/2018 filed by the Haryana Utilities against the order dated 31st May 2018 of the CERC. The CERC in the said review petition referred to the affidavit filed by the Haryana Utilities stating that ‘the reliance to the decision of GMR is wholly inappropriate’. The learned APTEL, observing that the Review Petitioners are now suggesting an alternative formula for computation of the relief under change in law, rejected the review petition.

(2017) SCC OnLine CERC 305 (2018) SCC OnLine CERC 237

39. This Court in *Uttar Haryana Bijli Vitran* (supra) had observed that the Haryana Utilities are indulging in approbation and reprobation. It has been observed that they cannot be permitted to blow hot and cold at the same time. It has further been observed that after accepting before the CERC that they would adopt the methodology as given in *GMR Kamalanga* (supra), it would not be appropriate on the part of Haryana Utilities to change its stand after final orders were passed by the CERC. This Court had therefore dismissed the appeal of the Haryana Utilities observing that the interference would be warranted only if the concurrent findings have failed to take into consideration the mandatory statutory provisions or if the decision had been taken by them on extraneous consideration or that they were *ex facie* arbitrary and illegal. As a matter of fact, this Court in the said case had approved the methodology applied by the CERC and affirmed by the learned APTEL which was based on the decision of the CERC in the case of *GMR Kamalanga* (supra).

40. In that view of the matter and considering the concurrent findings of fact by the CERC on two different occasions and the learned APTEL in impugned order and also taking into note of the communication dated 2nd February 2022 issued by MCL, we see no merit in the appeal of Haryana Utilities and the same is liable to be dismissed.

41. Insofar as the appeal by GRIDCO is concerned, the main contention of GRIDCO is that the order dated 3rd February 2016 in Petition No. 79 and order dated 20th March 2018 in Petition No. 105 were passed without impleading GRIDCO. It will be relevant to note that the PPA with GRIDCO is under Section 62 of the 2003 Act whereas the PPAs with the Haryana Utilities and Bihar Utilities are under Section 63 of the 2003 Act. As such there was no occasion for GKEL to implead GRIDCO as a party to the said petitions.

42. It is further to be noted that the petitions filed by GKEL before the CERC were filed seeking compensation on account of Change in Law events affecting Haryana and Bihar PPAs which were concluded by following provisions prescribed under Section 63 of the 2003 Act. Section 63 of the 2003 Act provides for the determination of tariff by bidding process whereas under Section 62, the tariff is determined on Cost Plus basis. It can thus be seen that proceedings under Sections 62 and 63 of the 2003 Act are entirely different.

43. It is also relevant to note that GKEL had filed a petition being Petition No. 77/GT/2013³⁸ for approval of the tariff for supply of electricity to the GRIDCO. The CERC vide order dated 12th

November 2015 had determined the tariff payable by the GRIDCO to GKEL for the period of 1st April 2013 to 1st March 2014. Being aggrieved by the said order, GRIDCO filed Appeal No. 45 of 2016 before the learned APTEL. The learned APTEL vide judgment and order dated 1st August 2017 did not find any merit in the methodology adopted by CERC for determining the tariff. The learned APTEL found that the CERC had calculated ECR in accordance with the CERC (Terms and Conditions of Tariff) Regulations, 2009. The methodology adopted by the CERC for determining the tariff payable by GRIDCO to GKEL has been duly approved by the learned APTEL. In that view of the matter, we find that GRIDCO was neither a necessary nor a proper party to the proceedings initiated by GKEL by way of Petition Nos. 79 and 105.

44. On merits, it is the contention of the GRIDCO that it was its PPA which was executed first on 28th September 2006 and was operationalized in April 2013. It is therefore contended that Hereinafter referred to as 'Petition No. 77' GRIDCO has the first right over the firm linkage FSA dated 26 th March 2013. GRIDCO further contended that allocation under SLC-LT meeting dated 2nd August 2007 and LOA dated 25th July 2008 was against long term PPAs and the only PPA at that time was with GRIDCO, therefore, the firm linkage was for GRIDCO. While considering GRIDCO's appeal, the learned APTEL found that the supply of coal from all modes of procurement has to be considered for the power plant as a whole and not for specific PPAs as prayed by the appellants.

45. In the foregoing paragraphs, while considering the appeal of Haryana Utilities, we have already upheld the concurrent findings of the CERC and the learned APTEL that the coal supply from all the sources has to be apportioned amongst all the three DISCOMS in proportion to the energy supplied to them. None of the DISCOMS can claim a priority for supply of power based either on the prior date of agreement or the recital as to the source of coal. In view of the findings given by us while discussing the appeal of the Haryana DISCOMS, we find no merit in the present appeal as well. The same is therefore liable to be dismissed. CONCLUSION

46. In the result, we pass the following orders:

I. Civil Appeal No. 1929 of 2020 filed by Haryana Utilities and Civil Appeal No. 3429 of 2020 filed by GRIDCO are dismissed sans merit; and II. The impugned judgment and order dated 20th December 2019 passed by the Appellate Tribunal for Electricity, New Delhi in Appeal No. 135 of 2018 along with Appeal No. 54 of 2019 is upheld.

47. Pending application(s), if any, shall stand disposed of.

.....CJI.

(B.R.GAVAI)J. (K. VINOD CHANDRAN) NEW DELHI;

SEPTEMBER 8, 2025

Anjuman Ishaat E Taleem Trust vs The State Of Maharashtra on 1 September, 2025

Author: Dipankar Datta

Bench: Dipankar Datta

2025 INSC 1063

REPORTABLE

IN THE SUPREME COURT OF INDIA

CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 1385/2025

ANJUMAN ISHAAT-E-TALEEM TRUST

... APPELLANT

VS.

THE STATE OF MAHARASHTRA & OTHERS

... RESPONDENTS

WITH

CIVIL APPEAL NO. 1386/2025,

CIVIL APPEAL NOS.1364-1367/2025,

CIVIL APPEAL NO.1389/2025,

CIVIL APPEAL NO.1404/2025,

CIVIL APPEAL NO.1395/2025,

CIVIL APPEAL NOS.1396-1397/2025,

CIVIL APPEAL NO.1405/2025,

CIVIL APPEAL NO.1403/2025,

CIVIL APPEAL NO.1398/2025,

CIVIL APPEAL NOS.1406-1408/2025,

CIVIL APPEAL NO.1393/2025,

Signature Not Verified

CIVIL APPEAL NO.1399/2025,

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rashmi dhyani pant
Date: 2025.09.01
17:02:40 IST
Reason:

CIVIL APPEAL NO.1391/2025,

CIVIL APPEAL NO.1401/2025,

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CIVIL APPEAL NO.1390/2025,

CIVIL APPEAL NOS.1409-1410/2025,

CIVIL APPEAL NO.6367/2025,

CIVIL APPEAL NO.6365/2025,

CIVIL APPEAL NO.6366/2025

AND

CIVIL APPEAL NO.6364/2025

JUDGMENT

DIPANKAR DATTA, J.

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I. INTRODUCTION	

1. These civil appeals challenge judgments/orders of two of the three chartered high courts of the nation delivered/made on multiple proceedings instituted before them. Inter alia, questions as regards applicability of the Teacher Eligibility Test¹ to minority educational institutions and whether qualifying in the TET is a mandatory prerequisite for recruitment of teachers as well as promotion of teachers already in service, were under consideration in such proceedings. In brief, the appellants before this Court are:

- a. Minority educational institutions who are aggrieved because they are not being allowed to recruit teachers who have not qualified in the TET;

b. Authorities within the meaning of Article 12 of the Constitution claiming that qualifying the TET is a mandatory requirement for appointment of teachers not only in non-minority but also minority institutions, whether aided or unaided; and c. Individual teachers, who were appointed prior to the Right of Children to Free and Compulsory Education Act, 2009² being enforced, claiming that the TET qualification cannot be made a mandatory requirement for the purposes of their promotion.

2. The present set of appeals raise questions of seminal importance. Vide order dated 28th January, 2025 in the erstwhile lead matter, viz. Civil Appeal No.1384 of 2025³, the issues for consideration were framed by us. The said appeal came to be disposed of as withdrawn along with certain other appeals, vide order dated 20th February 2025, as the TET RTE Act The Director of School Education Chennai 6 & Anr. vs. B. Annie Packiarani Bai appellant(s) did not wish to pursue the appeals any further; however, the remaining tagged appeals were heard and subsequently reserved for judgment (with the lead matter now being Civil Appeal No. 1385 of 2025).

3. Two broad issues arising for consideration were noted in the order dated 28th January, 2025. The first issue was framed by a coordinate Bench vide order dated 14th February, 2022 in B. Annie Packiarani Bai (supra) whereas the other was framed by us, upon hearing counsel for the parties who had the occasion to address the Court on 28 th January, 2025. The issues, as recast, read as under:

a. Whether the State can insist that a teacher seeking appointment in a minority educational institution must qualify the TET? If so, whether providing such a qualification would affect any of the rights of the minority institutions guaranteed under the Constitution of India?

and b. Whether teachers appointed much prior to issuance of Notification No.61-1/2011/NCTE (N & S) dated 29th July, 2011 by the National Council for Teacher Education⁴ under sub-section (1) of Section 23 of the RTE Act read with the newly inserted proviso (second proviso) in Section 23(2) and having years of teaching experience (say, 25 to 30 years) are required to qualify in the TET for being considered eligible for promotion?

NCTE II. ORDERS PASSED BY THE RESPECTIVE HIGH COURTS, IMPUGNED IN THE APPEALS

4. At the outset, we consider it appropriate to give a brief outline of the judgments/orders under challenge in the present surviving set of appeals.

IMPUGNED JUDGMENT IN THE LEAD APPEAL BEING CIVIL APPEAL NO. 1385 OF 2025 AND CIVIL APPEAL NO. 1386 OF 2025

5. The judgment impugned in the lead appeal is that of the High Court of Judicature at Bombay⁵ dated 12th December 2017 on a writ petition⁶ instituted by Azad Education Society, Miraj (a minority institution). Under challenge was a Government Resolution dated 23rd August, 2013, by which the TET qualification was made a pre-condition for appointment of teachers in schools imparting primary education by the Government of Maharashtra. The Bombay High Court considered the validity of such resolution and upheld it relying on the decision of this Court in Ahmedabad St. Xavier's College Society v. State of Gujarat⁷. It was held that the impugned Government Resolution did not put any embargo on the right of the minority institutions to appoint teachers of their own choice, if found eligible being a TET qualified candidate. The writ petition, thus, came to be dismissed by the impugned order. Azad Education Society, Miraj has not preferred any appeal against the said judgment.

Bombay High Court (1974) 1 SCC 717

6. The appellant, Anjuman Ishaat-e-Taleem Trust (a recognised minority education society), was not a party to the writ petition instituted by Azad Education Society, Miraj before the Bombay High Court. It sought permission to file the special leave petition against the said judgment, which was granted. Its appeal is Civil Appeal No. 1385 of 2025.

7. The same judgment has also been impugned by the appellant, Association of Urdu Education Societies (an association managing minority educational institutions), in Civil Appeal No. 1386 of 2025 in the same manner upon being granted permission to file the special leave petition.

8. It has been argued that this judgment (dated 12th December 2017) failed to consider a judgment of a co-ordinate bench of the Bombay High Court⁸ which took a contrary view.

IMPUGNED JUDGMENT IN CIVIL APPEAL NOS. 6365 - 6367 OF 2025

9. The impugned judgment in these civil appeals has been passed by the High Court of Judicature at Madras⁹, whereby the writ appeals¹⁰ filed by the appellants therein, i.e., the State of Tamil Nadu and officers in the State's Education Department, came to be dismissed.

10. The writ petitions¹¹ were filed by the Management of Islamiah Higher Secondary Schools (respondent herein, being a minority institution), Judgment dated 8th May, 2015 in W.P. No. 1164 of 2015 (Aurangabad Bench) titled 'Anjuman Ishaat E Taleem Trust, Aurangabad and another v The State of Maharashtra and others' Madras High Court Writ Appeal Nos. 1674, 1678 and 1679 of 2022 W.P. Nos. 11855, 11857 & 11862 of 2021 challenging the rejection of their proposal for appointment of teachers.

The District Educational Officer denied the proposal for appointment observing that surplus/excess staff under the same management must be exhausted fully before making fresh appointments.

11. A Single Judge of the High Court vide order dated 7th December, 2021, allowed the writ petition by setting aside the rejection of the proposal and held that the respondent, as a standalone

institution, was not bound by the rule of recruiting surplus staff under the same management.

12. The writ appeal against the order of the Single Judge came to be dismissed by a Division Bench of the High Court vide judgment and order dated 22nd July, 2022, which is impugned in these appeals by the State of Tamil Nadu and its officers.

13. Interestingly, the argument regarding the TET qualification was not raised before the Madras High Court and is being raised for the first time in the present appeal. The State of Tamil Nadu has contended that the teachers sought to be appointed did not possess the TET qualification and hence, their proposal for appointment should be rejected on that ground alone.

IMPUGNED ORDER IN CIVIL APPEAL NOS. 1364 - 1367 OF 2025

14. The common order under challenge in these appeals, dated 1st April 2019, was passed by the Bombay High Court on four writ petitions¹². Interim relief was granted thereby in favour of the writ petitioners. Writ Petition Nos. 3951, 4044, 9446 and 9447 of 2016

15. In 2015, the Bombay Memon's Education Society, a registered minority society, had appointed Shikshan Sevaks/teachers for a school run by it, viz. Shree Ram Welfare Society's High School. In 2018, the Municipal Corporation of Greater Mumbai¹³, through its Education Department informed these teachers of the requirement to qualify the TET by 30th March, 2019 and directed the school to terminate the services of those who failed to comply.

16. Challenging these directions, the affected teachers filed the said four writ petitions. The Bombay High Court granted interim stay on the MCGM's directives and also directed that the salaries of the teachers be released. Aggrieved thereby, the MCGM has preferred the present appeals.

IMPUGNED JUDGMENT IN CIVIL APPEAL NOS. 1389, 1390, 1391, 1393, 1395, 1396, 1397, 1398, 1399, 1401, 1403, 1404, 1405, 1406, 1407, 1408, 1409, 1410 OF 2025

17. The common judgment dated 2nd June, 2023 under challenge in these appeals was passed by the Madras High Court in its intra-court writ appeal jurisdiction. Several individual teachers working in minority as well as non-minority schools in Tamil Nadu petitioned the Madras High Court aggrieved by Notification F.No.61-03/20/2010/NCTE/(N&S) dated 23rd August, 2010 issued by the NCTE which laid down minimum qualification for appointment of teachers in classes I to VIII in a school and also made the TET as the minimum qualification. By notification MCGM dated 29th July, 2011, certain amendments were made to the first notification, without changing the requirement to qualify the TET. Pursuant to the NCTE notifications, the Government of Tamil Nadu, through its School Education (C2) Department, issued G.O. No.181 making the TET qualification mandatory for the State, to be conducted by the Teachers Recruitment Board (TRB). These notifications along with subsequent others, laying down the procedure for conduct of the TET, were challenged before the Madras High Court.

18. The primary grievance of the petitioners — who had not cleared the TET — was that they were being denied promotion, whilst the teachers who possessed the TET had climbed the promotion ladder and were holding higher posts. The petitioners, having been appointed prior to the notification dated 23rd August, 2010, contended that they were not required to possess the TET qualification either for promotion or for continued service. According to them, the TET could not be treated as a condition precedent for their continuation in service.

19. On the other hand, a separate batch of petitioners had approached the Madras High Court seeking a declaration that a G.O. Ms. No.13 issued by the School Education Department on 30th January, 2020, framing Special Rules for the Tamil Nadu Elementary Education Subordinate Service and restricting the requirement of the TET to direct recruitment, was ultra vires the RTE Act and subsequent notifications issued thereunder by the NCTE. It was contended that in-service candidates who did not possess the TET qualification could not be conferred promotion.

20. Several teachers, who had been promoted without possessing the TET qualification, also approached the Madras High Court by way of separate petitions, seeking the grant of annual increments on account of their promotions.

21. Upon extensive analysis of the submissions and considering the relevant law, the Madras High Court held that any teacher appointed as secondary grade teacher or graduate teacher/BT Assistant prior to 29 th July, 2011 could continue in service and receive increments and incentives, however, it was mandatory for teachers aspiring for promotion to possess the TET qualification. The Court further held that all appointments made after 29th July, 2011 on the post of Secondary Grade Teacher must be of candidates possessing the TET qualification. Likewise, all appointments on the posts of BT Assistant/Graduate Teacher made after 29th July, 2011 – whether by direct recruitment or by promotion – must also meet the TET requirement.

22. The Special Rules for the Tamil Nadu School Educational Subordinate Service, dated 30th January, 2020, insofar as they prescribed “a pass in Teacher Eligibility Test (TET)” only for direct recruitment and not for promotion were struck down, consequently holding the TET mandatory for appointment even by promotion.

23. As regards the requirement of qualifying the TET for appointment of teachers in minority institutions, the Court referred to the decision of this Court in *Pramati Educational and Cultural Trust v. Union of India*¹⁴ which held that TET will not apply to minority institutions. It was made clear that the principles laid down in the judgment would not apply to minority institutions (whether aided or unaided). IMPUGNED JUDGMENT IN CIVIL APPEAL NO. 6364 OF 2025

24. This appeal, at the instance of the Union of India¹⁵, arises from the judgment and order dated 8th January, 2019 passed by the Madras High Court in its intra-court appellate jurisdiction dismissing the writ appeal¹⁶ filed by the State of Tamil Nadu. As a consequence thereof, the order of the Single Judge (under appeal allowing the writ petition¹⁷ filed by M.A. Stephen Sundar Singh¹⁸, respondent no.1 herein, was upheld. UoI was not a party to the writ petition before the Madras High Court, but has carried the said judgment in this civil appeal upon being granted permission to file

the Special Leave Petition.

25. Stephen was appointed as a Secondary Grade Teacher in TDTA Primary and Middle School¹⁹ – an aided minority institution. The appointment of Stephen was communicated by the school to the District Elementary Education Officer²⁰, for confirmation. The DEEO, however, refused to approve the appointment on the ground that Stephen had not qualified (2014) 8 SCC 1 UoI W.A.(M.D.) 21 of 2019 W.P.(M.D.) 10196 of 2018 Stephen School DEEO the TET. Aggrieved by the rejection, Stephen filed the writ petition, which was allowed by the High Court vide order dated 28th April, 2018.

26. A Division Bench of the High Court upheld the said judgment and order dated 8th January, 2019 in light of Pramati Educational and Cultural Trust (supra), consistent with the view that the RTE Act does not bind minority institutions. Consequently, Stephen was held not to be required to have cleared the TET, and the DEEO was directed to approve his appointment.

27. Aggrieved, UoI has approached this Court.

SUMMARY OF THE JUDGMENTS

28. A brief summary of the views taken by the Bombay and the Madras High Courts vide different judgments is encapsulated below:

IMPUGNED JUDGMENT	VIEW TAKEN	CIVIL APPEAL NOS.
	BOMBAY HIGH COURT	
12th December	Held that TET was mandatory for 1385-86 of 2025 minority institutions.	
1st April 2019	Granted interim relief to teachers (teaching in minority institution) by 2025 staying the directions which mandated TET as a qualification.	1364 - 1367 of 2025
	MADRAS HIGH COURT	
	TET was held to be mandatory for 1389, 1390, 1391, teachers teaching in non-minority institutions.	1393, 1395, 1396-99, 1401, 1403-1410 of 2025
2nd 2023	June, As regards minority institutions, TET was held inapplicable, in view of the judgement of this Court in Pramati Educational and Cultural Trust (supra).	

8th January, Took the view that TET does not bind 6364 of 2025 2019 minority institutions.

22nd 2022	July, Did not consider the question of TET. 6365 - 6367 of 2025 The same is being argued for the first 2025
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time before this Court.

III. PREVIOUS DECISIONS CONCERNING THE RTE ACT
SOCIETY FOR UNAIDED PRIVATE SCHOOLS OF RAJASTHAN

29. A three-Judge Bench had the occasion to consider a challenge to the constitutionality of the RTE Act, specifically to Sections 3, 12(1)(b) and 12(1)(c) thereof, in W.P. 95 of 2010 (Society for Unaided Private Schools of Rajasthan v. Union of India) and other connected writ petitions. Vide order dated 6th September, 2010²¹, the Bench of three-Judges had referred the matter to a larger Bench. The reference order reads thus:

“1. Since the challenge involved raises the question as to the validity of Articles 15(5) and 21-A of the Constitution of India, we are of the view that the matter needs to be referred to the Constitution Bench of five Judges.

2. Issue rule nisi. The learned Solicitor General waives service of the rule. All the respondents are before us. The counter-affidavits be filed within four weeks.

3. These petitions be placed before the Constitution Bench for directions on a suitable date.” (2012) 6 SCC 102

30. However, despite the aforesaid reference, the same remained unanswered. The three-Judge Bench then proceeded to hear and dispose of the matter by a majority of 2:1 vide its judgment in Society for Unaided Private Schools of Rajasthan v. Union of India²².

31. The issue in Society for Unaided Private Schools of Rajasthan (supra) is well encapsulated at paragraph 69 of the minority judgment, reading thus:

“69. Controversy in all these cases is not with regard to the validity of Article 21-A, but mainly centres around its interpretation and the validity of Sections 3, 12(1)(b) and 12(1)(c) and some other related provisions of the Act, which cast obligation on all elementary educational institutions to admit children of the age 6 to 14 years from their neighbourhood, on the principle of social inclusiveness. The petitioners also challenge certain other provisions purported to interfere with the administration, management and functioning of those institutions.”

32. The issues so framed were approved by the majority, as it appears from the following passage:

“2. The judgment of *** fully sets out the various provisions of the RTE Act as well as the issues which arise for determination, the core issue concerns the constitutional validity of the RTE Act.”

33. Section 3 of the RTE Act affirms the right of a child between 6 and 14 years of age, to receive free and compulsory elementary education in a neighbourhood school. Section 12(1)(c) read with Sections 2(n)(iii) and

(iv) imposes an obligation on unaided private educational institutions, both minority and non-minority, to admit in Class I (and in pre-school, if available) at least 25% of their strength from among children covered under Sections 2(d) and 2(e). Section 12(1)(b) read with Sections (2012) 6 SCC 1 2(n)(ii) provides imposes a similar obligation on aided private educational institutions.

34. Per curiam, challenge to the constitutionality of most of the provisions of the RTE Act was rejected. However, difference of opinion arose as to the applicability of the RTE Act to unaided minority and unaided non- minority educational institutions.

35. The minority view held that the RTE Act was not applicable to any unaided educational institution – whether minority or non-minority – as it infringed their Fundamental Rights under Articles 19(1)(g) and 30(1) of the Constitution.

36. The minority also took the view that the obligation under Section 12 (1)(c) cannot be cast on unaided private institutions, whether minority or non-minority. It was emphasized that private citizens running a private school, receiving no aid from the State, have no constitutional duty to assume the welfare responsibilities of the State. Citing the decisions of this Court in T.M.A. Pai Foundation v. State of Karnataka²³ and P. A. Inamdar v. State of Maharashtra²⁴, the learned Judge concluded that compulsory seat-sharing and fee regulation by the State constituted an unjust encroachment on the autonomy of such institutions and their Fundamental Rights under Articles 19(1)(g) and 30(1). Furthermore, it was held, as regards unaided institutions (whether minority or non-minority), that Section (2002) 8 SCC 481 (2005) 6 SCC 537 12(1)(c) can be implemented only on the basis of voluntariness and consensus, as otherwise, it may violate the autonomy of such institutions. Accordingly, Section 12(1)(c) was read down as being merely directory qua all unaided educational institutions (minority and non-minority).

37. The majority, while agreeing that the RTE Act could not be applied to unaided minority institutions in view of the protection under Article 30(1), held that the RTE Act, particularly the obligation imposed by Section 12(1)(c), was applicable to aided minority institutions. The majority reasoned that such a provision constituted a reasonable restriction on the Fundamental Right under Article 19(1)(g), permissible under Article 19(6).

38. The majority further held that Section 12(1)(c) meets the test of reasonable classification under Article 14 of the Constitution and constitutes a reasonable restriction on the right to establish and administer educational institutions under Article 19(1)(g). Inter alia, the court: (i) observed that Article 21-A left it for the State to determine by law how the obligation of providing free and compulsory education may be fulfilled; (ii) emphasized that the Fundamental Rights must be interpreted in conjunction with the Directive Principles of State Policy, and that any law which limits Fundamental Rights within the limits justified by the Directive Principles can be upheld as a “reasonable restriction” under Articles 19(2) to 19(6); (iii) underscored that since education is a

charitable activity (and not commercial), imposing an obligation on educational institutions under Section 12(1)(c) constitutes a reasonable restriction on their Fundamental Right under Article 19(1)(g), which is a qualified right; (iv) further traced that Section 12(1)(c) is a reasonable restriction as it advances the State's obligation to provide education; (v) clarified that the RTE Act does not override the rights recognized in T.M.A. Pai Foundation (supra) and P. A. Inamdar (supra), as those decisions pertained to higher/professional education and did not address the interpretation of Article 21-A or the provisions of the RTE Act.

PRAMATI EDUCATIONAL AND CULTURAL TRUST V. UNION OF INDIA

39. While the matter stood thus, W.P. (C) No. 416 of 2012 (Pramati Educational and Cultural Trust v. Union of India) came up for consideration before a Bench of two-judges. This Bench comprised of a learned Judge who was a member of the three-Judge Bench that had decided Society for Unaided Private Schools of Rajasthan (supra). Incidentally, the three-Judge Bench had proceeded to decide Society for Unaided Private Schools of Rajasthan (supra) despite there being an earlier order of reference to a Constitution Bench [noted in paragraph 9 (supra)]. In view of such earlier reference of the issues to a Constitution Bench [noted in paragraph 9 (supra)], the said Bench vide its order dated 22nd March, 2013²⁵ was of the opinion that the matter ought to be heard by a larger Bench and, accordingly, directed that the (2013) 5 SCC 752 same be placed before the Hon'ble the Chief Justice of India for its listing before an appropriate bench. Thus, the lead writ petition and the accompanying petitions came to be heard by a five-Judge Constitution Bench of this Court leading to the judgment in Pramati Educational and Cultural Trust (supra).

40. Pramati Educational and Cultural Trust (supra) considered the validity of the Constitution (Ninety-third Amendment) Act, 2005 inserting clause (5) in Article 15 of the Constitution, and the Constitution (Eighty-sixth Amendment) Act, 2002, which inserted Article 21-A in Part III as an additional independent fundamental right.

41. The Constitution Bench in Pramati Educational and Cultural Trust (supra) framed specific questions for consideration, as under:

“(i) Whether by inserting clause (5) in Article 15 of the Constitution by the Constitution (Ninety-third Amendment) Act, 2005, Parliament has altered the basic structure or framework of the Constitution?

(ii) Whether by inserting Article 21-A of the Constitution by the Constitution (Eighty-Sixth Amendment) Act, 2002, Parliament has altered the basic structure or framework of the Constitution?”

42. Notably, the validity of the Constitution (Ninety-third Amendment) Act, 2005, which inserted clause (5) in Article 15, had been considered by a Constitution Bench of this Court in Ashoka Kumar Thakur v. Union of India²⁶ to the limited extent of its application to state-maintained institutions and aided educational institutions. Relevant passages from the decision in Ashoka Kumar Thakur (supra) read as under:

“668. The Constitution 93rd Amendment Act, 2005, is valid and does not violate the "basic structure" of the Constitution so far as it relates (2008) 6 SCC 1 to the State maintained institutions and aided educational institutions. Question whether the Constitution (Ninety Third Amendment) Act, 2005 would be constitutionally valid or not so far as 'private unaided' educational institutions is concerned, is not considered and left open to be decided in an appropriate case. Justice ***, in his opinion, has, however, considered the issue and has held that the Constitution (Ninety Third Amendment) Act, 2005 is not constitutionally valid so far as private un-aided educational institutions are concerned.

669. Act 5 of 2007 is constitutionally valid subject to the definition of 'Other Backward Classes' in Section 2(g) of the Act 5 of 2007 being clarified as follows: If the determination of 'Other Backward Classes' by the Central 2 Government is with reference to a caste, it shall exclude the 'creamy layer' among such caste.

670. Quantum of reservation of 27% of seats to Other Backward Classes in the educational institutions provided in the Act is not illegal.

671. Act 5 of 2007 is not invalid for the reason that there is no time limit prescribed for its operation but majority of the Judges are of the view that the Review should be made as to the need for continuance of reservation at the end of 5 years.” (emphasis ours) Therefore, effectively, what remained to be considered, qua issue no.(i) in Pramati Educational and Cultural Trust (supra) was, whether the amendment inserting clause 5 in Article 15 is valid or not, insofar as private unaided institutions are concerned.

43. To ascertain the constitutionality of the Constitution (Ninety-third Amendment) Act, 2005, the Bench considered the objects and reasons of the Act and opined that the insertion of clause (5) to Article 15 is an enabling provision. It observed that the amendment was brought forth to fructify the object of equality of opportunity provided in the Preamble to the Constitution. The court relied on the judgment of State of Kerala v. N.M. Thomas²⁷ which held that clause (4) of Article 16 of the Constitution is not an exception or a proviso to Article 16. Drawing an inference, it was observed that the opening words of clause (5) of Article 15 are similar to the opening words of clause (4) of Article 16 and thus held that Article 15(5) cannot be read as an exception to Article 15, but is an enabling provision intended to give equality of opportunity to backward classes of citizens in matters of public employment.

44. The validity of clause (5) of Article 15 of the Constitution was then tested against the right enshrined under Article 19(1)(g) of the Constitution and the court held as thus:

“28. In our view, all freedoms under which Article 19(1) of the Constitution, including the freedom under Article 19(1)(g), have a voluntary element but this voluntariness in all the freedoms in Article 19(1) of the Constitution can be subjected to reasonable restrictions imposed by the State by law under clauses (2) to (6) of Article 19 of the Constitution. Hence, the voluntary nature of the right under

Article 19(1)(g) of the Constitution can be subjected to reasonable restrictions imposed by the State by law under clause (6) of Article 19 of the Constitution. As this Court has held in *T.M.A. Pai Foundation* [*T.M.A. Pai Foundation v. State of Karnataka*, (2002) 8 SCC 481] and *P.A. Inamdar* [*P.A. Inamdar v. State of Maharashtra*, (2005) 6 SCC 537] the State can under clause (6) of Article 19 make regulatory provisions to ensure the maintenance of proper academic standards, atmosphere and infrastructure (including qualified staff) and the prevention of maladministration by those in charge of the management. However, as this Court held in the aforesaid two judgments that nominating students for admissions would be an unacceptable restriction in clause (6) of Article 19 of the Constitution, Parliament has stepped in and in exercise of its amending power under Article 368 of the Constitution inserted clause (5) in Article 15 to enable the State to make a law making special provisions for admission of socially and educationally backward classes of citizens or for the Scheduled Castes and Scheduled Tribes for their advancement and to a very limited extent affected the voluntary element of this right under Article 19(1)(g) of the Constitution. We, therefore, do not find any merit in (1976) 2 SCC 310 the submission of the learned counsel for the petitioners that the identity of the right of unaided private educational institutions under Article 19(1)(g) of the Constitution has been destroyed by clause (5) of Article 15 of the Constitution.”

45. The Court further observed that clause (5) of article 15, which excluded the application of Article 19(1)(g), was constitutional and would not be in violation of the decisions of this court in *T.M.A. Pai Foundation* (supra), as subsequently followed in *P. A. Inamdar* (supra). Thus, on this count as well, it was held that the exception provided in clause (5) of Article 15 was reasonable, and as such this court upheld the validity of Constitution (Ninety-third Amendment) Act, 2005, inserting clause (5) of Article 15.

46. The Bench then considered the validity of the Constitution (Eighty-sixth Amendment) Act, 2002.

47. It was noticed that the majority in *Society for Unaided Private Schools of Rajasthan* (supra) had upheld the constitutionality of the RTE Act with a caveat that it would be inapplicable to unaided minority institutions. In that context, it was observed thus:

“4. Article 21-A of the Constitution reads as follows:

21-A.Right to education.—The State shall provide free and compulsory education to all children of the age of six to fourteen years in such manner as the State may, by law, determine.’ Thus, Article 21-A of the Constitution, provides that the State shall provide free and compulsory education to all children of the age of six to fourteen years in such manner as the State may, by law, determine. Parliament has made the law contemplated by Article 21- A by enacting the Right of Children to Free and Compulsory Education Act, 2009 (for short “the RTE Act”). The constitutional validity of the RTE Act was considered by a three-Judge Bench of the Court in *Society*

for Unaided Private Schools of Rajasthan v. Union of India [(2012) 6 SCC 1]. Two of the three Judges have held the RTE Act to be constitutionally valid, but they have also held that the RTE Act is not applicable to unaided minority schools protected under Article 30(1) of the Constitution. In the aforesaid case, however, the three-Judge Bench did not go into the question whether clause (5) of Article 15 or Article 21-A of the Constitution is valid and does not violate the basic structure of the Constitution. In this batch of writ petitions filed by the private unaided institutions, the constitutional validity of clause (5) of Article 15 and of Article 21-A has to be decided by this Constitution Bench.” (emphasis ours)

48. The validity of the Constitution (Eighty-sixth Amendment) Act, 2002, which inserted Article 21A to the Constitution of India, was considered on the anvil of the basic structure doctrine as expounded in the landmark decision of this Court in *Kesavananda Bharati v. State of Kerala*²⁸. Answering the issue in the negative, the Bench held that Parliament was within its bounds to insert Article 21-A and as such, the amendment would not be in violation of the basic structure doctrine.

49. Thereafter, the Court considered the objects and reasons of the Constitution (Eighty-third Amendment) Bill, 1997, which ultimately resulted in the enactment of the Constitution (Eighty-sixth Amendment) Act, 2002, and observed that the amendment was brought in force to satisfy the obligation under Article 45 of the Indian Constitution. The Bench, upon extracting the objects and reasons, opined thus:

“48. ...It will, thus, be clear from the Statement of Objects and Reasons extracted above that although the directive principle in Article 45 contemplated that the State will provide free and compulsory education for all children up to the age of fourteen years within ten years of promulgation of the Constitution, this goal could not be achieved even after 50 years and, therefore, a constitutional amendment was proposed to insert Article 21-A in Part III of the (1973) 4 SCC 225 Constitution. Bearing in mind this object of the Constitution (Eighty-

sixth Amendment) Act, 2002 inserting Article 21-A of the Constitution, we may now proceed to consider the submissions of the learned counsel for the parties.”

50. Interpreting the word ‘State’ in Article 21A, it was held that ‘State’ would mean the State which can make the law. This, the Bench held, was the dicta of the 11-judge Constitution Bench of this Court in *T.M.A. Pai Foundation* (supra). It was held that Article 21A must be construed harmoniously with Article 19(1)(g) and Article 30(1). It then proceeded to observe as follows:

“49. Article 21-A of the Constitution, as we have noticed, states that the State shall provide free and compulsory education to all children of the age of six to fourteen years in such manner as the State may, by law, determine. The word ‘State’ in Article 21-A can only mean the ‘State’ which can make the law. Hence, Mr Rohatgi and Mr Nariman are right in their submission that the constitutional obligation under Article 21-A of the Constitution is on the State to provide free and compulsory education to

all children of the age of 6 to 14 years and not on private unaided educational institutions. Article 21-A, however, states that the State shall by law determine the 'manner' in which it will discharge its constitutional obligation under Article 21-A. Thus, a new power was vested in the State to enable the State to discharge this constitutional obligation by making a law. However, Article 21-A has to be harmoniously construed with Article 19(1)(g) and Article 30(1) of the Constitution. As has been held by this Court in Venkataramana Devaru v. State of Mysore [AIR 1958 SC 255]:

(AIR p. 268, para 29) '29. ... The rule of construction is well settled that when there are in an enactment two provisions which cannot be reconciled with each other, they should be so interpreted that, if possible, effect could be given to both. This is what is known as the rule of harmonious construction.' We do not find anything in Article 21-A which conflicts with either the right of private unaided schools under Article 19(1)(g) or the right of minority schools under Article 30(1) of the Constitution, but the law made under Article 21-A may affect these rights under Articles 19(1)(g) and 30(1). The law made by the State to provide free and compulsory education to the children of the age of 6 to 14 years should not, therefore, be such as to abrogate the right of unaided private educational schools under Article 19(1)(g) of the Constitution or the right of the minority schools, aided or unaided, under Article 30(1) of the Constitution."

51. Thus, this Court upheld the validity of the Constitution (Eighty-sixth Amendment) Act, 2002, and proceeded to hold that the RTE Act, insofar it is made applicable to minority schools referred to in Article 30(1), is ultra vires the Constitution of India. While overruling the decision in Society of Unaided Private Schools of Rajasthan (supra) insofar as it held that the RTE Act was applicable to aided minority schools, it was further held that the RTE Act, insofar as it is made applicable to minority schools covered under Article 30(1), aided or unaided, is ultra vires the Constitution. It was concluded thus:

"55. When we look at the RTE Act, we find that Section 12(1)(b) read with Section 2(n)(ii) provides that an aided school receiving aid and grants, whole or part, of its expenses from the appropriate Government or the local authority has to provide free and compulsory education to such proportion of children admitted therein as its annual recurring aid or grants so received bears to its annual recurring expenses, subject to a minimum of twenty-five per cent. Thus, a minority aided school is put under a legal obligation to provide free and compulsory elementary education to children who need not be children of members of the minority community which has established the school. We also find that under Section 12(1)(c) read with Section 2(n)(iv), an unaided school has to admit into twenty- five per cent of the strength of Class I children belonging to weaker sections and disadvantaged groups in the neighbourhood. Hence, unaided minority schools will have a legal obligation to admit children belonging to weaker sections and disadvantaged groups in the neighbourhood who need not be children of the members of the minority community

which has established the school. While discussing the validity of clause (5) of Article 15 of the Constitution, we have held that members of communities other than the minority community which has established the school cannot be forced upon a minority institution because that may destroy the minority character of the school. In our view, if the RTE Act is made applicable to minority schools, aided or unaided, the right of the minorities under Article 30(1) of the Constitution will be abrogated. Therefore, the RTE Act insofar it is made applicable to minority schools referred in clause (1) of Article 30 of the Constitution is ultra vires the Constitution. We are thus of the view that the majority judgment of this Court in *Society for Unaided Private Schools of Rajasthan v. Union of India* [(2012) 6 SCC 1] insofar as it holds that the RTE Act is applicable to aided minority schools is not correct.

56. In the result, we hold that the Constitution (Ninety-third Amendment) Act, 2005 inserting clause (5) of Article 15 of the Constitution and the Constitution (Eighty-sixth Amendment) Act, 2002 inserting Article 21-A of the Constitution do not alter the basic structure or framework of the Constitution and are constitutionally valid. We also hold that the RTE Act is not ultra vires Article 19(1)(g) of the Constitution. We, however, hold that the RTE Act insofar as it applies to minority schools, aided or unaided, covered under clause (1) of Article 30 of the Constitution is ultra vires the Constitution.

Accordingly, Writ Petition (C) No. 1081 of 2013 filed on behalf of Muslim Minority Schools Managers' Association is allowed and Writ Petitions (C) Nos. 416 of 2012, 152 of 2013, 60, 95, 106, 128, 144- 45, 160 and 136 of 2014 filed on behalf of non-minority private unaided educational institutions are dismissed. All IAs stand disposed of. The parties, however, shall bear their own costs.” (emphasis ours) For ease of reference, the decisions of this Court in so far as the applicability of the RTE Act, considered in *Society for Unaided Private Schools of Rajasthan* (supra) and *Pramati Educational & Cultural Trust* (supra), are encapsulated in the table below:

Whether the RTE Act is applicable to educational institutions:

Society for Unaided Private Schools of Rajasthan (supra)	Aided Unaided Minority
Non-minority	Pramati Educational & Cultural Trust (supra)
Minority	Aided Unaided
Non-minority	Minority

IV. ARGUMENTS OF THE PARTIES

52. Learned senior counsel and counsel for the respective parties were heard at length. We also requested Mr. Venkatramani, learned Attorney General for India to address us on the issue and to assist us in reaching the correct conclusion.

53. Accordingly, in support of the issues that *Pramati Educational and Cultural Trust* (supra) may be referred for reconsideration and also that qualifying the TET is mandatory, we have heard the learned Attorney General, Mr. Nataraj, learned Additional Solicitor General, and a host of other senior advocates and advocates, in favour as well as opposing the prayer for a reference and the TET being mandatory, referred to above.

54. In order to maintain brevity and avoid repetition of the arguments by counsel, a summary of the submissions on either side is provided hereafter.

55. Those opposing reconsideration contended that:

- a. There is no State legislation in place making the TET as mandatory for appointment of teachers in the State of Maharashtra.
- b. Strict TET requirement amid low pass rates and rising teacher demand will lead to shortage of teachers which will undermine the objectives of the RTE Act.
- c. Law made in exercise of the mandate of Article 21A should not abrogate the rights of minority educational institutions under Article 30(1) of the Constitution.
- d. Section 1(4) of the RTE Act itself provides that the provisions of the RTE Act are subject to Articles 29 and 30 of the Constitution – hence RTE Act is not applicable to minority institutions.
- e. TET is not a ‘minimum qualification’ under Section 23 of the RTE Act, but it is merely an eligibility test to assess teaching aptitude and should not be equated with a minimum qualification.
- f. The phrase ‘appointment as a teacher’ under Section 23 of the RTE Act should be read to mean ‘initial appointment as a teacher’ and would not include appointment by promotion to any grades subsequently and hence it is sufficient that the teacher concerned has necessary minimum qualification at the time of first appointment.
- g. In Section 23(1), ‘appointment as teacher’ refers to appointment from external sources and not from internal sources.
- h. TET is not mandatory but only directory as: (i) Notification dated 23rd August, 2010, limits TET to classes I–VIII, despite NCTE's authority under Section 12A of the National Council for Teacher Education Act, 1993²⁹ to set qualifications up to the intermediate level; (ii) clauses 3 and 4 of the same notification allow exceptions where the TET is not required for appointment or continuation as a teacher; and (iii) consequences of not qualifying the TET are not provided in the RTE Act.
- i. Teachers appointed to classes I to VIII prior to the date of the notification dated 23rd August 2010 (vide which NCTE laid down minimum qualifications for appointment of teachers for classes I to V and classes VI to VIII) would not be required to pass the TET for their appointment to remain valid, for, the said notification does not provide for minimum qualifications for promotions.

j. The valid and invalid provisions of the RTE Act are inseparable and, thus, the entire RTE Act cannot apply to minorities and if, at all, the issue must be referred to a larger Bench, the same has to be restricted to the applicability of Section 23 of the RTE Act.

k. The Constitution Bench in *Pramati Educational and Cultural Trust* (supra) upheld the exemption granted to minorities under Article 15(5), to protect the minority character of the institutions, and to prevent the majority from making a law permitting others to be imposed in a minority institution.

NCTE Act l. *Society for Unaided Private Schools of Rajasthan* (supra) held that minority educational institutions under Article 30(1) form a separate category of institutions.

m. In *Pramati Educational & Cultural Trust* (supra), this Court, going a step further from what was held in *Society for Unaided Private Schools of Rajasthan* (supra) held that all minority institutions, whether aided or unaided, would not fall within the purview of the RTE Act.

n. In view of *Pramati Educational & Cultural Trust* (supra), the RTE Act cannot apply to minority institutions, and would be in violation of Article 30. Furthermore, if the RTE Act in its entirety does not apply, the question of applying sections 12 or 23 of the RTE Act, does not arise.

o. The subject matter in *Society for Unaided Private Schools of Rajasthan* (supra) was with respect to the validity of the RTE Act, whereas, *Pramati Educational & Cultural Trust* (supra) considered the validity of both Article 15(5) and Article 21A. p. Imposing TET qualification for promotion may cause stagnation, which could not have been the intention of the Parliament. Opportunity for promotion is vital in public service, for, promotion boosts proficiency, while stagnation hampers effectiveness (see *CSIR vs. KGS Bhatt*30);

(1989) 4 SCC 635 q. There cannot be retrospective removal of right of promotion.

Retrospectively revoking benefits acquired under existing rules would violate Articles 14 and 16 of the Constitution (see *T.R. Kapur vs. State of Haryana*31).

56. Supporting the plea for a reference to reconsider *Pramati Educational & Cultural Trust* (supra) and that the TET qualification is mandatory, arguments as follows were advanced:

a. The right of each and every child to be taught by qualified teachers is integral to Right to Education. This right cannot be limited or impeded, except to the limited extent provided for under Article 29 or Article 30 of the Constitution.

b. Laying down higher standards is the logic of enhancing knowledge acquisition and is an independent facet of the right to education. The management of minority educational institution has no right to interfere with the educational rights of the children.

c. To exempt a particular category of institutions would be contrary to Article 21A of the Constitution of India and create an artificial distinction. The State holds a positive obligation to ensure that every child, irrespective of caste, creed or religion, receives quality education on equal footing.

d. Article 30, granting the minorities a right to establish and administer educational institutions of their choice, does not override the State's duty to ensure that the quality of education imparted remains 1986 Supp SC 584 consistent across all institutions. Even if an educational institution is an aided minority institution, it does not provide a constitutionally valid exemption for applying a different eligibility criterion for the recruitment and promotion of teachers based on religion or language.

While considering T.M.A. Pai Foundation (supra), Secy., Malankara Syrian Catholic College v. T. Jose³² held that the right of minorities to administer minority institutions under Article 30 is not to place the minorities in a better or more advantageous position.

There cannot be reverse discrimination in favour of the minorities.

The freedom to appoint teachers and lecturers would be subject to eligibility conditions/ qualifications.

e. A classification that seeks to differentiate the eligibility criteria for teachers based on the religious character of an institution would create an unreasonable distinction between children studying in minority-aided institutions and those in other institutions, violating Articles 14 and 21A.

f. The exemption from adhering to essential eligibility norms, i.e., the TET, would be an arbitrary classification, based neither on intelligible differentia nor bears any rational nexus with the objective sought to be achieved. This would violate Article 14 and deprive the students of the standard of education available in other institutions.

g. The burden on the State to select quality teachers lies entirely on the State. In such process, the State has an obligation and authority to (2007) 1 SCC 386 regulate the quality of education, including education imparted in minority educational institutions. T.M.A. Pai Foundation (supra), as reiterated in Brahmo Samaj Education Society & Ors. v. State of West Bengal³³, Sindhi Education Society v. Chief Secretary Govt. of Delhi³⁴, Chandana Das (Malkar) v. State of West Bengal³⁵, were cited.

h. The educational institutions may have the liberty to grant relaxation to meet exigent circumstances, however, such relaxations may not continue indefinitely; also, relaxations cannot be granted to distort the regulation of recruitment. Reliance was placed on Committee of Management,

Vasanta College for Women v. Tribhuwan Nath Tripathi³⁶ and Food Corpn. of India v. Bhanu Lodh³⁷. i. TET is a mandatory and an indispensable qualification/eligibility criterion to ensure the maintenance of quality education, irrespective of their classification as minority/majority or aided/un-aided institutions. TET applies to recruitment and promotions, subject to statutory rules.

j. The NCTE Act was amended to insert Section 12A, which gave effect to Section 23 of the RTE Act, granting power to the Council to determine minimum standards of education of school teachers. The National Council for Teachers Education (Determination of Minimum (2004) 6 SCC 224 (2010) 8 SCC 49 (2015) 12 SCC 140 (1997) 2 SCC 560 (2005) 3 SCC 618 Qualifications for Persons to be Recruited as Education Teachers and Physical Education Teachers in Pre-primary, Primary, Upper Primary, Secondary, Senior Secondary or Intermediate Schools or Colleges) Regulations, 2014³⁸ are to be read along with Section 12A of the NCTE Act which refers to notification relaxing qualification by notification dated 23rd August, 2010 to interpret that the TET and other minimum qualifications are mandated and could have been obtained by teachers within 9 years as specified under the RTE Act and the NCTE Rules/Regulations.

k. Articles 15(5), 15(6) and 21A must be treated as the trilogy of education rights. Merely because Articles 15(5) and 15(6) exclude minority institutions from its scope, it must not be construed that they are relieved from their social justice obligation to aid and assist the emancipation of weaker sections of the society. While the State may not interfere with the right of management of the minority institutions, it does not mean that they cannot be called upon to share the obligations of social justice under Articles 15 and 21A of the Constitution. Thus, the State may not insist upon minority institutions to abide by Section 23 of the RTE Act unconditionally, but it can subject them to other regulatory measures. Minority institutions may be subject to absolutely minimal and negative controls. It will be a travesty of Constitutional scheme of attainment of excellence if such exclusions are provided.

2014 Regulations l. A composite reading of Section 23(2) of the RTE Act along with the proviso thereto would reveal that the RTE Act provides 9 years for the teachers to acquire such minimum qualifications, as may be prescribed. Right of Children to Free and Compulsory Education Rules, 2010³⁹, framed under the RTE Act, must be read along with Section 23.

m. In exercise of powers under Section 35(1) of RTE Act, the Ministry of Human Resource Development, Government of India⁴⁰ has issued guidelines vide communication F No. 1-15/2010 EE4 dated 08th November, 2010 for implementation and relaxation of qualifications under Section 23(2) of the RTE Act, conveying that the condition of passing the TET cannot be relaxed by the Central Government. n. The National Council for Teacher Education (Determination of Minimum Qualifications for Recruitment of Teachers in Schools) Regulations, 2001 were framed under the NCTE Act. NCTE also issued a notification dated 23rd August, 2010 mandating TET for appointment of teachers for standards I to VIII. In furtherance of this notification, NCTE also issued guidelines dated 11 th February, 2011 for conducting the TET.

o. MHRD vide D.O.No.17-2/2017-EE.17 dated 03rd August, 2017 issued to all States and Union Territories reiterated the last chance being given to acquire the requisite minimum qualifications

and also warned RTE Rules MHRD that in-service teachers would not be allowed to continue beyond 01st April, 2019 without acquiring the requisite minimum qualifications. p. In terms of Union of India v. Pushpa Rani⁴¹, as reiterated in Hardev Singh v. Union of India⁴², the employer (being the State) has the absolute right of fixing the qualifications for recruitment and promotion and that the court cannot sit in appeal over the discretion of the employer. The policy of employment and promotion is the exclusive domain of the employer, as per J. Ranga Swamy v. Govt. of Andhra Pradesh⁴³. Also, there is no vested right to promotion is the law settled by Union of India v. Krishna Kumar⁴⁴. q. Judgment of a larger Bench of this Court can be explained by a smaller bench. Similarly, the judgment in Pramati Educational & Cultural Trust (supra), in particular paragraph 55, can be adequately explained in the present case by providing a context to the RTE Act with the NCTE scheme. Only in the event that this exercise cannot be undertaken, the question of reference to a larger Bench may arise.

r. Paragraph 55 of Pramati Educational & Cultural Trust (supra) is merely obiter dicta and will not lead to a conclusion insofar as applicability/eligibility criteria for appointment of teachers is (2008) 9 SCC 242 (2011) 10 SCC 121 (1990) 1 SCC 288 (2019) 4 SCC 319 concerned. Applicability of the RTE Act to minority institutions was incidental to the main issue and not essential to the decision. s. In Pramati Educational & Cultural Trust (supra), this Court was never called upon to decide the constitutional validity of the entire RTE Act or even Section 23 thereof. The Court was restricted to the validity of the Constitution (Ninety-third) Amendment Act, 2005 and Constitution (Eighty-sixth) Amendment Act, 2002. It cannot be said that the Constitution Bench in Pramati Educational & Cultural Trust (supra) was seized of the question as to whether the entire RTE Act was unconstitutional.

t. Regulation of teachers' qualification, such as the TET, fall within the permissible regulatory measure as the object is to maintain educational quality and standards. Application of paragraph 55 of Pramati Educational & Cultural Trust (supra) as a strait-jacket principle would lead to untenable position where students in minority institutions would be taught by teachers who do not meet the minimum qualification, thereby compromising educational quality. Pramati Educational and Cultural Trust (supra) did not lay down any binding law to hold the entirety of the RTE Act as unconstitutional and its observations must be restricted to Section 12(1)(c). u. As held in Zee Telefilms v Union of India⁴⁵, judgments of this Court should not be read like a statute or Euclid's theorems; observations made therein must be read in the context in which it appears. A point (2005) 4 SCC 649 which was not raised before the Court would not be an authority on the said question and that per B. Shama Rao v. Union Territory of Pondicherry⁴⁶, a decision is binding not because of its conclusion but what is binding is its ratio and the principle laid down therein. v. State of Orissa v. Sudhanshu Sekhar Misra⁴⁷ and Director of Settlements, Andhra Pradesh v. M.R. Appa Rao⁴⁸ were placed to emphasize the role of this Court in interpreting its judgments. Further, the dissenting opinion authored by Hon'ble A.P. Sen J., in Dalbir Singh v. State of Punjab⁴⁹ was cited to emphasize on the phrase 'law declared' under Article 141, to limit its application in the facts and context of the matter in which the case was decided. On the principle of binding value of judgment wherein a conclusion of law was neither raised nor preceded by consideration, reference was made to the judgment in the case of State of UP v. Synthetics & Chemicals Ltd.⁵⁰ Further, reliance was placed on Arnit Das v. State of Bihar⁵¹ that a judgment rendered sub-silentio cannot be deemed to

be a law declared to have a binding effect as contemplated under Article 141. Also, on the principle of sub-silento, Madhav Rao Jivaji Rao Scindia v. Union of India⁵² was cited.

AIR 1967 SC 1480 (1968) 2 SCR 154 (2002) 4 SCC 638 (1979) 3 SCC 745 (1991) 4 SCC 139 (2000) 5 SCC 488 (1971) 1 SCC 85 w. Thus, this Court would be within its authority to explain the precedential value of a larger Bench judgment, only in cases where the ratio and the conclusions do not match. The authority that this Court possesses to explain a previous judgment will be treated as an integral part of its constitutionally acknowledged adjudicatory process.

x. The authority available to the State Government under Article 309 is a general power and must yield to the special statutory authority enacted under the NCTE Act. Consequently, rules or executive orders issued by the State Government to keep the application of the NCTE Regulations out of reckoning will also be bad in law. y. In Christian Medical College Vellore Assn. v. Union of India ⁵³, considering the issue of applicability of the National Eligibility cum Entrance Test, this Court held that minority institutions are equally bound to comply with the conditions imposed under the relevant Act and Regulations, which apply to all institutions. The National Education Policy (NEP), 2020 also makes the TET mandatory for all levels of teaching. The right to administer minority institutions does not grant the right to mal-administer an institution to the detriment of the students.

z. In case of transition between two realms or settings, relaxations may be implemented. When in such a scenario the State is found to be lacking in its policy, provisions of Article 142 may be invoked. In the (2020) 8 SCC 705 present set of facts, Section 23 of the RTE Act read with Section 12A of the NCTE Act have been enacted by the Legislature towards reasonable transition process. If the teachers appointed prior to the cut-off date fail to adhere to the statute, their case may deserve a differential treatment but not to the extent of altering the core meaning of the statute.

V. THE ACTS, RULES, REGULATIONS AND NOTIFICATIONS

57. After introduction of the RTE Act, the NCTE Act came to be amended to make it in line with Article 21A of the Constitution as well as the RTE Act. The long title of the NCTE Act was also amended to include the regulation of qualifications of school teachers.

58. Further, Section 1 was amended to include sub-section (4), which made the NCTE Act applicable to schools' imparting pre-primary, primary, upper-primary, secondary or senior secondary schools. Section 2 was amended to include the definition of school which, among other things, included schools not receiving any aid or grants to meet whole or part of its expenses from a government or local authority.

59. The amendment that assumes primacy for the present issue was the insertion of section 12A, the marginal note of which reads, 'Power of Council to determine minimum standards of education of school teachers'. The aforesaid section permits the Council, i.e., the NCTE, to determine the qualifications of teachers in schools, by way of regulations. The further proviso to this section provides that the minimum qualifications of a teacher must be acquired within the period specified

in the NCTE Act or the RTE Act.

60. Section 23 of the RTE Act authorizes the Central Government to authorize an academic authority to lay down “minimum qualifications” for being eligible to be appointed as a teacher:

“23. Qualifications for appointment and terms and conditions of service of teachers.—(1) Any person possessing such minimum qualifications, as laid down by an academic authority, authorised by the Central Government, by notification, shall be eligible for appointment as a teacher. ...”

61. In exercise of such powers, the Central Government vide Notification No. S.O. 750(E) dated 31st March, 2010 appointed NCTE as the “academic authority” to lay down the minimum qualifications for a person to be eligible for appointment as a teacher.

62. Pursuant thereto, NCTE vide Notification F.No. 61- 03/20/2010/NCTE/(N&S) dated 23rd August, 2010 laid down minimum qualifications for a person to be eligible for appointment as a teacher in classes I to VIII in a school referred to in clause (n) of Section 2 of the RTE Act⁵⁴. This is when the TET was made mandatory for the first time. 1 Minimum Qualifications. –

(i) Classes I-V

(a) Senior Secondary (or its equivalent) with at least 50% marks and 2-year diploma in Elementary Education (by whatever name known) OR ***** AND

(b) Pass in the Teacher Eligibility Test (TET), to be conducted by the appropriate Government in accordance with the Guidelines framed by the NCTE for the purpose.

(ii) Classes VI-VIII

(a) B.A/B.SC and 2 -year Diploma in Elementary Education (by whatever name known) Clause 355 of the notification provided for compulsory training for certain categories of teachers.

Clause 456 excluded certain categories of teachers from the requirement of attaining minimum qualifications specified in paragraph (1). As per clause 557, if any advertisement for appointment of teachers had already been issued prior to the date of the notification, such OR ***** AND

(b) Pass in the Teacher Eligibility Test (TET), to be conducted by the appropriate Government in accordance with the Guidelines framed by the NCTE for the purpose.

3. Training to be undergone.- A person

(a) with BA/ B.Sc. with at least 50% marks and B. Ed qualification shall also be eligible for appointment for class I to V up to 1st January, 2012, provided he undergoes, after appointment, an

NCTE recognized 6-month special programme in Elementary Education.

(b) with D. Ed (Special Education) or B. Ed (Special Education) qualification shall undergo, after appointment an NCTE recognized 6-month special programme in Elementary Education.

4. Teacher appointed before the date of this Notification.- The following categories of teachers appointed for classes I to VIII prior to date of this Notification need not acquire the minimum qualifications specified in Para (1) above:

(a) A teacher appointed on or after the 3rd September, 2001 i.e. the date on which the NCTE (Determination of Minimum Qualifications for Recruitment of Teachers in Schools) Regulations, 2001 (as amended from time to time) came into force, in accordance with that Regulation.

Provided that a teacher of class I to V possessing B. Ed qualification, or a teacher possessing B. Ed (Special Education) or D. Ed (Special Education) qualification shall undergo an NCTE recognized 6 - month special programme on elementary education.

(b) A teacher of class I to V with B. Ed qualification who has completed a 6-month Special Basic Teacher Course (Special BTC) approved by the NCTE;

(c) A teacher appointed before the 3rd September 2001, in accordance with the prevalent Recruitment Rules.

5. Teacher appointed after the date of this Notification in certain cases.- Where an appropriate Government or local authority or a school has issued an advertisement to initiate the process of appointment of teachers prior to the date of this Notification, such appointments may be made in accordance with the NCTE (Determination of Minimum Qualifications for Recruitment of Teachers in Schools) Regulations, 2001 (as amended from time to time).

appointments were to be made in accordance with the NCTE Regulations, 2001.

63. By three subsequent notifications⁵⁸, NCTE made amendments in the notification dated 23rd August, 2010. Inter alia, certain changes were made in clause 1 (which laid down minimum qualifications for appointment) regarding the educational requirement. Without going much into the details of the amendment, suffice it is to mention that the mandatory requirement of TET remained unchanged.

64. We consider it important to refer to certain parts of the notification dated 11th February, 2011 issued by NCTE vide which guidelines were issued for conducting the TET examination, highlighting the rationale for mandating the TET:

“3 The rationale for including the TET as a minimum qualification for a person to be eligible for appointment as a teacher is as under:

- i. It would bring national standards and benchmark of teacher quality in the recruitment process;
- ii. It would induce teacher education institutions and students from these institutions to further improve their performance standards;
- iii. It would send a positive signal to all stakeholders that the Government lays special emphasis on teacher quality”

65. On 6th March, 2012, the Central Board of Secondary Education (CBSE) issued a circular stating that all teachers hired after the date of circular, to teach classes I to VIII students in CBSE-affiliated schools must pass the Teacher Eligibility Test (TET).

dated 29th July, 2011, 28th June, 2018 and 13th November, 2019

66. On 12th November, 2014, the NCTE laid down regulations, inter alia, providing for qualifications for recruitment of teachers for imparting education from pre-primary level to the senior secondary level. It will suffice to mention that the minimum qualifications for teachers teaching primary and upper primary (classes I to VIII) were the same as provided in the notification dated 23rd August, 2010.

67. As discussed above, NCTE made the TET a mandatory requirement vide its notification dated 23rd August, 2010. Be that as it may, in the year 2017, the Parliament made an amendment⁵⁹ in Section 23 of RTE Act by introducing a proviso in section 23(2) of the Act. The proviso reads thus:

“Provided further that every teacher appointed or in position as on the 31st March, 2015, who does not possess minimum qualifications as laid down under sub-section (1), shall acquire such minimum qualifications within a period of four years from the date of commencement of the Right of Children to Free and Compulsory Education (Amendment) Act, 2017.”

68. The Parliament, therefore, provided an opportunity to teachers appointed/in service, prior to 31st March, 2015 and who had not attained the minimum qualifications as prescribed (including the TET) to acquire the said qualifications within a period of four years from the date of commencement of the Amendment Act which was 1st April, 2017.

69. On 3rd August, 2017, the Additional Secretary, Ministry of Human Resource Development, Department of School Education & Literacy, issued a letter to the State secretaries, reminding that the last date to acquire minimum qualifications is 1st April, 2019, and no teacher, who did not possess minimum qualifications under the RTE Act, would be permitted to continue in service beyond the given date.

VI. ANALYSIS AND REASONS

70. The task at our hand is indeed onerous. Pramati Educational and Cultural Trust (*supra*), being a decision rendered by a Constitution Bench of this Court, deserves due deference. While the said decision does shed light on key issues and provides valuable insights, it also leaves some questions open that could be explored further and productively addressed.

71. The two issues we are tasked to decide, which are indeed very significant for the future generations of our nation, bring in its train one more important issue: whether the decision of the Constitution Bench of five Judges of this Hon'ble Court in Pramati Educational and Cultural Trust (*supra*), insofar as it exempts minority schools—whether aided or unaided—falling under clause (1) of Article 30 of the Constitution from the applicability of the RTE Act, warrants reconsideration. In course of our analysis, we propose to consider whether Pramati Educational and Cultural Trust (*supra*) should be accepted as the last word in the matter of applicability of the RTE Act to minority institutions or whether there is a need to explore its efficacy as a binding precedent in the changed circumstances.

A. FROM PROMISE TO RIGHT: THE CONSTITUTIONAL JOURNEY OF ARTICLE 21A AND THE RIGHT TO ELEMENTARY EDUCATION IN INDIA

72. The right to elementary education in India did not begin its journey as a fundamental right. In the Constitution, as originally drafted, elementary education was initially recognized only as a Directive Principle of State Policy⁶⁰ under Article 45, which provided:

“The State shall endeavour to provide, within a period of ten years from the commencement of this Constitution, for free and compulsory education for all children until they complete the age of fourteen years.”

73. Article 45 seems to be the only directive principle framed with a specific time frame, reflecting the urgency and significance that the framers of the Constitution placed on its implementation. This directive, though aspirational, was unfortunately not judicially enforceable and depended heavily on the discretion and capacity of the State. The framers of the Constitution consciously placed ‘EDUCATION’ in Part IV, recognizing its criticality but also acknowledging the financial and administrative limitations of the newly independent nation.

74. The drafting history of the Constitution reveals that the inclusion of elementary education as a fundamental right was deliberated upon but ultimately deferred. Several members of the Constituent Assembly advocated for a justiciable fundamental right to education, arguing that without education, other rights and civil liberties would remain “Directive Principles” meaningless. However, a competing viewpoint—concerned with resource constraints and state capacity—prevailed⁶². This led to the compromise of placing the right to elementary education as a non-enforceable and a non-binding directive principle, to be pursued by the State progressively over time.

75. However, through judicial pronouncements, the movement to recognize education, particularly elementary education, as a fundamental right gained momentum.

76. A decade before the enactment of the Constitution (Eighty-sixth Amendment) Act, 2002, which introduced Article 21A, a two-Judge Bench of this Court in *Mohini Jain v. State of Karnataka*⁶³ held:

“12. ... The right to education flows directly from right to life. The right to life under Article 21 and the dignity of an individual cannot be assured unless it is accompanied by the right to education. The State Government is under an obligation to make endeavour to provide educational facilities at all levels to its citizens.

17. We hold that every citizen has a ‘right to education’ under the Constitution. The State is under an obligation to establish educational institutions to enable the citizens to enjoy the said right. The State may discharge its obligation through state-owned or state-recognised educational institutions. When the State Government grants recognition to the private educational institutions it creates an agency to fulfil its obligation under the Constitution. The students are given admission to the educational institutions — whether state-owned or state-recognised — in recognition of their ‘right to education’ under the Constitution.

Charging capitation fee in consideration of admission to Constituent Assembly of India Debates (Volume 7, 08.12.1948), 7.51.18 (Z.H. Lari); (Volume 8, 19.11.1948), 7.56.22 (Ananthasayanam Ayyangar), 7.56.53 & 7.56.56 (K.T. Shah) Constituent Assembly of India Debates (Volume 7, 23.11.1948) (1992) 3 SCC 666 educational institutions, is a patent denial of a citizen's right to education under the Constitution.”

77. However, in *Unni Krishnan, J. P. v. State of Andhra Pradesh*⁶⁴, the correctness of the decision in *Mohini Jain* (supra) was challenged by private educational institutions. Though the decision was not affirmed in its entirety, the lead judgment of the five-Judge Constitution Bench of this Court further expanded the right to elementary education and while holding that a child up to the age of 14 years has a fundamental right to free education, held as follows:

“171. In the above state of law, it would not be correct to contend that *Mohini Jain* was wrong insofar as it declared that ‘the right to education flows directly from right to life’. But the question is what is the content of this right? How much and what level of education is necessary to make the life meaningful? Does it mean that every citizen of this country can call upon the State to provide him education of his choice? In other words, whether the citizens of this country can demand that the State provide adequate number of medical colleges, engineering colleges and other educational institutions to satisfy all their educational needs? *Mohini Jain* seems to say, yes. With respect, we cannot agree with such a broad proposition. The right to education which is implicit in the right to life and personal liberty guaranteed by Article 21 must be construed in the light of the directive principles in Part IV of the Constitution. So far as the right to education is concerned, there are several articles in Part IV which expressly speak of it. Article 41 says that the ‘State shall, within the limits of its economic capacity and development, make effective provision for securing the right

to work, to education and to public assistance in cases of unemployment, old age, sickness and disablement, and in other cases of undeserved want'. Article 45 says that 'the State shall endeavour to provide, within a period of ten years from the commencement of this Constitution, for free and compulsory education for all children until they complete the age of fourteen years'. Article 46 commands that 'the State shall promote with special care the educational and economic interests of the weaker sections of the people, and, in particular, of the Scheduled Castes (1993) 1 SCC 645 and the Scheduled Tribes, and shall protect them from social injustice and all forms of exploitation'. Education means knowledge — and 'knowledge itself is power'. As rightly observed by John Adams, 'the preservation of means of knowledge among the lowest ranks is of more importance to the public than all the property of all the rich men in the country'. (Dissertation on Canon and Feudal Law, 1765) It is this concern which seems to underlie Article 46. It is the tyrants and bad rulers who are afraid of spread of education and knowledge among the deprived classes. Witness Hitler railing against universal education. He said: 'Universal education is the most corroding and disintegrating poison that liberalism has ever invented for its own destruction.' (Rauschning, *The Voice of Destruction : Hitler speaks.*) A true democracy is one where education is universal, where people understand what is good for them and the nation and know how to govern themselves. The three Articles 45, 46 and 41 are designed to achieve the said goal among others. It is in the light of these Articles that the content and parameters of the right to education have to be determined. Right to education, understood in the context of Articles 45 and 41, means : (a) every child/citizen of this country has a right to free education until he completes the age of fourteen years, and (b) after a child/citizen completes 14 years, his right to education is circumscribed by the limits of the economic capacity of the State and its development. [...].

175. Be that as it may, we must say that at least now the State should honour the command of Article 45. It must be made a reality — at least now. Indeed, the National Education Policy 1986 says that the promise of Article 45 will be redeemed before the end of this century. Be that as it may, we hold that a child (citizen) has a fundamental right to free education up to the age of 14 years." (emphasis in original)

78. The decision in *Unni Krishnan (supra)*, however, stands overruled by an eleven-Judge Constitution Bench of this Hon'ble Court in *T.M.A. Pai Foundation (supra)* albeit on a different point.

79. These two decisions together interpreted Article 21, i.e., the right to life, as including the right to elementary education, providing the groundwork for its constitutional recognition as a fundamental right. The right to life and dignity was held to be incomplete without access to basic education, thus, reading into the Constitution an implicit fundamental right to education even before it was formally codified in 2002.

80. These judicial efforts culminated in the Constitution (Eighty-sixth Amendment) Act, 2002, which introduced Article 21A into the Constitution.

81. Alongside Article 21A, the amendment also substituted Article 45 to focus on early childhood care and education and introduced a corresponding fundamental duty under Article 51A(k), requiring parents and guardians to ensure educational opportunities for their children between the ages of 6 and 14.

82. Article 21A, thus, marked a constitutional transformation by elevating the child's right to free and compulsory elementary education to the status of an enforceable fundamental right.

83. Notably, the right to education which is positioned right after the right to life and personal liberty, underscores the intrinsic connection between life and knowledge acquisition, to be gained through elementary education. This sequence of rights is also reflective of Parliament's consciousness of the critical nexus between knowledge and human dignity.

84. Indubitably, Pramati Educational and Cultural Trust (*supra*) could not have and, as such, did not see anything objectionable in Article 21A to hold that it trenches upon minority rights protected by Article 30. What it said is that the power under Article 21A vesting in the State does not extend to making a law to abrogate minority rights of establishing and administering schools of their choice.

B. BREATHING LIFE INTO THE PROMISE: THE RTE ACT AND THE REALISATION OF ARTICLE 21A

85. To give effect to the newly inserted fundamental right, i.e., Article 21A, Parliament enacted the RTE Act. The RTE Act breathed life into Article 21A by providing a comprehensive statutory framework to ensure access to free, compulsory, and quality elementary education for all children in the 6–14 age group.

86. As outlined in the Statement of Objects and Reasons accompanying the Right of Children to Free and Compulsory Education Bill, 2008⁶⁵, the objectives of the RTE Bill read:

“The Right of Children to Free and Compulsory Education Bill, 2008, is anchored in the belief that the values of equality, social justice and democracy and the creation of a just and humane society can be achieved only through provision of inclusive elementary education to all. Provision of free and compulsory education of satisfactory quality to children from disadvantaged and weaker sections is, therefore, not merely the responsibility of schools run or supported by the appropriate Governments, but also of schools which are not dependent on Government funds.”

87. Viewed holistically, the RTE Act—contrary to the commonly held belief— does not impose an onerous or excessive regulatory burden; rather, it lays down the bare minimum core obligations and standards that all schools [as defined in Section 2(n)] must follow to ensure that the constitutional promise envisioned by Article 21A is not rendered “RTE Bill” meaningless. They include

requirements such as trained teachers, student-teacher ratio, adequate infrastructure, inclusive admission policies, age-appropriate common curriculum, etc. All these are indispensable to deliver quality elementary education.

88. At its heart, the RTE Act is an instrument for universalisation of education, which is rooted in the values of social inclusion, national development, and child-centric growth. It is aimed at bridging the gap between privileged and disadvantaged, and it ensures that every child, regardless of caste, creed, class, or community, is given a fair and equal opportunity to learn, grow, and thrive. The RTE Act is designed not to stifle institutional autonomy but to uphold a threshold of dignity, safety, equity, and universality in the learning environment for a child.

89. Born of Article 21A, the RTE Act is not merely another addition to the statute books. It is the living expression of a long-deferred promise. When the Constitution was first adopted, the right to education could find place only among the Directive Principles, tempered by the economic and institutional limitations of a newly independent nation; yet, the vision was never abandoned but merely postponed. It took the nation over half a century of democratic maturity, social awakening, and judicial insistence for this vision to be shaped into a fundamental right.

90. In this sense, Article 21A stands, perhaps, a shade taller than many other rights, not merely by hierarchy but by the weight of the journey it carries—a journey of struggle, consensus, and above all, a reaffirmation that right to elementary education is not charity, but justice.

91. Against this backdrop, if a conflict were ever to arise between the two competing fundamental rights, i.e., Article 21A and Article 30, it must be remembered that not all rights stand on equal footing when their purposes diverge and reconciliation is no longer possible. In such a scenario, Article 30, though crucial in preserving cultural and educational autonomy, must be interpreted in tandem with Article 21A, for the latter is not merely a fundamental right but we consider it to be the foundation upon which the other rights of the younger generation would find meaning and voice. Article 21A is not just a right in isolation, it is an enabler of other fundamental rights, a unifying thread that weaves together the garland of all other fundamental rights promised by our Constitution. Despite transition from Part IV to Part III of the Constitution, much of the object and purpose for introduction of Article 21A would seem lost if means to provide free and compulsory education, which is sought to be achieved by enacting the RTE Act, were withheld for minorities for no better reason than that the RTE Act abrogates their right protected under Article 30. Education for children aged 6–14 is foundational for their development and the broader goals of nation building. The right to speak freely could ring hollow, the right to vote could become mechanical and the right to livelihood could largely be rendered meaningless when the younger generation were to grow up and transition to adulthood. To deny Article 21A its rightful primacy is to reduce it to a skeletal promise—a right without fundamentals, stripped of the very essence that animates our constitutional vision.

92. Any interpretation that diminishes the scope or limits the application of the RTE Act must, therefore, be critically examined against the broader backdrop of the constitutional evolution as traced aforesaid. C. THE CONSTITUTIONAL GOAL OF UNIVERSAL ELEMENTARY EDUCATION

AND COMMON SCHOOLING SYSTEM

93. It is only in furtherance of its commitment to universal elementary education that Parliament enacted the Constitution (Eighty-sixth Amendment) Act, 2002, introducing Article 21A and elevating the right to free and compulsory education for all children aged between 6 and 14 years to the status of a fundamental right.

94. Therefore, at the outset, we must and do recognise that under the RTE Act, our focus is on elementary education which is the foundational building block of a child's journey of learning, rather than tertiary or higher education. Since independence, Universal Elementary Education and the idea of a common schooling system have stood among the foremost national as well as constitutional goals. We may ask, why does the universalisation of elementary education matter so deeply? The answer is not far to seek. It is at this stage that the seeds of equality, opportunity, and national integration are sown—shaping not only individual futures but the very character of the nation.

95. Elementary education could count as the most crucial stage in the education cycle. It lays the foundation for lifelong learning, cognitive development, and social values. It shapes a child's ability to think, question, and grow with a strong beginning. The early years of education lay the foundation for a child's growth and learning, and access to quality elementary education ensures that this foundation is strong and equitable. Therefore, universal elementary education and a common schooling system aim to uphold a shared curriculum and uniform quality standards across both government and private schools, ensuring that every child receives an equal foundation, regardless of where they study. Without universal access, education becomes a privilege rather than a right, accentuating existing inequalities and denying children from disadvantaged backgrounds the opportunity to break the cycle of poverty.

96. One could say that in India, by the age of 9 or 10, children are already deeply socialized into a fixed set of norms and behaviours shaped by their surroundings and that these patterns are not easily unlearned or altered instantly. It is in the early years, when minds are most receptive and identities still developing, that the foundation for learning and social growth is most effectively established.

97. When every child receives the same minimum standard of elementary education, society moves closer to genuine substantial equality, where one's start in life does not dictate his/her future potential. Moreover, universal elementary education is the bedrock of a healthy democracy and an empowered citizenry. It equips individuals with the basic skills of reading, writing, and critical thinking, enabling them to participate meaningfully in civic life, understand their rights and responsibilities, and contribute productively to the economy. Countries that have succeeded in achieving universal primary education have consistently demonstrated higher levels of social mobility, public health, and national cohesion.

98. This vision is clearly embedded in the RTE Act. Section 29 mandates that the curriculum and evaluation process for elementary education must be prescribed by an academic authority notified

by the appropriate government. The curriculum is to reflect constitutional values and focus on the holistic development of the child—promoting creativity, physical and mental growth, learning through play and exploration, instruction in the child’s mother tongue where possible, and a stress-free, inclusive learning environment with continuous assessment.

99. In view thereof, Article 21A, which guarantees the right to free and compulsory education for all children aged 6 to 14, inherently includes the right to universal elementary education—education that reaches every child, regardless of background. It also embraces the idea of a common schooling system, where children from diverse socio-economic and cultural groups learn together in shared spaces. D. SECTION 12(1)(C), MINORITY INSTITUTIONS AND THE BEGINNING OF THE CONUNDRUM

100. Section 12 of the RTE Act, which is the heart and soul of the RTE Act, is extracted hereunder:

“12. Extent of school's responsibility for free and compulsory education.— (1) For the purposes of this Act, a school, —

(a) specified in sub-clause (i) of clause (n) of section 2 shall provide free and compulsory elementary education to all children admitted therein;

(b) specified in sub-clause (ii) of clause (n) of section 2 shall provide free and compulsory elementary education to such proportion of children admitted therein as its annual recurring aid or grants so received bears to its annual recurring expenses, subject to a minimum of twenty-five per cent.;

(c) specified in sub-clauses (iii) and (iv) of clause (n) of section 2 shall admit in class I, to the extent of at least twenty-five per cent of the strength of that class, children belonging to weaker section and disadvantaged group in the neighbourhood and provide free and compulsory elementary education till its completion:

Provided further that where a school specified in clause (n) of section 2 imparts pre-school education, the provisions of clauses (a) to (c) shall apply for admission to such pre-school education.

(2) The school specified in sub-clause (iv) of clause (n) of section 2 providing free and compulsory elementary education as specified in clause (c) of sub-section (1) shall be reimbursed expenditure so incurred by it to the extent of per-child-expenditure incurred by the State, or the actual amount charged from the child, whichever is less, in such manner as may be prescribed:

Provided that such reimbursement shall not exceed per- child-expenditure incurred by a school specified in sub-clause

(i) of clause (n) of section 2:

Provided further that where such school is already under obligation to provide free education to a specified number of children on account of it having received any land, building, equipment or other facilities, either free of cost or at a concessional rate, such school shall not be entitled for reimbursement to the extent of such obligation.

(3) Every school shall provide such information as may be required by the appropriate Government or the local authority, as the case may be.”

101. The mandate of Section 12(1)(c) is that schools shall reserve 25% of their seats in Class I for children belonging to the “weaker sections and disadvantaged groups from the neighbourhood”. The cost of educating these children is reimbursed by the government, thereby enabling access to quality education for those who might otherwise be excluded due to economic or social barriers.

102. Section 12(1)(c), to our mind, is perhaps the closest our nation has come to realizing the vision of an inclusive and rights-based universal elementary education. It reflects the idea of a common school system where children from diverse socio-economic backgrounds learn together under the same roof. In a country as deeply divided along class, caste, and community lines as ours, Section 12(1)(c) offers social integration through education. It seeks to dismantle the segregated nature of our schooling system and plant the seeds of egalitarian and universal learning environments.

103. It can reasonably be said that the origins of Section 12(1)(c) are rooted in a historical context of exclusion and systemic inequity insofar as access to education is concerned. The provision is a direct response to generations of marginalisation, especially of dalits, adivasis, religious minorities, and economically weaker sections, who have been pushed to the periphery of the formal schooling system. By embedding universal elementary education into the architecture of schooling, Section 12(1)(c) attempts to reimagine classrooms as shared, inclusive spaces where every child has an equal claim to dignity and opportunity. Importantly, the spirit of Section 12(1)(c) goes beyond mere admission quotas and focuses on universalisation of elementary education.

104. This was also echoed by the MHRD’s clarificatory memorandum on the provisions of the RTE66:

“The idea that schooling should act as a means of social cohesion and inclusion is not new; it has been oft repeated. Inequitable and disparate schooling reinforces existing social and economic hierarchies, and promotes in the educated sections of society an indifference towards the plight of the poor.

The currently used term 'inclusive' education implies, as did earlier terms like 'common' and 'neighbourhood' schools, that children from different backgrounds and with varying interests and ability will achieve their highest potential if they study in a shared classroom environment. The idea of inclusive schooling is also consistent with Constitutional values and ideals, especially with the ideals of fraternity, social justice and equality of opportunity.

For children of socio-economically weaker backgrounds to feel at home in private schools, it is necessary that they form a substantial proportion or critical mass in the class they join. The relevant universe in which the proportion needs to be considered is the class/section. It is for this reason that the RTE Act provides for admission of 25% children from disadvantaged groups and weaker sections in class I only. This implies that these children cannot be pooled together in a separate section or afternoon shift. Any arrangement which segregates, or treats these children in a differentiated manner vis-à-vis the fee-paying children will be counter-productive.

The rationale for 25% lies in the fact that the composition of caste/class indicated in the Census is fairly representative of the composition of children who are seeking admission under this provision. As per Census 2001, SCs constitute 16.2%, and STs constitute 8.2% (total 24.4%) of the population. Further, the Tendulkar Committee, set up by the Planning Commission to measure poverty, has estimated the below poverty line (BPL) population to be 37.2%. It is a fact that much of the population that suffers economic deprivation also suffers from social Ministry of Human Resource Development, Government of India, 'Clarification on Provisions' <https://www.education.gov.in/sites/upload_files/mhrd/files/upload_document/RTE_Section_wise_rationale_rev_o.pdf> (last accessed on 31st August, 2025) disadvantage. Thus, taken together, the figure of 25% for admission of children from disadvantaged groups and weaker sections is considered reasonable. Any lower proportion would jeopardize the long-term goal of the policy which is to strengthen social cohesion and bring out the best human resource potential inherent in our society as a whole. A smaller proportion would serve only a token purpose, and it will run the serious risk of creating the feeling of alienation among the children belonging to disadvantaged groups and weaker sections. Their participation in classroom interaction will be neither strong nor sufficiently manifest to enrich the overall experiential learning taking place in any given subject area. Only a critical mass can play such a role.

The RTE Act provides for admission of 25% children from disadvantaged groups and weaker sections in Class I, not across the whole school. As children admitted to class I move to class II, new children will be admitted to class I, and so on till completion of 8 years of elementary education. The rationale for admission in class I only must be appreciated in human terms. Teachers who are used to a selective, homogeneous classroom environment cannot be expected to develop the required positive attitude and professional skills to deal with a diversified class overnight. The same applies to children. Children who have grown up to an age of nine or ten in a homogeneous or segregated environment have been socialized into a structure of norms and behaviour. They cannot be transformed on demand. Also, the overall school ethos cannot be expected to respond to a new policy in a positive manner all of a sudden. Education is indeed an act of faith and social engineering – but not quick-fix social engineering. In view of the fact that children take time to socialize and teachers take time to develop new attitudes and pedagogic skills, the RTE Act provides for

admission of disadvantaged and poor children at the entry level, covering pre-school and Class I. With these children moving up, and a new cohort of children entering pre-school and Class I in each successive year, the school will gradually have a more diverse population spread across all classes. Progression at this pace will allow children the opportunity to grow up together and create bonds: bonds that can survive social walls. Progression at this pace can allow the school to develop the professional capacity to respond to the intellectual and emotional needs of children from diverse backgrounds. Children who are younger than eight years of age are yet to develop a stable social identity. Their values are still forming, and their motivation to derive meaning from experience, both concrete and social is very strong. Therefore, it is a valid argument that the policy of mixing children from different socio-economic strata has the best chance of succeeding if it starts from the formative years of nursery/kindergarten and Class I. Diversity enhances learning and development, while segregation impoverishes the classroom environment of all schools, private or government.

Admission of 25% children from disadvantaged groups and weaker sections in the neighbourhood is not merely to provide avenues of quality education to poor and disadvantaged children. The larger objective is to provide a common place where children sit, eat and live together for at least eight years of their lives across caste, class and gender divides in order that it narrows down such divisions in our society. The other objective is that the 75% children who have been lucky to come from better endowed families, learn through their interaction with the children from families who haven't had similar opportunities, but are rich in knowledge systems allied to trade, craft, farming and other services, and that the pedagogic enrichment of the 75% children is provided by such intermingling. This will of course require classroom practices, teacher training, etc. to constantly bring out these pedagogic practices, rather than merely make children from these two sections sit together. The often voiced concern about how the 25% children from disadvantaged groups and weaker sections can cope in an environment where rich children exist can be resolved when the teaching learning process and teachers use these children as sources of knowledge so that their esteem and recognition goes up and they begin to be treated as equals."

105. Section 12(1)(c) in that manner is not just about giving disadvantaged children access to private schools. It aims to build shared spaces where children from all backgrounds learn and grow together. Privileged students gain exposure to diverse life experiences, while those from weaker sections gain confidence and opportunity. For this to succeed, pedagogy must evolve—teachers must be trained to value every child as a contributor to the learning process. Only then can the classroom become a true site of equality and transformation.

106. However, following the enactment of the RTE Act, minority educational institutions raised concerns that enforcement of Section 12(1)(c) would disrupt their autonomy or institutional character and erode their constitutionally protected rights under Article 30(1). They feared that

mandatory admissions under this provision could dilute their ability to preserve their distinct linguistic or religious character.

107. To recapitulate, Section 12(1)(c) being challenged before this Hon'ble Court in *Society for Unaided Private Schools* (supra), by a 2:1 majority, this Court upheld the constitutionality of Section 12(1)(c) of the RTE Act insofar as it applied to aided minority schools; however, Section 12(1)(c) was held to be ultra vires to the extent it sought to infringe the fundamental freedoms guaranteed to unaided minority schools under Article 30(1) of the Constitution. The Bench clarified that all unaided minority schools are exempt from the purview of Section 12(1)(c) while holding that the mandate under Section 12(1)(c) alters the very character of minority institutions, running contrary to the protections guaranteed under Article 30(1). The obligations under Section 12(1)(c) were held to be directory, not mandatory. Lastly, the Court held that as far as aided minority schools are concerned, Section 12(1)(c) would apply to such schools as Article 30(1) is subject to Article 29(2).

108. To address these apprehensions and prevent potential constitutional friction, the RTE Act was amended in 2012. Through this amendment, specific sub-clauses were inserted in Section 1, explicitly stating that the RTE Act shall apply subject to Articles 29 and 30. The newly added sub-clauses (4) and (5) are extracted hereunder:

“(4) Subject to the provisions of articles 29 and 30 of the Constitution, the provisions of this Act shall apply to conferment of rights on children to free and compulsory education.

(5) Nothing contained in this Act shall apply to Madrasas, Vedic Pathshalas and educational institutions primarily imparting religious instruction.”

109. While this move quelled the anxieties of minority institutions, it also opened the door to a series of new dilemmas concerning exclusion, regulatory arbitrage, and the scope of the fundamental right under Article 21A and Section 12(1)(c) vis-à-vis the rights of the minority institutions under Article 30.

110. As noted, vide a separate order, a reference was made to a Constitution Bench to examine the validity of Article 15(5), inserted by the Constitution (Ninety-third Amendment) Act, 2005, and Article 21A, inserted by the Constitution (Eighty-sixth Amendment) Act, 2002.

111. The said reference was answered in *Pramati Educational and Cultural Trust* (supra), with the five-Judge Constitution Bench unanimously holding, in paragraph 56, that “the 2009 Act insofar as it applies to minority schools, aided or unaided, covered under clause (1) of Article 30 of the Constitution is ultra vires the Constitution”.

112. Thus, *Pramati Educational and Cultural Trust* (supra) overruled *Society for Unaided Private Schools* (supra) on this limited point, while affirming the remainder of the decision. While *Society for Unaided Private Schools* (supra) exempted unaided minority institutions from the obligations of the RTE Act, *Pramati Educational and Cultural Trust* (supra) went a step further by extending the

exemption to even those minority schools that receive government aid.

Collectively, these two judgments have placed the entire category of minority educational institutions, whether aided or unaided, beyond the purview of the requirements of the RTE Act.

113. The exemption granted to minority institutions has since become the cornerstone of constitutional debates around the balance between the right to elementary education and minority rights.

114. Against this backdrop, it is now pertinent to examine—more than a decade later since its pronouncement—the aftermath of *Pramati Educational and Cultural Trust* (supra) and to assess whether it has truly fulfilled the purpose it set out to achieve or whether it has, in effect, deepened the very tensions it sought to resolve.

E. THE COST OF EXCLUSION: CONSEQUENCES OF EXEMPTING MINORITY INSTITUTIONS FROM THE AMBIT OF THE RTE ACT

115. To begin with, a study conducted by the National Commission for Protection of Child Rights in 2021⁶⁷ reveals that only 8.76% of students in minority schools come from socially and economically disadvantaged sections⁶⁸. This low representation cuts across all communities and highlights a systemic exclusion.

116. As per the NCPCR Study, an overwhelming 62.5% of the total students in minority schools belong to non-minority communities, and in states NCPCR Study NCPCR, “Impact of exemption under Article 15(5) w.r.t. article 21A of the Constitution of India on education of children of minority communities” (March 2021, NCPCR & Quality Council of India) like Andhra Pradesh, Jharkhand, Punjab, and Delhi, this percentage was found to be even higher. This is indicative of many institutions labelled as “minority” not serving their communities exclusively, but continuing to enjoy exemption from inclusionary mandates.

117. In this light, the consequences of *Pramati Educational and Cultural Trust* (supra) cannot be confined merely to its holding that aided and unaided minority institutions are exempt from the purview of the RTE Act. To grasp the full weight of the decision, there is need to look beyond its doctrinal contours and examine its consequences on the lives of millions of children for whom the RTE Act was conceived.

118. As noted, in *Pramati Educational and Cultural Trust* (supra), the Constitution Bench was called upon to determine two issues. For the purposes of the present matter, our concern is confined only to the second issue which the Bench framed. For ease of reference, we reproduce it once again hereunder:

“5.2. (ii) Whether by inserting Article 21-A of the Constitution by the Constitution (Eighty-sixth Amendment) Act, 2002, Parliament has altered the basic structure or framework of the Constitution?”

119. The above issue gave rise to a connected sub-issue: whether the provisions of the RTE Act could validly apply to minority schools, aided or unaided, falling under Article 30(1) of the Constitution. The Bench while holding that Article 21A, by itself, did not violate or alter the basic structure of the Constitution, took the view while addressing the sub- issue that the entire RTE Act, insofar as it applied to minority educational institutions protected under Article 30(1), was unconstitutional and ultra vires.

120. What is particularly striking to us is the Bench's conclusion on the sub-

issue. Such conclusion appears to be based solely on interpretation of Section 12 of the RTE Act by the Bench, and sub-section (1)(c) thereof in particular, mandating reservation of 25% seats at the entry level for children from weaker sections and disadvantaged groups. The Bench observed that “legal obligation to admit children belonging to weaker sections and disadvantaged groups in the neighbourhood who need not be children of the members of the minority community which has established the school [...] cannot be forced upon a minority institution because that may destroy the minority character of the school” 69. Resting thereon, it was concluded that if the RTE Act is made applicable to minority schools, aided or unaided, the right of the minorities under Article 30(1) of the Constitution will stand abrogated. Conspicuously silent as it is on any examination or assessment of the other provisions of the RTE Act such as those relating to teacher qualifications, infrastructural norms, or child safety measures and how, if at all, they conflict with Article 30(1) — the one aspect that eludes us is the complete absence in *Pramati Educational and Cultural Trust* (supra) of any discussion on or any analysis of any provision of the RTE Act vis- à-vis Article 30(1) of the Constitution other than Section 12. Paragraph 55

121. The point of concern which, therefore, arises is: if the only substantive concern raised by the Bench was related to Section 12(1)(c), what then justified the sweeping conclusion that the entire RTE Act was inapplicable to minority institutions, aided or unaided? Unfortunately, *Pramati Educational and Cultural Trust* (supra) does not appear to offer any reasoning whatsoever for extending the exemption beyond Section 12(1)(c). In the absence of any analysis of the other sections of the RTE Act vis-à-vis Article 30(1), the blanket exclusion, with respect, appears legally suspect and questionable apart from being disproportionate.

122. We are mindful of the decision of a three-Judge Bench of this Court in *M.R. Apparao* (supra) where it has been held that the decision of this Court cannot be assailed on the ground that certain aspects had not been considered or that the relevant provisions were not brought to the notice of the Court. However, the relevant dictum in paragraph 7 of such decision is primarily for the guidance of the high courts and the subordinate courts which are bound by Article 141 to follow the law declared, even though there could be valid reason to suspect and conclude that law had been declared without considering all aspects or relevant provisions. No matter what the circumstances are, the high courts and the subordinate courts are bound to follow the decision.

123. The law declared by the Supreme Court, per Article 141 of the Constitution, binds all courts which would include us too. Nonetheless, our jurisdiction permits and we possess a unique authority, unlike the high courts and the subordinate courts, to re-examine legal principles laid

down by previous Benches. Such re-examination, however, cannot obviously be resorted to except for compelling reasons. Apart from the core issues being considered by us, as to whether reconsideration of Pramati Educational and Cultural Trust (supra) is necessitated or not, one other compelling reason that dissuades us from blindly following it has its roots in M.R. Apparao (supra) itself. In paragraph 7, we find inter alia the following passage:

“7. ... It is the principle found out upon a reading of a judgment as a whole, in the light of the questions before the Court that forms the ratio and not any particular word or sentence. To determine whether a decision has ‘declared law’ it cannot be said to be a law when a point is disposed of on concession and what is binding is the principle underlying a decision. A judgment of the Court has to be read in the context of questions which arose for consideration in the case in which the judgment was delivered. An ‘obiter dictum’ as distinguished from a ratio decidendi is an observation by the Court on a legal question suggested in a case before it but not arising in such manner as to require a decision. Such an obiter may not have a binding precedent as the observation was unnecessary for the decision pronounced, but even though an obiter may not have a binding effect as a precedent, but it cannot be denied that it is of considerable weight. The law which will be binding under Article 141 would, therefore, extend to all observations of points raised and decided by the Court in a given case. So far as constitutional matters are concerned, it is a practice of the Court not to make any pronouncement on points not directly raised for its decision. ...”
(emphasis ours)

124. To what extent Pramati Educational and Cultural Trust (supra) lays down law which is definitive and binding under Article 141 or its observations are to be treated as ‘obiter dictum’ would be considered later as we progress further.

125. We are a bit distressed to note from the materials placed on record including the NCPCR Study that exclusion of the RTE Act has created a fertile ground for misuse. Since the Constitution (Ninety-third Amendment) Act, 2006, there has been a sharp rise in schools applying for minority status. The NCPCR Study finds that around 85% of minority institutions received their minority status post-2006, i.e., many after the passage of the RTE Act.

126. These trends, arguably, raise concerns that the minority status is often claimed not to preserve identity, but to avoid compliance with inclusionary obligations under the RTE Act. The absence of clear guidelines on minimum enrolment of minority students has also made it easier for institutions to claim minority status without fulfilling its spirit. With no obligation to admit disadvantaged students, many of these institutions remain insulated from broader constitutional goals of equality and inclusion.

127. The RTE Act ensures children a range of entitlements like basic infrastructure, trained teachers, books, uniforms, and mid-day meals, which are essential for a dignified educational experience. However, minority schools, excluded from the RTE Act’s purview, are not necessarily bound to provide these facilities. Some minority schools might provide a few facilities as are mandated by the

RTE Act, but others may fall short leaving their students without access to such mandated facilities. For many of these students, such benefits are not just amenities but affirmations of belonging, equality, and recognition.

128. Beyond physical provisions, the RTE Act also ensures common curricular standards through notified academic authorities⁷⁰. These guarantee that every child receives quality education based on constitutional values. Minority institutions, however, operate without such uniform guidelines, leaving children and their parents uncertain about what and how they are taught, and often disconnected from the national framework of universal learning.

129. For the reasons discussed above, we hasten to observe with utmost humility at our command that the decision in *Pramati Educational and Cultural Trust* (supra) might have, unknowingly, jeopardized the very foundation of universal elementary education. Exemption of minority institutions from the RTE Act leads to fragmentation of the common schooling vision and weakening of the idea of inclusivity and universality envisioned by Article 21A. We are afraid, instead of uniting children across caste, class, creed, and community, it reinforces ‘divides’ and ‘dilutes’ the transformative potential of shared learning spaces. If the goal is to build an equal and cohesive society, such exemptions move us in the opposite direction. What commenced as an attempt to protect cultural and religious freedoms has inadvertently created a regulatory loophole, leading to a surge in institutions seeking minority status to bypass the regime ordained by the RTE Act.

see, Section 29 of the RTE Act

130. It is trite that the State has been entrusted with the responsibility of achieving substantive equality by the framers of the Constitution with the introduction of Articles 14 and 15 of the Constitution. Knit neatly together, they mandate the State to ensure that the inherent inequality in the society is reduced by providing a level playing field to the weak and oppressed members of the society.

131. In the wake of *Pramati Educational and Cultural Trust* (supra), we are pained to observe that minority status seems to have become a vehicle for circumventing the mandate of the RTE Act. In our humble opinion, it has opened up a situation whereby multiple institutions have sought to acquire minority status to become autonomous. It has also opened the door for potential misuse. Exemption of even aided minority institutions from the framework of the RTE Act has further encouraged the proliferation of minority-tagged schools not necessarily for the preservation of language, script, or culture, but to circumvent statutory obligations. This has distorted the spirit of Article 30(1), which was never intended to create enclaves of privilege at the cost of national developmental goals.

132. We end the discussion by observing that the true impact and legacy of a judicial pronouncement lies not merely in the precision of its reasoning, but by whether it stands the test of time; whether, years after its pronouncement, it continues to respond meaningfully to the problem it set out to address and serve the ends of justice or has failed to do so. The test of such a decision is

whether it has alleviated or aggravated the practical challenges it sought to remedy and lived realities it endeavoured to shape. Painfully though, we regret to observe that the ruling in Pramati Educational and Cultural Trust (supra) strikes at the heart of good quality universal elementary education and its consequences are far-reaching.

F. DOES ARTICLE 30(1) REALLY ENVISAGE BLANKET IMMUNITY FROM ALL FORMS OF REGULATION TO MINORITY INSTITUTIONS?

133. Articles 29 and 30 of the Constitution together constitute the ‘Cultural and Educational Rights’. The text of both provisions is reproduced below:

“29. Protection of interests of minorities.—(1) Any section of the citizens residing in the territory of India or any part thereof having a distinct language, script or culture of its own shall have the right to conserve the same.

(2) No citizen shall be denied admission into any educational institution maintained by the State or receiving aid out of State funds on grounds only of religion, race, caste, language or any of them.

30. Right of minorities to establish and administer educational institutions.—(1) All minorities, whether based on religion or language, shall have the right to establish and administer educational institutions of their choice. (1-A) In making any law providing for the compulsory acquisition of any property of an educational institution established and administered by a minority, referred to in clause (1), the State shall ensure that the amount fixed by or determined under such law for the acquisition of such property is such as would not restrict or abrogate the right guaranteed under that clause.] (2) The State shall not, in granting aid to educational institutions, discriminate against any educational institution on the ground that it is under the management of a minority, whether based on religion or language.”

134. Clause (1) of Article 29 guarantees that any section of citizens having a distinct language, script, or culture has the right to conserve the same. Clause (2) adds a vital equality dimension, prohibiting denial of admission into educational institutions maintained by the State or receiving aid from State funds on grounds of religion, race, caste, language, or any of them.

135. Article 30(1) of the Constitution guarantees minorities the right to establish and administer educational institutions of their choice. However, this right is not absolute, nor does it imply blanket immunity from all regulatory frameworks. This Court, in T.M.A. Pai Foundation (supra), has held that while the autonomy of minority institutions must be protected, it is not beyond the reach of reasonable regulation in the interest of maintaining educational standards and achieving constitutional goals.

136. The purpose of Article 30(1) is to preserve the linguistic and cultural identity of minority communities through education, not to create parallel systems that are insulated from universally applicable norms. Basic requirements related to infrastructure, teacher qualifications, and inclusive

access, especially at the elementary level under Article 21A, do not interfere with a school's minority character. On the contrary, these norms ensure that the right to administer does not become a license to exclude or operate without accountability. Interpreting Article 30(1) as a blanket shield erodes the balance between autonomy and public interest, and undermines the constitutional vision of inclusive, equitable education for all.

137. A brief reference to the Constituent Assembly Debates may be apt at this stage. The original text of Article 29(2) [Article 23(2) in the Draft Constitution of India, 1948] read thus:

“(2) No minority whether based on religion, community or language shall be discriminated against in regard to the admission of any person belonging to such minority into any educational institution maintained by the State.”

138. This language was met with concern by the assembly members. Pandit Thakur Das Bhargava proposed three important changes: (i) replacing “no minority” with “no citizen” to universalise the protection, (ii) extending the provision to include not only State-maintained institutions but also those receiving aid from the State, and (iii) broadening the grounds of protection from just “religion, community or language” to include “religion, race, caste, language or any of them”⁷¹. He stated:

“Now, Sir, it so happens that the words ‘no minority’ seek to differentiate the minority from the majority, whereas you would be pleased to see that in the Chapter the words of the heading are ‘cultural and educational rights’, so that the minority rights as such should not find any place under this section. Now if we read Clause (2) it would appear as if the minority had been given certain definite rights in this clause, whereas the national interests require that no majority also should be discriminated against in this matter. Unfortunately, there is in some matters a tendency that the minorities as such possess and are given certain special rights which are denied to the majority. It was the habit of our English masters that they wanted to create discriminations of this sort between the minority and the majority. Sometimes the minority said they were discriminated against and on other Constituent Assembly of India Debates (Volume 7, 08.12.1948), 7.69.35 & 7.69.36 (Pandit Thakur Dass Bhargava) occasions the majority felt the same thing. This amendment brings the majority and the minority on an equal status.

In educational matters, I cannot understand, from the national point of view, how any discrimination can be justified in favour of a minority or a majority. Therefore, what this amendment seeks to do is that the majority and the minority are brought on the same level. There will be no discrimination between any member of the minority or majority in so far as admission to educational institutions are concerned. So I should say that this is a charter of the liberties for the student-world of the minority and the majority communities equally.” (emphasis ours)

139. Shri Bhargava’s proposed amendments were ultimately accepted, and what we now have as Article 29(2) reflects the deliberate and inclusive vision of the Constituent Assembly. It affirms that

in matters of admission to educational institutions funded by the State, no citizen— minority or majority—should face discrimination on specified grounds. The framers thus sought to establish a level playing field in education, rooted in the principles of equality and non-discrimination.

140. Is the right conferred by Article 30(1) absolute, or does it imply blanket immunity from all regulatory frameworks? A seven-Judge Bench of this Court, upon reference by the President, held in *In Re: Kerala Education Bill, 1957*⁷²:

“20. Articles 29 and 30 are set out in Part III of our Constitution which guarantees our fundamental rights. They are grouped together under the sub-head ‘Cultural and Educational Rights’. The text and the marginal notes of both the articles show that their purpose is to confer those fundamental rights on certain sections of the community which constitute minority communities. Under clause (1) of Article 29 any section of the citizens residing 1959 SCR 995 in the territory of India or any part thereof having a distinct language, script or culture of its own has the right to conserve the same. It is obvious that a minority community can effectively conserve its language, script or culture by and through educational institutions and, therefore, the right to establish and maintain educational institutions of its choice is a necessary concomitant to the right to conserve its distinctive language, script or culture and that is what is conferred on all minorities by Article 30(1) which has hereinbefore been quoted in full. This right, however, is subject to clause 2 of Article 29 which provides that no citizen shall be denied admission into any educational institution maintained by the State or receiving aid out of State funds on grounds only of religion, race, caste, language or any of them.

22. ... The real import of Article 29(2) and Article 30(1) seems to us to be that they clearly contemplate a minority institution with a sprinkling of outsiders admitted into it. By admitting a non-

member into it the minority institution does not shed its character and cease to be a minority institution. Indeed the object of conservation of the distinct language, script and culture of a minority may be better served by propagating the same amongst non-members of the particular minority community. In our opinion, it is not possible to read this condition into Article 30(1) of the Constitution.” (emphasis ours)

141. As evident from the above, Article 30(1), in the context of aided minority institutions, is subject to the mandate of Article 29(2), which expressly prohibits denial of admission to any citizen in institutions maintained by the State or receiving State aid, on grounds of religion, race, caste, language, or any of them. A plain reading of Article 29(2) makes the position clear that an educational institution maintained by the State or receiving aid out of State funds cannot deny admission on, inter alia, grounds of religion. Significantly, *Pramati Educational and Cultural Trust* (supra) does not discuss Article 29(2) in the context of the answer to the second issue, though raised by the Additional Solicitor General as recorded in paragraph 47, while Article 29(2) is merely quoted in the discussion while answering the first issue at paragraph 32. To our mind, consideration of

Article 29(2) in the proper perspective could have brought about a different outcome insofar as applicability of Section 12(1)(b) of the RTE Act to schools specified in sub-clause (ii) of clause

(n) of Section 2 thereof.

142. With respect to unaided minority institutions, the interpretation of Article 30 must be guided by its underlying purpose, i.e., to preserve the cultural, linguistic, and educational identity of minority communities and promote their welfare. As clarified in *In Re: The Kerala Education Bill* (supra), the mere admission of a “sprinkling of outsiders” neither defeats the purpose of Article 30 nor does it dilute or alter the minority character of such institutions.

143. It is clear on a reading of the authorities in the relevant field that Article 30(1) has never been construed as conferring blanket immunity on minority institutions from all forms of regulation. Even at a time when the promise to provide free and compulsory elementary education was merely a directive principle under Article 45 and not yet elevated to a fundamental right, this Court in *In Re: The Kerala Education Bill* (supra) recognised the need to harmonise the rights under Article 30(1) with the broader constitutional duty of the State to promote free and compulsory education. This Court observed that apparent tensions between these provisions must be resolved through reconciliation by giving effect to both and achieving a constitutional synthesis. It held that the right of minorities to administer educational institutions of their choice does not preclude the State from prescribing reasonable conditions for the grant of aid, including those intended to uphold educational standards and promote inclusivity. With respect to unaided minority institutions, the interpretation of Article 30 must be guided by its underlying purpose of preserving the cultural, linguistic, and educational identity of minority communities and promoting their welfare. As clarified in *In Re: The Kerala Education Bill* (supra), the mere admission of a “sprinkling of outsiders” neither defeats the purpose of Article 30 nor does it dilute or alter the minority character of such institutions.

G. DOES THE REGULATORY FRAMEWORK UNDER THE RTE ACT, FLOWING FROM ARTICLE 21A, CLASSIFY AS A REASONABLE RESTRICTION UNDER ARTICLE 19(6)?

144. This Court in its numerous decisions has affirmed that the right to establish and administer educational institutions, whether for profit or not, is protected under Article 19(1)(g) of the Constitution. For instance, the lead judgment authored by Hon’ble B.N. Kirpal, CJI, in *T.M.A. Pai Foundation* (supra) held thus:

“18. With regard to the establishment of educational institutions, three articles of the Constitution come into play. Article 19(1)(g) gives the right to all the citizens to practise any profession or to carry on any occupation, trade or business; this right is subject to restrictions that may be placed under Article 19(6). Article 26 gives the right to every religious denomination to establish and maintain an institution for religious purposes, which would include an educational institution. Article 19(1)(g) and Article 26, therefore, confer rights on all citizens and religious denominations to establish and maintain educational institutions.”

145. Undoubtedly so. However, Article 19(6) carves out a clear exception to Article 19 including 19(1)(g), permitting the State to impose reasonable restrictions in the interest of the general public. The RTE Act, enacted to give effect to Article 21A, ought to be viewed as one such “reasonable restriction” falling within the contours of Article 19(6), aimed at advancing a constitutionally recognised public good, i.e., universal elementary education for children aged 6-14 years. The objective behind the RTE Act, one has to realize and remember, is not to curtail legitimate exercise of rights under Articles 19(1)(g), 26 and 30, but to ensure that the foundational rights of children are not sacrificed at the altar of unregulated commercialisation.

146. In a constitutional framework that is animated by the values of justice, equality, fraternity and dignity, commercial freedoms under Article 19(1)(g) must yield where they conflict with the fulfilment of Fundamental Rights particularly those of children. We should not forget that the RTE Act is the legislative expression of a fundamental right under Article 21A. Its regulatory mandate, therefore, acquires constitutional legitimacy through Article 21A, and by extension, Article

21. When tested against the standard of reasonableness under Article 19(6), the regulatory measures imposed by the RTE Act are not only not arbitrary, they are necessary, imperative and proportionate, and in furtherance of the larger constitutional goal and vision of Article 21A.

147. A six-Judge Bench of this Court in *Rev. Sidhrajibhai Sabhai vs. State of Gujarat*⁷³ had held that:

“15. The right established by Article 30(1) is a fundamental right declared in terms absolute. Unlike the fundamental freedoms guaranteed by Article 19 it is not subject to reasonable restrictions. It is intended to be a real right for the protection of the minorities in the matter of setting up of educational institutions of their own choice. The right is intended to be effective and is not to be whittled down by so-called regulative measures conceived in the interest not of the minority educational institution, but of the public or the nation as a whole. If every order which while maintaining the formal character of a minority institution destroys the power of administration is held justifiable because it is in the public or national interest, though not in its interest as an educational institution the right guaranteed by Article 30(1) will be but a ‘teasing illusion’ a promise of unreality. Regulations which may lawfully be imposed either by legislative or executive action as a condition of receiving grant or of recognition must be directed to making the institution while retaining its character as a minority institution effective as an educational institution. Such regulation must satisfy a dual test- the test of reasonableness, and the test that it is regulative of the educational character of the institution and is conducive to making the institution an effective vehicle of education for the minority community or other persons who resort to it.”

148. However, the decision in *Rev. Sidhrajibhai Sabhai* (supra) stands overruled by the majority in *T.M.A. Pai Foundation* (supra). While so overruling, it was held that the right under Article 30(1) cannot be stretched to override the national interest or to prevent the Government from framing regulations in that regard. The relevant extracts are reproduced hereunder:

“107. The aforesaid decision does indicate that the right under Article 30(1) is not so absolute as to prevent the Government from making any regulation whatsoever. As already noted (1963) 3 SCR 837 hereinabove, in *Sidhajibhai Sabhai case* [(1963) 3 SCR 837 : AIR 1963 SC 540] it was laid down that regulations made in the true interests of efficiency of instruction, discipline, health, sanitation, morality and public order could be imposed. If this is so, it is difficult to appreciate how the Government can be prevented from framing regulations that are in the national interest, as it seems to be indicated in the passage quoted hereinabove. Any regulation framed in the national interest must necessarily apply to all educational institutions, whether run by the majority or the minority. Such a limitation must necessarily be read into Article

30. The right under Article 30(1) cannot be such as to override the national interest or to prevent the Government from framing regulations in that behalf. It is, of course, true that government regulations cannot destroy the minority character of the institution or make the right to establish and administer a mere illusion; but the right under Article 30 is not so absolute as to be above the law. It will further be seen that in *Sidhajibhai Sabhai case* [(1963) 3 SCR 837 : AIR 1963 SC 540] no reference was made to Article 29(2) of the Constitution. This decision, therefore, cannot be an authority for the proposition canvassed before us.”

149. While the autonomy of minority institutions must be protected, it is not beyond the reach of reasonable regulation in the interest of maintaining educational standards and achieving constitutional goals.

150. Even before *T.M.A. Pai Foundation* (supra), a nine-Judge Bench of this Court in *Ahmedabad St. Xavier's College Society* (supra) held that:

“20. The right conferred on the religious and linguistic minorities to administer educational institutions of their choice is not an absolute right. This right is not free from regulation. Just as regulatory measures are necessary for maintaining the educational character and content of minority institutions similarly regulatory measures are necessary for ensuring orderly, efficient and sound administration. Das, C.J., in the *Kerala Education Bill case* summed up in one sentence the true meaning of the right to administer by saying that the right to administer is not the right to mal-administer.” (emphasis ours)

151. The aforesaid discussion tends to support our opinion that rights under Article 30(1), not being absolute, cannot be claimed to the complete exclusion of Article 21A. The former cannot be construed as overriding the mandate of the latter. Article 30(1), which guarantees minorities the right to establish and administer educational institutions of their choice, is undoubtedly a vital part of the constitutional promise to preserve linguistic and religious diversity. However, this right, like all others under Part III, is not absolute. It must be read in harmony with other Fundamental Rights and constitutional goals. When minority institutions engage in the act of imparting education,

particularly elementary education, they necessarily operate within a shared constitutional ecosystem. To argue that Article 30(1) grants the minority institutions immunity from all statutory frameworks aimed at securing the right to education under Article 21A or that there can be no restrictions imposed under Article 19(6) would be to prioritize one right over another, thereby undermining the right to education under Article 21A. H. MINORITY INSTITUTIONS AND THE SHARED CONSTITUTIONAL RESPONSIBILITY UNDER ARTICLE 21A

152. An argument which has been raised before us and which was successfully argued in *Pramati Educational and Cultural Trust* (supra) is that Article 21A casts an obligation solely on the State to ensure full implementation of the right and, therefore, minority institutions should not be burdened with how the State intends to carry forward its vision of implementation of such right.

153. It is true that Article 21A imposes a primary duty upon the State to ensure the provision of free and compulsory elementary education. However, the fulfilment of this duty necessarily involves the participation of both public and private stakeholders in the education ecosystem. Minority institutions that voluntarily choose to engage in the public function of imparting elementary education cannot simultaneously claim complete insulation from regulatory frameworks that give effect to the constitutional mandate under Article 21A. The RTE Act is one such regulatory framework.

154. The vision of universal elementary education under Article 21A, indubitably, cannot be achieved by the State alone, in isolation. Education, especially at the foundational level, is a shared constitutional responsibility. Minority institutions, while retaining their autonomy in matters essential to their cultural and linguistic identity, do not operate in a vacuum. Once they enter the realm of formal schooling and benefit from recognition, affiliation, or aid from the State, they partake in the broader constitutional project of building an inclusive and educated society. It would therefore be constitutionally untenable to argue that such institutions remain unaffected by frameworks such as the RTE Act through which the State seeks to discharge its obligations. Reasonable participation in this vision does not and cannot dilute its institutional character.

155. We, therefore, doubt the decision in *Pramati Educational and Cultural Trust* (supra) on this aspect.

I. TEACHERS' ROLE IN IMPARTING QUALITY EDUCATION

156. Quality of teachers and teaching standards are integral to the fundamental right to education under Article 21A cannot perhaps be doubted. This Court, times without number, has emphasized that 'education' would be meaningless if it is not accompanied by quality education, which is primarily dependent on qualified and well-trained teachers. Further, it is the State's constitutional obligation to ensure that educational institutions maintain high teaching standards, and appointments of teachers should strictly adhere to prescribed qualifications to maintain these educational standards.

157. The importance of training for teachers was discussed by this Court in *N.M. Nageshwaramma v. State of A.P.*⁷⁴. Mushrooming of unauthorised teacher training institutes in the State of Andhra Pradesh was under consideration. While dismissing the writ petitions before it, the concern expressed more than forty years back by this Court appears to be relevant even now. It was said:

“3. ... The Teachers Training Institutes are meant to teach children of impressionable age and we cannot let loose on the innocent and unwary children, teachers who have not received proper and adequate training. True they will be required to pass the examination but that may not be enough. Training for a certain minimum period in a properly organised and equipped Training Institute is probably essential before a teacher may be duly launched. ...” 1986 Supp SCC 166

158. This Court in *Andhra Kesari Educational Society v. Director of School Education*⁷⁵ upon deciding the lis before it made the following parting remarks:

“20. ... Though teaching is the last choice in the job market, the role of teachers is central to all processes of formal education. The teacher alone could bring out the skills and intellectual capabilities of students. He is the ‘engine’ of the educational system. He is a principal instrument in awakening the child to cultural values. He needs to be endowed and energised with needed potential to deliver enlightened service expected of him. His quality should be such as would inspire and motivate into action the benefiter. He must keep himself abreast of everchanging conditions. He is not to perform in a wooden and unimaginative way. He must eliminate fissiparous tendencies and attitudes and infuse nobler and national ideas in younger minds. His involvement in national integration is more important, indeed indispensable. It is, therefore, needless to state that teachers should be subjected to rigorous training with rigid scrutiny of efficiency. It has greater relevance to the needs of the day. The ill-trained or sub-standard teachers would be detrimental to our educational system; if not a punishment on our children. The Government and the University must, therefore, take care to see that inadequacy in the training of teachers is not compounded by any extraneous consideration.”

159. Similarly, the significance of quality training to equip teachers to mould the future citizenry of the country, was discussed in *State of Maharashtra v. Vikas Sahebrao Roundale*⁷⁶. The relevant passage reads thus:

“12. ... The teacher plays pivotal role in moulding the career, character and moral fibres and aptitude for educational excellence in impressive young children. Formal education needs proper equipping of the teachers to meet the challenges of the day to impart lessons with latest techniques to the students on secular, scientific and rational outlook. A well- equipped teacher could bring the needed skills and intellectual (1989) 1 SCC 392 (1992) 4 SCC 435 capabilities to the students in their pursuits. The teacher is adorned as Gurudevobhava, next after parents, as he is a principal instrument to awakening the child to the cultural ethos, intellectual

excellence and discipline. The teachers, therefore, must keep abreast of ever-changing techniques, the needs of the society and to cope up with the psychological approach to the aptitudes of the children to perform that pivotal role. In short teachers need to be endowed and energised with needed potential to serve the needs of the society. The qualitative training in the training colleges or schools would inspire and motivate them into action to the benefit of the students. ...”

160. Then again, this Court in *Chandigarh Administration. v. Rajni Vali (Mrs.)*⁷⁷ reiterated the State's obligation to maintain a certain standard of teaching and that appointment of qualified teachers was the bare minimum to be achieved in any institution by holding thus:

“6. The position has to be accepted as well settled that imparting primary and secondary education to students is the bounden duty of the State Administration. It is a constitutional mandate that the State shall ensure proper education to the students on whom the future of the society depends. In line with this principle, the State has enacted statutes and framed rules and regulations to control/regulate establishment and running of private schools at different levels. The State Government provides grant-in-aid to private schools with a view to ensure smooth running of the institution and to ensure that the standard of teaching does not suffer on account of paucity of funds. It needs no emphasis that appointment of qualified and efficient teachers is a sine qua non for maintaining high standards of teaching in any educational institution. ...”

161. In *State of Orissa v. Mamata Mohanty*⁷⁸, the central role played by a teacher in shaping individuals, and future citizens, was emphasized to establish that the State must be uncompromising when it comes to quality of teachers recruited. This Court ruled:

(2000) 2 SCC 42 (2011) 3 SCC 436 “33. In view of the above, it is evident that education is necessary to develop the personality of a person as a whole and in totality as it provides the process of training and acquiring the knowledge, skills, developing mind and character by formal schooling. Therefore, it is necessary to maintain a high academic standard and academic discipline along with academic rigour for the progress of a nation. Democracy depends for its own survival on a high standard of vocational and professional education. Paucity of funds cannot be a ground for the State not to provide quality education to its future citizens. It is for this reason that in order to maintain the standard of education the State Government provides grant-in-

aid to private schools to ensure the smooth running of the institution so that the standard of teaching may not suffer for want of funds.

34. Article 21-A has been added by amending our Constitution with a view to facilitate the children to get proper and good quality education. However, the quality of education would depend on various factors but the most relevant of them is excellence of teaching staff. In view thereof, quality

of teaching staff cannot be compromised. The selection of the most suitable persons is essential in order to maintain excellence and the standard of teaching in the institution. It is not permissible for the State that while controlling the education it may impinge the standard of education. It is, in fact, for this reason that norms of admission in institutions have to be adhered to strictly. Admissions in mid-academic sessions are not permitted to maintain the excellence of education.”

162. The primacy of providing elementary education and strict compliance with teaching standards and qualifications was highlighted, in *Bhartiya Seva Samaj Trust v. Yogeshbhai Ambalal Patel*⁷⁹, in the following words:

“26. ... education and particularly that elementary/basic education has to be qualitative and for that the trained teachers are required. The legislature in its wisdom after consultation with the expert body fixes the eligibility for a particular discipline taught in a school. Thus, the eligibility so fixed (2012) 9 SCC 310 requires very strict compliance and any appointment made in contravention thereof must be held to be void.”

163. While reflecting on free and compulsory education, we cannot, therefore, be oblivious of the need for quality education to be imparted to children aged between 6 and 14 years. Compromising the quality of a teacher would necessarily compromise quality of education, and is a direct threat to the right of children to quality education which is a necessary concomitant of the right guaranteed by Article 21A. This, in turn, would render the entire object and purpose of the RTE Act meaningless. In the sphere of primary education, a qualified teacher, at the very least, would be an assurance of quality education. Quality of education is, therefore, inherent in the right to education under Article 21A. J. APPLICABILITY OF THE TET TO IN-SERVICE TEACHERS APPOINTED PRIOR TO 2009 AND REQUIREMENT OF TET QUALIFICATION FOR PROMOTION OF TEACHERS

164. There are yet two other connected issues that require our attention. The TET is a statutory requirement introduced under the RTE Act and the corresponding NCTE notifications. It is aimed at ensuring minimum professional standards in the recruitment of elementary school teachers, in line with the mandate under Section 23 of the RTE Act.

165. Section 23 of the RTE Act vests the Central Government with the power to designate an academic authority to prescribe minimum qualifications for teachers. Pursuant to conferment of such power, the NCTE was notified as the academic authority under sub-section (1) which is empowered to prescribe the eligibility criteria for appointment as teachers in schools governed by the RTE Act.

166. In exercise of its authority under Section 23(1), the NCTE issued a Notification dated 23rd August, 2010, later amended by Notification dated 29th July, 2011, laying down that passing the TET is a mandatory condition for appointment of teachers in classes I to VIII in schools covered by Section 2(n) of the RTE Act. The notifications clarify that the TET must be conducted by the appropriate Government in accordance with the guidelines framed by the NCTE. The legal position

emerging therefrom is clear: the TET is not a mere procedural requirement but forms an essential part of the minimum qualification criteria.

167. Importantly, the first and second provisos to Section 23(2) of the RTE Act carve out a transitional obligation for in-service teachers who did not possess the minimum qualifications at the time of commencement of the RTE Act. They were required to acquire such qualifications including passing the TET within a prescribed time frame. The second proviso introduced by the Right of Children to Free and Compulsory Education (Amendment) Act, 2017⁸⁰ extended this compliance period by a period of four years from the date of commencement of the 2017 Amendment Act, which was deemed to have come into force on 1 st April, 2015, i.e., till 2019 and not 2021 if four years were calculated from the date of the notification (i.e., 9th August, 2017). The express legislative intent was to 2017 Amendment Act bring all in-service teachers within the ambit of uniform quality standards.

168. NCTE's notification also reinforces this requirement by stating that teachers working in unaided private schools, or those already in position as of 31st March, 2015, must qualify the TET within the stipulated period. The language of both the RTE Act and the notification leaves no room for ambiguity that even those teachers appointed prior to the RTE Act, if not qualified, must meet the TET requirement within the grace period granted. Only those appointed prior to 3rd September, 2001 in accordance with applicable recruitment rules, or those covered by specific exceptions (e.g., Special BTC or D.Ed. courses), were exempted.

169. Thus, read holistically, Section 23 of the RTE Act and the NCTE notifications together establish the TET as a compulsory qualifying criterion for all teachers appointed on or after 23rd August, 2010, and as a time-bound compliance obligation for those appointed earlier without the requisite qualifications. The sole object is to ensure uniform teaching standards across institutions imparting elementary education. Viewed in this light, the TET is not only a mandatory eligibility requirement but it is a constitutional necessity flowing from the right to quality education under Article 21A.

170. As a logical corollary to the above, it is axiomatic that those in-service teachers who aspire for promotion, irrespective of the length of their service, have to qualify the TET in order to be eligible to have their candidature considered for promotion.

K. Our findings On perceived conflict between Articles 21A and 30(1) and the applicability of the RTE Act to minority institutions

171. The right to education cannot be deprived of substance and rendered a right without fundamentals. It is to be noted that though Article 30 finds place in the "Cultural and Educational Rights" section of Part III, Article 21A mandating "Right to Education" for children in the age group of 6 to 14 is not placed in that section but has been consciously placed by the Parliament in the section "Right to Freedom". Can Article 21A be treated as subservient to Article 30, or for that matter, to any other constitutional right? We do not propose to proceed for a hair-splitting analysis to answer this question. Suffice it is for the present purpose that both Article 21A and Article 30(1) occupy high constitutional position and must be interpreted harmoniously by complementing each other. In our opinion, there is no inherent conflict between Article 21A and Article 30(1). On this

score, we are in respectful agreement with Pramati Educational and Cultural Trust (supra).

172. One, however, has to appreciate that most provisions of the RTE Act are regulatory in nature aimed at ensuring a safe, inclusive, and meaningful learning environment for children in the 6-14 age group. Requirements such as trained teachers, adequate infrastructure, and prohibition of corporal punishment are educational essentials, not ideological impositions. Exempting minority institutions from all these obligations, regardless of their relevance to minority character is, in our opinion, neither justified nor constitutionally required.

173. The danger of such a blanket exemption is that Article 30(1) runs the risk of being reduced to a tool for evading necessary and child-centric regulatory standards. The constitutional guarantee under Article 30(1), we are inclined to the view, was intended to preserve cultural and linguistic identity and not to provide institutions unqualified immunity from laws framed in the best interest of children.

174. In our opinion, Pramati Educational and Cultural Trust (supra) did not carry forward its own reasoning to its logical end. First, the Court acknowledged that whether the 25% quota affects the minority character depends on various factors, including the institution's nature and the extent of impact. The relevant passage reads thus:

“33. ... Thus, the law as laid down by this Court is that the minority character of an aided or unaided minority institution cannot be annihilated by admission of students from communities other than the minority community which has established the institution, and whether such admission to any particular percentage of seats will destroy the minority character of the institution or not will depend on a large number of factors including the type of institution.” (emphasis ours)

175. However, later, Pramati Educational and Cultural Trust (supra) went on to grant a sweeping exemption to all minority institutions, aided or unaided, falling under Article 30(1) despite what the Bench acknowledged earlier. With respect, it essentially created a dichotomy between the right to education under Article 21A and the collective rights under Article 30(1). Despite insisting on harmony, Article 30(1) seems to have been treated as an unqualified trump card, instead of harmonizing both rights in a manner that minimally impairs institutional autonomy while maximally fulfilling the State's constitutional obligations to children, particularly those from marginalized communities.

176. Incidentally, reliance placed in Pramati Educational and Cultural Trust (supra) by the Court on T.M.A. Pai Foundation (supra) was, in our opinion, could be seen as misplaced. T.M.A. Pai Foundation (supra) was about state interference in higher education, not elementary education. It is elementary education which is recognised as a fundamental right and not higher education. The objectives and stakes in primary education are vastly different. At this level, the focus is on foundational learning, inclusion, and socialization. The RTE Act itself prohibits screening procedures and merit-based filters at the elementary stage, which establishes its universal and inclusive intent. Despite what is, in T.M.A. Pai Foundation (supra), the majority of the eleven-Judge

Constitution Bench clearly held that the right to administer an educational institution does not extend to the right to maladminister it [echoing the view of Hon'ble S.R. Das, CJI. in *In Re: Kerala Education Bill, 1957* (supra)]. The State is well within its powers to impose general regulatory measures to ensure the proper functioning and standards of such institutions, so long as these do not alter or destroy their minority character. The relevant extracts are reproduced hereunder:

“107. ... Any regulation framed in the national interest must necessarily apply to all educational institutions, whether run by the majority or the minority. Such a limitation must necessarily be read into Article 30. The right under Article 30(1) cannot be such as to override the national interest or to prevent the Government from framing regulations in that behalf. It is, of course, true that government regulations cannot destroy the minority character of the institution or make the right to establish and administer a mere illusion; but the right under Article 30 is not so absolute as to be above the law.

122. The learned Judge then observed that the right of the minorities to administer educational institutions did not prevent the making of reasonable regulations in respect of these institutions. Recognizing that the right to administer educational institutions could not include the right to maladminister, it was held that regulations could be lawfully imposed, for the receiving of grants and recognition, while permitting the institution to retain its character as a minority institution. The regulation ‘must satisfy a dual test — the test of reasonableness, and the test that it is regulative of the educational character of the institution and is conducive to making the institution an effective vehicle of education for the minority community or other persons who resort to it’. (SCC p. 783, para 92) It was permissible for the authorities to prescribe regulations, which must be complied with, before a minority institution could seek or retain affiliation and recognition.

But it was also stated that the regulations made by the authority should not impinge upon the minority character of the institution. Therefore, a balance has to be kept between the two objectives — that of ensuring the standard of excellence of the institution, and that of preserving the right of the minorities to establish and administer their educational institutions. Regulations that embraced and reconciled the two objectives could be considered to be reasonable. This, in our view, is the correct approach to the problem.

136. Decisions of this Court have held that the right to administer does not include the right to maladminister. It has also been held that the right to administer is not absolute, but must be subject to reasonable regulations for the benefit of the institutions as the vehicle of education, consistent with national interest. General laws of the land applicable to all persons have been held to be applicable to the minority institutions also — for example, laws relating to taxation, sanitation, social welfare, economic regulation, public order and morality.

137. It follows from the aforesaid decisions that even though the words of Article 30(1) are unqualified, this Court has held that at least certain other laws of the land pertaining to health,

morality and standards of education apply. The right under Article 30(1) has, therefore, not been held to be absolute or above other provisions of the law, and we reiterate the same. By the same analogy, there is no reason why regulations or conditions concerning, generally, the welfare of students and teachers should not be made applicable in order to provide a proper academic atmosphere, as such provisions do not in any way interfere with the right of administration or management under Article 30(1).” (italics in original) (underlining ours)

177. We, therefore, have serious doubts as to whether Pramati Educational and Cultural Trust (supra) was justified in granting a blanket exemption to minority institutions falling under Article 30(1) from the applicability of the RTE Act. In our considered opinion, the RTE Act ought to apply to all minority institutions, whether aided or unaided. As discussed, its implementation does not erode—let alone annihilate—the minority character protected under Article 30(1). On the contrary, applying the RTE Act aligns with the purposive interpretation of Article 30(1), which was never meant to shield institutions from reasonable regulation in pursuit of constitutional goals. There is no inherent conflict between Article 21A and Article 30(1); both can and must co-exist mutually.

On applicability of Section 12(1)(c), RTE Act to minority institutions

178. Section 12(1)(c), which mandates 25% reservation for children from disadvantaged groups and weaker sections at the entry level, serves the broader purpose of social inclusion in and universalisation of elementary education. While it is true that such a provision impacts institutional autonomy to some extent, the correct question, however, is whether it results in the annihilation of the minority character of such institution. As held in Pramati Educational and Cultural Trust (supra) itself, this requires a fact-specific analysis, and not a blanket exemption.

179. Section 12(1)(c) does not alter school demographics in a way that would compromise the minority identity of minority schools. Minority institutions undisputedly admit students from outside their community; doing so under a transparent, State-guided framework does not affect any right. Moreover, Section 12(1)(c) is accompanied by a reimbursement mechanism, which ensures financial neutrality.

180. Even assuming that a conflict exists between Section 12(1)(c) and Article 30(1), owing to the perceived interference with the admission autonomy of minority institutions, such a conflict can be reconciled by reading down Section 12(1)(c) in a manner that children admitted under Section 12(1)(c) need not necessarily be from a different religious or linguistic community. Section 12(1)(c) does not mandate that 25% of children admitted under the quota must belong to a different religious or linguistic community. In fact, the requirement can be met by admitting children from the minority community itself, provided they fall within the definitions of “weaker section” or “disadvantaged group” as specified under the RTE Act.

181. Sub-clause (d) of Section 2 defines a “child belonging to a disadvantaged group” as:

“a child with disability or a child belonging to the Scheduled Caste, the Scheduled Tribe, the socially and educationally backward class or such other group having

disadvantage owing to social, cultural, economical, geographical, linguistic, gender or such other factor, as may be specified by the appropriate Government.” Similarly, sub-clause (e) of Section 2 defines “child belonging to weaker section” as:

“a child belonging to such parent or guardian whose annual income is lower than the minimum limit specified by the appropriate Government.”

182. In many cases, children from the minority community itself may fall within these definitions. A Christian or a Muslim school, or a school run by a linguistic minority, for instance, may well find that a substantial number of the 25% children admitted under Section 12(1)(c) belong to their own religious or linguistic group but are otherwise socially or economically disadvantaged. Hence, the idea that Section 12(1)(c) necessarily undermines or annihilates the school’s minority character is based on an incorrect presumption. Compliance with Section 12(1)(c) need not come at the cost of eroding the minority character of the school.

183. If the 25% quota is utilised by admitting children from the minority community itself, albeit those who are economically weak or socially disadvantaged, does the question of “annihilation” really arise at all? We have no hesitation to answer the question in the negative for the simple reason that such implementation would reinforce the minority institution’s own constitutional mandate by serving the most underprivileged sections of its own community. This would not only preserve the institution’s cultural and religious identity but could also affirm its commitment to intra-community upliftment. The exemption granted in *Pramati Educational and Cultural Trust* (supra) on the assumption of demographic dilution fails to consider this nuance and, in our humble opinion, warrants reconsideration.

184. There is one other reason why we referred to the law laid down in *M.R. Apparao* (supra) at an earlier part of our opinion. The question as to whether any section of the RTE Act, apart from Section 12(1)(c), or for that matter the entirety of the RTE Act is ultra vires Article 30 does not appear from the decision to have either been directly raised before the Constitution Bench or dealt with by it. It might appear paradoxical, but the judiciary can only definitively address constitutional issues of such importance when they are directly raised.

185. Thus, ultimately, a reconsideration of *Pramati Educational and Cultural Trust* (supra) seems unavoidable. The minority status of an institution must be grounded in a genuine commitment to serve its community, and not merely operate as a vehicle for evading constitutional duties. If the object of Article 30 is to protect identity, then compliance with the RTE Act, insofar as it does not annihilate that identity, ought not to be viewed as an encroachment. L. SUMMARY OF OUR VIEWS ON PRAMATI EDUCATIONAL AND CULTURAL TRUST

186. Article 21A postulates primary education to be a 'public good' that must be accessible and available to all. The RTE Act is the State's legislative enforcement of this fundamental right.

187. The Court in *Pramati Educational and Cultural Trust* (supra) focused on Section 12(1)(c) of the RTE Act and no other section and held the entirety of the RTE Act to be inapplicable to an entire

section of society. Thereby, such section, so to say, has been totally excluded from the idea and notion of nation building by providing education to children at the grassroot level. Even if one were to accept that Section 12(1)(c) violated Article 30, the same could have been read down by including at least the children of the particular minority community who also belong to weaker section and disadvantaged group in the neighbourhood. To hold that the entirety of the RTE Act is inapplicable, with due respect, does not appeal to us to be reasonable and proportionate.

188. Pramati Educational and Cultural Trust (supra), ruling that RTE Act would not apply to minority institutions, in effect would offend the Article 21A right of students admitted in such institutions. They would stand denied of the various statutory entitlements and benefits that the RTE Act affords to all children between 6 and 14 years of age.

189. The RTE Act does not alter the minority character of institutions set up under Article 30. The decision in Pramati Educational and Cultural Trust (supra) seems to us to be doubtful on various counts, in holding so. The decisions in T.M.A. Pai Foundation (supra), and P. A. Inamdar (supra) hold that even the inclusion of non-minority students in a minority institution would not dilute the institution's minority character. Pertinently, none of these decisions interpret Article 21A, which is inserted subsequently, or pertain to institutions imparting primary education.

190. Regulation in the form of norms and standards to ensure quality of education, does not dilute the minority character of an institution, and in fact is a necessary feature of the right to education, as understood both domestically, and internationally.

191. In a scenario where the TET is held to be inapplicable to minority institutions, this would additionally result in a violation of Article 14 as differential eligibility criteria based on religious or linguistic character would be an impermissible classification, and a violation of the general right guaranteed under Article 21A.

M. REQUIREMENT OF MINIMUM QUALIFICATION – WHETHER APPLICABLE TO IN-SERVICE TEACHERS?

192. It was contended that the term ‘appointment’ used in Section 23 of the RTE Act would mean only the initial appointment as a teacher and not appointment by promotion. Accordingly, the minimum qualifications laid down by the Council (including the TET) for ‘appointment of a teacher’ can only relate to ‘initial appointment’ of such teacher and not an appointment by ‘promotion’. Therefore, it was argued that the TET is not a mandatory requirement for promotion.

193. We find ourselves in disagreement with this proposition.

194. In legal parlance, the term ‘appointment’ means not only initial appointment but also covers appointment by ‘promotion’, among others. In this context, a profitable reference may be made to the decision of this Court in M. Ramachandran v. Govind Ballabh⁸¹. Relevant passage from such decision reads thus:

“6. ... There is no dispute that appointment/recruitment to any service can be made from different sources, i.e., by direct appointment, by promotion or by absorption/transfer. The source of recruitment can either be internal or external. Internal source would relate to cases where the appointments are made by promotion or by transfer and by absorption. External source would conceive the recruitment of eligible persons who are not already in service in the organisation to which the recruitment is to be made”

195. Furthermore, reference may be made to the decision of this Court in *K. Narayanan v. State of Karnataka*⁸² where this Court traced the meaning of the word ‘recruitment’ and held:

“6. ... ‘Recruitment’ according to the dictionary means ‘enlist’. It is a comprehensive term and includes any method provided for inducting a person in public service. Appointment, selection, promotion, deputation are all well-known methods of recruitment. Even appointment by transfer is not unknown.”

196. Appointment and recruitment are two distinct but not unrelated concepts. Recruitment is the broader process of which selection is a part that culminates in an appointment. Recruitment can be carried out from various sources, which are broadly classified into internal and external sources. Internal sources would comprise individuals who are already (1999) 8 SCC 592 1994 Supp (1) SCC 44 : 1994 SCC (L&S) 392 employed within the organization. This would include an appointment by promotion or transfer. External sources, on the other hand, consist of individuals who are not currently in the service of the recruiting organization. Direct recruitment is an appointment from external sources or from open market, so to say.

197. Having noticed what this Court has held in relation to recruitment/ appointment, we turn to Section 23 of the RTE Act.

198. Reading Section 23 of the RTE Act, we find that the first proviso to sub-

section (2) of Section 23 thereof assumes importance for dealing with the contention. For brevity, the proviso is reproduced below:

“Provided that a teacher who, at the commencement of this Act, does not possess minimum qualifications as laid down under sub-section (1), shall acquire such minimum qualifications within a period of five years.”

199. The proviso provides for a deadline for all teachers, who are in service, to acquire the prescribed minimum qualifications within a period of five years. Should they fail to do so, they render themselves ineligible to continue on their post. The objective behind introducing the proviso is to uphold the best interest of the children by ensuring quality education, not only through teachers who were to be appointed after the commencement of the RTE Act but also for in-service teachers.

200. If we are to accept the contention of the in-service teachers, the abovesaid proviso would be rendered nugatory. Obtaining the TET qualification under the RTE Act is mandatory and the consequence of not obtaining such qualification flowing from the scheme of the RTE Act is that the in-service teachers would cease to have any right to continue in service. Reference may also be made to letter dated 3rd August, 2017 (discussed in paragraph 69 above) issued by the MHRD which provided a deadline beyond which the in-service teachers, having not qualified the TET, would not be permitted to continue in service.

201. Having regard to the foregoing, we see no reason to hold that the minimum qualifications prescribed by the Council would apply only for initial appointment and not for promotion.

N. ON MINIMUM QUALIFICATIONS VERSUS ELIGIBILITY

202. Learned senior counsel opposing the TET have argued that the phrase ‘minimum qualifications’ used in Section 23 of the RTE Act will not cover the TET in its ambit. They contend that the TET is not a qualification at all but an eligibility criterion. Thus, prescribing the TET as a minimum qualification under Section 23 is incorrect. There is no statutory imprimatur to make the TET mandatory and the same must be done away with.

203. We are not persuaded to agree with this argument for reasons discussed in heading K above.

204. We reiterate and hold that the TET is indeed a qualification, necessary to be held by a person seeking appointment as a teacher in a school. Only upon a person obtaining such qualification can he become eligible for appointment as a teacher.

205. Obfuscating the true import of the synonymous expressions would not lend assistance. What must be looked into is the consequence of such qualification. The eligibility criteria, among other things, also prescribes the TET as a qualification. A person seeking appointment as a teacher must, as a qualification, pass the TET. Only by obtaining such qualification, he would be considered eligible to be appointed as a teacher. In our view, there lies no difference as such between qualification and eligibility. In this context, we may refer to a decision of the Allahabad High Court in *Arvind Kumar Shukla v. Union of India*⁸³, which held thus:

“Further, submission of learned counsel for the petitioners is that since the reserved category candidates have availed the benefit of reservation in TET Exam, they should not be given benefit of reservation in selection and recruitment of the Assistant Teacher. I find no force in this submission of the learned counsel for the petitioners. Qualifying the TET Exam as per Rules is not a guarantee for employment. It is eligibility qualification to participate in the selection process. There is a difference between eligibility qualification and selection for employment. Reservation in educational institution is provided under Article 15 of the Constitution, whereas reservation in employment is provided under Article 16 of the Constitution. Merely because a person has secured admission in a course, which makes him eligible to participate in the selection process, does not amount to secure employment for which

he becomes eligible after completing the course. Therefore, the reservation in employment cannot be denied to a person who belongs to reserved category and has secured admission in a course to become eligible for such an employment on the ground that he has already secured admission on the basis of reservation in getting admission in a course to acquire eligibility.”

206. Thus, we hold that the TET is one of the minimum qualifications that may be prescribed under Section 23 of the RTE Act.

2018 SCC OnLine All 1665 VII. ORDER OF REFERENCE FOR CONSIDERATION BY A LARGER BENCH

207. Sitting in a combination of two Judges, we are not oblivious to the bounds of judicial discipline and the enduring authority of ‘precedents’. Though a Constitution Bench decision of seven Judges of recent origin in *Aligarh Muslim University v. Naresh Agarwal*⁸⁴ has upheld a reference made by a Bench of two-Judges directly to a larger Bench of seven-Judges while doubting a Constitution Bench decision of five- Judges and, relying on such observations, it seems to be a permissible course of action for us to refer the issues that we propose to formulate hereafter to the Hon’ble the Chief Justice for a reference to a Bench of seven-Judges, we refrain from doing so consciously. We tread this path of making a reference with deference to all previous decisions of Constitution Benches on the manner of making a reference, and not in defiance of what the majority view is in *Aligarh Muslim University* (supra). We are mindful that we can merely doubt the view expressed by a larger Bench; not differ and depart from such view of a larger Bench. *Pramati Educational and Cultural Trust* (supra) being a Constitution Bench decision, we cannot render findings different to what has been expressed therein and direct them to be treated as final. This would only create chaos by making the same binding on all in terms of Article 141 of the Constitution.

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208. In view of the foregoing discussions, we respectfully express our doubt as to whether *Pramati Educational and Cultural Trust* (supra) [insofar as it exempts the application of the RTE Act to minority schools, whether aided or unaided, falling under clause (1) of Article 30 of the Constitution] has been correctly decided.

209. We may also place on record that a coordinate Bench of this Court in *Ashwini Thanappan v. Director of Education*⁸⁵ after recording the submission of counsel for the petitioner of *Pramati Educational and Cultural Trust* (supra) being inconsistent with the decision in *P.A. Inamdar* (supra) and requires further examination, directed the Registry to place the matter before the Hon’ble the Chief Justice of India. The reference, we find, is yet to be answered.

210. We, therefore, consider it expedient to follow the decision of this Court in *Lala Shri Bhagwan v. Shri Ram Chand*⁸⁶ as well as long-standing subsequent precedents set by decisions of Constitution Benches prior to *Aligarh Muslim University* (supra) and urge the Hon’ble the Chief Justice of India to consider the desirability as to whether the issues formulated hereunder, or such other issues as

may be deemed relevant, do warrant reference to a larger Bench:

- a. Whether the judgment in Pramati Educational and Cultural Trust (supra) exempting minority educational institutions, whether aided or unaided, falling under clause (1) of Article 30 of (2014) 8 SCC 272 [1965] 3 SCR 218 the Constitution, from the purview of the entirety of the RTE Act does require reconsideration for the reasons assigned by us?
- b. Whether the RTE Act infringes the rights of minorities, religious or linguistic, guaranteed under Article 30(1) of the Constitution? And, assuming that Section 12(1)(c) of the RTE Act suffers from the vice of encroaching upon minority rights protected by Article 30 of the Constitution, whether Section 12(1)(c) should have been read down to include children of the particular minority community who also belong to weaker section and disadvantaged group in the neighbourhood, to save it from being declared ultra vires such minority rights?
- c. What is the effect of non-consideration of Article 29(2) of the Constitution in the context of the declaration made in Pramati Educational and Cultural Trust (supra) that the RTE Act would not be applicable to aided minority educational institutions? and d. Whether, in the absence of any discussion in Pramati Educational and Cultural Trust (supra) regarding unconstitutionality of the other provisions of the RTE Act, except Section 12(1)(c), the entirety of the enactment should have been declared ultra vires minority rights protected by Article 30 of the Constitution?

211. Registry is directed to place Civil Appeal Nos. 1364 - 1367, 1385 -1386 and 6364 of 2025 before the Hon'ble Chief Justice of India for appropriate directions.

212. As regards Civil Appeal Nos. 6365-6367 of 2025, we have already noted that the State of Tamil Nadu raised the argument regarding the TET for the first time before this Court. The appointment proposals of the concerned teachers were rejected on grounds other than the TET, and the TET issue was not raised before the High Court. We are mindful of the settled legal principles that prohibit the introduction of new grounds for the first time before this Court. Therefore, it would have been appropriate to dismiss the civil appeals at the outset on this basis alone. That said, we are conscious of the fact that the institution in which the teacher/respondent seeks appointment is a minority institution. As such, it falls within the scope of the order of reference mentioned above.

213. In light of this, we direct that Civil Appeal Nos. 6365-6367 of 2025 too shall be governed by the direction in paragraph 211 above. VIII. ORDER ON APPLICABILITY OF THE TET TO IN-SERVICE TEACHERS

214. Per the detailed discussions above and resting on the same, we hold that the provisions of the RTE Act have to be complied with by all schools as defined in Section 2(n) of the RTE Act except the schools established and administered by the minority – whether religious or linguistic – till such time the reference is decided and subject to the answers to the questions formulated above under section VII. Logically, it would follow that in-service teachers (irrespective of the length of their service) would also be required to qualify the TET to continue in service.

215. However, we are mindful of the ground realities as well as the practical challenges. There are in-service teachers who were recruited much prior to the advent of the RTE Act and who might have put in more than two or even three decades of service. They have been imparting education to their students to the best of their ability without any serious complaint. It is not that the students who have been imparted education by the non-TET qualified teachers have not shone in life. To dislodge such teachers from service on the ground that they have not qualified the TET would seem to be a bit harsh although we are alive to the settled legal position that operation of a statute can never be seen as an evil.

216. Bearing in mind their predicament, we invoke our powers under Article 142 of the Constitution of India and direct that those teachers who have less than five years' service left, as on date, may continue in service till they attain the age of superannuation without qualifying the TET. However, we make it clear that if any such teacher (having less than five years' service left) aspires for promotion, he will not be considered eligible without he/she having qualified the TET.

217. Insofar as in-service teachers recruited prior to enactment of the RTE Act and having more than 5 years to retire on superannuation are concerned, they shall be under an obligation to qualify the TET within 2 years from date in order to continue in service. If any of such teachers fail to qualify the TET within the time that we have allowed, they shall have to quit service. They may be compulsorily retired; and paid whatever terminal benefits they are entitled to. We add a rider that to qualify for the terminal benefits, such teachers must have put in the qualifying period of service, in accordance with the rules. If any teacher has not put in the qualifying service and there is some deficiency, his/her case may be considered by the appropriate department in the Government upon a representation being made by him/her.

218. Subject to what we have said above, it is reiterated that those aspiring for appointment and those in-service teachers aspiring for appointment by promotion must, however, qualify the TET; or else, they would have no right of consideration of their candidature.

219. With the aforesaid modification of the impugned judgments/orders, all the appeals⁸⁷ relatable to in-service teachers of non-minority schools stand disposed of on the above terms.

.....J. (DIPANKAR DATTA)J. (MANMOHAN) NEW DELHI;

SEPTEMBER 01, 2025.

Civil Appeal Nos. 1389, 1390, 1391, 1393, 1395 to 1399, 1401, 1403, 1404 to 1410 of